AFRASIA
bank different

A New Chapter

CHARTERING INNOVATIVE Pathways

ANNUAL REPORT 2025



ABOUT **US**

Since launching operations in 2007, AfrAsia Bank Limited ("AfrAsia Bank" or "the Bank") has emerged as a dynamic force in regional banking, transforming from a startup vision into one of Mauritius's four Domestic-Systemically Important Banks ("D-SIBs") as recognised by the Bank of Mauritius ("BOM").

Incorporated on January 12, 2007, and officially licensed by the BOM on August 29, 2007, AfrAsia Bank operates as a public interest entity under the Financial Reporting Act 2004. This solid regulatory foundation underpins our commitment to transparency and excellence in financial services.

Our headquarters in Mauritius serves as the nerve centre of our operations, while our representative offices in Johannesburg and Dubai extend our reach into Africa's most vibrant economic hubs and the Middle East's financial epicentre. This strategic positioning enables us to capitalise on emerging opportunities across the globe.

As a boutique financial services provider, we specialise in crafting innovative banking solutions that bridge local expertise with international sophistication. Our unique value proposition lies in our ability to seamlessly connect Africa, Asia, and the world, leveraging Mauritius as the premier gateway for cross-border investment and trade.

ABOUT **THIS REPORT**

This Annual Report has been prepared in compliance with the following regulations, standards, and guidelines, including but not limited to:

- The National Code of Corporate Governance for Mauritius 2016 (as amended) ("the Code");
- The Banking Act 2004 (as amended);
- Guideline on Corporate Governance 2001 (as amended) issued by BOM;
- Guideline on Public Disclosure of Information (as amended) issued by BOM;
- The Companies Act 2001 (as amended);
- The Financial Reporting Act 2004 (as amended); and
- IFRS Accounting Standards as issued by the International Accounting Standards Board.

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CHAIRPERSON'S MESSAGE

Dear Shareholders,

The Beginning of a New Era

It is with great pleasure that I present to you our Annual Report for FY2024-2025.

Guided by our strategic priorities, the Board has continued to steer the Bank towards sustainable growth, ensuring that we deliver lasting value to our stakeholders in an increasingly complex and uncertain global landscape.

As a result, the Bank has achieved a solid financial performance despite challenging macroeconomic and geopolitical conditions, a testament to the resilience of our client base and the diversification of revenues across our business lines.

The year also marked three transformative milestones.

- **Anchor Shareholder Partnership**:

  We are delighted to welcome The Access Bank UK as our new anchor shareholder, following its acquisition of a 76% majority stake in the Bank - a pivotal milestone in our strategic journey. This partnership will accelerate our next phase of growth by leveraging The Access Bank UK's global network and expertise, strengthening our regional position, capturing cross-border opportunities, and expanding our ability to deliver comprehensive banking solutions to a broader customer base.

- **International Expansion** :

  We celebrated the official opening of our new Branch Office in the Dubai International Financial Centre (DIFC), one of the world's most advanced financial hubs. This strategic step enhances our offshore capabilities whilst extending our international reach.

- **New Headquarters** :

  Our successful move into our new head office, AfrAsia Tower, provides a modern platform for collaboration and innovation and is a physical embodiment of our strategy. Standing tall, it anchors us firmly in Mauritius while giving us the reach to support clients and markets far beyond our shores.

With these milestones as our foundation, and supported by our financial strength, international footprint, brand equity and talented AfrAsian team, we are committed to growing responsibly and sustainably, while upholding the highest standards of risk management, compliance and corporate governance.

CHAIRPERSON'S MESSAGE (CONT'D)

A Strong Financial Performance despite Challenging Conditions

The global stage continued to be marked by geopolitical tensions and heightened trade frictions, resulting in market disruptions and a more challenging risk environment for the Bank and our stakeholders.

Despite these conditions, the Bank's balance sheet remains robust. Total assets reached MUR 283.4bn as at 30 June 2025, representing an 8% rise from MUR 261.7bn a year earlier. The Bank's total capital adequacy ratio stood at 20.30% as at 30 June 2025, compared to 20.55% as at 30 June 2024. The Bank's shareholders' equity recorded a significant 19% growth, rising to MUR 22.9bn as at 30 June 2025 (30 June 2024: MUR 19.3bn). Return on Equity as at 30 June 2025 was 29% (June 2024: 39%)

Our disciplined focus on strategic imperatives, coupled with a diversified revenue base, continues to underpin our strong financial performance, robust capital and liquidity positions, and operational resilience amidst market volatility.

These strengths enable us to navigate uncertainty with confidence whilst pursuing growth opportunities that are fully aligned with our long-term ambition to deliver exceptional customer service and broaden our product offerings.

Relationship banking remains at the core of our business model and will continue to be reinforced by our dedicated teams of experts, the ongoing digitalisation of our operations, and our culture of service excellence.

Looking ahead, the Bank is intensifying its efforts in sustainable finance, particularly through investments in renewable energy and infrastructure. At the same time, we will continue to uphold our robust risk management framework to monitor developments in our operating environments and implement appropriate, proactive responses.

The Core of Our Strategic Focus

During the year, the Board continued to oversee and monitor the Bank's strategy to strengthen our position as a domestically relevant and internationally connected bank through disciplined growth. This commitment is anchored in a **strong governance framework**, which we are continuously enhancing to meet the evolving expectations of our regulators, partners, clients, shareholders and other stakeholders.

Our relocation from Ébène to our new headquarters in the AfrAsia Tower at Trianon, is both a symbol of our journey and a testament to our commitment to excellence, innovation and progress. Alongside expanding our international footprint in Dubai and South Africa, we also established a new office at Cap Tamarin to reinforce proximity and service to our local clients.

CHAIRPERSON'S MESSAGE (CONT'D)

At the same time, the Bank has embarked on a comprehensive digital transformation aimed at upgrading our core systems, enhancing our mobile and internet banking platforms, and delivering greater agility, industry-leading security and true end-to-end convenience for customers.

Recognising that our people are central to our success, the Board's Remuneration Committee commissioned a comprehensive market-benchmarking exercise on salaries and pensions to ensure we remain competitive in attracting, retaining, and motivating top talents.

To further strengthen governance and strategic alignment, a strategy workshop was convened with Management Board members to reflect on key industry trends and explore forward-looking strategic initiatives. In parallel, a structured project management framework was introduced to enhance corporate governance and ensure strategic alignment, disciplined oversight and focused execution.

Collectively, these actions demonstrate the Bank's unwavering commitment to streamlining decision-making, optimising resources, supporting successful delivery of key projects, and enhancing shareholder returns, whilst continuing to create enduring value for all of stakeholders.

Succession Planning for Continued Growth

A key component of sound governance, organisational stability, and leadership continuity, succession planning ensures that the Board and senior management maintain the right balance of skills, knowledge, experience and diversity.

During the last financial year, Mrs Rehana Kasenally did not stand for re-election as Director at the last Annual Meeting held on the 10th of December 2024, while Mrs Jill Wan Bok Nale retired as Director of the Bank on the 21st of May 2025. Following these changes, Mrs Anaïck Larabi and Mr Krishan Vuddamalay were appointed as Independent Directors on the 2nd of December 2024 and 10th of December 2024 respectively.

In this regard, I would like to extend my sincere gratitude to all of our Board members—past and present—for their invaluable guidance, dedication and expertise. Their contributions have been instrumental in shaping our leadership and reinforcing the strength of our governance framework.

The Way Forward

When AfrAsia Bank was founded in 2007, it carried a clear and simple vision: to become the financial conduit bridging the Africa-Asia corridor with the world by leveraging the Mauritian International Financial Centre. That vision remains as relevant today as ever, and with the support of the Access Bank Group, we are well positioned to accelerate our strategic development and strengthen our role as a regional leader.

CHAIRPERSON'S MESSAGE (CONT'D)

With its Head Office in London, branches in Dubai, Paris, and Hong Kong, a Representative Office in Lagos, Nigeria, a fully owned subsidiary in Malta, and now a presence in Mauritius, The Access Bank UK Ltd's vision aligns closely with AfrAsia Bank's ambitions of regional expansion and delivering world-class banking solutions.

Looking ahead, our focus is clear: to build on our performance, serve our clients and the communities with purpose, and grow responsibly.

Together with the Board, Management, and our passionate team of AfrAsians, I am confident we will continue to deliver value to all our stakeholders while navigating complexity with agility, clarity and boldness, always guided by the "bank different" mindset that has defined us since inception.

On this positive note, I warmly thank our clients and stakeholders for their continued trust and loyalty, our people for their unwavering commitment and entrepreneurial drive, a key aspect of the Bank's culture, and my fellow Board members for their diligence and dedication.

We remain rooted in our commitment to excellence and innovation, and we look forward to continuing this new era together with you, our valued stakeholders and partners.

Thank you.

Warm regards,



Olivier Jauffret
Chairperson

CHIEF EXECUTIVE OFFICER'S MESSAGE

A New Chapter Awaits

Dear Esteemed Partners,

AfrAsia Bank stands at the threshold of an exciting new chapter. We have not only strengthened our position as a trusted financial institution but also opened a bold new chapter in our story, whilst navigating challenging global conditions.

From inaugurating our new headquarters at AfrAsia Tower at Trianon to welcoming a new majority shareholder, we have laid the groundwork for a future defined by stronger connections across markets, innovation and sustainability.

In July 2025, The Access Bank UK Ltd acquired a 76% majority stake in the Bank, with IBL Ltd retaining a 7.89% stake. This strategic decision opens an exciting new chapter: by combining The Access Bank UK's global reach with our deep local expertise, AfrAsia Bank is ideally positioned to capture investment and trade flows between Africa, Asia, and international markets, and deliver more value to our clients and communities.

Our partnership with The Access Bank UK Ltd opens the door to significant synergies — from expanding our trade finance capabilities to unlocking new opportunities in private banking, wealth management, and corporate banking — we aim to accelerate growth and deliver enhanced value to our clients both locally and internationally.

With established operations in France, the United Arab Emirates, Hong Kong, Malta, Nigeria and now Mauritius, The Access Bank UK brings a powerful international network that complements AfrAsia Bank's regional footprint. Through combined expertise and cross-border collaboration, our ultimate objective is to strengthen client relationships, diversify our service offerings, and extend our frontiers of growth across high-potential markets.

Our brand and strong entrepreneurial roots remain unchanged, preserving the pedigree that defines us — our focus lies in working together with our teams, partners, and stakeholders to make AfrAsia Bank even stronger, and to broaden our global network.

By continuing to invest in digital transformation and reinforcing our team's capabilities through key executive recruitments, we are shaping an agile, resilient, and future-ready bank to confidently capitalise on emerging opportunities.

As we advance in our journey towards sustainable growth, AfrAsia Bank remains deeply committed to integrating sustainability into the core of our business strategy thanks to our proactive alignment with international ESG standards, including the Global Reporting Initiative ("GRI") and the United Nations Global Compact ("UNGC").

CHIEF EXECUTIVE OFFICER'S MESSAGE (CONT'D)

By embracing sustainability, we are not only safeguarding the future through responsible banking and environmental stewardship, but we are also enhancing the wellbeing of our staff, clients, communities, and shareholders, ensuring sustainable long-term value and resilience for all stakeholders.

A Robust Financial Performance amidst Challenging Conditions

As anticipated, FY25 unfolded against a backdrop of heightened global uncertainty and tensions, as well as shifting economic policies and trade relationships. As a result, the year saw central banks across key economies start their interest rate cutting cycles in response to slowing inflation and growth prospects. While this easing supported market liquidity, it also led to a compression of banking margins. Nonetheless, our Loans and Advances grew actively by 21% to reach MUR 75.7bn as at 30 June 2025 (June 2024: MUR 62.5bn), leading to an increase in the loan-to-deposit ratio to 29% from 26% for the same period last year.

Our significant asset growth from local corporates contributed to an increase in Net Interest Income, reaching MUR 7.2bn. Likewise, our Net Fee and Commission Income grew to reach MUR 1.0bn, and Net Trading Income increased to MUR 2.1bn. As a result, Total Operating Income rose by 4%.

Despite the challenging economic environment, our disciplined execution and long-term investments enabled us to end FY25 with a robust balance sheet, posting an increase in Total Assets to MUR 283.4bn. This strong capital position enables us to stimulate future growth, and invest in targeted initiatives to strengthen our business lines' focus areas.

On the liability side of the balance sheet, the Bank's deposit base rose from MUR 240.2bn as at 30 June 2024 to MUR 258.2bn as at 30 June 2025, representing a growth of 7%. Additionally, AfrAsia Bank has successfully maintained a growing deposit base since 2022, underscoring the continued confidence that our valued clients entrust to our Bank, as well as our capacity to deploy these funds with a well-balanced risk management approach. As always, we remain dedicated to safeguarding and growing our depositors' wealth, positioning ourselves effectively to capitalise on future opportunities.

Key Performance Indicators per segment:

- **Local Corporate Banking** - Having undergone a significant year in terms of growth, the asset portfolio of the Bank increased by 35%.
- **International Corporate Banking** - The strategic road map for the International Corporate and Financial Institutions team has translated into a balance sheet asset growth of 106% compared to FY24, with key focus on the African continent, GCC region and selected markets in Asia.
- **Global Business** - The segment delivered satisfactory financial and operational performance during FY25, achieving a 6% growth in deposit base.

CHIEF EXECUTIVE OFFICER'S MESSAGE (CONT'D)

Key Performance Indicators per segment (Cont'd):

- **Private Banking** - This past year saw strong momentum for our Private Banking team, as we focused on deepening relationships with key partners to ensure our clients' continued access to bespoke financing, investment and wealth management solutions.
- **Personal & Business Banking** - Delivering a satisfactory performance in FY25, the asset portfolio increased, and the liabilities book grew by 18%.
- **Investment Solutions** - Assets under custody grew by 13% while the Wealth Management income had a double-digit growth in a segment that is undergoing radical transformation.
- **Treasury & Markets** - Having delivered a strong performance in FY24, the business unit grew its gross operating income, underpinned by solid contributions from Net Interest Income and Net Trading Income.

Our strong financial performance for the year ended 30 June 2025 reflects the full commitment of our team through a customer-centric approach and innovative strategies. Despite numerous macroeconomic challenges, our clear vision continues to guide us forward, strengthening relationships and expanding both our domestic and international market footprint, thus demonstrating our agility amidst complex market dynamics.

With the continued dedication of our talented team, we maintain a confident, optimistic outlook for our future performance despite ongoing uncertainty in the global economy, driven by persistent geopolitical tensions, volatile commodity markets, and shifting trade patterns.

Our People, The Difference-Maker

Over the past financial year, the Bank onboarded 134 new AfrAsians, a firm testament to our growth and our ability to attract talent across functions.

In terms of senior executive recruitment, we appointed Yogendra Soobarah as Chief People and Culture Officer and Laura Wong as Chief Risk Officer. With over three decades of experience in Mauritius and abroad, Yogendra is spearheading our journey to become an employer of choice, while Laura, a seasoned professional with extensive expertise in audit, compliance, credit and risk, will be instrumental in restructuring and streamlining our Credit and Risk Departments. During the year, we also bid farewell to Jen Ramanah, our Head of Treasury and Markets, who retired after an inspiring 18-year journey with AfrAsia Bank. We extend our sincere thanks to Jen for his remarkable contribution, unwavering dedication and the lasting impact he has left on the bank.

CHIEF EXECUTIVE OFFICER'S MESSAGE (CONT'D)

Our people and culture strategy continues to emphasise attracting, developing, and retaining top-tier talents. Having reviewed and enhanced our employee benefits throughout the year, we also introduced initiatives to reward outstanding performance and long-term commitment through formal recognition and awards as we remain committed to strengthening our position as one of the leading employers in Mauritius.

Moving into our new workspace in the AfrAsia Tower at Trianon has also reinforced our Employee Value Proposition, for it embodies our vision for a smarter, more connected, and people-centric environment that enhances both employee well-being and client engagement. In that sense, I extend my sincere appreciation to the project teams who ensured a smooth transition.

Our progress in people initiatives has not only expanded our capabilities, but it has also strengthened our strategic roadmap. Looking ahead, we remain fully committed to nurturing a high-performance culture that is focused on service excellence, teamwork, innovation, agility and high engagement.

Focus on Customer Experience

Our serious commitment to our clients' success continues to be at the heart of everything we do, and this was reflected during the year, with AfrAsia Bank winning two prestigious awards from Global Finance, namely The Best Bank 2025 and the Best FX Bank 2025 in Mauritius. As the foundation of the lasting client relationships we have nurtured over the years, delivering exceptional service remains fundamental to AfrAsia Bank's value proposition.

It is with this spirit that we achieved a major milestone this year with the opening of our new branch office in the Dubai International Financial Centre. Alongside our regional office in South Africa, this strategic expansion enhances our offshore capabilities, and expands our global footprint. Locally, we successfully transitioned to AfrAsia Tower at Trianon, creating an environment that is conducive to both employee experience and client service excellence. At the same time, the launch of the Tamarin Lounge by AfrAsia Bank represents a service excellence step to be closer to a dynamic region, the west, poised for significant growth.

As we accelerate our growth, we continue to focus on customer service excellence by leveraging our "bank different" approach. The establishment of a dedicated Customer Experience ("CX") Committee along with a comprehensive CX action plan has led to visible improvements, including a Net Promoter Score ("NPS") that surpasses the international banking industry average.

Notable progress has also been made with respect to the upgrading of our core banking system and digital channels namely, the internet banking platform and the mobile banking application which will be launched soon.

CHIEF EXECUTIVE OFFICER'S MESSAGE (CONT'D)

Further, in today's increasingly digitalised business environment, we have made cybersecurity a central part of our value proposition. As such, client data protection, prevention of fraud, and cybercrime remain a top priority for the Bank, and we hold ourselves to the highest standards in this regard while ensuring our people are constantly trained on potential digital threats.

Crucial for our continued growth, the abovementioned digital priorities will enable our team to deliver enhanced service excellence and operational efficiency, allowing the Bank to achieve its goals and objectives.

Creating Sustainable Value for our Stakeholders

AfrAsia Bank has made progress in its sustainability efforts by proactively aligning its operations with international ESG standards, including reaffirming its commitment to the UN Global Compact and adopting ESG initiatives that support the Sustainable Development Goals.

Key achievements include establishing a robust ESG governance structure, introducing comprehensive Climate-related & Environmental Financial Risk Management frameworks, progressing towards the implementation of an Environmental and Social Risk Management system, and adopting global sustainability disclosure standards IFRS S1 and S2.

In addition to strengthening its compliance, ethical practices, and environmental performance, notably by implementing effective resource management and recycling programs, AfrAsia Bank has also successfully grown its sustainable finance offerings, exemplified by the broadening of its Green Car Loan portfolio and ESG-linked Structured Products.

During the year, our flagship branding event, AfrAsia Bank Mauritius Open, returned to Mont Choisy in December 2024, reinforcing Mauritius' positioning as an attractive tourism and sports destination as well as an international financial hub. An independent analysis revealed that the 2024 tournament generated a record $4.2 million in net economic impact for the Mauritian economy, underscoring the tangible benefits this event delivers to the community. With a household reach of over 500 million in over 160 countries, this golf tournament enhances AfrAsia Bank's global brand resonance by serving as a premier platform for hosting clients and other stakeholders, while highlighting a tight-knit public-private partnership.

Aware of the vital role that sport plays in promoting inclusion, team spirit, and national health, AfrAsia Bank is also proud to have been the title sponsor of the padel federation in Mauritius, namely, the AfrAsia Bank Padel League. The latter underlines our commitment to supporting sporting activities that not only bring communities together, but also inspire individuals to lead active and healthy lifestyles. Together with our partners, we remain committed to promoting the sporting discipline and building a healthier, more inclusive society.

CHIEF EXECUTIVE OFFICER'S MESSAGE (CONT'D)

The Way Forward

As AfrAsia Bank embarks on an exciting new phase, reinforced by the strategic partnership with The Access Bank UK Ltd, we are uniquely positioned to leverage the extensive network, robust capital resources, and proven expertise of Access Bank Group. With operations spanning more than 20 markets across three continents and a strong presence in Africa, Access Bank Group brings a powerful platform that will enable AfrAsia Bank to significantly expand its international footprint. Operating with these enhanced capabilities, we are poised to further strengthen our value proposition for our customers' constantly evolving needs.

As we move ahead, our commitment to innovation and customer-centric financial solutions remains unflinching. We will continue to focus on market expansion and service excellence, establishing AfrAsia Bank as a pivotal financial gateway between Africa, Asia, and the rest of the world. We are all set for long-term and sustainable growth, with a customer-centric and talent driven approach.

Thank you.

Yours,



Thierry Vallet
Founder Executive and Chief Executive Officer



Management Discussion & Analysis

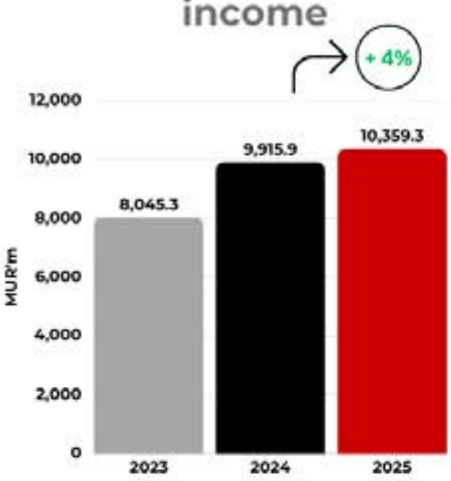


MANAGEMENT DISCUSSION AND ANALYSIS

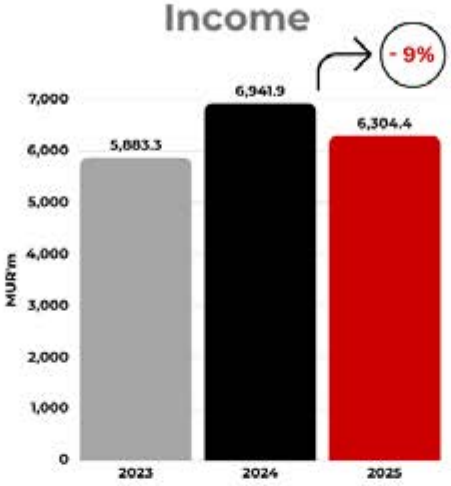
The following is the management's discussion and analysis ("MDA") of the financial results of AfrAsia Bank Limited (the "Bank" or "AfrAsia Bank") for the year ended 30 June 2025. This report contains forward-looking statements that are based on AfrAsia Bank's management's current beliefs and expectations. These statements are subject to potential risks and uncertainties, as well as factors that could cause actual results to differ from those anticipated. There is no assurance that actual results will be in line with any outlook information set forth herein, and the Bank does not undertake to update any forward-looking statements. The numbers may not add up precisely to totals due to rounding, and percentages are calculated from unrounded figures.

WHERE BANKING DIFFERENT LED

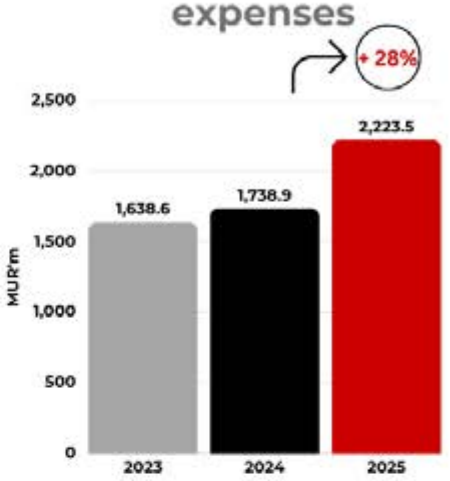
Total operating income



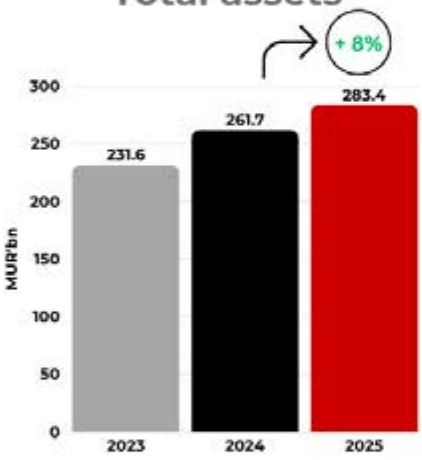
Total comprehensive Income



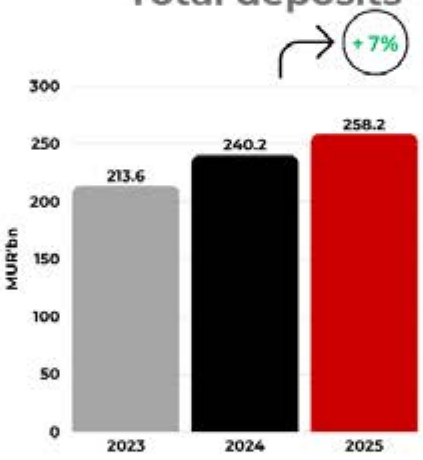
Total operating expenses



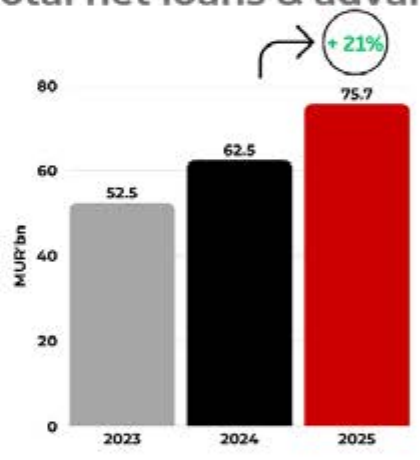
Total assets



Total deposits*



Total net loans & advances*



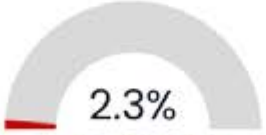
*Include banks and customers

Performance Ratios



Return on equity

FY24: 39%
FY23: 42%



Return on average assets

FY24: 2.8%
FY23: 2.7%



Cost-to-income

FY24: 18%
FY23: 20%



Net loan-to-deposit

FY24: 26%
FY23: 25%

Capital Management

Capital adequacy ratio



FY24: 20.55%
FY23: 19.40%

CHIEF FINANCIAL OFFICER'S STATEMENT

INTRODUCTION

During the Financial Year under review, AfrAsia Bank went through an important M&A transaction that subsequently resulted in a major change in its shareholding structure, with Access Bank UK ("ABUK") now holding 76% of the ordinary share capital of the Bank.

Concurrently, we have seen important changes in the geopolitical, financial, and economic landscapes globally, which have impacted the banking sector, especially a bank such as AfrAsia Bank for which Global Business represents a major part of its balance sheet and profitability. Indeed, as at 30 June 2025, USD deposits represented 65.8% of total deposits, while EUR deposits represented 16.8% and GBP deposits 4.9%. On the interest rate front, during the year under review, the FED rate fell from 5.50% to 4.50%, the ECB rate from 3.75% to 2.00% and the BOE rate from 5.25% to 4.25%. Furthermore, regarding USD, which represents the major part of our balance sheet, it depreciated against MUR from 47.30 at the end of June 2024 to 45.05 at the end of June 2025.

FINANCIAL HEADLINES

Despite these interest rate and exchange rate movements, AfrAsia Bank managed to achieve a marginal increase in its Net Interest Income ("NII") to reach MUR 7.2bn, through a meaningful increase in volumes and effective asset positioning, though we also witnessed a change in customer behaviour with a movement of their savings from current accounts to higher-yielding Fixed Deposits.

Non-interest income rose 14% year-on-year, led by higher fee and commission income as well as stronger net trading income. Fee and commission income benefited from broad-based growth across all components, supported by higher customer activity across products, including stronger card-related fees, robust loan fees, and higher custody income. Net trading income for its part increased by 15%, underpinned by strong client engagement and effective exposure management. Performance was particularly strong in foreign exchange sales and trading, as well as in trading in money market and fixed income products.

Total Operating Income for the FY under review stood at MUR 10.4bn compared to MUR 9.9bn in the prior year. The Bank's Net Operating Income was, however, impacted by an impairment charge of MUR 403.3m, in contrast to the impairment credit recorded in the prior year. This was the result of distressed restructurings and the deterioration of certain credit exposures during the financial year.

On the cost side, the Bank experienced exceptional increases in Personnel Expenses and Other Operating Expenses. In addition to promotion-related salary adjustments, a top-up was required for the staff pension account. Furthermore, expenses were incurred to revamp the Bank's digital and technological platforms. Consequently, the cost-to-income ratio rose to 21% for the financial year under review, representing a three-percentage point increase year-on-year.

CHIEF FINANCIAL OFFICER'S STATEMENT (CONT'D)

FINANCIAL HEADLINES (CONT'D)

The increase in Total Operating Income recorded by AfrAsia Bank was, however, outweighed by a significant increase in Total Operating Expenses as well as Net Impairment Losses. Tax expense also witnessed an increase, with the Bank's effective tax rate climbing to 18.3% from 14.6% in the previous year, primarily due to the retrospective application of the Corporate Climate Responsibility levy.

Net Profit After Tax suffered a reduction of 10% from MUR 7.0bn to MUR 6.3bn. Consequently, Return on Equity stood at 29%, representing a decline compared to the prior year.

The Bank's deposit base expanded by 7% year-on-year to MUR 258.2bn as at 30 June 2025. This increase was achieved despite the adverse effects of foreign exchange retranslation as a result of the appreciation of the Mauritian Rupee against the US Dollar. This demonstrates AfrAsia Bank's capacity to bring a strong value proposition to its customers, thereby cementing its role as a key participant in the Mauritius International Financial Centre, serving both local and Global Business clients.

On the other side, the Bank's total assets rose by 8% year-on-year to MUR 283.4bn as at 30 June 2025.

Loans and advances registered the strongest increase, expanding by 21%. AfrAsia Bank's increase in its loan book was achieved on both domestic and Global Business segments, though the latter recorded a larger portion of the growth through syndications. The Bank's loan-to-deposit ratio stood at 29%, representing a three-percentage point increase from the prior year. The overall asset quality, as measured by the NPA ratio, remained almost constant below 3%. However, the coverage ratio declined to 86%, primarily due to the reclassification of certain loans into Stage 3.

Investment in Securities remained the largest category of assets on the Bank's balance sheet, though it recorded a reduction from MUR 134.7bn to MUR 130.6bn. The bulk of this asset class consists of various high-quality Sovereign and Government securities, reflecting the Bank's prudent balance sheet management approach. Concurrently, the bank moved towards a higher allocation of funds towards interbank placements, allowing a maximisation of yield while preserving prudent liquidity buffers. AfrAsia Bank, being a primary dealer, also increased its activities on the domestic market.

The Bank's liquidity position remained robust, with Cash and Balances with Banks representing 22% of total assets. This strong liquidity profile provides the flexibility to reallocate funds to higher-yielding assets while ensuring the Bank can meet short-term obligations. The Liquidity Coverage Ratio stood at 330%, significantly above the regulatory minimum of 100%. Additionally, the Bank maintained a robust long-term funding structure, reducing reliance on short-term wholesale funding, thus achieving a Net Stable Funding Ratio of 151%, which comfortably exceeds the regulatory benchmark.

The Bank's total equity grew strongly by 19% year-on-year, reaching MUR 22.9bn, primarily driven by an increase in retained earnings. In line with our commitment to shareholder returns, ordinary shareholders received dividends of MUR 2.4bn, comprising an interim dividend of MUR 6.81 per share and a final dividend of MUR 14.60 per share. Additionally, MUR 206.3m was distributed to Series 1 and 2 Class A Shareholders during the financial year under review.

CHIEF FINANCIAL OFFICER'S STATEMENT (CONT'D)

FINANCIAL HEADLINES (CONT'D)

The Bank's total regulatory capital stood at MUR 22.5bn as at 30 June 2025, up from MUR 19.2bn in the prior year. Common Equity Tier 1 ("CET1") capital and Tier 1 capital stood at MUR 19.9bn and MUR 21.3bn, respectively. The Bank's total Capital Adequacy Ratio was 20.30%, reflecting a modest decline of 25 basis points from 20.55% in the prior year, while remaining well above regulatory requirements and demonstrating the Bank's continued capital strength and resilience.

OUTLOOK

The global economy is poised to remain governed by continued uncertainties, not only regarding interest and exchange rates but also on the geopolitical front, including risks of tariffs and trade wars. Concurrently, banking sectors in key markets face challenges from slowing credit demand and margin compression. Furthermore, generative AI, digital finance, and shifting monetary paradigms are redefining the contours of the financial industry.

The Mauritian economy will also go through challenges on various fronts. Real GDP growth, which was 4.9% in 2024, is forecasted to slow down to 3.1% in 2025, driven by softer external demand and tourism headwinds. Inflation, however, was on a downward trend year-on-year, with a reduction from 7% in 2023 to 2.5% in early 2025, but there is an expectation that inflation will likely rise by the end of the year. But public finances will most probably continue to face challenges. Public debt stood at 89–90% of GDP in mid-2025, and there could be difficulties in bringing the required reforms needed to steer it down going forward.

On the back of broader sustainability concerns, the government has had to introduce measures such as the Corporate Climate Responsibility levy and undertake investments in projects to enhance environmental resilience. The country has so far been able to maintain an Investment Grade rating from Moody's, and the financial services sector is hoping that this will remain the case. Indeed, the financial services sector remains a powerhouse in Mauritius, accounting for around 13% of GDP directly and upwards of 25% when indirect effects are considered, serving as a key multiplier for the economy. In the last Budget, the government has introduced measures to broaden and strengthen the sector, including bullion banking, expanded wealth management licensing, AI-enabled e-licensing, and the bolstering of the AML/CFT framework, all of which are actionable steps to reinforce Mauritius's ambition to remain a leading International Financial Centre.

CHIEF FINANCIAL OFFICER'S STATEMENT (CONT'D)

CONCLUDING REMARKS

The acquisition by ABUK marks a significant milestone, offering the Bank access to a broader international platform, enhanced capital capacity and advanced technology. This positions AfrAsia Bank to leverage new opportunities in cross-border trade, private banking and wealth management, while continuing to strengthen its domestic and regional presence.

The Bank will remain focused on its core strengths:

- Resilient and diversified income streams, including net interest income, fees and commission, as well as treasury;
- Disciplined balance sheet and liquidity management, ensuring the Bank can capitalise on market shifts while mitigating risk; and
- Strong brand and presence in the Mauritius International Financial Centre, Johannesburg and Dubai while capitalising on ABUK's extensive global network.

As AfrAsia Bank embarks on a new chapter in its journey, a smooth integration with ABUK will allow it to expand its product offering, enhance operational efficiency and increase its competitive positioning, without compromising the agility and client-centric culture that have been central to its success. The Bank is well-positioned to pursue accelerated growth, deepen client relationships and create sustainable long-term value for stakeholders. It will continue its well-planned investment journey to upgrade the Bank's IT infrastructure at multiple levels, ensuring a robust technology platform that supports market competitiveness and evolving operational requirements.



JENNIFER JEAN-LOUIS
Chief Financial Officer



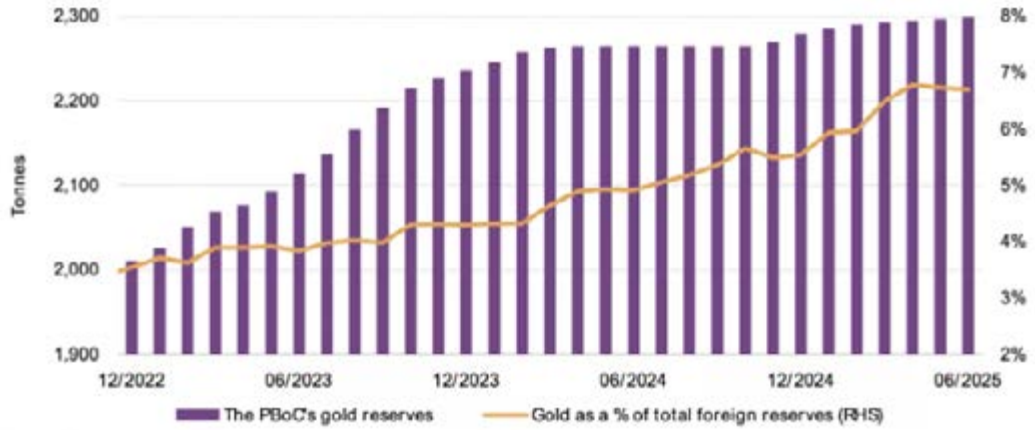
Over the financial year ("FY") 25, global economic conditions have worsened, marked by a broad-based slowdown in growth from 3.3% in 2024 to 2.8% expected in 2025 by the IMF in its April 2025 report, heightened policy uncertainty, and significant trade disruptions. In the same month, President Trump has launched a series of new tariff measures with a baseline of 10% tariff on goods from all countries plus reciprocal tariffs, labelled Liberation Day. Governments around the world have pledged counter measures on the U.S., causing a substantial rise in trade barriers and a structural shock [*Reuters*]. Global inflation has eased and is expected to decline to 4.2% in 2025 and to 3.6% in 2026, with advanced economies remaining above the 2% target through 2026 [*IMF*].

Responding to weaker demand and lower inflation, the European Central Bank has cut rates eight times bringing the benchmark deposit rate to 2.0% from its peak of 4.0% in June 2024 [*ECB*]. Meanwhile, in the face of a more resilient economy, the Federal Reserve rate has cut four times since July 2024 but has held rates steady at 4.25%-4.50% up till end of June 2025 [*Federal Reserve*]. The Federal Reserve Chair Jerome Powell has preferred a "wait and learn more" about the impact of tariffs on inflation before lowering interest rates, which has conflicted with President Trump's demands for immediate and deep rate cuts [*Reuters*]. Moody's downgraded the U.S. credit rating in May 2025 due to debt concerns, prompting an exodus from U.S. Treasuries and weakening U.S. dollar demand [*Moody's*].

Global financial markets also witnessed a notable shift in reserve management strategies, characterised by declining foreign interest in US Treasury securities and a surge in central bank gold purchases [*Reuters*]. Foreign central banks were reducing their holdings of US Treasuries, with figures from New York Fed custody in June showing that the value of U.S. Treasuries held there on behalf of foreign central banks fell to $2.88 trillion, the lowest since January 2025 [*Reuters*]. Emerging market central banks are continuously diversifying away from the US dollar to reduce exposure to sanctions risk. For instance, China's gold reserves rose from 1.8% to close to 8% of total reserves since 2015 [*World Gold Council*], while its Treasury holdings have remained on a downtrend below $1 trillion since April 2022, at $ 756.3bn in May 2025 [*U.S. Department of the Treasury*].

GLOBAL ECONOMIC OUTLOOK (CONT'D)

Reported official gold holdings and gold as a percentage of total foreign exchange reserves*



* As of 30 June 2025.

Source: State Administration of Foreign Exchange, World Gold Council

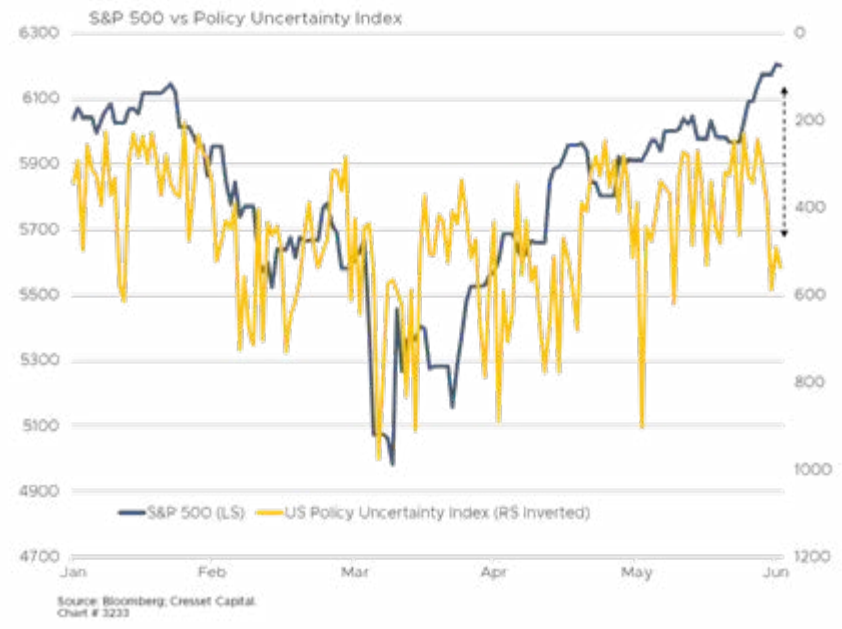
Amid the lacklustre global growth, major economies such as the U.S., euro area, and China, are expected to increase government spending to support growth, leading to rising public deficits. Germany's deficit could rise to its highest level since its 1990 unification as the government intends to increase investments in infrastructure and defense [*DW*].

FINANCIAL MARKETS

Financial markets were initially disrupted by the announcement of tariffs by the Trump administration. The news sent shockwaves through global financial markets, with the S&P 500 falling 19% from its all-time high recorded in February, and the Nasdaq Composite dropping 25% over the same period [*Bloomberg*]. Nonetheless, as trade tensions between the U.S. and its partners showed signs of easing, markets gradually stabilised. The main indices made a V-shape recovery, with a noticeable rebound from large-cap stocks in the technology sector. The same pattern could be observed in the European and Asian markets.

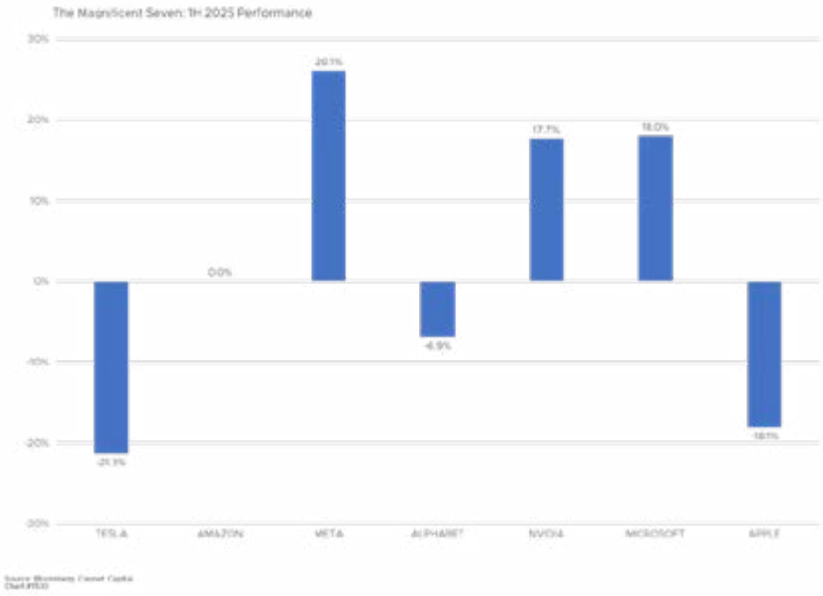
GLOBAL ECONOMIC OUTLOOK (CONT'D)

FINANCIAL MARKETS (CONT'D)



[*Bloomberg*]

Industries that were specifically targeted for tariff relief, like semiconductors, rebounded sharply in the second quarter, with Nvidia gaining 46% in that quarter. Consumer staple and discretionary companies deteriorated as investors contended with the impact of tariffs on the consumer. As at close of the financial year, only three of the Magnificent Seven stocks were up.



[*Bloomberg*]

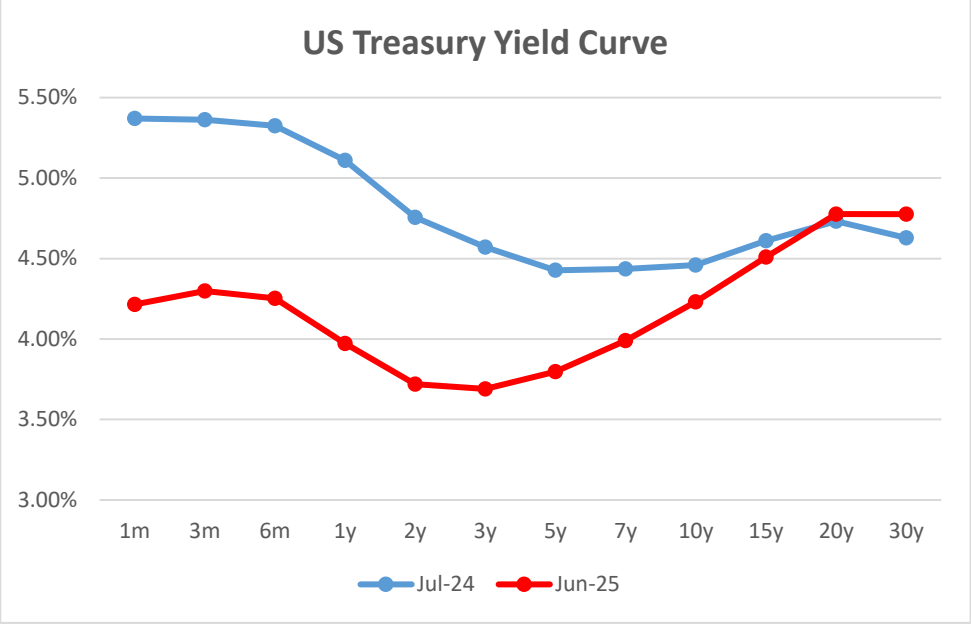
GLOBAL ECONOMIC OUTLOOK (CONT'D)

FINANCIAL MARKETS (CONT'D)

Across NATO, there is a rising anxiety about potential U.S. "disengagement" or changing strategic priorities. These worries have compelled Europe to take greater direct responsibility for its own security and reduce dependence on the U.S. military umbrella. European NATO members recently endorsed ambitious pledges, including new spending targets such as 2% or more of GDP, with some countries aiming as high as 5% [*WEForum*]. These new measures have significantly boosted European defence stocks in 2025, with Saab AB rising by 127%, Thales by 81.4%, and Rheinmetall surging by a notable 198% up to end of June 2025.

Easing trade tensions between the US and China and a falling dollar were a particular tailwind for emerging market equities which generated a total return of 15.6% in dollar terms year-to-date, as at 30 June 2025 [*JPMorgan*].

U.S. Treasury yields were trending lower since the beginning of 2025 but began to rise sharply around Liberation Day. Tariffs raised concerns about higher inflation, while investors worried about the U.S. Treasury's ability to refinance the substantial debt maturing in 2025. These concerns led to a spike in yields as the bond market repriced inflation expectations. While bond market participants appeared focused on these risks, it's notable that credit default swap (CDS) spreads have eased since Liberation Day, signalling that the professional market participants are not currently pricing in heightened concerns about U.S. default risk in 2025.



[*Bloomberg*]

Gold's performance over the financial year was exceptional, with a 41.96% rise driven by geopolitical instability, U.S. policy uncertainty, central banks demand, and a weaker U.S. dollar. The latter depreciated by approximately 8.5% against major currencies over the period. Amid conflicts in the Middle East, demand for the U.S. dollar was bolstered at times, but this was offset by stronger safe-haven flows into gold and the Swiss franc.

GLOBAL ECONOMIC OUTLOOK (CONT'D)

LOOKING FORWARD

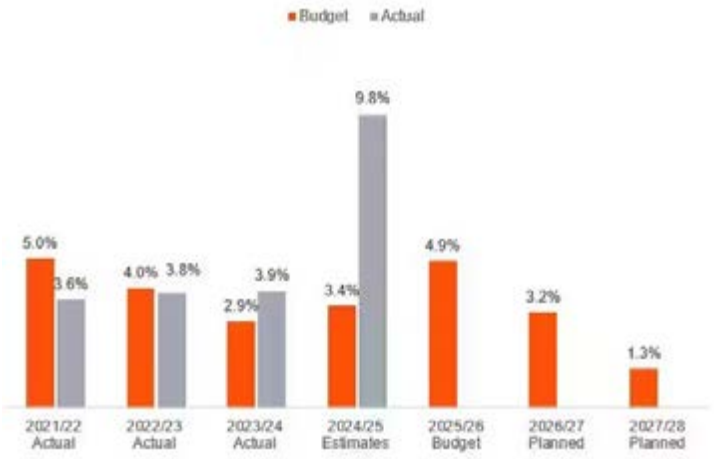
Based on the latest IMF report in July 2025, global growth is forecasted to weaken from 3.3% in 2024 to 3.0% in 2025 and 3.1% in 2026, with lower effective tariff rates than announced in April, better financial conditions, and fiscal expansion in some major jurisdictions [*IMF*]. The U.S. struck a framework trade agreement with the European Union on 27th of July, imposing a 15% import tariff on most EU goods, while discussions were ongoing with China to resolve longstanding economic disputes and step back from an escalating trade war [*Reuters*].

President Donald Trump has signed into law the "One Big Beautiful Bill" (OBBB) on 4th of July 2025, which is a sweeping legislative package combining tax cuts, spending increases, and social program reforms. This bill is expected to add $3.3–$5 trillion to the U.S. federal deficit over the next decade, increasing concerns on U.S. fiscal sustainability [*Reuters*]. As such, USD-based assets may face challenges in the future unless economic growth exceeds expectations. Furthermore, as central banks, particularly in emerging markets, bolster gold reserves, the metal's role as a safe-haven asset is reinforced, potentially reshaping global financial dynamics in 2025 and beyond.



The Mauritian economy continued to expand in 2024, albeit at a slower pace than initially projected. Real GDP grew by 4.9% in 2024 and is expected to decelerate further to 3.1% in 2025 [*Statistics Mauritius*]. This deceleration reflects the combined impact of global headwinds—driven by tariff-induced shocks—and persistent structural challenges within the domestic economy. The fiscal year was shaped by the national election and the change in government led by Prime Minister Navinchandra Ramgoolam and the "Alliance du Changement" party. The new regime faces a range of economic, social, environmental, and governance challenges, as pointed out in a "State of the Economy" document released in December 2024.

Mauritius faces a significant debt burden, with public debt at 90% of GDP (MUR 642bn) and the budget deficit also high at 9.8% of GDP.



[*PWC*]

The objective of the authorities has so far been to avoid a downgrade in the country's credit rating by agencies like Moody's. In January 2025, Moody's Ratings changed the outlook of Mauritius' rating to negative from stable, while keeping a Baa3 rating [*Moody's*]. The firm expects debt to reach 77% of GDP by June 2025, significantly higher than that of other Baa3-rated sovereigns.

After trending downward in 2024, headline inflation reversed direction in March 2025, reaching 2.9% by June.

LOCAL ECONOMIC OUTLOOK (CONT'D)



[*Statistics Mauritius*]

Monetary Policy Committee ("MPC") and Mauritian Yield Curve

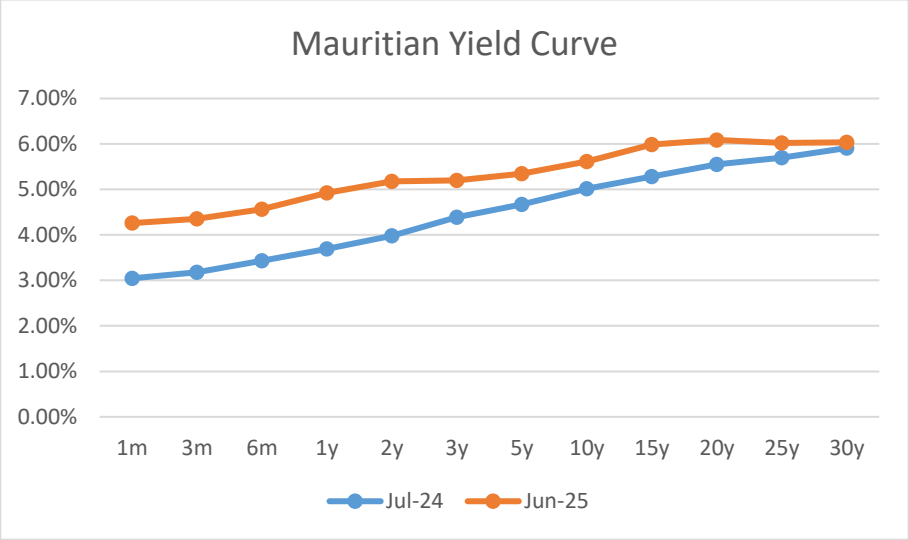
Since the beginning of 2025, the Bank of Mauritius has increased the Key Repo Rate from 4.0% to 4.5% and projects inflation to rise further, closing the year at approximately 3.5%. The Bank of Mauritius is faced with a scenario of stagflation, as tariff-induced shocks and supply chain disruptions could feed into higher import prices, while a global slowdown could compress demand for an economy highly dependent on the tourism industry. While the tourism industry demonstrated resilience in 2024 with the number of tourists visiting the island reaching 1,382,177, at par with pre-pandemic levels, recent data has shown a slowdown in arrivals [*Bank of Mauritius*]. For the first half of 2025, tourist arrivals by air and sea increased by 2.1%, reaching 658,909 visitors compared to 645,549 over the same period in 2024. However, the average length of stay declined by 2.6% to 11.3 nights. As of May 2025, gross tourism earnings amounted to MUR 40.4bn for 2025, representing a 3.85% increase compared to MUR 38.9bn during the same period in 2024 [*Statistics Mauritius*].

The country continues to face an acute labour shortage, driven by a mismatch of skills in the labour market. The unemployment rate was reported at 6.0% for the first quarter of 2025 [*Statistics Mauritius*]. Additionally, the Wage Rate Index (WRI), which provides an indication of the cost of labour in the economy, increased from 129.5 in 2024Q3 to 129.9 in 2024Q4. In y-o-y terms, the WRI rose substantially by 15.4% and 14.7%, respectively, in 2024Q3 and 2024Q4. When adjusted for productivity gains, the rise in broad-based labour costs could generate inflationary pressures [*Bank of Mauritius*].

The Mauritian yield curve has shifted upwards, to a more flattening shape on the medium to longer term, amid upward pressure from rising inflation and slower economic growth expected.

LOCAL ECONOMIC OUTLOOK (CONT'D)

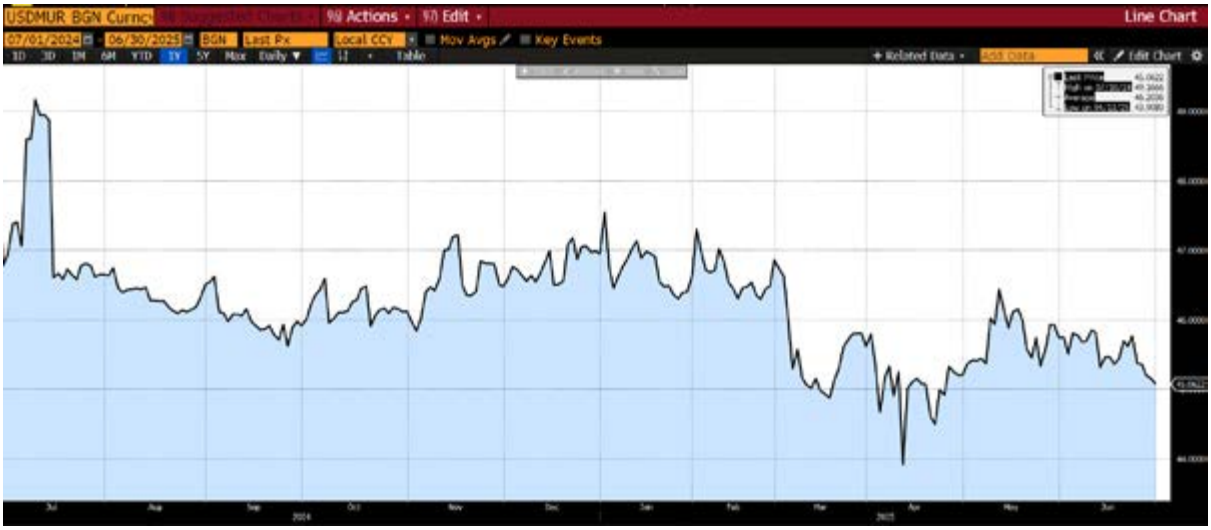
Monetary Policy Committee ("MPC") and Mauritian Yield Curve (Cont'd)



[*Bloomberg*]

Foreign Currency Exchange

Since July 2024, the Bank of Mauritius has intervened 19 times on the market for a net total amount of USD 415m at an average rate of 46.23, with the latest on April 2025 at 45.00 in this financial year. Between February and April 2025, the rupee exchange rate has appreciated by 3.8% against the US dollar, despite losing steam against the euro and the pound sterling [*Bank of Mauritius*].

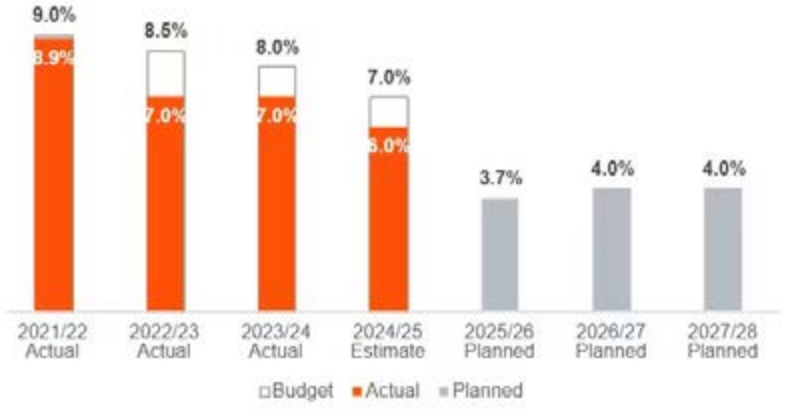


[*Bloomberg*]

LOCAL ECONOMIC OUTLOOK (CONT'D)

Looking Forward

In the last budget, the government forecasted an annual GDP growth rate ranging from 3.7% to 4.0% over the next 3 years. Following the agreement reached with the United Kingdom on the Chagos Archipelago, funds received from the settlement will be directed towards public debt repayment for the first three years. Together with some aggressive measures, the aim will be to reach a Debt/GDP ratio of 79.7% within 3 years [*PWC*]. Moody's has a view that a ballpark figure of 74% to be reached by 2030, which would bring the country's debt burden lower compared to similarly rated peers [*Moody's*].



[*PWC*]

In the short term, growth performance will likely suffer, impacting the current balance of payments. As inflationary pressures and structural imbalances continue to pose challenges, coordinated fiscal and monetary policy responses will be expected, along with ongoing reform efforts to sustain growth and enhance resilience.

BUSINESS SEGMENTS OVERVIEW





BUSINESS SEGMENTS OVERVIEW (CONT'D)



Segment-Specific Achievement Deep Dive

AfrAsia Bank's Global Business segment reinforced its role as a core growth engine in FY25, delivering strong financial and operational results. Growth in foreign currency deposits, FX transactions, and cross-border activity boosted both interest and fee-based income, reflecting stronger client engagement and favourable market conditions.

The Journey So Far

As a leading player within the Mauritius International Financial Centre ("IFC"), we serve corporates, funds, trading houses, procurement hubs, high-net-worth clients, and family offices across more than 170 countries, with a focus on Africa, MENA, Europe, and Asia. The launch of our DIFC Representative Office in Dubai, alongside our Johannesburg presence, strengthens our ability to connect markets and facilitate capital, trade, and investment flows.

The strategic partnership with Access Bank UK opens new opportunities across key geographies, enhancing cross-border trade, procurement, and corporate banking solutions. Looking ahead, we will consolidate our IFC leadership, deepen international partnerships, and develop innovative banking solutions to meet evolving client needs.

Mauritius' stability, skilled workforce, and strong regulatory framework—combined with AfrAsia's market positioning—create a compelling value proposition for global clients and partners.

Vision Beyond Tomorrow

Consolidation, Innovation, and Market Leadership

AfrAsia's Global Business strategy will remain focused on consolidating our leadership within the Mauritius IFC, while scaling our relevance across frontier and emerging markets.

We are also investing in talent, digitalisation, and ecosystem partnerships to build the next generation of global business banking.

AfrAsia & Mauritius: A Shared Vision

Mauritius offers a compelling platform: a dual legal system, a bilingual skilled workforce, political stability, a network of tax treaties, and no exchange controls. These attributes, coupled with AfrAsia's institutional strengths, create a seamless value proposition for international clients and structuring partners.

The Global Business desk is more than a revenue contributor, it is a strategic pillar of the Bank and a vital force for the international positioning of Mauritius. As we step into this new chapter with Access Bank, our vision is clear: to become the market leader in global business banking and the partner of choice for clients navigating Africa and beyond.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



The Target Areas for the Next Financial Year:

- Strengthening international partnerships with business introducers, PE funds, and fiduciaries;
- Expanding our presence in key IFCs through Access Bank UK;
- Enhancing cross-selling across the Bank's value chain, especially treasury, credit, and private banking;
- Scaling up our positioning as a procurement and trading hub for African corporates via Mauritius;
- Introducing bespoke solutions for evolving sectors such as digital assets (under compliant structures), impact investing, and sustainability-linked finance;
- Offering safe, bankable alternatives for clients in jurisdictions facing banking constraints or regulatory shifts;
- Deepening engagement in client mobility planning, helping clients relocate to white-listed, compliant financial centres like Mauritius.

BUSINESS SEGMENTS OVERVIEW (CONT'D)

CORPORATE BANKING

Domestic:

Segment-Specific Achievement Deep Dive

AfrAsia Bank's Domestic Corporate Banking division caters to large and mid-sized conglomerates and corporate clients in Mauritius, with a strategic focus on the country's Top 100 companies. The bank provides tailored financial solutions across key sectors, including construction and real estate, tourism, manufacturing, trading, and financial services. With deep market insights and sector expertise, the Bank supports clients through a relationship-driven approach. It offers a comprehensive suite of products and services designed to meet complex and evolving business needs.

In FY25, Corporate Banking delivered a strong performance marked by significant growth. The asset portfolio expanded by 28%, reaching MUR 25.1bn, while net income rose by 26% to MUR 1.1bn. These results reflect the successful execution of strategic initiatives and continued client engagement across key sectors.

The Journey So Far

Our Strategy and Proposition

In FY25, our strategic priorities focused on strengthening core business fundamentals and driving sustainable growth. Key areas of focus included:

- Targeting high-potential economic sectors, including real estate, healthcare, automotive sector and tourism;
- Generating more non-interest income, notably through the issuance of Garantie Financière d'Achèvement ("GFA");
- Supporting some key large corporates in their regional expansion strategies;
- Increasing our wallet share with top tier clients through deeper engagement and tailored solutions; and
- Maintaining a strong emphasis on service quality and customer satisfaction.

These initiatives reflect our commitment to delivering long-term value to clients while reinforcing our market position

The Target Areas for the Next Financial Year:

- Deepen client relationships through public relations and engagement activities to increase cross-sell opportunities, and become the preferred banking partner for large and mid-sized corporates by improving responsiveness, offering structured, advisory-led solutions, and acting as a trusted financial advisor;
- Expand focus in key strategic sectors that align with national development priorities and offer strong lending potential, such as property financing, healthcare, tourism, financial services, and sustainability-linked projects;
- Enhance efficiency by reducing turnaround times and streamlining internal processes, competitiveness through attractive and well-structured banking solutions, and advisory value on the most efficient financial models; and
- Support domestic corporates in their African expansion journey with the Bank as a strategic partner by providing cross-border financing, trade solutions and advisory support.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



International:

Segment-Specific Achievement Deep Dive:

The International Corporate Banking Book delivered an asset growth of 26% in FY25 compared to FY24, with key focus on the African continent, Gulf Cooperation Council ("GCC") region and selected markets in Asia. The growth has been on the back of continued demand for funding by the African continent to sustain its growing population demand, supporting infrastructure projects, drive to create value addition across the value chain within Africa with an export orientation and improved investor confidence in the private sector while for the Asian markets, the bank positioned as the liquidity provider to targeted counterparts across the regions. The Bank positioned itself as a partner bank in facilitating cross-border flows between Africa and Asia trade investment corridors. The desk has also made a meaningful positioning in the GCC region in supporting corporate players and supporting both soft and hard commodities players in their structured trade facilitation.

The Bank continues to tailor-make financing solutions to support corporates expanding their operations on the continent, multinational companies utilising the Mauritian IFC for investment in Africa and Asia, and aiding private equity funds in their investment strategies. Our ongoing focus is on enhancing our presence in Sub-Saharan Africa and achieving a significant impact in the West African markets with bespoke structured solutions.

The strategic intent is to be a key financial partner for our clients across their value chain ranging from day-to-day working capital management, structured financing and capital expenditure to supporting target acquisitions.

The Financial Institutions ("FI") loans segment saw a 43% increase in FY25 compared to FY24, primarily driven by our strategy to extend our cross-border FI network across African, Asian and GCC markets.

The Journey So Far

The International Corporate team has made sustained efforts to position the Bank as the preferred banking partner in Africa across sectors, particularly for corporates expanding their footprint in Africa, multinationals using the Mauritian IFC as a conduit to investment in Africa and Asia through the further development of private equity funds. The focus continues to be on increasing our exposure in Sub-Saharan Africa and penetrating the West African market with an impactful reach. The aim is to make a meaningful contribution to the socioeconomic development of Africa by deploying funding to selected economic activities where the Bank has developed niche expertise.

Our strategy for FI is to support African corporates, Financial Institutions, Multilateral Financial Institutions and DFIs by providing access to liquidity to facilitate trade and investment. The growth of the loan book is in line with the overall strategy of the Bank. The Bank has further strengthened its network of elite Financial Institution partners; comprising top-tier banks in our key target markets, rated by international credit agencies or owned by rated Banking Groups.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



International (Cont'd):

Vision Beyond Tomorrow

Looking ahead, with the right mix of human and financial capital, our main focus will be to grow as a major player in African, GCC and Asian markets while promoting the Mauritian IFC. The strategic intent is to be a key financial partner for our clients across their value chain, ranging from day-to-day working capital management, capital expenditure, to supporting target acquisitions. We will continue to capitalise on the expansive business connections that we have developed with our current client base to accelerate our growth. The bank is committed to supporting Africa in its value transformation journey in the quest to ensure significant value across the value is retained in Africa instead of only exporting unprocessed key inputs to the global market, as well as supporting key counterparts in Africa to diversify import dependency through local and regional production and transformation. The international team is positioned to facilitate the mobilisation of the financial capital to blend with the human capital and available natural resources in Africa to support the African growth journey across sectors.

From an FI perspective, our balance sheet has shown strong performance in FY25. We are committed to enhancing our risk management practices and aim to consistently support our key stakeholders while actively seeking prospects for asset and income growth.

The Target Areas for the Next Financial Year:

- Maintain a continued focus on expanding the balance sheet with a balanced mix of risk-reward assets, including top-tier banks and Development Financial Institutions across the African continent;
- Establish a significant presence in targeted markets as a trusted financial partner, including to commercial banks, and to position the Bank as an enabler for other avenues of collaboration bi-directionally;
- Enhanced the product suite of the bank with a blend of tailor-made funding solutions along with a wide array of trade finance solutions;
- Finance projects and assets aimed at positively impacting lives across African & Asian Markets;
- Become the preferred banking partner to support customers entering Africa and selected markets through a segmented approach; and
- Tailor our offerings to meet the unique needs of diverse target markets, boosted by a personalised value proposition.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Personal and Business Banking:

There is the **Personal and Business Banking** unit, which operates as a subset, and its overview is as follows:

Segment - Specific Achievement Deep Dive:

Personal and Business Banking delivered a satisfactory performance in FY25. The asset portfolio expanded by 30%, and the liabilities book grew by 23%. The team has proactively sought new client opportunities while promoting additional products to existing customers in order to improve the cross-selling ratio.

The Journey So Far:

The momentum built in FY24 has carried through into FY25, driven by the unwavering commitment and professionalism of our team, who continue to meet the expectations of clients. To further elevate the client experience, the team has reinforced cross-functional collaboration across the Bank, fostering a culture of continuous improvement in service delivery, improving cross cross-selling ratio. In FY25, a number of strategically curated client engagement initiatives were held, aimed at deepening relationships and strengthening client loyalty. Furthermore, our Personal Banking team has remained proactive in keeping our niche clientele well informed through various meetings in large conglomerates in Mauritius.

Vision Beyond Tomorrow:

In anticipation of a continued high-interest-rate environment, Personal and Business Banking will sharpen its focus on core strengths, namely, delivering exceptional service and offering bespoke financial solutions tailored to client needs. The team remains committed to empowering clients through timely, accurate economic insights and highly personalised financial advice.

The recent amendments to the Economic Development Board's guidelines on the Integrated Resort Scheme ("IRS"), Property Development Scheme ("PDS"), Real Estate Scheme ("RES"), Invest-Hotel Scheme ("HIS"), and Smart City Schemes impede the growth rate. In response, the Personal Banking team will strengthen its collaboration with real estate agents, promoters, and developers to support client acquisition under Ground+2 ("G+2") projects, while providing customised property financing solutions for both local and international clients.

Additionally, the team will build strong synergies with automobile agencies to position itself as the preferred financial partner for high-end car buyers seeking financing assistance. It also aims to capitalise on the ABL Loyalty Package within the IBL Group and other major conglomerates to boost resident loan acquisition. A key focus area will be the growing segment of entry-level High Net Worth Individual ("HNWI"), particularly mid-level professionals employed within the top 200 companies, as well as medium-sized business owners.

For Business Banking, the team continues to strengthen relationships with high-net worth individuals and family owned trading enterprises by supporting their financing needs through tailored solutions particularly in areas where other banks may lack the necessary expertise, such as business expansion funding while also promoting non-fund-based products, including GFAs, Bank guarantees, and trade finance solutions, and reinforcing the Bank presence in Madagascar through consistent biannual visits.

Looking ahead, emphasis will remain on deepening client relationships, enhancing digital engagement, and delivering differentiated value-added offerings, ensuring clients are supported at every stage of their financial journey.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Personal and Business Banking (Cont'd):

The Target Areas for the Next Financial Year:

- Strengthening customer service excellence by implementing service level agreements and optimising back office processes to significantly improve turnaround time and service delivery quality;
- Enhance collaboration with real estate agents, promoters, and developers to support client acquisition under G+2 projects, while delivering bespoke financial solutions aligned with client requirements;
- A series of client-centric events will be organised to foster stronger relationships and deepen engagement with clients; and
- Consistently delivered timely and relevant updates to clients, empowering them to make well-informed financial decisions.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Private Banking:

There is also the **Private Banking** unit, which operates as a subset, and its overview is as follows:

Segment - Specific Achievement Deep Dive:

This past year marked strong growth and strategic progress for our Private Banking division. Highlights include:

- Strengthened partnerships with Key real estate developers, ensuring continued access to prime opportunities for our clients;
- Entered the German market via a successful roadshow with some key partners, responding to increased demand for Mauritius as a relocation/investment hub;
- Held several international business events in South Africa and Reunion Island, expanding visibility and relationships;
- Leveraged on local golf initiatives as a platform for client engagement and for Private banking clients' onboarding; and
- Set up a more efficient structure leveraging the expertise of the more senior bankers, and enhanced the capabilities of the department.

The Journey So Far

This past year marked strong momentum for our Private Banking team, with a focus on deepening relationships with key partners to ensure continued access to prime opportunities for our clients. Our international visibility was reinforced through targeted events abroad, while local golf platforms served as effective tools for client engagement and onboarding. Internally, we strengthened our team structure by placing greater emphasis on senior expertise, and we are now seeing growing synergy with the Wealth Management team — enhancing our overall client offering and positioning us for continued success.

Vision Beyond Tomorrow

In the year ahead, we will continue to evolve with our clients' needs by broadening our acquisition channels, deepening referral networks, and offering tailored investment solutions with flexible financing options. Enhancing our advisory capabilities through continuous training remains a priority, along with deepening client relationships through experience-driven engagement. Looking ahead, the arrival of new shareholders is expected to bring fresh opportunities for global growth, reinforcing our long-term vision and expanding our international reach.

The Target Areas for the Next Financial Year:

Objectives for the New Financial Year are to further cater to our clientele's needs through different initiatives:

- Diversify our client acquisition capabilities through:
  - Strategic clients' events where we shall map the ecosystem around each Ultra High Net Worth ("UHNW") target by engaging with local professionals like doctors, dentists, lawyers etc;
  - Referral network activation, like working in close collaboration with law firms, accounting partners, real estate players and management companies; and
  - Continue to provide bespoke investment opportunities and a value-based fee structure.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Private Banking (Cont'd):

The Target Areas for the Next Financial Year (Cont'd):

- Increase portfolio leverage opportunities for greater client flexibility (Lombard financing or security lending);
- Focus on high-potential inbound markets such as the UK and German-speaking countries, in response to rising HNWI migration. Target also African expats and Asian families with UK ties through the promotion of Mauritius as a recognised IFC; and
- Deepen client engagement through lifestyle-led initiatives and personalised service.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Investment Solutions:

There is also the **Investment Solutions** unit, which operates as a subset, and its overview is as follows:

Segment-Specific Achievement Deep Dive

The investment world and capital markets are undergoing a radical transformation, resulting in a fundamental shift in the way investors think. The demographic dynamics are providing new opportunities, and Investment Solutions are adapting with execution venues at competitive costs for various asset classes. Wealth management and advisory is becoming more personalised, attending to each unique goal through the use of artificial intelligence for investment research. Assets under custody grew by 19% while the Wealth Management income grew by 10%.

The Journey So Far

The key focus for FY25 has been:

- Smoothen the client experience for the online platform;
- Maintain a high level of service in the custody and securities services segment;
- Continuing engagement with Sub-Custodians to expand the market coverage of AfrAsia Bank's Securities services in growing African and Asian markets; and
- On the wealth management and advisory side, the team has been constantly proposing appropriate and sophisticated investment opportunities.

Vision Beyond Tomorrow

Despite the challenges in macroeconomic conditions, financial markets will keep evolving, and firms are expected to increase their offerings. Investment Solutions will be no different, improving on operational efficiencies and delivering more personalised, targeted investor experiences with the aim of delivering on this new spectrum of investor needs. Access to new asset classes will be explored through partnerships, and additional offerings on the Private Equity side are also in the pipeline.

The Target Areas for the Next Financial Year:

- Increase the offerings on the advisory side, including more asset classes;
- Focus on more sustainable returns for portfolios amid the ongoing global rate cut cycle and volatility in markets;
- Maximise on the relationships with existing partners and continue the cross-selling of a comprehensive range of banking products;
- Cater for trading and safekeeping of new markets;
- Enhancing the custody platform, including the development of an online trading platform; and
- Obtain the Investment Banking licence.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Segment-Specific Achievement Deep Dive

Treasury & Markets realised a significant performance for the year, achieving interest income of MUR 7.3bn for the year (from MUR 8.1bn last year) despite lowering interest rates worldwide. Trading income increased steadily to MUR 2.1bn for the year (from MUR 1.8bn last year) driven by forex ("FX") sales, fixed income trading, FX trading and structuring, despite very challenging markets during the year with increased geopolitical tensions as well as many important elections and government changes globally.

The Journey So Far

Despite persistent interest rate volatility during the year in all major currencies, efficient balance sheet management prevailed. The liquidity was tightly managed by the team, and we consistently took advantage of investment opportunities that were identified throughout the year across different products. The strategies of our different bond portfolios were efficiently managed despite complicated markets and volatility at extremes all year. We successfully took advantage of our primary dealer status, increasing our activities and contributing to providing constant liquidity to market participants during the year.

The FX Sales desk's exceptional performance this year is underpinned by strong client engagement, a proactive sales approach, and the ability to anticipate and meet client needs. These strengths have been instrumental in capturing new opportunities, deepening wallet share, and sustaining this upward growth trajectory.

The FX trading team achieved a significant milestone reflecting our commitment to resilient FX exposure management in a challenging FX market environment and the ongoing development of innovative in-house strategies aimed at further strengthening profitability within the domestic market.

On the structuring side, we saw a strong performance supported by new client transactions as well as increased investment volumes from existing clients. This success was driven by regular client engagements and proactive cross-selling efforts.

Vision Beyond Tomorrow

In the face of persistent macroeconomic headwinds and evolving global financial dynamics, our team remains steadfast in its commitment to resilience, agility, and performance. We recognise the complexity of today's market environment—from interest rates to foreign exchange volatility, inflationary pressures to shifting regulatory landscapes— while proactively adapting our strategies to stay ahead.

Through disciplined risk management, innovative liquidity and forex solutions, and a deep understanding of our clients' needs, we continue to unlock value and drive sustainable growth. Our strength lies not only in our capabilities but in our collective resolve to navigate the challenges ahead as one team.

Looking ahead, the team will continue to build on its momentum with a strong focus and commitment to delivering meaningful value to our customers by deeply understanding their evolving needs and aligning our solutions with the realities of the market. We recognise that true customer-centricity goes beyond service delivery and requires dynamic integration of market analysis, behavioural trend insights, and data-driven decision-making.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



The Target Areas for the Next Financial Year:

- Efficient liquidity management with focus on adaptability, reactiveness, capturing market trends, and technology improvements;
- Promote cross-desk collaboration to deliver unified solutions, leveraging diverse product expertise within FX, fixed income and derivatives solutions to deepen client relationships and unlock multi-asset opportunities;
- Establish centralised channels for real-time market insights and client feedback, enhancing responsiveness and enabling desks to respond to client needs on emerging trends collectively;
- Continue identifying synergies and cross-selling opportunities across departments with product integration;
- Continue to focus further on assisting clients in their cash management activities and structuring solutions;
- Efficient bond portfolio positioning with versatile market strategies taking advantage of continuously evolving markets;
- Optimise FX exposure management and develop adaptive strategies in response to evolving global market conditions and regulatory expectations; and
- Strengthen risk governance across all market operations by reinforcing controls, enhancing compliance alignment, and improving reporting transparency.

BUSINESS SEGMENTS OVERVIEW (CONT'D)

SOUTH AFRICAN REPRESENTATIVE OFFICE

Segment-Specific Achievement Deep Dive

Highlights for the year included:

- Significant client acquisitions or onboarding milestones;
- Strategic partnerships formed or strengthened; and
- Participation in international financial events and forums.

The South African Representative Office ("SAREPO") continued expanding our existing relationships in Global Business and Private Banking. We also continued to grow transactional banking, fixed deposits, foreign exchange solutions, global custody and investment and wealth management services.

We continued to expand our existing relationships with large, listed South African companies, with the demand for funding for cross-border operations in new markets. We continue to see an increasing pipeline of business as a result of these opportunities. Our term loan book remains steady against low economic growth indicators in South Africa.

The Journey So Far

AfrAsia Bank's South African Office (SAREPO) facilitates financial services and bank products. The focus is on bank services, Mauritius as an IFC and other recognised and compliant International Financial Centres globally.

Our core activities included:

- Promotion and Liaison services for AfrAsia Bank's products;
- Outreach initiatives targeting high net worth individuals, corporates and intermediaries; and
- Relationship building with key financial institutions and stakeholders.

The client segments vary from Southern Africa to East Africa, but on the whole, we target multinational corporates, cross-border institutional investors, financial institutions, fund managers, family offices and affluent private individuals.

We use the strength of AfrAsia Bank's local and international network of corporate service providers, family offices, asset managers, fund managers to connect with existing and new clients.

Our products and services include but are not limited to transactional banking services, treasury solutions, global custody and trading services, trade finance, corporate and financial institution loan facilities and wealth investment solutions.

There were no major changes to the regulatory framework, with the exception of SARB rolling out the Umoja System which has been adopted.

Vision Beyond Tomorrow

Our primary objective is to build strong relationships with our clients and financial partners. We aim to provide clients with more specialised and bespoke financial solutions to assist them in meeting their financial objectives. We will use our expertise and experience to become trusted advisors to our clients.

BUSINESS SEGMENTS OVERVIEW (CONT'D)



Vision Beyond Tomorrow (Cont'd)

We will build on the strong foundations to grow our Southern and East African Business. We will continue to target the large corporates for lending, transactional and trade opportunities and our high-net-worth clients for investment and wealth opportunities.

The Target Areas for the Next Financial Year:

- Expand our client base and strategic influence;
- Increase the planned initiatives to promote the Bank's services and products; and
- Increase the participation in cross-border finance and trade.

CURRENT YEAR PERFORMANCE AGAINST OBJECTIVES AND FUTURE GROWTH

OBJECTIVES	OUTCOME	TARGET FOR THE NEXT FINANCIAL YEAR
Total Operating Income		
With a forecasted drop in interest rates, the Bank's total operating income is expected to remain more or less at par with FY24.	The Bank achieved a total operating income of MUR 10.4bn, i.e. 5% above objective.	The Bank's total operating income is expected to remain broadly in line with FY25.
Total Operating Expenses		
The Bank's total operating expenses are expected to grow by around 40%.	The Bank's total operating expenses were MUR 2.2bn, 10% below objective.	The Bank's total operating expenses are projected to increase by approximately 27%.
Loans and advances		
The Bank's loan-to-deposit ratio is targeted to be greater than 20%.	Net loans and advances to banks and customers grew by 21% year-on-year to reach MUR 75.7bn with a loan-to-deposit ratio of 29%.	The Bank's loan book is expected to increase with a net loan-to-deposit ratio to be greater than 30%.
Deposits		
Customer deposits are expected to grow by 7%.	The growth in deposits was 8% higher than in FY24.	Customer deposits are forecasted to rise by 5%.
Asset Quality		
From a portfolio quality perspective, the ratio of specific provisions for credit losses to average loans is expected to be 2% and the ratio of net impaired loans to average loans is expected to be around 1%.	For FY25, the Bank's specific credit loss provisions amounted to 6% of average loans, while its NPA ratio reached 3%. Both figures exceeded the objectives.	The Bank's specific credit loss provisions for average loans are forecasted to be at 4% and the net impaired loans to average loans are expected to remain at par.
Capital Management		
The capital adequacy ratio is expected to be above 17.50%.	The capital adequacy ratio stood at 20.30%, which was above the objective set and above the regulatory limit.	The capital adequacy ratio is projected to exceed 20.00%.
Return on Equity		
Return on equity is expected to remain above 25%.	Return on equity stood at 29% for FY25.	Return on equity is expected to be above 30%.
Cost-to-Income		
The cost-to-income ratio is expected to be less than 30%.	The cost-to-income ratio stood at 21%, i.e., 9% below the objective.	The cost-to-income ratio is anticipated to be below 30%.

PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW

Net Interest Income

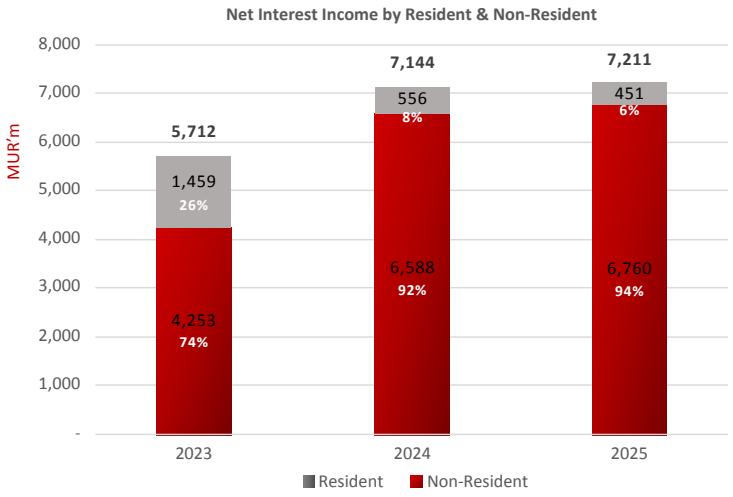
AfrAsia Bank reported a net interest income ("NII") of MUR 7.2bn in FY25, reflecting a stable performance relative to the prior financial year.

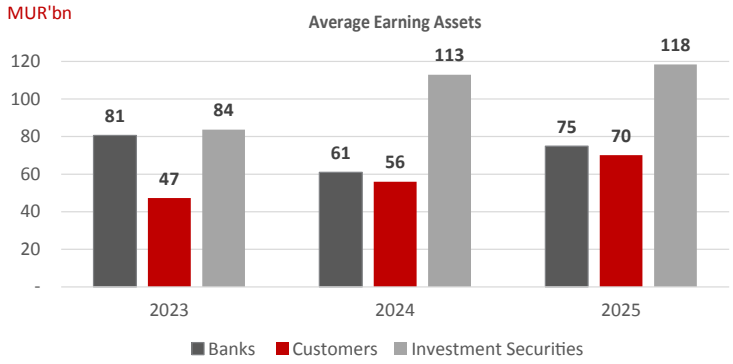
With inflationary pressures moderating, most major central banks started rate cuts in calendar year ("CY") 24, adopting a less restrictive stance since the pandemic. Internationally, the U.S. Federal Reserve cut interest rates by 100 basis points ("bps") in the second half of last year on three occasions, but in 2025, kept the rates steady amid concerns over sticky inflation stemming from US tariffs, a stronger labour market, modest growth prospects and rising geopolitical tensions. The European Central Bank ("ECB") and Bank of England ("BOE") began their rate-cutting cycle in June 2024, with rate cuts of cumulative 200 bps and 100 bps respectively up to June 2025, so as to boost growth in Europe, amidst tailwinds from lowering inflation.

On the local front, the Key rate dropped for the first time in September 2024 from 4.50% to 4.00% reflecting economic resilience and easing inflation. However, it was raised to 4.50% in February 2025 as a pre-emptive approach to counter renewed inflationary headwinds, manage excess liquidity, and stabilise currency fluctuations.

Despite the prudent dovish operating environment, the Bank sustained its interest income vis-à-vis the prior financial year, underpinned by the continued growth and resilience of its balance sheet, which helped offset the impact of the falling interest rates. This was made possible by the swift adaptability of our business units by focusing on select markets and niches. However, a significant portion of the interest income was absorbed by a higher volume of interest-bearing liabilities, increasing interest expense.

In terms of the resident and non-resident split, non-residents' share grew from 92% to 94% y-o-y while the residents' contribution contracted by 2% to stand at 6% in FY25.





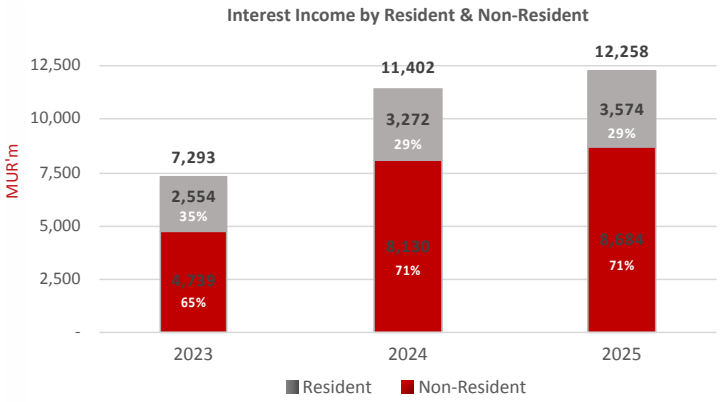
PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

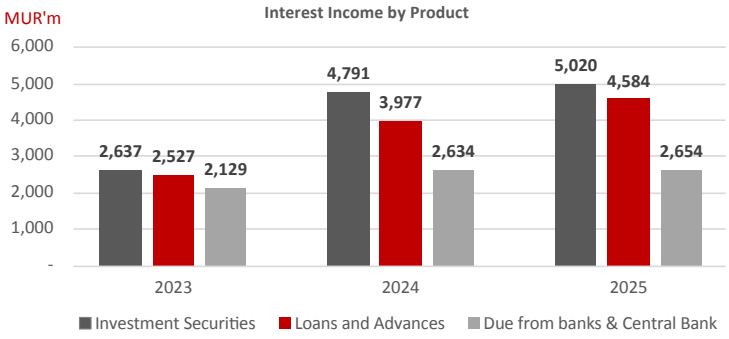
Interest Income

On the interest income's end, the Bank reported a growth of MUR 0.9bn or 8% vis-à-vis the prior financial year, mainly attributed to an optimisation of its asset mix, to mitigate the impact of falling yields.

In order to improve its balance sheet position, the Bank continued to dynamically manage short-term and variable-rate instruments to sustain its return on average assets ("ROA"). The Bank increased its investment in interbank placements during FY25, seeking better return opportunities than the relatively lower yield curve in specific maturity baskets of sovereign treasuries. In addition, the growth in our loan portfolio strengthened our interest income, despite the variable nature of our loan books against a backdrop of changing market dynamics. The resistance of interest rate pivots primarily in the second semester of FY25, which helped to keep reference rates steady, resulting in a more moderate impact on our interest income.

From a resident and non-resident perspective, the revenue composition remained unchanged, with non-resident and resident contributing 71% and 29% respectively. The Bank continued to invest in short-term instruments, mainly interbank placements and foreign investment securities, to maintain our ROA.





PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

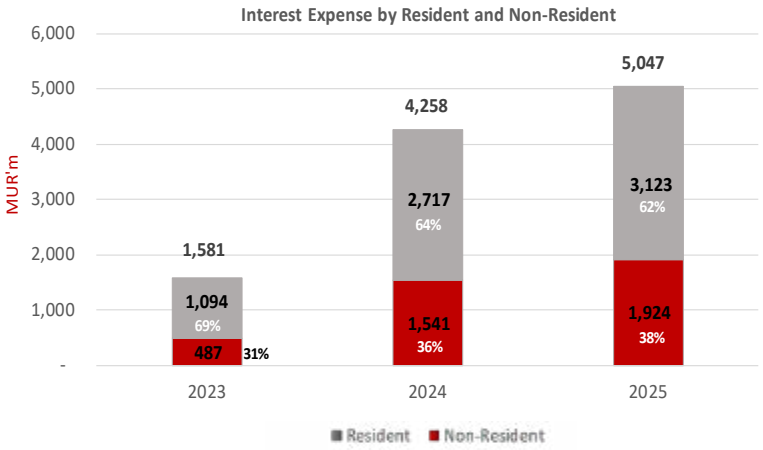
Interest Expense

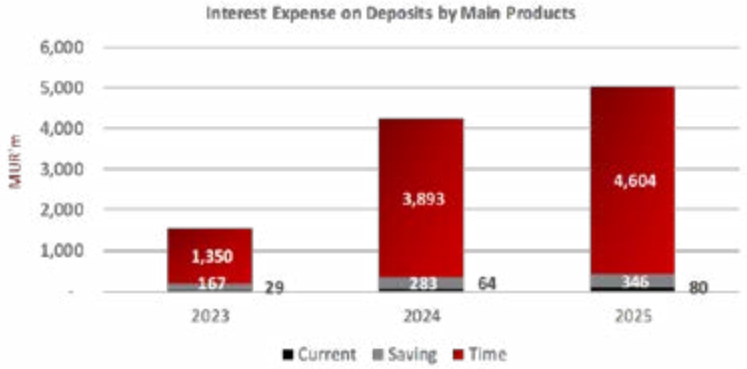
The interest expense of the Bank rose by 19%, from MUR 4.3bn in FY24 to MUR 5.0bn in the year under review, with the major contributor being the volume growth of our deposit base, and high cost of funds ("COF").

From a volume standpoint, the total deposits of the Bank registered a 7% increase year-on-year, of which a 9% growth was observed in fixed deposits. This stickiness of our deposits was a result of the shift in customer preference toward fixed deposits as a more stable and fixed instrument option.

From a COF perspective, the Bank's cost of funds aligned with the fall in reference rates, but at a slower pace relative to the Bank's ROAs. This stemmed from a portfolio of existing fixed deposits, booked at higher priced grids before the fall in interest rates, contributing to the stickiness in the Bank's cost of funds in FY25, reducing the impact of declining yield.

In terms of resident and non-resident activities, residents accounted for 62% as at 30 June 2025, decreasing from 64% in the prior financial year. Non-residents' contribution increased from 36% to 38%.





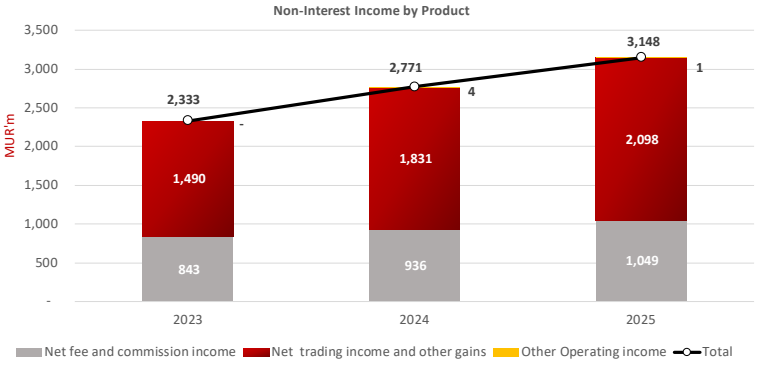
PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

Non-Interest Income

Non-interest income registered a 14% increase as opposed to the previous financial year, to reach MUR 3.1bn in FY25. Its contribution to the operating income of the Bank went up to 30%, reflecting a slight uptick of 200 bps from the previous financial year.

For the financial year under review, non-interest income comprises mainly:

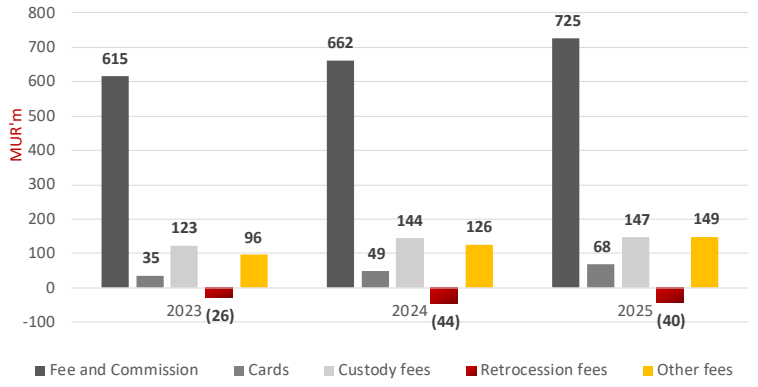
- Net fee and commission income of MUR 1.0bn (FY24: MUR 0.9bn); and
- Net trading income of MUR 2.1bn (FY24: MUR 1.8bn).



Net Fee and Commission Income

Net fee and commission income grew by 12% year-on-year, increasing from MUR 0.9bn to MUR 1.0bn, with the major components explained as follows:

- A 10% growth in net commission income to MUR 0.7bn, on account of increased volume of overseas transfers, partly absorbed by higher commission expenses paid to correspondent banks;
- Other fees rose by 18%, to reach MUR 149.2m in FY25 essentially driven by higher loan and advisory fees;
- A 39% hike in net cards income to MUR 67.9m, largely derived from improved cards spending volume; and
- A 3% rise in net custody income to MUR 147.3m in FY25, from MUR 143.6m in FY24, mainly driven by higher trading activities.



PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

Net Trading Income

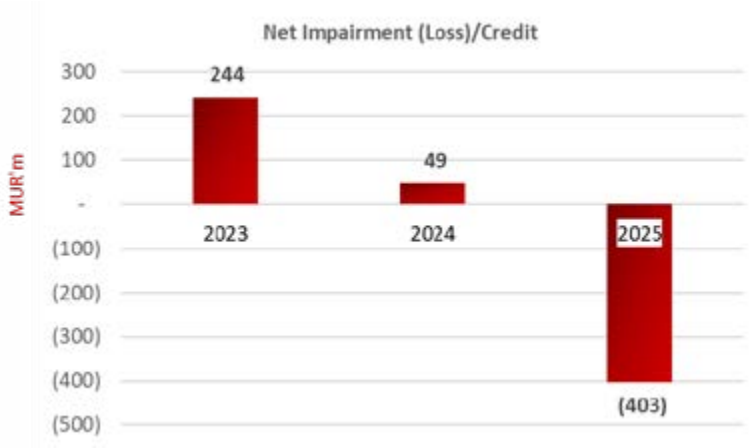
During the current financial year, the Bank's net trading income reached MUR 2.1bn, representing a growth of 15% as compared to the previous year's MUR 1.8bn.

One of the main drivers of this performance was the Bank's proactive sales approach, which continues to generate new opportunities and drive sustainable growth, supported by resilient foreign currency exposure management despite global market volatility.

Representing 20% of the Bank's total operating income, net trading income also benefited from new trade positioning in debt instruments, which contributed positively to the year's results.

Net Impairment (Loss)/Credit on Financial Assets

For the financial year under review, a net impairment loss of MUR 403.3m was recorded compared to a net impairment credit of MUR 49.3m in FY24. The impairment loss primarily reflects the impact of distressed restructurings and exposures showing signs of deterioration during the year.



PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

Total Operating Expenses

The total operating expenses for the financial year ended 30 June 2025 rose by 28% or MUR 484.6m y-o-y, and amounted to MUR 2.2bn. The primary contributor to this increase was the Bank's personnel expenses, amounting to MUR 1.4bn for FY25, up by 41% or MUR 393.5m vis-à-vis the previous year. This rise was in line with the Bank's continued investment in human capital. As of the end of June 2025, the Bank's workforce consisted of 561 employees.

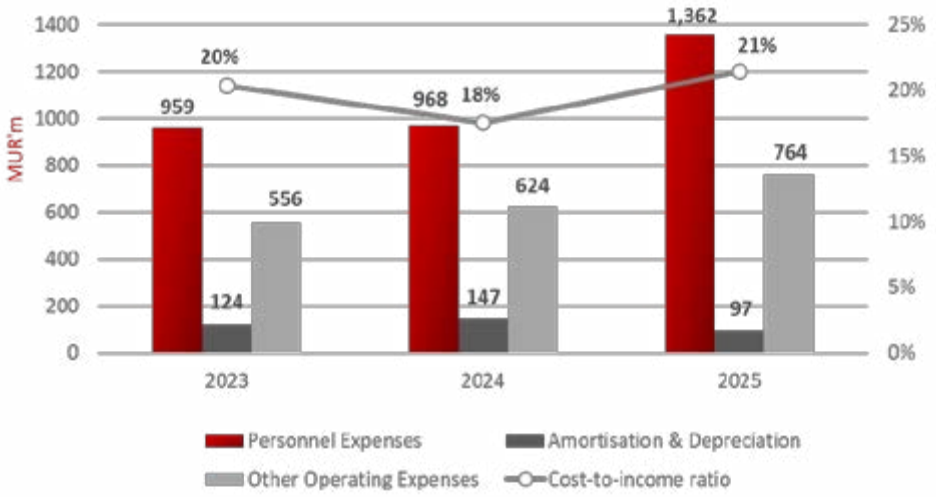


On the other operating expenses' end, an increase of MUR 141.2m or 23% was reported to reach MUR 764.8m, on the back of the following key factors:

- Professional and legal costs: Increased by MUR 138.2m (165%) on account of a reversal of a legal provision in the prior year. The current year's professional and legal costs have been normalised to MUR 54.3m;
- Advertising and marketing expenses: Went up by MUR 25.2m (27%) due to increased spending on marketing events, such as the 8th edition of the AfrAsia Bank Mauritius Open and the inauguration of AfrAsia Tower; and
- Other expenses: Decreased by MUR 22.3m (4%), due to the decommissioning of intangible assets, partially offset by higher IT-related costs.

As for depreciation and amortisation costs, a decline of 34% or MUR 50.1m was noted, mainly due to the decommissioning of intangible assets in the previous financial year.

A higher cost-to-income ratio was observed, increasing from 18% in FY24 to 21% in FY25.



PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

Taxation

The Bank's tax expense as of 30 June 2025 comprises Corporate Tax, Corporate Social Responsibility ("CSR"), Special Levy, Corporate Climate Responsibility ("CCR") Levy and Deferred Tax.

The Bank's tax expense increased from MUR 1.2bn in FY24 to MUR 1.4bn in FY25, which is split as follows:

Corporate tax

The corporate tax as of 30 June 2025 has been computed at 5% for chargeable income up to MUR 1.5bn and 15% for chargeable income above the threshold of MUR 1.5bn. For FY25, the corporate tax amounted to MUR 1.0bn.

CSR

CSR has been calculated at 2% of the chargeable income of the preceding financial year on Resident (excluding companies holding a Global Business Licence), which is paid to Government-approved CSR projects, with the remaining amount remitted to the Mauritius Revenue Authority. For FY25, the Bank's CSR contributions amounted to MUR 43.3m.

Special Levy

Special levy is calculated as the lower of:

- 5.5% of the leviable income; or
- MUR 98.0m, which is 1.5 times the special levy paid for the base year, which is the year of assessment ("YOA") 2017/2018.

As per the Value Added Tax Act, leviable income relates to banking transactions of residents (excluding companies holding a Global Business Licence) and is defined as the sum of net interest income and other income before the deduction of expenses.

For both financial years ended 30 June 2024 and 2025, given that the special levy exceeded 1.5 times that of the base year, it has been capped at 1.5 times the special levy amount of the base year, amounting to MUR 98.0m.

CCR Levy

The Finance (Miscellaneous Provisions) Act 2024, which was gazetted on 27 July 2024, introduced the CCR Levy whereby the Bank is required to allocate 2% of its chargeable income of the current financial year, and it is applicable as from the YOA 2024/2025. CCR Levy is applicable for companies having a turnover exceeding MUR 50.0m.

For FY25, the Bank's CCR Levy contributions amounted to MUR 321.6m, comprising MUR 157.9m for FY25 and MUR 163.7m relating to under provision for FY24.

PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME REVIEW (CONT'D)

Taxation (Cont'd)

Deferred tax

The deferred tax asset is computed at the effective tax rate (inclusive of 2% CSR for Residents (excluding companies holding a Global Business Licence) & 2% CCR Levy), representing the rate at which the asset will be utilised in future years.

For FY25, the deferred tax expense amounted to MUR (78.8m), which includes an over-provision of MUR (41.8m) relating to FY24.

Effective Tax Rate

The effective tax rate ("ETR") increased from 14.6% in FY24 to 18.3% in FY25, primarily due to the introduction of the CCR Levy, which took effect on 27 July 2024. As the CCR Levy was applied retrospectively, it resulted in under-provision in FY24, in addition to the 2% charge on FY25's chargeable income.

Refer to Note 11 - Taxation for more details.

FINANCIAL POSITION REVIEW

Total Assets

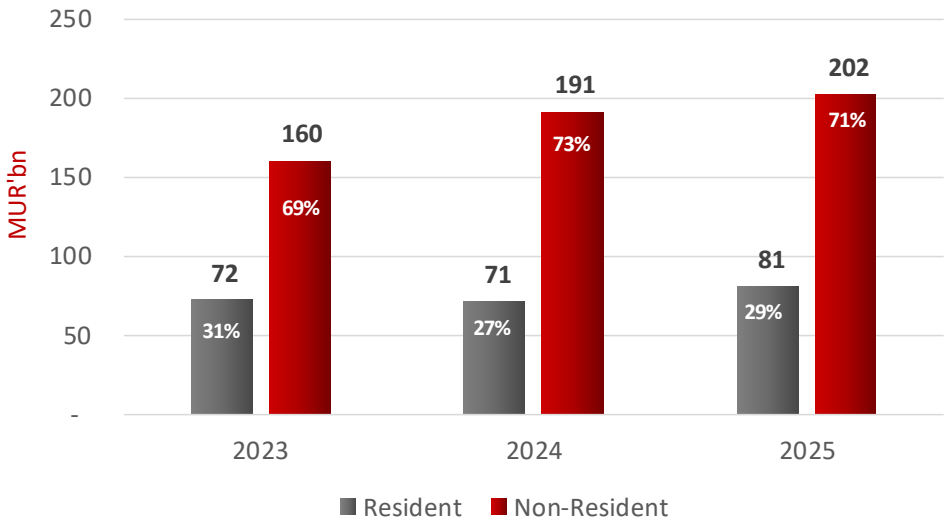
The Bank's total assets stood at MUR 283.4bn, representing a y-o-y rise of 8% (MUR 21.7bn), with funds channelled more towards interbank placements and loans and advances, and a lesser concentration on our nostros and investment securities. This growth was largely sustained by the rise in our deposit base year-on-year.

From an assets' breakdown standpoint:

- **Cash and Balances with Banks and Due from Banks:** A 19% growth reported year-on-year on the back of higher reallocation of funds to interbank placements to attract the Bank's higher ROA;
- **Loans and Advances to banks and Customers:** A 21% increase in FY25 in comparison to FY24 reported, underpinned by the Bank's strategy to tap into cross-border flows and strengthen its lending portfolio; and
- **Investment securities**: A 3% contraction in the Bank's securities portfolio, reflecting a slight shift to instruments offering higher yield characteristics, to capitalise on higher ROA; 92% of investment securities comprised of debt instruments held at amortised cost.

Reflecting the strategy to adapt to the lower yield environment to sustain the net interest margin by maintaining a positive jaw of our interest yield assets and liabilities, the Bank realigned its asset mix. From an assets' distribution point of view, the majority of our asset book resides in investment securities (FY25: 46% vs. FY24: 51%), followed by loans and advances (FY25: 27% vs. FY24: 24%) and cash and balances with Banks and Due from Banks (FY25: 24% vs. FY24: 22%).

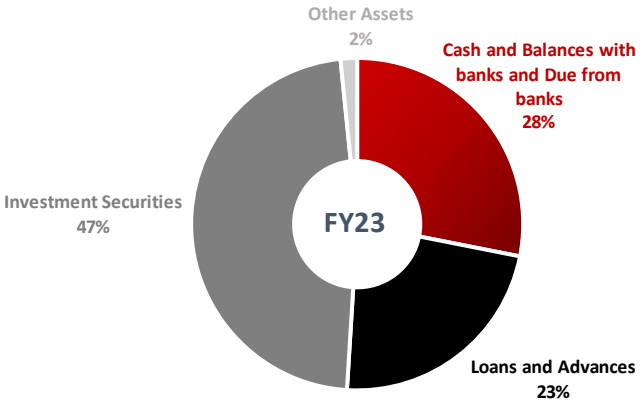
From a resident and non-resident standpoint, non-residents constituted 71% of total assets in 2025, indicating a slight dip of 2% vis-à-vis last year, as illustrated below:



FINANCIAL POSITION REVIEW (CONT'D)

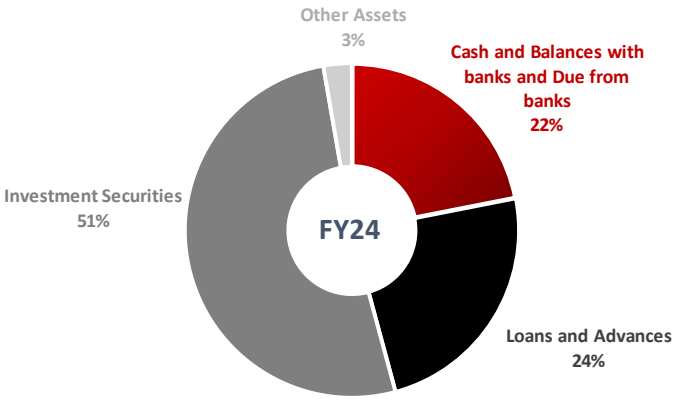
Total Assets (Cont'd)

Overall, the Bank improved its risk diversification across its asset base, as depicted in the pie charts below, alongside a currency-wise breakdown of the total assets:



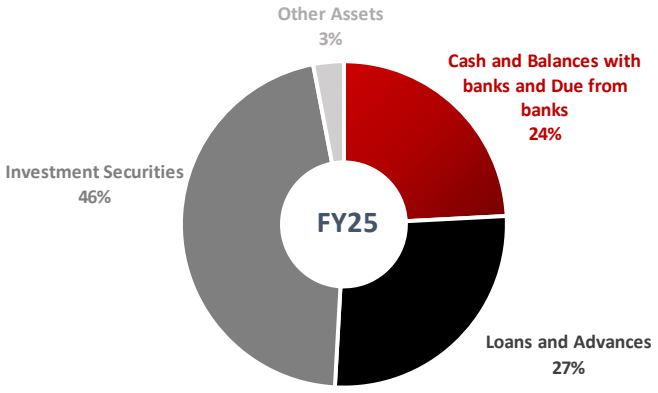
Cash and balances with banks and due from banks

- LCY: MUR 1.9bn (3%)
- FCY: MUR 66.6bn (97%) – USD: MUR 32.5bn (49%)



Loans and advances

- LCY: MUR 18.5bn (24%)
- FCY: MUR 57.2bn (76%) – USD: MUR 44.0bn (77%)



Investment securities

- LCY: MUR 26.8bn (20%)
- FCY: MUR 103.8bn (80%) – USD: MUR 91.2bn (88%)

FINANCIAL POSITION REVIEW (CONT'D)

Total Assets (Cont'd)

An industry breakdown of the Bank's financial assets, without taking account of any collateral held or other credit enhancements, is as follows:

	GROSS MAXIMUM EXPOSURE		
Sectors – MUR'm	**2023**	**2024**	**2025**
	Total	**Total**	**Total**
Agriculture	1,506	866	**1,150**
Construction, infrastructure and real estate	4,676	7,110	**6,437**
Financial and business services	110,550	114,134	**120,396**
Government and parastatal bodies	82,918	101,591	**109,290**
Information, communication and technology	1,883	2,205	**1,691**
Manufacturing	7,274	9,150	**8,867**
Personal	3,753	4,659	**5,337**
Professional	1,390	1,291	**8,245**
Transport	1,444	1,320	**3,329**
Tourism	4,083	4,107	**3,723**
Traders	10,797	11,160	**9,474**
Others	2,232	4,670	**5,570**
Total	**232,506**	**262,263**	**283,509**

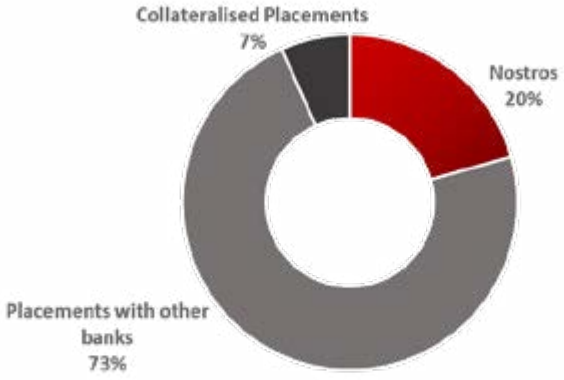
Please refer to Note 37 (b) in Section B for more details.

FINANCIAL POSITION REVIEW (CONT'D)

Cash and Balances with Banks and Due from Banks

Cash and balances with banks and due from banks rose by 19% to stand at MUR 68.5bn. On the nostro current accounts' end, a 25% decline from MUR 18.8bn to MUR 14.1bn was noted, largely due to deployment of funds into more attractive investment opportunities, as a result of lower remuneration on these accounts, in line with the decline in policy rates.

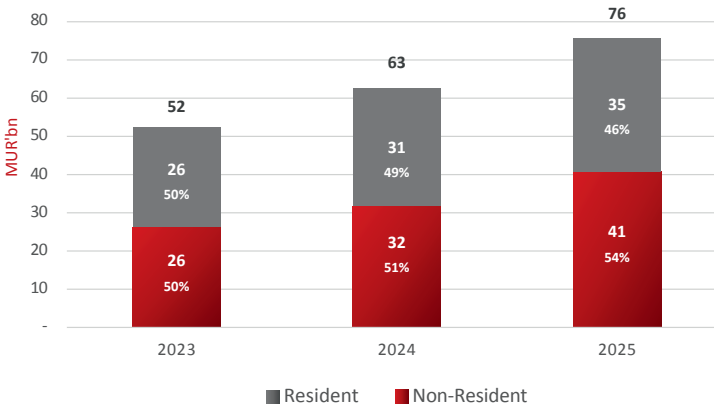
A substantial share of the deposit base was channelled towards interbank placements and loans, to maximise on higher yield, resulting in a solid growth of 41% or MUR 15.9bn in due from banks, to reach MUR 54.4bn in FY25.



Loans and Advances to Banks and Customers

The Bank's net loans and advances to banks and customers recorded a year-on-year rise of 21%, to stand at MUR 75.7bn this financial year. This growth was in line with the Bank's strategy to consolidate its presence in the major high-growth-driving sectors locally, and expand its cross-border financing activities and enhanced risk appetite, focusing on the African, Asian and Middle East markets.

A resident and non-resident breakdown show that non-resident maintained its leading position, with a 54% contribution, mirroring last year's performance. In addition, 66% of the Bank's loans and advances are long-term in nature, with remaining contractual maturities exceeding 12 months.



FINANCIAL POSITION REVIEW (CONT'D)

Loans and Advances to Banks and Customers (Cont'd)

The credit portfolio of the Bank, together with its distributed concentration across sectors, is tabulated below:

Sectors – MUR'm	2023	2024	2025
	Total	Total	Total
Other Non-Financial Corporations			
Agriculture, forestry and fishing	879	626	**643**
Mining and quarrying	1,402	1,850	**1,691**
Manufacturing	2,530	4,141	**4,804**
Electricity, gas, steam and air conditioning supply	1,292	1,776	**1,356**
Water supply; sewage, waste management and remediation activities	11	18	**8**
Construction	250	860	**795**
Wholesale and retail trade; and repair of motor vehicles and motorcycles	3,694	4,519	**6,912**
Transportation and storage	1,079	1,348	**1,933**
Accommodation and food service activities	3,764	3,769	**2,969**
Information and communication	773	1,259	**1,216**
Real estate activities	2,653	4,204	**4,916**
Professional, scientific and technical activities	3,497	2,952	**3,746**
Administrative and support service activities	253	738	**575**
Education	2	5	**5**
Human health and social work activities	608	525	**360**
Arts, entertainment and recreation	231	282	**309**
Other service entities	1	-	**-**
Other Financial Corporations	2,586	4,823	**4,924**
Households	3,694	4,599	**5,333**
Banks	13,233	14,699	**20,987**
Non-Bank Deposit Taking Institutions	1,847	1,620	**3,029**
Central Government	2,021	2,578	**3,336**
Public Non-Financial Corporations	4,113	1,125	**2,177**
Global Business Corporations (GBCs)	4,017	6,143	**5,984**
Gross Loans and advances to banks and customers	**54,430**	**64,459**	**78,008**

From a sector standpoint, the Other Non-Financial Corporations sector leads with 41% (2024: 45%) of the credit portfolio followed by the Banks sector with a 27% (2024: 23%) contribution.

Please refer to Note 41 (c) in Section B for details on segmentation.

FINANCIAL POSITION REVIEW (CONT'D)

Loans and Advances to Banks and Customers (Cont'd)

Allowance for Impairment Losses

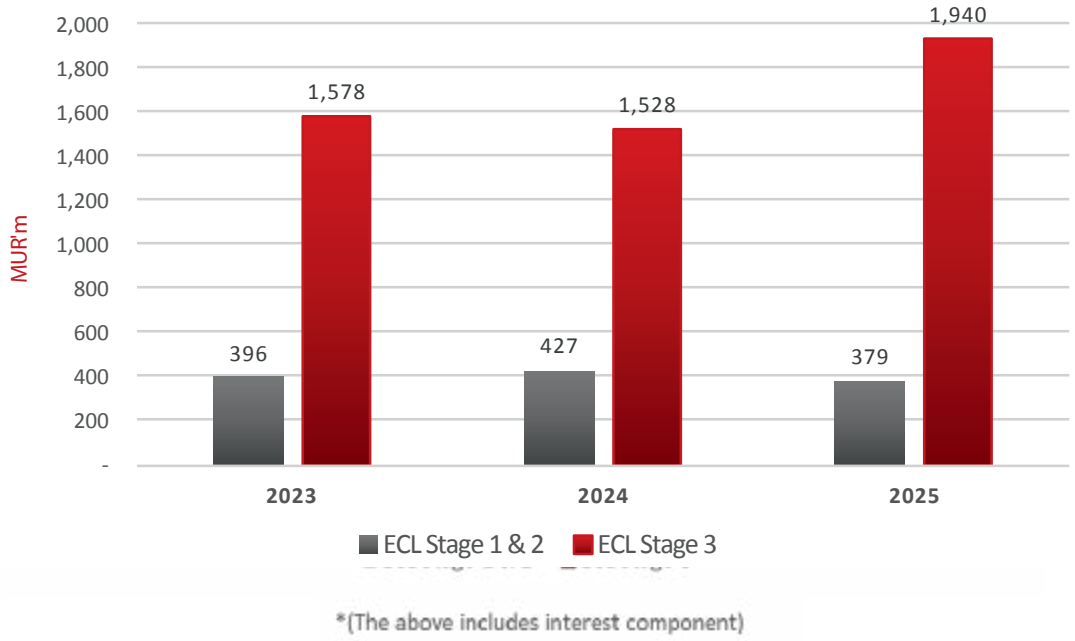
The Bank's allowance for impairment losses denotes estimated losses correlated to impaired loans in the portfolio provided for but not yet written off, and allowances for performing loans, which is our best estimate of impairment in the existing portfolio for loans that have not yet been individually identified as impaired.

Our approach to establishing and maintaining the allowance for performing loans is based on the requirements of IFRS. Under the IFRS 9 – "Financial Instruments", an allowance is recorded for expected credit loss on financial assets regardless of whether there has been actual impairment.

The Bank's NPA stood at MUR 2.3bn as at 30 June 2025, compared to MUR 1.7bn at the end of June 2024. Despite the increase in absolute terms, the Bank's NPA ratio remained steady at below 3%, the same as in 2024.

The Bank's coverage ratio decreased from 91% in 2024 to 86% in 2025, due to the classification of loans with collateral to stage 3, which do not warrant full provision.

The allowance for impairment losses increased by 19% as compared to last year, standing at MUR 2.4bn as at 30 June 2025. Stage 1 and 2 provisions decreased by 11% reflecting repayments and an overall improvement in credit quality. Conversely, Stage 3 provisions rose to MUR 1.9bn in FY25 from MUR 1.5bn in FY24, mainly driven by distressed restructurings and exposures showing signs of deterioration during the financial year.



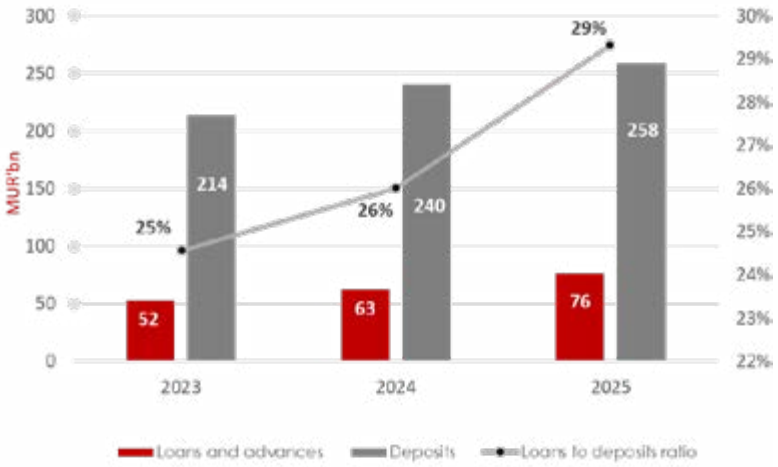
*(The above includes interest component)

FINANCIAL POSITION REVIEW (CONT'D)

Loan-to-Deposit Ratio

A notable rise in the net loan-to-deposit ("LTD") ratio was observed in FY25, increasing from 26% in the prior financial year to 29% in FY25.

From a currency perspective, this ratio can be further broken down into LCY at 67% and FCY at 25%, compared to LCY at 60% and FCY at 22% in FY24. The upward movement in the LTD ratio is driven by a relative increase in both components, with net loans and advances increasing at a faster rate of 21% vis-à-vis the 7% improvement in deposits from banks and customers.

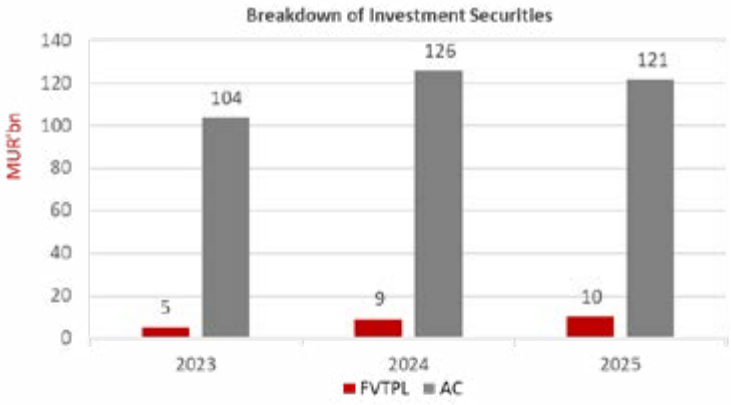


Investment Securities

A 3% decline in investment securities was reported year-on-year, falling by MUR 4.1bn to reach MUR 130.6bn as at 30 June 2025, mostly owing to a fall in holdings in debt instruments measured at amortised cost ("AC") portfolio, with the majority of investment being in foreign securities.

As of 30 June 2025, the Bank held securities under the following categories:

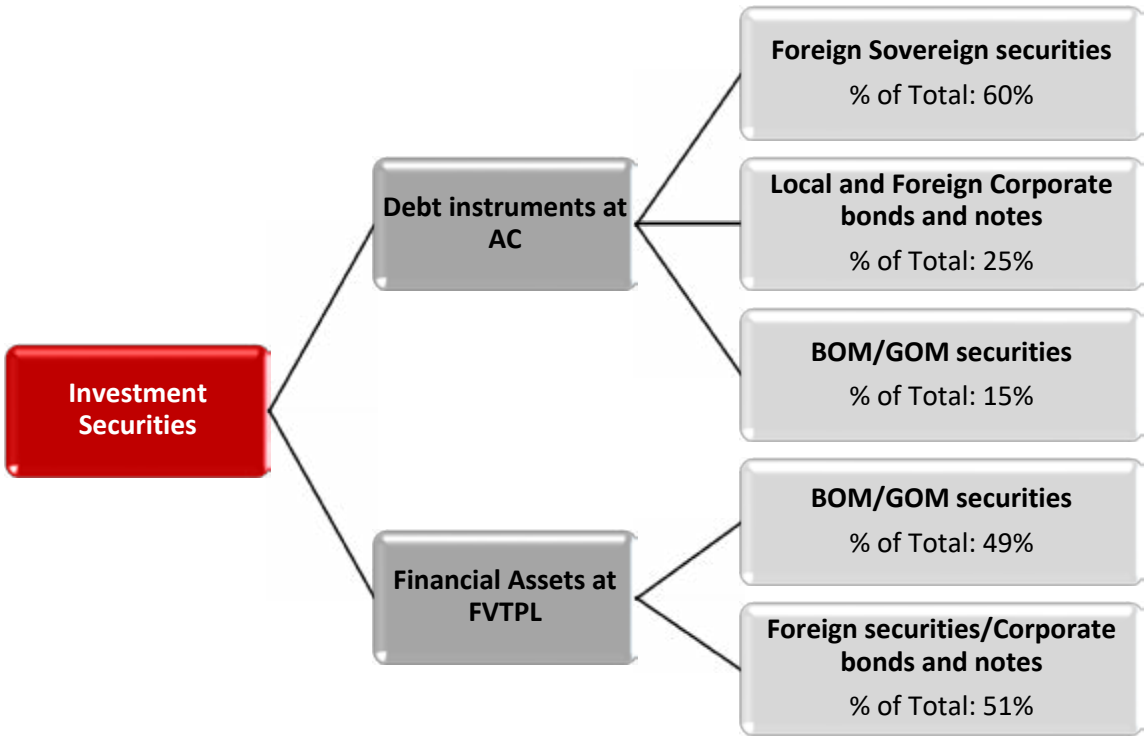
- Financial assets held for trading measured at fair value through profit or loss ("FVTPL");
- Debt instruments measured at amortised cost;
- Equity Investments designated at fair value through other comprehensive income ("FVTOCI"); and
- Equity Investment measured at fair value through profit or loss ("FVTPL").



FINANCIAL POSITION REVIEW (CONT'D)

Investment Securities (Cont'd)

The main elements of investment securities are as follows:



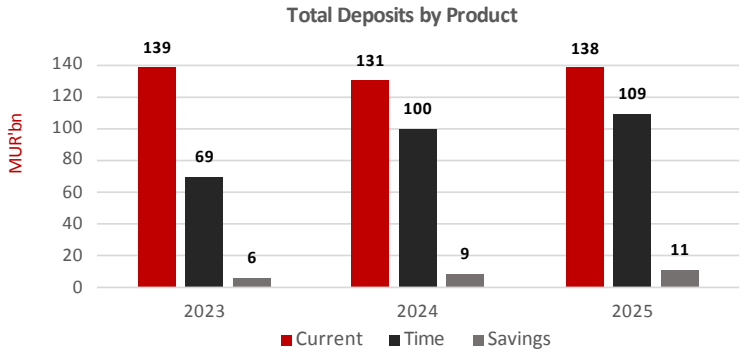
FINANCIAL POSITION REVIEW (CONT'D)

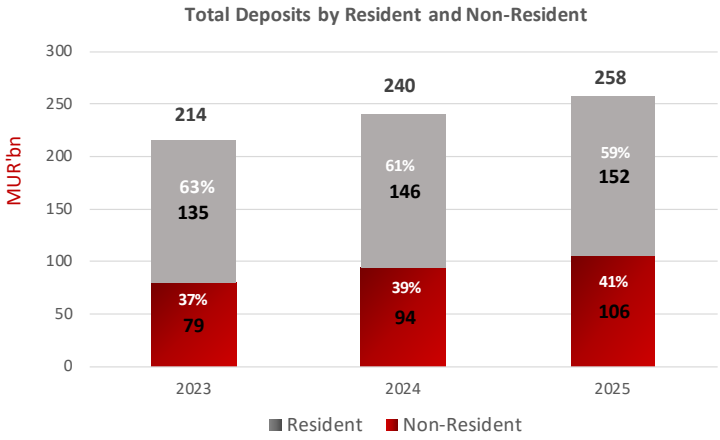
Liabilities

Deposits from Banks and Customers

As of 30 June 2025, the deposits from banks and customers reached MUR 258.2bn, up from MUR 240.2bn, representing a 7% growth.

The driving forces behind this rise were the stickiness of our deposits as a result of the lower yield environment, with customers prioritising stability and secured return in their investments, thereby favouring fixed deposits, and the growing customer portfolio, affirming the Bank's strong market position. In addition, since the majority of our deposits are denominated in foreign currencies, they are sensitive to currency retranslation.



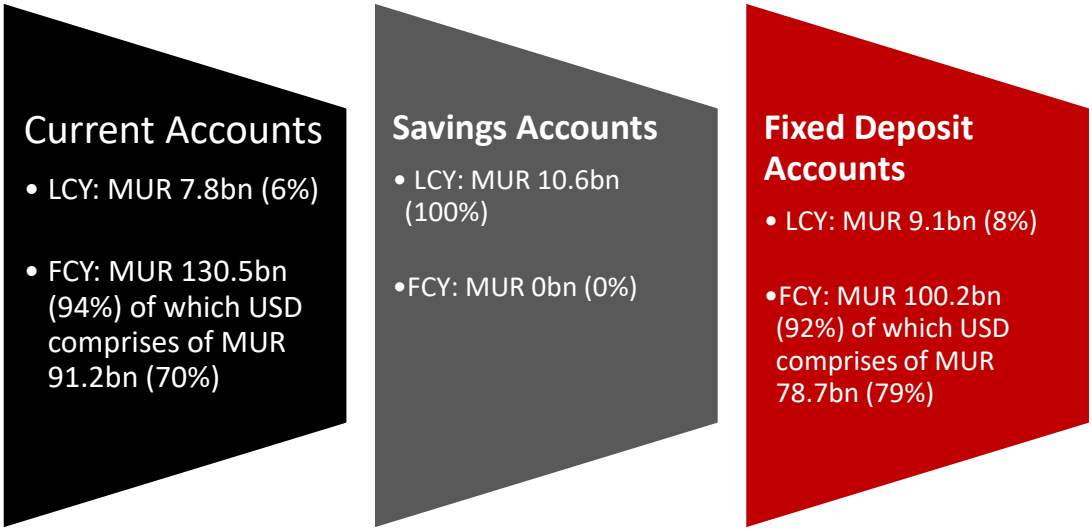


FINANCIAL POSITION REVIEW (CONT'D)

Liabilities (Cont'd)

The split of the deposit base was as follows:

- Current accounts MUR 138.3bn, that is, 54% of total deposits and 5% growth year-on-year;
- Savings accounts MUR 10.6bn, that is, 4% of total deposits and a 19% increase year-on-year; and
- Fixed deposits MUR 109.3bn, that is, 42% of total deposits and 9% expansion year-on-year.



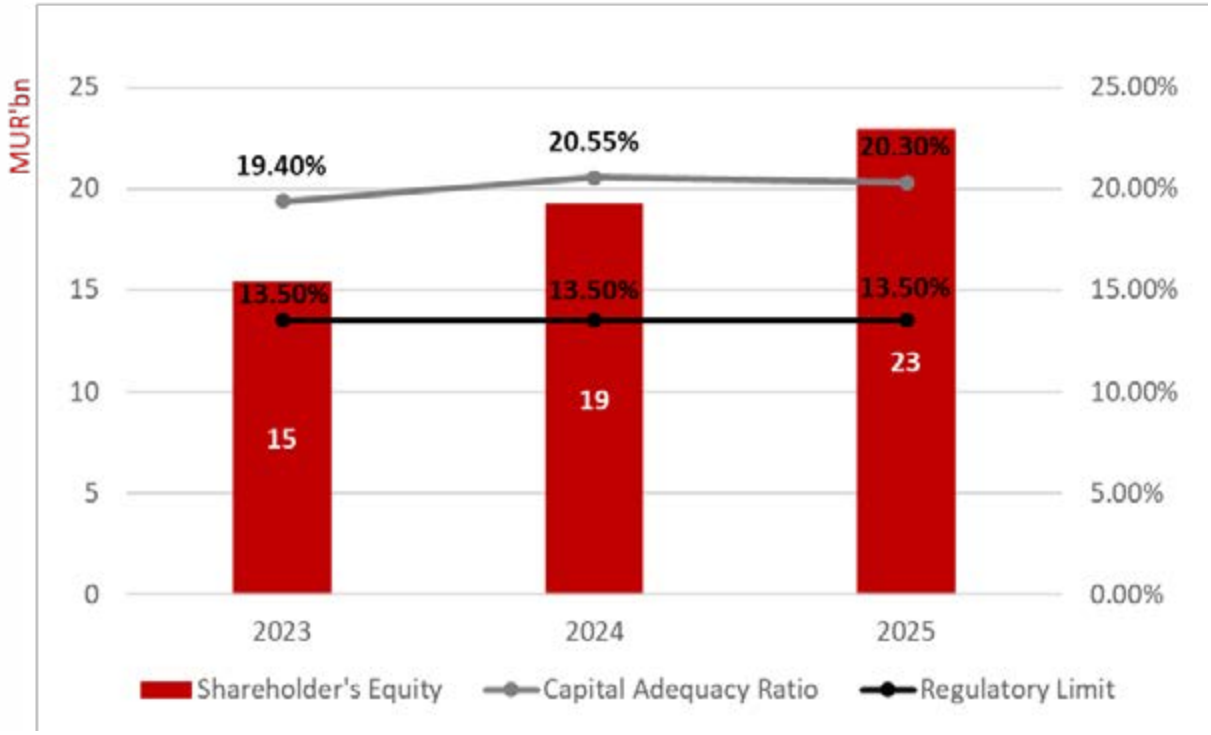
FINANCIAL POSITION REVIEW (CONT'D)

Shareholders' Equity and Capital Adequacy Ratio

The Shareholders' equity represents the anchor of the Bank's financial strength, underpinning our growth ambitions, risk management framework, and potential to enhance stakeholder value. During this financial year, AfrAsia Bank's Shareholders' equity achieved a growth of 19%, rising from MUR 19.3bn for the prior financial year to stand at MUR 22.9bn, essentially driven by higher retained earnings. Class A dividends of MUR 0.2bn and Ordinary Dividends of MUR 2.4bn were paid out of retained earnings during the financial year.

The total regulatory capital of the Bank reached MUR 22.5bn as of the end of the financial year ended 30 June 2025, compared to the total regulatory capital of MUR 19.2bn for the prior financial year. The Common Equity Tier 1 ("CET1") capital and Tier 1 capital stood at MUR 19.9bn and MUR 21.3bn, respectively, on the back of a net profit after tax of MUR 6.3bn for the financial year.

The Bank's total capital adequacy ratio ("CAR") reached 20.30% as of the end of the financial year ended 30 June 2025, sowing a slight decrease of 25 basis points from 20.55% in the prior financial year.



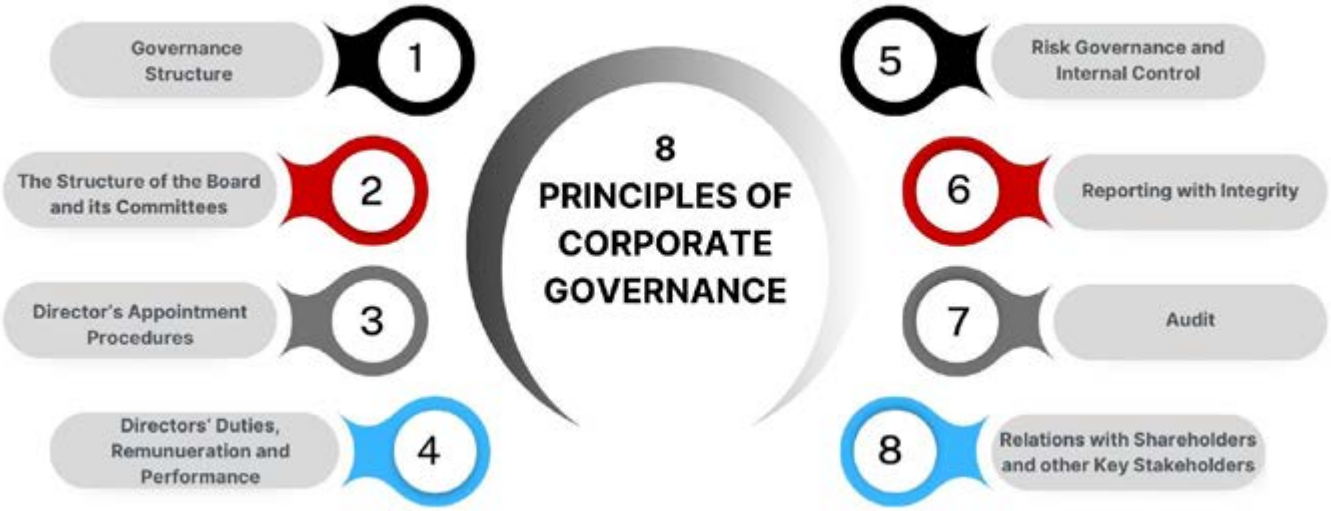


Corporate Governance Report



CORPORATE GOVERNANCE REPORT

The following disclosures set out the Bank's application of the eight principles of the National Code of Corporate Governance for Mauritius (2016), as presented in Section A of this Annual Report. These principles cover:



PRINCIPLE ONE – GOVERNANCE STRUCTURE

INTRODUCTORY

The Board of Directors ("Board") of the AfrAsia Bank recognises that upholding the principles of good governance is fundamental to a strong and sustainable foundation. The Board is fully committed to fostering a sound governance framework in an effort to safeguard stakeholder interests and to promote transparency, ethical conduct, and responsible decision-making at all levels of the Bank.

In adherence to the principles set out in the Code, AfrAsia Bank and its Board have duly taken all necessary and appropriate actions, under applicable laws, regulations, and best practices, to uphold and continuously strengthen the Bank's governance standards.

The Bank has in place an effective and dedicated unitary Board with appropriate skills, knowledge, experience and independence, conjointly geared to manage the organisation's affairs to comply with all legal and regulatory requirements.

The roles and responsibilities of the Board and its composition are clearly outlined in the Board Charter. Furthermore, AfrAsia Bank has established a Conduct and Ethics Policy approved by the Board, which commits the Bank to hire suitable candidates and foster a culture of mutual respect and ethical behaviour. The Bank advocates for transparency, and all employees and Directors are apprised of their roles and responsibilities.

A copy of the Bank's Conduct and Ethics Policy is available on its website as follows:
(https://www.afrasiabank.com/media/3222/conduct-and-ethics-policy-staff.pdf)
The Corporate Governance Report is available on the Bank's website:
https://www.afrasiabank.com/en/about/investors/annual-reports

INTRODUCTORY (CONT'D)

Substantial Change in Shareholding

Effective 22 July 2025, subsequent to the reporting year ended 30 June 2025, Access Bank UK Limited acquired 76% of the Bank's issued share capital through its wholly owned subsidiary, Access Holdings (Mauritius) Ltd, from certain shareholders. The National Bank of Canada, along with certain minority shareholders, sold the entirety of their shares, while IBL Ltd retained a shareholding of 7.89% out of its initial 30.29% shareholding. Following the said acquisition, AfrAsia Bank Limited became a subsidiary of Access Bank UK Limited through Access Holdings (Mauritius) Ltd.

The Access Bank UK Limited

The Access Bank UK Limited, a wholly owned subsidiary of Access Bank Plc—listed on the Nigerian Stock Exchange—continues to strengthen its presence in key global markets while remaining committed to sustainable and relationship-led banking.

The bank provides a comprehensive suite of Trade Finance, Commercial Banking, Private Banking, and Asset Management services, supporting customers in their dealings with Organisation for Economic Co-operation and Development ("OECD") markets and assisting companies seeking to invest in or trade with Africa, the MENA region, Asia and other international markets.

Authorised by the Prudential Regulation Authority ("PRA") and regulated by both the Financial Conduct Authority ("FCA") and the PRA in the UK, The Access Bank UK Limited has built an international footprint that reflects its strategic ambitions. Its Dubai branch, located in the iconic Gate Building of Dubai International Financial Centre (DIFC), is regulated by the Dubai Financial Services Authority ("DFSA"). The Paris branch is authorised and regulated by the French Prudential Supervision and Resolution Authority ("ACPR"), while its Hong Kong branch, situated in the Central District of Hong Kong Island, is regulated by the Hong Kong Monetary Authority ("HKMA"). The bank's most recent addition, The Access Bank Malta Limited—its first fully owned European subsidiary—is based in Sliema and is licensed and regulated by the Malta Financial Services Authority ("MFSA") and the European Central Bank.

Aligned with the ethos of its parent company, The Access Bank UK Limited is focused on developing a sustainable business model underpinned by prudent risk management, a strong customer service culture, and long-term customer relationships. Rather than pursuing unsustainable yields, the bank prioritises stable, quality growth through strong customer connections, in line with the group's broader vision to become "the world's most respected African bank."

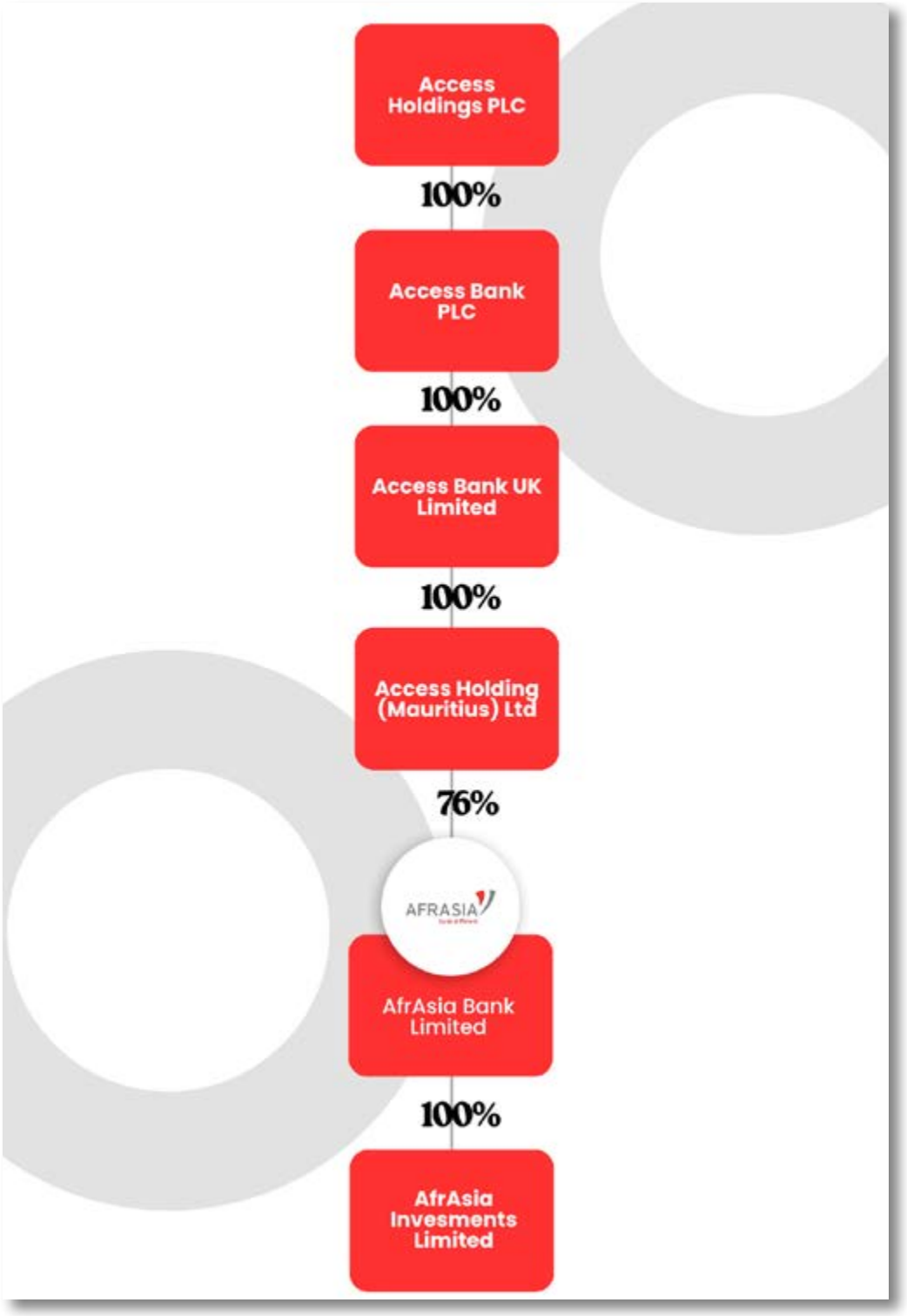
The Access Bank UK Limited plays a critical role in facilitating trade between Africa and the rest of the world. It holds a confirming bank status under the International Finance Corporation's Global Trade Finance Programme, enhancing its capabilities in this space. It was also the first Nigerian bank in the UK to be appointed as a correspondent bank to the Central Bank of Nigeria, undertaking infrastructure work on behalf of the Nigerian government and issuing Letters of Credit for both the government and the Nigerian National Petroleum Corporation ("NNPC").

It is also a direct member of the UK Sterling Clearing system and holds reserve status with the Bank of England.

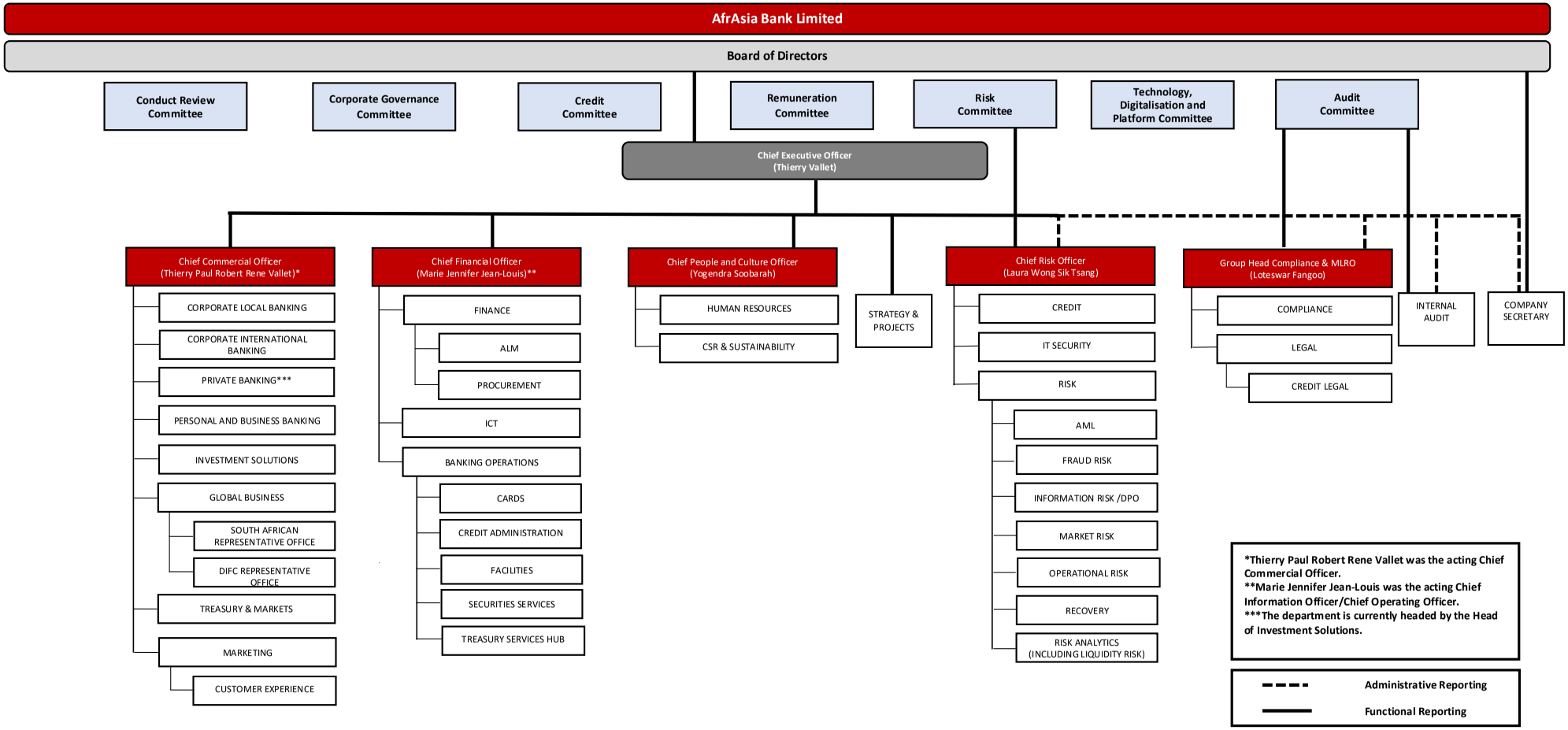
Our Group Structure as of 30 June 2025



Our Group Structure as of 22 July 2025



Our Governance Structure as of 30 June 2025



Our Governance Structure as of date

Substantial change in shareholding

Committees

As of September 2025, the Board Committees were as follows:

- Cyber & Technology Committee;
- Nomination & Remuneration Committee;
- Existing Audit Committee and Risk Committee were revised and re-adopted.

Actingship

Marie Jennifer Jean-Louis, in addition to her responsibilities as Chief Financial Officer is now acting as Chief Operating Officer ("COO"). In her capacity as COO, she has the following departments under her purview: which comprises of Procurement, Banking Operations such as Cards, Credit Administration, Facilities, Securities Services and Treasury Services Hub.

Appointment

Gerald Lih Youn LIM YU CHOY joined the bank as CIO and has the ICT department under him.

Key Governance Roles

The Board establishes the ethical and governance framework of the Bank, urging its members, management, and employees to commit to upholding the utmost standards of integrity, transparency, and accountability.

The Board Charter ("Charter"), which is reviewed and approved by the Board, as and when required, outlines the key governance roles within the Bank along with their respective responsibilities, which are instrumental in supporting the Bank's strategic objectives and ensuring effective compliance with sound governance practices.

A clear distinction is maintained between the roles and responsibilities of the Board, the Chairperson and the Chief Executive Officer ("CEO") to prevent any undue concentration of authority.

The respective roles are detailed below:

Chairperson of the Board

The Chairperson of the Board shall undertake the following duties:

Main Duties

- Chairing Board and general meetings;
- Providing overall leadership to the Board, be impartial and managing divergences in the most constructive manner;
- Upholding rigorous standards of preparation for meetings;
- Running the Board and ensuring its effectiveness in all aspects of its role, including regularity and frequency of meetings;
- Setting the Board agenda, considering the issues and concerns of all Board members. The agenda should be forward looking, concentrating on strategic matters;
- Ensuring each Board meeting is planned effectively, conducted according to the Constitution and that matters are dealt with in an orderly and efficient manner;
- Ensuring that there is appropriate delegation of authority from the Board to executive management and Board committees;
- Ensuring the Board's committees are properly structured with appropriate terms of reference;
- Encouraging all Board members to engage in Board and committee meetings by drawing on their skills, experience, knowledge and, where appropriate, independence;
- Ensuring that the directors receive accurate, timely and clear information, including that on the organisation's current performance, to enable the Board to take sound decisions, monitor effectively and provide advice to promote the success of the organisation;
- Managing the Board meetings to allow enough time for discussion of complex or contentious issues. The Chairperson should ensure that directors (particularly non-executive directors) have sufficient time to consider critical issues and obtain answers to any questions or concerns they may have and are not faced with unrealistic deadlines for decision making;
- Ensuring that the decisions by the Board are executed;
- Providing support and supervision to the CEO; and
- Ensuring that minutes are taken and sign the minutes of Board and Shareholders meetings jointly with the Company Secretary.

Key Governance Roles (Cont'd)

Chairperson of the Board (Cont'd)

Induction, Development, Succession and Performance Review

- Ensuring that new directors participate in a full, formal and tailored induction programme, facilitated by the Company Secretary;
- Ensuring that the development needs of directors are identified and, with the support of the Company Secretary, that these needs are met. The directors should be able to continually update their skills and knowledge and familiarity with the Bank required to fulfil their role on the Board and its committees;
- Mentoring to develop skills and enhance directors' confidence and encourage them to speak up and make an active contribution at meetings;
- Identifying the development needs of the Board as a whole to enhance its overall effectiveness as a team;
- Overseeing a formal succession plan for the Board, CEO, key executives and senior officers' appointment together with the Corporate Governance Committee; and
- Ensuring regular evaluation of the Board and the directors are carried out.

Relations with Shareholders

- Ensuring effective communication with shareholders; and
- Ensuring that all directors be made aware of the main concerns of the major shareholders and key stakeholders and that their views be communicated to the Board as a whole.

Key Governance Roles (Cont'd)

Chief Executive Officer

Strategic Leadership

- The Chief Executive Officer shall develop and recommend to the Board for approval a long-term vision and strategy for the Bank that will generate satisfactory levels of shareholder value and positive, reciprocal relations with the relevant stakeholders.

Management of the Bank

- The Chief Executive Officer shall directly be responsible for the day-to-day operations of the Bank and shall be conversant with the state of internal control, the prevailing legislation as well as current issues and policies affecting the financial sector; and
- The Chief Executive Officer should strive consistently to achieve the Bank's financial and operational goals and objects, and ensure the proper management and monitoring of the daily business of the Bank.

Human Resource and Organisational Development

- The Chief Executive Officer should recruit, develop and lead a high-performing executive team; and
- The Chief Executive Officer should foster a positive and inclusive organisational culture that aligns with the Bank's values.

Compliance, Risk and Control

- The Chief Executive Officer should ensure full compliance with all relevant banking laws and regulations;
- The Chief Executive Officer should establish and maintain positive relationships with regulatory authorities; and
- The Chief Executive Officer must ensure that a proper management of risks, under a variety of possible or likely scenarios, is continuously undertaken and presented to the Board.

Innovation

- The Chief Executive Officer should encourage innovation to enhance the Bank's product, services and operational efficiency; and
- The Chief Executive Officer should stay informed of technological advancements in the banking industry and oversee the adoption of relevant technologies.

Key Governance Roles (Cont'd)

Chief Executive Officer (Cont'd)

Communication

- The Chief Executive Officer shall design and implement the necessary management information systems in order to facilitate efficient and effective communication within the Bank;
- The Chief Executive Officer has to ensure that appropriate management information systems and tools are in place for the purpose of reviewing and controlling the Bank's operations and to organise all data collected from every level of the Bank, summarise it, and present it in a way that facilitates and enhance the quality of the decisions being made to improve the Bank's profitability and productivity; and
- The Chief Executive Officer shall communicate to Media and other instances and will remain guided by the communication policy of the Bank.

Reporting to the Board

- The Chief Executive Officer shall work closely with the Board and its Chairperson to develop, implement effective corporate governance practices;
- The Chief Executive Officer should provide regular updates and reports to the Board and its Chairperson on the Bank's performance and strategic initiatives; and
- The Chief Executive Officer must raise with the Board any matter of significance affecting the Bank which requires the Board's attention, including any matters which exceed the delegated authority of the executive management.

Key Governance Roles (Cont'd)

Company Secretary

The Company Secretary assists and guides the Board. The Company Secretary also helps the Directors to fulfil their duties while acting with the utmost integrity and independence in the best interest of the Bank. He also has a key role to play in the application of corporate governance within the Bank.

The Company Secretary shall undertake the following duties:

- Discharging his/her statutory duties and ensuring that the Board of Directors fulfils its obligations, statutory duties and performs its functions as per the Constitution of the Bank;
- Providing comprehensive support and guidance to the Board of Directors, Board Committees and individual directors;
- Reviewing and recommending necessary amendments to the Board Charter and Board Committees terms of reference and assist the Board in establishing mandate for new committees;
- Facilitating Board of Directors, Board Committees and individual director's performance evaluation;
- Ensuring that Minutes of Board Meetings and resolutions are properly passed and recorded in accordance with the law and the Constitution of the Bank;
- Organising and coordinating the logistics for all Board, Board Committees and shareholders' meetings;
- Coordinating the submission of board papers from business stakeholders to the Board of Directors and its Committees;
- Ensuring that appointment procedures of directors are properly followed;
- Assisting with the induction programme and orientation of new directors including on-going training;
- Communicating with the shareholders of the Bank;
- Be the connection between the Board of Directors and the Shareholders for all matters requiring the shareholders' attention;
- Maintenance of statutory records; and
- Providing advice on corporate governance and ensure that the Bank adopts international and local best practices.

Executive Team Profile

THIERRY PAUL ROBERT RENE VALLET

Chief Executive Officer and Executive Director

Engineer by trade, Thierry Paul Robert Rene Vallet is a seasoned banker with more than 20 years' experience at senior leadership level. He joined AfrAsia Bank as Founder Executive and Head of Strategic Development in 2007, playing a pivotal role in shaping the Bank from its inception.

He has a proven track record of accelerating growth across business lines, namely, private banking, wealth management, investment banking, corporate banking, and treasury and markets. He has relentlessly promoted the Mauritius International Financial Centre ("IFC") to position the country as one of repute to attract investors.

Furthermore, he was awarded the Global Marketer of the Year 2024 by the world-renowned Academy of Marketing Science, making him the first Mauritian to win a global marketing award.

Thierry holds a Master of Business Administration ("MBA") in International Finance from HEC School of Management in Paris.

Date joined AfrAsia Bank: 20 August 2007

MARIE JENNIFER JEAN-LOUIS

Chief Financial Officer and Executive Director

Marie Jennifer Jean-Louis, Chief Financial Officer ("CFO") of AfrAsia Bank, is a Chartered Accountant with over 25 years of experience, which includes financial strategy, audit, taxation, regulatory reporting and advisory. She has been part of the Bank's journey since its inception, contributing significantly to its financial architecture and long-term value creation.

Jennifer has a strong track record in executing complex mergers and acquisitions ("M&A") and capital raising initiatives, driving the Bank's growth agenda. She has also led the Bank's adoption of International Financial Reporting Standards ("IFRS"), reinforcing transparency and alignment with global investor expectations.

As an Executive Director since 2022, she continues to bring strategic depth, disciplined financial oversight and a strong governance assurance for stakeholders, supporting the bank's positioning as a trusted and forward-looking financial institution.

Jennifer is a Fellow Member of the Institute of Chartered Accountants in England and Wales and a qualified Chartered Tax Advisor. She is also a member of the Mauritius Institute of Directors ("MIoD").

Date joined AfrAsia Bank: 30 July 2007

Executive Team Profile (Cont'd)

NADEEM ABDUL CARRIM

Head of Global Business

Nadeem is a seasoned banking professional with over two decades of experience, primarily in global business, relationship management, and managing operational functions. He has a proven track record in building high-performing teams, expanding international presence, and fostering strong relationships with key clients, business introducers and senior management.

His international expertise, including involvement in setting up operations abroad, notably in Dubai, showcases his forward-thinking approach.

Nadeem holds a Master of Business Administration from Plymouth University in the United Kingdom, along with a BCom from Natal University, South Africa.

Date joined AfrAsia Bank: 27 September 2007

LOTESWAR (ANIL) FANGOO

Group Head Compliance and MLRO

Anil Fangoo brings more than 35 years of experience in the legal and compliance fields within the Mauritian banking sector. He began his professional journey at SBI Mauritius in 1990, where he rose to the position of Assistant Manager, leading the Legal and Compliance function. In 2009, he joined AfrAsia Bank as Head of Compliance and MLRO.

Throughout his career, Anil has built deep expertise across regulatory matters, legal, operations, recovery, compliance, anti-money laundering ("AML"), financial crime risk management and corporate governance. His strategic oversight and leadership have played a key role in establishing a strong enterprise-wide compliance risk management framework at AfrAsia Bank and embedding a robust compliance culture across all levels of the organisation.

As MLRO, he works closely with senior management and other stakeholders to ensure the Bank's AML/CFT framework remains dynamic and aligned with evolving regulatory expectations and international standards. He also contributes significantly to corporate governance matters, providing guidance and insights to the Board and Executive Management on regulatory and compliance-related issues.

Anil is a certified Anti-Money Laundering Specialist ("CAMS"). He is also a fellow member of the Internal Compliance Association and a member of the Association of Certified Anti-Money Laundering Specialists, the Association of Certified Fraud Examiners ("ACFE") and MIoD.

Date joined AfrAsia Bank: 15 July 2009

Executive Team Profile (Cont'd)

GERALD LIH YOUN LIM YU CHOY

Chief Information Officer

Gerald is a seasoned IT executive with over 20 years of experience in the technology field, including C-level leadership. He is an accomplished transformation leader with a proven track record across industries such as finance, insurance, software development, BPO/KPO, and telecommunications.

Gerald's extensive expertise and proven leadership continue to position him as a catalyst for building resilient and future-ready IT landscapes. He is recognised for enhancing cybersecurity perimeters, reinforcing governance and compliance standards, and engaging effectively with stakeholders to ensure alignment with both business and regulatory expectations.

Gerald worked with the international banking group Crédit Agricole through its financial shared services centre, collaborating with various entities, including specialised finance, group IT, and technology & services. During this time, he built a strong reputation for leading large-scale IT transformations and shaping the enterprise IT strategic roadmap. His contributions spanned business resiliency, portfolio management, and governance across diverse and complex environments. His leadership consistently emphasised IT risk and compliance, people management, operational excellence, cyber resilience, and digital transformation.

He holds a Degree in Information and Communications Technologies, an Executive MBA from the University of Paris 1 Panthéon-Sorbonne, and has completed executive education in strategy at HEC Paris. Gerald is also a Fellow Member of the MIoD and is certified as CISSP, PMP, CEH, and ECSA, as well as Lead Implementer ISO 22301. He has also pursued advanced professional training, such as ITIL Managing Professional and Neuro Linguistic Programming ("NLP"), among others.

Date joined AfrAsia Bank: 08 September 2025

YOGENDRA (YOGEN) SOOBARAH

Chief People and Culture Officer

With over 30 years of cross-industry experience, both in Mauritius and internationally, Yogen has developed well-rounded expertise in human resources, leadership, and talent management. Prior to this role, he has worked with multinational organisations such as Millicom, British American Tobacco, Orange, VivaCell Group, and ABSA Bank, earning a solid reputation for driving performance, innovation, employee engagement, and cultural transformation across diverse and complex environments.

Under Yogen's guidance, AfrAsia Bank is driving a strategic focus on becoming an employer of choice, with initiatives that enhance the employee experience at every stage of the talent lifecycle. He is playing a central role in aligning the Bank's people strategy with its broader transformation journey, while championing a culture anchored in inclusivity, agility, and high performance. Yogen also oversees AfrAsia Bank's sustainability efforts, reinforcing the Bank's commitment to creating meaningful impact for its people, clients, and the wider community.

Yogen is a fellow member of the Chartered Institute of Personnel and Development ("CIPD"), UK and holds a Master's in Human Resources Management from The University of Surrey, United Kingdom.

Date joined AfrAsia Bank: 16 April 2025

Executive Team Profile (Cont'd)

LAURA WONG SIK TSANG

Chief Risk Officer

Bringing over 20 years of experience in audit, compliance, credit, and risk management, Laura joined AfrAsia Bank in July 2024. Her leadership has been instrumental in driving risk transformation initiatives, aligning the Bank's frameworks with international best practices and evolving regulatory standards. Laura has been at the forefront of the restructuring and enhancing of the Credit and Risk functions, reinforcing governance, streamlining processes, and embedding a strong risk culture across the institution. Her strategic focus on proactive risk management has significantly enhanced operational efficiency and regulatory compliance. A graduate of the University of Paris 1 Panthéon-Sorbonne with a Maîtrise en Sciences Économiques, Laura brings a forward-thinking approach to risk leadership, playing a key role in supporting the Bank's institutional resilience and sustainable growth.

Laura is a member of MIoD and she also holds a Maîtrise-es-Sciences Economiques specialisation Croissance et Développement and a Diplôme D'études Universitaires Générales-es-Sciences Economiques from the University of Paris 1 Panthéon-Sorbonne, France.

Date joined AfrAsia Bank: 15 July 2024

DWEJENDRANATH (JEN) RAMANAH

Head of Treasury and Markets

Dwejendranath (Jen) Ramanah has more than 45 years of experience in the banking industry, 25 of which he spent at the Bank of Mauritius, where he eventually became a Dealer in their Financial Markets Department.

Before joining AfrAsia Bank in September 2007, he worked in the Treasury Business Unit of The Mauritius Commercial Bank Ltd as Chief Money Market Trader. He is among the veterans of the management team of AfrAsia Bank and has played a key role in shaping the Bank's Treasury department.

Jen is a member of MIoD and holds a Master of Business Administration from Edinburgh Business School, Heriot-Watt University and a BSc (Hon) Management from the University of Mauritius.

Date joined AfrAsia Bank: 1 September 2007
Date of retirement: 31 July 2025

PRINCIPLE TWO – THE STRUCTURE OF THE BOARD AND ITS COMMITTEES

The Board is responsible for the overall stewardship of the Bank. It thus plays a pivotal role in ensuring that sound governance practices are well established across all aspects of the Bank's operations.

The Bank's Constitution and its Charter set out the powers and duties of the Board. In discharging its duties, the Board remains fully aware of its statutory obligations under relevant legislation, including the Banking Act 2004 (as amended), the Financial Reporting Act 2004 (as amended), the Financial Services Act 2007 (as amended), and the Companies Act 2001 (as amended).

No alternate directors have been appointed during the financial year so as to ensure each Director remains directly involved in Board deliberations and decision-making processes, thereby enhancing the quality of oversight and contribution.

The Roles and Responsibilities of the Board

The main role of the Board is to direct and control the Bank effectively. As the focal point of the Corporate Governance system, it shall oversee effectively the affairs of the Bank. Delegation of authority to any committee does not discharge the Board of its responsibilities.

Below is a non-exhaustive list of the roles of the Board:

- Determining the Bank's purpose, strategy and values. The Board is responsible to set the long-term goals, the strategic planning and sanction action plans;
- Keeping all the shareholders informed of material events affecting the Bank as determined by the Board;
- Ensuring that the Bank is governed in a transparent manner through accurate and timely information to the public, through its reports to the relevant authorities, and in its annual report;
- Periodically conducting a self-assessment of its effectiveness as well as that of its subcommittees.
- Approving, monitoring and evaluating the implementation of strategies, major policies, management performance criteria and business plans. The Board must provide guidance, maintain effective control over the Bank and monitor the Bank's management in carrying out Board's directions.
- Exercising leadership, enterprise, intellectual honesty, integrity, objectivity and judgment in directing the Bank so as to achieve sustainable prosperity for the Bank.
- Ensuring that procedures and practices are in place to protect the Bank's assets, reputation and interest generally. Thus, the Board must regularly review processes and procedures to guarantee the effectiveness of the Bank's internal control systems.
- Considering, on recommendation of Nomination & Remuneration Committee, the necessity and appropriateness of installing a mechanism by which breaches of the principles of Corporate Governance could be reported and remediated.
- Defining levels of materiality, reserving specific powers for itself and delegating other related matters with the necessary written authority to the management of the Bank. These matters should be monitored and evaluated by the Board on a regular basis. Such delegation by the Board must have due regard for the directors' statutory and fiduciary responsibilities to the Bank, while taking into account strategic and operational effectiveness and efficiency.
- Setting principal policies in respect of risks including the approval of the Risk Appetite Framework and conduct of business, including Conduct and Ethics, for the Bank. The Board must regularly monitor that senior management is running the business in accordance with such policies.
- Being responsible for the appointment of the CEO and ensure that its succession is planned and that an emergency replacement plan exists in case of temporary disability. The Board shall set out the criteria for measuring the CEO's performance annually in achieving the approved corporate objectives and risk appetite framework;

The Roles and Responsibilities of the Board (Cont'd)

- Determining the remuneration policy applicable to Senior Management and staff, upon recommendations of Nomination & Remuneration Committee;
- Ensuring that clear lines of responsibility and accountability exist and are enforced throughout the organisation;
- Ensuring that there is appropriate oversight by senior management consistent with Board policy;
- Ensuring that the Bank complies with all the relevant laws, regulations, guidelines, regulatory requirements and codes of business practice;
- Approving the quarterly accounts ensuring that they have been prepared using the appropriate accounting policies and standards and fairly present the state of affairs of the Bank and any other information for disclosure to the market;
- Declaring dividends when appropriate and determine the amount of dividends to be declared having regards to solvency, capital and other financial ratios;
- Approving the budget at least annually and review of the main investment proposals;
- Avoiding any conflict of interest. A director should make a best effort to avoid conflicts of interest or situations where others might reasonably perceive there to be a conflict of interest. A director shall forthwith after becoming aware of the fact that he or she is or could be interested in a transaction or proposed transaction with the Bank, disclose same to the Board and cause same to be entered in the Interests Register;
- Maintaining high ethical standards, in instances of an actual or potential conflict of interest, the director concerned should not be present at that part of the meeting in which the conflict or potential conflict is discussed and should not participate in the debate, vote or indicate how he or she would have voted on the matter in the Board or the committee meeting;
- Subject to Banking Act, Companies Act and the Code of Corporate Governance, the Directors of the Bank shall not make use of, or disclose, any confidential information received by them on behalf of the Bank as Directors otherwise than as permitted and in accordance with the Act;
- Approving the terms and conditions for credit facilities to the staff of the financial institution under the terms and conditions of employment contracts;
- Approving credit facilities to staff which are not in line with the terms and conditions as approved by the board;
- All exposures for related party transactions must be at arms' length and duly approved by the Board on a quarterly basis;
- Approving relevant approval authorities for related party transactions;
- Approving Write-offs of related party credit exposure;
- Approving and to oversee the strategy for climate-related and environmental risks and opportunities management;
- Approving the technology strategy, the IT Security Strategy and the cyber and technology risk management strategy and framework;
- Receiving regular and timely report on cyber and technology risk management matters;
- Promoting a strong culture of awareness of cyber and technology risk management and resilience throughout the institution;
- Monitoring and evaluating the implementation of the approved business and risk strategies;
- Approving the appointment of the Company Secretary and other senior officers as per relevant legislation;
- Ensuring that the requirements on 'fit and proper person' are applied and approved for directors, senior officers, and shareholders that are in a position to exercise significant influence on the Bank;

The Roles and Responsibilities of the Board (Cont'd)

- Ensuring that nominations, initiated by the Board, of persons for election to the board of directors meet the test of fit and proper person set out in the Guideline before such nominations are placed before the shareholders' meeting;
- Ensuring requirements of section 46 of the Banking Act 2004 are complied with, including those with respect to prior notice to the Bank of Mauritius for the appointment of a senior officer; the notice shall be accompanied by a completed questionnaire outlined in the Annexure to the Guideline and complete information on any objections or contrary views expressed by any director;
- Constantly ensuring that directors, senior officers, and shareholders with significant influence continue to meet the fit and proper person test;
- Ensuring that the CEO applies the fit and proper person test to other management positions below the senior officer level and reports to the Board periodically on the result achieved;
- Ensuring that each item of special business included in the notice of meeting of shareholders is accompanied by full explanation, justifications and effect of such proposed resolution;
- Reviewing and challenge the results of stress tests and ensure that appropriate capital planning and risk mitigation strategies are in place;
- Approving and annually reviewing the Internal Capital Adequacy Assessment Process ("ICAAP") and Internal Liquidity Adequacy Assessment Process ("ILAAP") to ensure capital and liquidity adequacy under normal and stressed conditions; and
- Ensuring the integration of Environmental, Social and Governance ("ESG") risks, including climate-related financial risks, into the Bank's overall risk management framework.

The Board Charter is available for consultation on the Bank's website:
(https://www.afrasiabank.com/en/about/corporate-governance/governance-framework)



Prior Approval of the Board

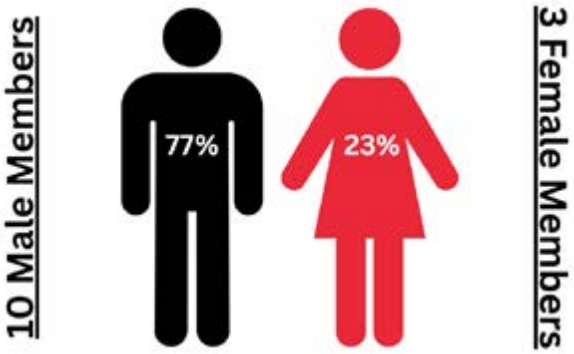
In accordance with the Companies Act 2001 and the Bank's Constitution, the Board retains certain powers which shall not be delegated. These include the following:

- Issue of other shares;
- Consideration for the issue of shares;
- Shares not paid for in cash;
- Authorisation of distribution;
- Shares issued in lieu of dividend;
- Shareholder discount;
- Purchase of own shares;
- Redemption at the option of the Bank;
- Restrictions on giving financial assistance;
- Change of Registered Office;
- Approval of amalgamation proposal;
- Short form amalgamation; and
- Transfer of shares.

Board Size

The Board is structured in such a way as to ensure that it has adequate resources to carry out its responsibilities effectively, while remaining appropriately streamlined to facilitate efficient decision-making. In determining the optimal size of the Board, the Bank considers several factors, including its scale of operations in terms of turnover and workforce, the geographical spread of its activities, the complexity and diversity of its business lines, the extent of regulatory oversight, the number of Board committees required, and the level of public accountability to which it is subject. This approach ensures a balanced and functional Board composition aligned with the Bank's governance needs.

The structure and size of the Board as of 30 June 2025 are shown hereafter:







Board Composition

In line with the Company's Constitution, it is stipulated that the Board of Directors shall consist of not less than 5 and not more than 14 directors.

As at 30 June 2025, the Board consisted of 13 qualified individuals from diverse backgrounds, both local and international, offering a balanced blend of knowledge, skills, expertise and independence across various sectors. In adherence to the Code, the Board has 2 Executive Directors to ensure the necessary executive management presence on all Boards.

As at 30 June 2025, AfrAsia Bank did not satisfy the minimum percentage of Independent Non-Executive Directors of 40% as per BOM's Guideline on Corporate Governance and The Banking Act 2004 (as amended) following the resignation of Mrs Joan Jill Wan Bok Nale on 21 May 2025. As at 30 June 2025, the Board had initiated the recruitment process for a replacement Independent Non-Executive Director however, following the acquisition of 76% of the issued share capital of AfrAsia Bank effective 22 July 2025 by Access Holdings (Mauritius) Ltd, there were further changes in the Board composition and the shareholders of the Bank appointed new Directors. Subject to regulatory approvals, the new Board composition will be compliant.

Pursuant to the Bank of Mauritius' Guideline on Cyber and Technology Risk Management, as a D-SIB, the Board is required to comprise at least two Independent Non-Executive Directors and/or Non-Executive Directors with relevant expertise in cyber and technology-related matters. As of 30 June 2025, the Board was compliant with the same.

All Directors are re-elected on an annual basis by way of separate resolutions at the Annual General Meeting ("AGM"). The last AGM was held on 10 December 2024. At the last AGM, Rehana Kasenally, Independent Non-Executive Director, informed the Board of Directors of her decision not to stand for re-election at the meeting.

Below are the **appointments** made during the financial year under review:

02 December 2024	**Anaick Helene Larabi Guidez**	**Non-Executive Director**
10 December 2024	**Kamaraj Ananda (Krishan) Vuddamalay**	**Independent Non-Executive Director**



Note: Tabled in chronological order.

Below is the **resignation** made during the financial year under review:

21 May 2025	**Joan Jill Wan Bok Nale**	**Independent Non-Executive Director and Chairperson of the Audit Committee**



Note: Tabled in chronological order.

The aforementioned changes in Board composition have been properly documented in the Bank's records and notified to all relevant regulatory bodies and stakeholders as required by law.

Board Composition (Cont'd)

Substantial Change in Shareholding

Subsequent to 30 June 2025, the following changes occurred in the Board composition:

Appointments



03 September 2025	**Vikas Monawer**	**Non-Executive Director**
03 September 2025	**Shainy Luxmi Munisami**	**Non-Executive Director**
03 September 2025	**James Kevin Simmonds**	**Non-Executive Director**

Resignations



22 July 2025	**Jan Fredrik Louis Gaëtan Boullé**	**Non-Executive Director**
22 July 2025	**Laurent François De La Hogue**	**Non-Executive Director**
22 July 2025	**Boris Faucher**	**Non-Executive Director**
22 July 2025	**Aslam Kanowah**	**Non-Executive Director**
22 July 2025	**Anaick Helene Larabi Guidez**	**Non-Executive Director**
22 July 2025	**Christian St-Arnaud**	**Non-Executive Director**
29 August 2025	**Marie Doriance Jessica Denise-Rama**	**Independent Non-Executive Director**
29 August 2025	**Kamaraj Ananda (Krishan) Vuddamalay**	**Independent Non-Executive Director**

Board Composition (Cont'd)

The various committees and their short-form appellations are summarised below for future reference in the report:

AC	**Audit Committee**	REC	**Remuneration Committee**
CGC	**Corporate Governance Committee**	RC	**Risk Committee**
CRC	**Conduct Review Committee**	SC	**Strategy Committee***
CC	**Credit Committee**	TDP	**Technology, Digitalisation and Platforms ("TDP") Committee**

*The Strategy Committee was dissolved, effective 26 June 2025.

Substantial Change in Shareholding

The following committees were adopted by the Board:

AC	**Audit Committee**	NRC	**Nomination & Remuneration Committee**
CTC	**Cyber & Technology Committee**	RC	**Risk Committee**

Directors' Profiles

Substantial Change in Shareholding

OLIVIER EMMANUEL JAUFFRET

Chairperson of the Board and Independent Non-Executive Director

Date of first appointment as Director: 06 March 2024
Date of the last re-election: 10 December 2024
Length of service as Director: 1 year 6 months

Directorship in listed entity(ies):
None
Directorship in other non-listed entity(ies):
None

Committee membership:

NRC

Olivier Emmanuel Jauffret graduated in 1992 from the Law University of Aix-en-Provence and subsequently from London University. He holds a DESS and Magistère in business law, tax law and accounting and a postgraduate law degree (LL.M) from University College London. He was admitted to the Paris Bar in 1994.

He spent his entire professional life as a lawyer in the Paris office of two world-leading international (UK and US) law firms, Linklaters and Weil Gotshal Manges, 22 years of which as a partner of each firm successively. He has over 30 years of experience as a fully versatile banking lawyer advising creditors and debtors (banks, funds and corporates) across the whole spectrum of products on the bank debt markets with in-depth knowledge of all financing and regulatory features. He was the head of the Paris banking practice at both firms, with a focus on clients and transactions with an international footprint. He was widely recognised as one of the few leading banking lawyers of his generation.

Olivier is a former member of the Paris Bar and holds a Master of Laws (LL.M.) in International Business Law from University College London. He also obtained a Diploma of Advanced Legal Studies and a Master's degree in Law from Aix-En-Provence University.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

THIERRY PAUL ROBERT RENE VALLET

Chief Executive Officer and Executive Director

Date of first appointment as Director: 01 April 2024
Date of the last re-election: 10 December 2024
Length of service as Director: 1 year 6 months

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
AfrAsia Investments Ltd
Quatre par Quatre Ltée
Trol Ltée
Agri'in Ltd *(company in winding-up process)*

Committee membership:

RC CTC

Please refer to "Executive Team Profile" for profile details.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

ALASTAIR JAMES BRYCE

Independent Non-Executive Director

Date of first appointment as Director: 19 December 2022
Date of the last re-election: 10 December 2024
Length of service as Director: 2 years and 8 months

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
York Mansions (Baker Street) Ltd

Committee membership:

AC RC

Alastair James Bryce is an international banker with over 40 years of experience in the financial services sector.

He has worked in 9 countries in both emerging and developed markets and has successfully undertaken a wide range of roles across the industry. These have included senior positions in global markets, corporate and investment banking and risk management.

He is a former director of HSBC Bank (Mauritius) Ltd and was Chief Executive Officer of HSBC's operations in Mauritius from 2013 to 2016. During that time, he also served as Chairman of the Mauritius Bankers Association.

He is currently a member of the Board of Advisors at Deheza Ltd, a London-based corporate intelligence provider specialising in Latin America, and Senior Advisor to the Chairman of Winds Enterprises Ltd, a global manufacturing and investment company. He is also a Trustee of UK-registered charities involved in child poverty relief and historic building conservation.

Alastair is an Associate of both the London Institute of Banking & Finance and the Hong Kong Institute of Bankers. He holds a Bachelor of Commerce with Honours from the University of Edinburgh.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

MARIE JENNIFER JEAN-LOUIS

Chief Financial Officer and Executive Director

Date of first appointment as Director: 16 March 2022
Date of the last re-election: 10 December 2024
Length of service as Director: 3 years and 5 months

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Please refer to "Executive Team Profile" for profile details.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

VIKAS MONAWER

Non-Executive Director

Date of first appointment as Director: 03 September 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

AC RC

Vikas Monawer was appointed Risk and Compliance Director of The Access Bank UK Limited in 2011. He is a graduate of Aston Business School and brings over 30 years of expertise in Risk Management, Compliance, Operations Management, Anti-Money Laundering and both Internal and External Auditing across various firms in the UK.

Before joining The Access Bank UK Limited, Vikas gained a wealth of experience in Compliance, Risk and AML through senior roles at various institutions, including PwC UK and Deloitte UK.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

SHAINY LUXMI MUNISAMI

Non-Executive Director

Date of first appointment as Director: 03 September 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

NRC

Shainy Luxmi Munisami joined The Access Bank UK Limited in 2010, and is a Fellow of the Chartered Institute of Personnel and Development (CIPD). She holds an MSc in Human Resources, a BA in Management, has completed a master's-level programme in coaching, and received an advanced training in positive psychology and Neuro-Linguistic Programming.

With nearly 20 years of HR experience and board-level exposure, Shainy has extensive knowledge in workforce planning, talent development, and employee engagement, with a proven record of building high-performance cultures.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

FIORANGELO SALVATORELLI

Independent Non-Executive Director and Chairperson of Cyber & Technology Committee

Date of first appointment as Director: 09 August 2021
Date of the last re-election: 10 December 2024
Length of service as Director: 3 years and 11 months

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
Fusion Global Capital
Independent Corporate Access Ltd

Committee membership:

AC CTC

Fiorangelo Salvatorelli is Chief Information Officer ("CIO") and Portfolio Manager of the ALANTRA Global Technology Fund. He is a Partner at Fusion Global Capital Ltd and Hermes Growth Partners Ltd. Fiorangelo was Partner and Head of Research at Lansdowne Partners.

He has also held Senior Portfolio Management and Research roles at Newton Investment Management (now part of BNY Mellon), Fidelity International and CCLA Investment Management.

He serves on the advisory board of FPE Capital (formerly Flemings Family & Partners Private Equity).

He was a former consultant with McKinsey & Co. in Milan and London and a University Lecturer at the University of Oxford Department of Engineering Science and INSEAD Business School (Fontainebleau).

Fiorangelo holds a D.Phil. and an M.A. in Engineering Science from the University of Oxford (Exeter College), an MSc in Structural Engineering from Universidad Simón Bolívar in Caracas. Fiorangelo also completed a BSc and an MEng in Civil Engineering from Universidad Católica Andrés Bello in Caracas.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

JAMES KEVIN SIMMONDS

Non-Executive Director

Date of first appointment as Director: 03 September 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
The Access Bank UK Limited
The Access Bank UK Nominees Limited
The AB EBT Limited
The Access Group Malta Holdings Limited
Access Holdings Mauritius

Committee membership:

CTC NRC RC

James Kevin Simmonds was appointed as the founding CEO/MD of The Access Bank UK Limited in January 2008. He is an alumnus of the Harvard Business School Executive Management Programme, an Associate of the Chartered Institute of Bankers, a member of the Association of Foreign Bankers, and a certified financial adviser. He has a wealth of experience in financial services, having held several director roles at National Westminster, Coutts, Royal Bank of Scotland, Gerrards, and Close Brothers.

He has a proven track record in the start-up and turnaround of financial service businesses, delivering sustainable benefits for all stakeholders. He has extensive knowledge of corporate, retail, and private banking.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

The Directors' profiles below, including their committee memberships, qualifications, and other relevant information, are presented as at 30 June 2025. The 'Length of Service as Director' is measured from the date of first appointment to 30 June 2025, or, where applicable, up to the date of resignation prior to the signing of the accounts.

OLIVIER EMMANUEL JAUFFRET

Chairperson of the Board and Independent Non-Executive Director

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

CRC CGC

Please refer to "Directors' Profile" under "Substantial Change in Shareholding" for profile details.

Country of residence: Mauritius

THIERRY PAUL ROBERT RENE VALLET

Chief Executive Officer and Executive Director

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
AfrAsia Investments Ltd
Quatre par Quatre Ltée
Trol Ltée
Agri'in Ltd *(company in winding-up process)*

Committee membership:

RC TDP

Please refer to "Directors' Profile" under "Substantial Change in Shareholding" for profile details.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

JAN FREDRIK LOUIS GAËTAN BOULLÉ

Non-Executive Director

Date of first appointment as Director: 09 October 2020
Date of the last re-election: 10 December 2024
Length of service as Director: 4 years and 10 months
Date of resignation as Director: 22 July 2025

Directorship in listed entity(ies):
Bluelife Ltd
IBL Ltd (Chairman)
Lux Island Resorts Ltd
Phoenix Beverages Ltd
Phoenix Investment Company Limited
The United Basalt Products Ltd

Directorship in other non-listed entity(ies):
Bloomage Ltd
Camp Investment Company Ltd
Compagnie de la Vigie Limitee (winding up)
Dotexe Ventures Ltd
Ecocentre Ltee
GML Ineo Ltee
GML Ltee (Chairman)
IBL Link Ltd
IBL Link Investment Ltd
IBL Management Ltee
Les Lycees Associes Ltee
Life Together Ltd
Mambo Retail Ltd
Manvest Ltd
Mon Loisir Ltee
Pick and Buy Limited
SPCB Ltd (winding up)

Committee membership:

CGC REC

Directors' Profiles (Cont'd)

JAN FREDRIK LOUIS GAËTAN BOULLÉ (Cont'd)

Non-Executive Director

Jan Fredrik Louis Gaëtan Boullé has begun his career in 1982 as "Chargé de Compte de Branches", Comptabilité Nationale at the "Ministère du Plan", Abidjan, Republic of Ivory Coast, a post he occupied for one year.

He has been working for the Constance Group from 1984 to 2016 and occupied various executive positions and directorships. His latest position was Group Head of Projects and Development.

He has been appointed as the Non-Executive Chairman of IBL Ltd on 01 July 2016 and is also a member of the Board of Directors of several of IBL Group's major companies.

He is an Ingénieur Statisticien Economiste ("ISE") and completed his postgraduate studies in Economics from Université Laval, Canada.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

ALASTAIR JAMES BRYCE

Independent Non-Executive Director

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
York Mansions (Baker Street) Ltd

Committee membership:

AC RC

Please refer to "Directors' Profile" under "Substantial Change in Shareholding" for profile details.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

MARIE DORIANE JESSICA DENISE-RAMA

Independent Non-Executive Director and Chairperson of the Remuneration Committee

Date of first appointment as Director: 19 December 2022
Date of the last re-election: 10 December 2024
Length of service as Director: 2 years 8 months
Date of resignation as Director: 29 August 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

AC CGC REC

Leveraging more than 20 years of working experience, Doriane Denise-Rama's fields of expertise span banking, strategic planning, business operations, relationship management and human resources. She worked at MCB Ltd and held positions in the Strategy, Research and Development, Business Banking and Human Resources functions during her 16-year stint therein. Her latest position has been to spearhead the Human Resources strategies of ENL group, one of the largest conglomerates in Mauritius.

During her career, she has had the opportunity to work on short-term assignments in the Seychelles, Madagascar, Kenya and Rwanda, which have led her to look at the world of work from the prisms of multiple cultures. Her passion is the growth of people and the realisation of their dreams, epitomised by her past roles as Bank Relationship Manager for SMEs alongside being a part-time tutor to MBA students.

Groomed into an HR professional and coach, she puts her experience and energy into contributing to healthy and prosperous organisations by offering consultancy and coaching services to grow their people.

She is also a member of the MIoD and an active member of its Women Directors Forum, aiming at increasing the representation of women in C-suite and Board positions in Mauritius.

Doriane holds a Bachelor of Business Administration (with distinction) from the University of South Africa, as well as an MBA (with distinction) and an MBA with Specialisation in Strategy (with distinction) from Edinburgh Business School, Heriot-Watt University, UK.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

LAURENT FRANÇOIS DE LA HOGUE

Non-Executive Director

Date of first appointment as Director: 30 January 2024
Date of the last election: 10 December 2024
Length of service as Director: 1 year 6 months
Date of resignation as Director: 22 July 2025

Directorship in listed entity(ies):
Lux Island Resorts Ltd

Directorship in other non-listed entity(ies):
AfrAsia Investments Limited
Compagnie Des Aigrettes Ltee
Cynologics Ltd
DTOS Holdings Ltd
DTOS Ltd
DTOS Trustees Ltd
Eagle Insurance Limited
KJM (Knights & Johns Management Ltd)
Interface Management Services Limited
Interface International Ltd
Eagle Insurance Limited
Ekada Capital Ltd (Previously AfrAsia Capital Management Ltd)
Ellebasi Ltd
IBL Treasury Ltd
IBL Financial Services Holding Ltd
LCL Cynologics Ltd
Les Campeches Limitée
Maustat Offshore Limited
Neocap Holdings Ltd
Strategia Investment Ltd
The Stock Exchange of Mauritius (SEM)

Committee membership:

CC

Directors' Profiles (Cont'd)

LAURENT FRANÇOIS DE LA HOGUE (Cont'd)

Non-Executive Director

François Laurent de La Hogue is the Head of Financial Services at IBL Ltd. He is a finance professional with over 20 years of experience in the financial services sector. He started his career with an international bank before joining GML Management Ltée in 2001 as Treasurer where he was involved in the setting up of the group central treasury management unit. He occupied various positions at executive levels and has been involved in development of projects including capital raising, mergers and acquisitions and company restructuring.

He also serves as Director on a number of organisations operating in the industrial, commercial, financial (regulated entities), investment and tourism sectors.

He holds a Masters in Management and Finance from École Supérieure De Gestion et Finance, Paris.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

BORIS FAUCHER

Non-Executive Director and Chairperson of the Conduct Review Committee

Date of first appointment as Director: 17 May 2022
Date of the last re-election: 10 December 2024
Length of service as Director: 3 years and 2 months
Date of resignation as Director: 22 July 2025

Directorship in listed entity(ies):
None
Directorship in other non-listed entity(ies):
10556793 Canada Inc.

Committee membership:

CRC REC

Boris Faucher graduated from the École des Hautes Études Commerciales in Montreal, Canada and is a CFA Charterholder. He is a finance professional with more than 20 years of experience in corporate finance with a focus on mergers and acquisitions, and over 12 years in the banking industry, in both developed and emerging markets.

He joined the National Bank of Canada in 2011 in the Strategy and Corporate Development team, where he worked on various bank acquisition projects and strategic planning mandates.

Starting in 2015, he participated in the elaboration of the international investment strategy, playing a key role in acquiring and overseeing minority and majority equity investments in various financial institutions in Asia and Africa.

He is a CFA Charterholder from CFA Institute and holds a Bachelor of Business Administration, Major in Finance from HEC, Montreal, Canada.

Country of residence: Canada

Directors' Profiles (Cont'd)

MARIE JENNIFER JEAN-LOUIS

Chief Financial Officer and Executive Director

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

CRC TDP

Please refer to "Directors' Profile" under "Substantial Change in Shareholding" for profile details.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

ASLAM KANOWAH

Non-Executive Director and Chairperson of the Corporate Governance Committee and Credit Committee

Date of first appointment as Director: 02 October 2020
Date of the last re-election: 10 December 2024
Length of service as Director: 4 years and 10 months
Date of resignation as Director: 22 July 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
Intrasia Management (Mauritius) Limited
Air Parakeet
AM (Mauritius) Ltd
Corestone Resources Ltd
F1 Capital Ltd
Foxtreme Markets
Genesis Global Wealth
GoToPay
Intrasia Securities Limited
Island Peak Strategic Ltd
Levene Energy Development Limited
Levene Energy Holdings Limited
Lhotse Investments Ltd
Lobos Ltd
Luvulu (Mauritius Ltd)
MACIF Capital PCC
NIU Botswana Holding
NIU Chile Holding
NIU Mining Financing Ltd
Phobos Ltd
Prime Earth Minerals
Rhizome Resources Group
Square Markets
The Pines Art Productions Limited
Verdebos Ltd
Intra Mineral Ltd
WhiteSlate Ltd
GCC Brokers Limited
Assets Global Limited
One Step Trade

Directors' Profiles (Cont'd)

ASLAM KANOWAH (CONT'D)

Directorship in other non-listed entity(ies) (Cont'd):
Belleo Markets
Regime Financials Limited
Paxton Trade Limited
Xelans Markets
Pemaxx Global Limited
Skyline Markets Ltd
Spider Capital Investments Ltd
Dinero Aventura Ltd
Traze Mauritius Ltd
SRF Capital Markets Ltd
9Cents
Novesto Markets Ltd
Go Wize Capital Markets Ltd

Committee membership:

CGC CC REC

Aslam is a finance professional, banker and accountant with 32 years in the financial services sector and over 18 years in the domestic and offshore banking industry.

In addition to banking his leadership role in developing licensed corporate and wealth management companies has given him a strong background in business development, compliance, governance and strategic planning. Over the course of his career he has held key positions in assets management, back office, corporate & fund administration, operations trading and treasury management.

He started at The Indian Ocean International Bank Ltd and subsequently worked for Bank International Indonesia, Standard Bank and Superfund Assets Management before moving to the Global Business Sector in 2011 and was the CEO of Aurisse International Ltd, COO of Capital Horizons Ltd and is currently the CEO of Intrasia Management (Mauritius) Ltd.

He has held a portfolio of directorships since 2011 in various entities engaged in advisory, brokerage, consultancy, funds, investment management, mining and trading. He has a track record in teaming up for the start-up of new offices for international and regional companies in Mauritius and a reputation for leading teams towards peak performance.

Aslam is a fellow member of the Association of Chartered Certified Accountants and is a certified Islamic Finance Expert ("CIFE"). He also holds an MBA in International Banking and Finance from Washington International University, USA.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

REHANA KASENALLY

Independent Non-Executive Director

Date of first appointment as Director: 19 December 2022
Date of the last re-election: 11 December 2023
Length of service as Director: 2 years
Date of cessation: 10 December 2024

Directorship in listed entity(ies):
Mauritius Investment Corporation
Directorship in other non-listed entity(ies):
None

Rehana Kasenally is a seasoned professional with broad financial services industry exposure including 13 years of regulatory experience with the Financial Services Commission and over 8 years in wealth management services.

She has been involved in the development of the global business sector of Mauritius from the outset in the early 1990s, focusing on policy and research development. Her experience over the years has honed key leadership skills in regulation, compliance, strategic planning and business development of the financial services sector. Her competencies in AML/CFT mechanisms over the past 5 years have allowed her to develop efficient frameworks for business operations.

Rehana was appointed in December 2024 as an Independent Director of the Mauritius Investment Corporation, a wholly owned subsidiary of the Bank of Mauritius, operating as a strategic accelerator in companies operating in key economic sectors.

Having spent a decade in Kenya working as a freelance consultant for the UN and other international organisations, she has acquired valuable experience in donor-funded monitoring and evaluation projects. She is currently working for FAM Ltd, an investment management company with cross-jurisdictional operations offering wealth management and captive advisory services.

She has contributed to several publications relating to the Mauritius IFC in the local press and has a chapter on the financial services sector in the 'The Oxford Handbook of the Mauritian Economy' ("OUP").

Rehana holds a BSc (Hons) Statistics & Operations Research from Queen Mary College, University of London, UK and A MSc Finance from Imperial College of Science & Technology, University of London, UK

Country of residence: Mauritius

Directors' Profiles (Cont'd)

ANAÏCK HÉLÈNE LARABI GUIDEZ

Non-Executive Director

Date of first appointment as Director: 02 December 2024
Date of the last election: 10 December 2024
Length of service as Director: 8 months
Date of resignation as Director: 22 July 2025

Directorship in listed entity(ies):
Blue Life Ltd
Directorship in other non-listed entity(ies):
Haute Rive Azuri Hotel
MBPCI
IBL International Ltd
Make Distribution

Committee membership:

CRC

Anaïck graduated from the Law University of la Sorbonne (Paris I) in 1998 and from the Law University of Paris-Créteil (Paris XII) in 2000. She holds a postgraduate law degree (DEA) in civil law (contracts) and a postgraduate degree (DESS) in business law. She was admitted to the Paris Bar in 2001 and to the Reunion Island Bar in 2007.

Anaïck started her career in 2001 as a lawyer in the Paris office of leading international (US) law firm Latham & Watkins. She later worked for German law firm Haarman Hemmelrath. In 2007, she set up her own chambers focused on business law in Reunion Island, where she was born, before moving to Mauritius where she is heading now the legal affairs department of Mauritian conglomerate IBL Ltd since 2018.

With 20 years of experience, Anaïck has advised national and international clients on mergers and acquisitions, private equity and other corporate matters. She has extensive experience of African and Indian Ocean M&A transactions, and is particularly well-versed in all aspects of contract law. She is actively involved in IBL's "Beyond Borders" strategy.

Country of residence: Mauritius

Directors' Profiles (Cont'd)

FIORANGELO SALVATORELLI

Independent Non-Executive Director & Chairperson of Risk Committee

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
Fusion Global Capital
Independent Corporate Access Ltd

Committee membership:

RC TDP

Please refer to "Directors' Profile" under "Substantial Change in Shareholding" for profile details.

Country of residence: United Kingdom

Directors' Profiles (Cont'd)

CHRISTIAN ST-ARNAUD

Non-Executive Director

Date of first appointment as Director: 02 October 2020
Date of the last re-election: 10 December 2024
Length of service as Director: 4 years and 10 months
Date of resignation: 22 July 2025

Directorship in listed entity(ies):
None
Directorship in other non-listed entity(ies):
ABA Bank

Committee membership:

CGC CC RC

Christian St-Arnaud graduated from the École des Hautes Études Commerciales in Montréal, Canada. Between 1983 and 2009, he occupied different positions in international and Canadian financial institutions in Canada, with a focus on credit capital market.

He joined National Bank of Canada in 2009 as Vice-President – Credit Capital Markets and Real Estate and was appointed Senior Vice-President – Credit in 2012 (2012-2020); overseeing all retail, commercial, and financial market credit activities of the Bank, including adjudication, portfolio management, and credit model development.

He was also a member of numerous senior committees of the Bank, including the Global Risk Committee, the Risk Management Committee and the Model Oversight Committee.

He holds a Bachelor of Business Administration, Major in Finance from HEC, Montreal, Canada and was part of the Management Executive Development Program from C.I.R.E.M., Montreal, Canada.

Country of residence: Canada

Directors' Profiles (Cont'd)

KAMARAJ ANANDA (KRISHAN) VUDDAMALAY

Independent Non-Executive Director & Chairperson of Technology, Digitalisation and Platforms Committee

Date of first appointment as Director: 10 December 2024
Date of the last election: 10 December 2024
Length of service as Director: 9 months
Date of resignation as Director: 29 August 2025

Directorship in listed entity(ies):
None

Directorship in other non-listed entity(ies):
None

Committee membership:

AC TDP

Currently living in France, Krishan is an expert in banking information systems, with over 15 years of experience managing complex technological projects for international financial institutions. He has led strategic initiatives in areas such as core banking systems transformation, risk management, banking compliance, and operational alignment.

Since more than 4 years, he is a consultant for a major European Banking Groups, enhancing his expertise in IT project management and change management, while having a deep understanding of both regional and international regulatory frameworks.

Having worked with BNP Paribas, BCP Bank (Mauritius), and BPCE International, Krishan has gained extensive knowledge of local Mauritian regulations and European standards, with a strong focus in risk management and banking compliance.

Kamaraj holds a degree in IT, a Master degree in Management and a Master2 Degree in Project Management in New Information and Communication Technologies from Institut d'Administration des Entreprise Nantes – France and Georgia State University.

Country of Residence: France

Directors' Profiles (Cont'd)

JOAN JILL WAN BOK NALE

Independent Non-Executive Director

Date of first appointment as Director: 05 November 2020
Date of the last re-election: 10 December 2024
Length of service as Director: 4 years and 7 months
Date of resignation as Director: 21 May 2025

Directorship in listed entity(ies):
None
Directorship in other non-listed entity(ies):
Cementis (Mauritius) Ltd

Joan Jill Wan Bok Nale is a finance professional with over 15 years of local and regional experience in Transaction Advisory and Assurance services provided across a diverse client portfolio spanning Hospitality, Financial Services, Real Estate, Gaming, Building Materials, Construction, or F&B/Leisure.

She last held the position of Associate Director (Deals) at PwC, where she advised both private and public clients on multiple and varied assignments including valuations, due diligence/feasibility studies, financial/corporate restructuring, IPO and SEM/DEM transaction advisory, M&A advisory, strategy and business planning, and deal closing.

Prior to joining PwC, she worked at International Financial Services Ltd (now Sanne Mauritius), a leading local offshore management company, overseeing a portfolio of over 100 clients including mutual funds and private equity funds, and serving as Director on a number of investment funds/GBCs. She started her career at Ernst & Young, spending 6 years in the assurance department, being involved on and leading the audits of listed and non-listed financial institutions mainly including banks, NBFI's and Insurance companies, whilst concurrently being in charge of the IFRS technical desk.

Jill is a Fellow Chartered Accountant ("FCA") from the Institute of Chartered Accountants in England & Wales and is a member of MIoD. She also holds a BSc (Hons) in Accounting and Finance from The London School of Economics and Political Science, United Kingdom.

Country of residence: Mauritius

Company Secretary's Profile

ANDY IVAN CHAN SOON SEN

Company Secretary

Andy currently holds the post of Company Secretary of AfrAsia Bank Limited and its subsidiary. He is a Chartered Governance Professional with more than 15 years of experience in corporate governance matters and company secretarial practice.

Prior to joining AfrAsia Bank in 2022, he managed the Corporate Affairs cluster of the main subsidiary of a leading global multinational operating in the pharmaceutical industry. Andy also worked for various companies offering corporate services to companies in various sectors. He started his career with a local conglomerate.

Andy is a member of the Mauritius Institute of Directors ("MIOD") and a Fellow of the Chartered Governance Institute UK & Ireland. He holds an MBA with a specialisation in Financial Services and a Bachelor of Arts (Honours) in Law and Management from the University of Mauritius.

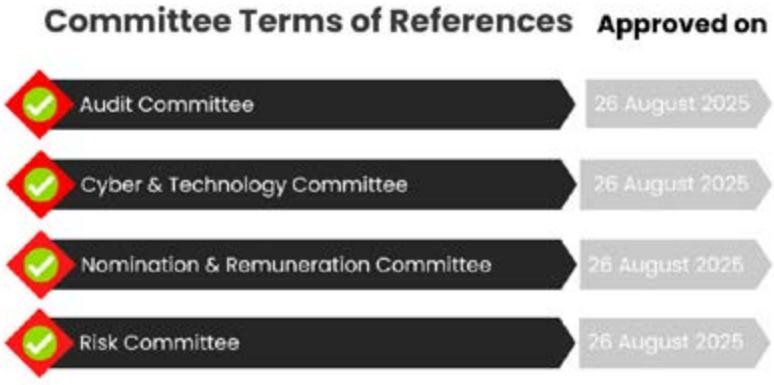
Board Committees

AfrAsia Bank has put in place Board Committees to support the Board of Directors in executing its fiduciary duties and governance responsibilities. Operating under delegated authority, these Committees are guided by structured reporting frameworks that promote effective oversight, strategic direction, and sound management of the Bank's affairs.

As of 30 June 2025, the Bank had in place 7 Board Committees, each constituted to enable thorough analysis and evaluation of various matters within their respective mandates. The Chairperson of each Board Committee reports and presents significant matters to the Board for further deliberation and/or approval as necessary. Each Committee operates following its Board-approved Terms of Reference, which are reviewed and amended as deemed appropriate by the Board, following an assessment conducted by the Corporate Governance Committee. Given the potential implications of such revisions, each Committee has adopted a rigorous and diligent approach when proposing and endorsing any amendments, thereby upholding sound standards of corporate governance. In line with this exercise, during the financial year under review, the terms of reference for all committees were adopted by the Board.



Substantial Change in Shareholding



Board Meeting Process

BOARD MEETING PROCESS

PLANNING

Meetings are planned in advance for the year as far as possible.

AGENDA

Draft agenda is prepared by the Company Secretary and finalised by the Chief Executive Officer and the Chairperson. Agenda is finalised, in most cases, at least two weeks prior to the meeting.

PRE-MEETING

Agenda and relevant papers are sent to all directors within reasonable time, however, due to the dynamic banking environment, it may happen that some papers are circulated with short notice. Papers are uploaded on a secured online platform. Necessary arrangements are also made for attendance remotely for those directors who are unable to attend physically.

MEETING

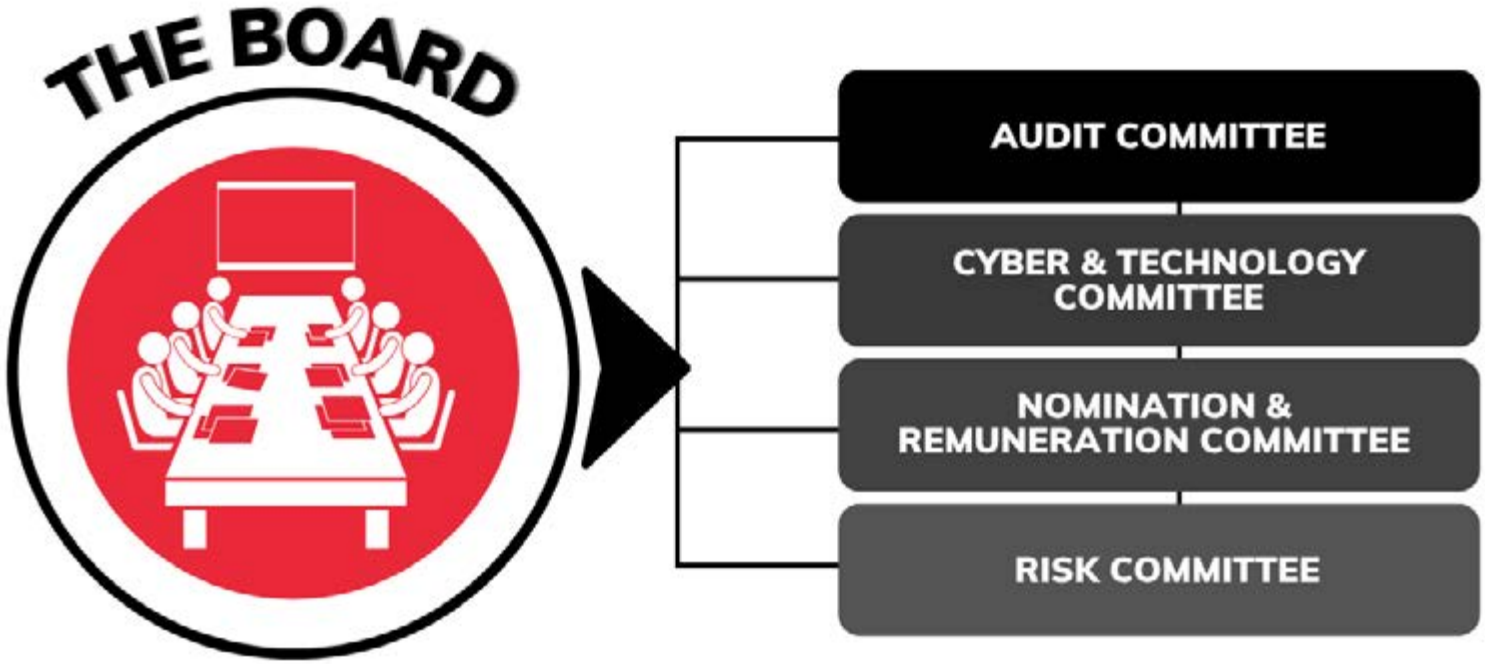
The duration of the meetings is reasonable but may be longer than expected in some cases depending on the discussions and/or matters being considered.

POST-MEETING

Minutes are drafted and sent for review to the Chairperson before same are circulated to all Directors for further inputs. All follow up actions are transmitted to the relevant party by the Company Secretary and status update are provided to the Board at the earliest possible.

Board Committees (Cont'd)

Substantial Change in Shareholding



Board Committees (Cont'd)

Audit Committee

Meetings:

In accordance with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require to ensure the execution of its mandate effectively. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 3 members and a maximum of 5 members. The Committee shall consist of a majority of Independent Non-Executive Directors. Post 30 June 2025, the Committee consists of 2 Independent Non-Executive Directors and 1 Non-Executive Director.

The composition was as follows:

Members	Appointment date as member	Status
Alastair James Bryce	26 June 2025	Independent Non-Executive Director
Vikas Monawer	03 September 2025	Non-Executive Director
Fiorangelo Salvatorelli	13 August 2025	Independent Non-Executive Director

Note:

- Marie Doriane Jessica Denise-Rama was member from 14 February 2023 to 13 August 2025;
- Kamaraj Ananda (Krishan) Vuddamalay was member from 13 February 2025 to 13 August 2025; and
- Alastair James Bryce was Chairperson from 26 June 2025 to 13 August 2025

Role & Responsibilities

General

- Ensuring that the Bank complies with regulatory requirements;
- Ensuring that there is an open avenue of communication between the Head of Internal Audit, the Head of Compliance and the External Auditors and the Board of Directors;
- Reporting to the Board on the conduct of its responsibilities in frequency specified by the Board, with particular reference to the appointment, powers and duties of auditors;
- Performing such additional duties/investigations as may be assigned to it by the Board of Directors;
- Reviewing annually and, if necessary propose for formal Board adoption, amendments to the Audit Committee's Terms of Reference and other recommendations/deliberations voted on at the
- Committee; Outside of the formal meetings, the Committee Chairperson shall maintain a dialogue with key individuals involved in the Bank's governance, including the Board Chairperson, the CEO, the CFO, the external audit Lead Partner, the Head of Compliance and the Head of Internal Audit; and

Board Committees (Cont'd)

Audit Committee (Cont'd)

Role & Responsibilities (Cont'd)

General (Cont'd)

- Meeting both internal and external auditors separately at least once a year without the Bank's management being present to discuss issues related to the Bank's audit and any other matters of concern which either party may wish to raise.

Financial Reporting

- Discussing with senior management and external auditors the overall results of the audit, the quality of financial statements and any concerns raised by external auditors. This should include:
  - key areas of risk for misinformation in the financial statements, including critical accounting policies, accounting estimates and financial statement disclosures;
  - changes in audit scope;
  - whether the external auditor considers the estimates used as aggressive or conservative within an acceptable range;
  - significant or unusual transactions; and
  - internal control deficiencies identified during the course of the audit.
- Enquiring about the appropriateness of the ECL process, models and the assumptions made for IFRS 9 (as overseen by the Risk Committee), and the impact on the financial statements;
- The Committee must review any transactions brought to its attention by auditors or any officers of the institution, or that might otherwise come to its attention, which might adversely affect the financial condition of the Bank;
- Assessing whether the Bank has implemented adequate financial disclosure procedures;
- Reviewing the interim and audited financial statements of the Bank (Company and Group level) for adequacy, using a fair and reasonable point of view, before their approval by the Board; and
- Reviewing relevant financial ratios, stress testing scenarios, solvency checks, and inputs from other Committees to discuss on any declaration of interim / final dividend for ordinary shares and Class A shares. The declaration of interim / final ordinary dividend should be in line with the capital strategy of the Bank, and should follow the devised process leading up to same.

Overall Internal Control

- Assessing whether the Bank has implemented adequate internal control procedures by:
  - Enquiring from management, the Head of Internal Audit, the Head of Compliance, and the External Auditors about significant risks or exposures and evaluate the steps taken to minimise such risk to the Bank;
  - Considering and reviewing the Head of Internal Audit's and Head of Compliance's significant findings during the year and Management's responses thereto; and
  - Requiring management of the Bank to implement and maintain appropriate accounting, internal control and financial disclosures and review, evaluate and approve such procedures.
- Ensuring that management is taking appropriate corrective action in response to deficiencies identified by the internal and external auditors, including internal control weaknesses and instances of non-compliance with laws.

Board Committees (Cont'd)

Audit Committee (Cont'd)

Role & Responsibilities (Cont'd)

Internal Audit

- Reviewing and providing input on the Internal Audit activity's strategic plan, objectives, performance measures, and outcomes.
- Approving the annual Internal Audit plan to ensure that these are risk-prioritised and address all activities over a measurable and reasonable cycle, and ensure that the work of external and internal auditors is coordinated, and completed timely.
- Reviewing and approving the Internal Audit charter at least annually. The charter should be reviewed to ensure that it accurately reflects the Internal Audit activity's purpose, authority, and responsibility, consistent with the mandatory guidance of The IIA's International Professional Practices Framework and the scope and nature of assurance and consulting services, as well as changes in the financial, risk management, and governance processes of the organization and reflects developments in the professional practice of internal auditing.
- Reviewing regular reports from the Head of Internal Audit and where it deems necessary recommend Ad-Hoc assignments to address specific matters.
- Ensuring that Internal Audit provides independent assurance to the Board on whether:
  - the internal control system in place is performing effectively and is adequate to mitigate risks consistent with the risk appetite of the financial institution; and
  - the organisational goals are met and corporate governance processes are effective and efficient.
- Ensuring that:
  - the Board is providing Internal Audit authority, among other things, to independently assess the effectiveness of internal control, risk management and governance systems;
  - the Internal Audit function has adequate resources and recommend to the Board additional Internal Audit headcount, training budget and capex, when deemed required;
  - Internal auditors adhere to international professional standards, such as those of the Institute of Internal Auditors;
  - the Internal Audit team has adequate professional background and training to carry out its responsibilities effectively, across the various fields audited (IT, IFRS, Banking etc.);
  - the Internal Audit reports are transmitted to the Board without any undue filtering of findings by management, and that the reports include a timeframe within which corrective action must be taken; and
  - the Board, through management feedback and recommendations, provides timely and effective response to the findings of internal auditors.
- Internal Audit must report directly to and have easy access to the Committee, and the Committee shall approve the remuneration of the Head of Internal Audit, with input from the Remuneration Committee.

Board Committees (Cont'd)

Audit Committee (Cont'd)

Role & Responsibilities (Cont'd)

Compliance

- Reviewing and providing input on Compliance's strategic plan, objectives, performance measures, and outcomes;
- Approving the annual Compliance plan/strategy and Compliance Charter;
- Reviewing and recommending the Bank's AML Policy and Compliance Policy for approval to the Board;
- Ensuring that there is appropriate structure in place for identifying, monitoring, and managing compliance and AML risk:
  - as well as a reporting system to advise the Committee and the Board of instances of regulatory non-compliance on a timely basis;
  - as well as review regular reports from the Head of Compliance.
- Ensuring that:
  - the Compliance function has adequate authority, independence and stature in the organization; and
  - the Compliance function has adequate resources and recommend to the Board additional Compliance headcount, training budget and capex, where deemed required.
- Compliance must report directly to and have an easy access to Committee, and the Committee shall approve the remuneration of the Head of Compliance, with input from the Nomination & Remuneration Committee.

Devolution and Interaction with other Committees

- Certain aspects of the Committee's responsibilities have been devolved to the applicable Board Committee given their mandate as follows, and accordingly, these matters shall be discussed at their respective meetings, and where applicable reported on to the AC or to the Board directly;
- The appropriateness of the ECL process, models and the assumptions made for IFRS9 are overseen by the Risk Committee and the AC shall receive the Risk Chair's debrief as part of its Financial reporting review;
- The Committee shall receive the Cyber & Technology Committee Chair's debrief on:
  - the Internal Audit's IT Annual Audit Plan and the corresponding Risk assessment;
  - The appropriate corrective action in response to deficiencies identified by the internal and external auditors, including internal control weaknesses and instances of non-compliance with laws relevant to IT matters;
- The Committee shall receive the Nomination & Remuneration Committee Chair's debrief on the quantum of the Discretionary Bonus Provision for inclusion in the financial statements;
- Management of AML risk – The Committee receives reports on AML matters from Compliance, Internal Audit and External Audit, based on their respective reviews/reports which are submitted to the Audit Committee. However, Customer On boarding matters and Customer Due Diligence review matters for the bank are escalated to the Risk Committee, through the Head of AML. The Risk Committee is also responsible for review of the AML/CFT risk appetite document before same is submitted to the Board for approval;
- With regards to Fraud: To obtain reasonable assurance with respect to the organisation's procedures for the prevention and detection of fraud, the Risk Committee shall:
  - Oversee management's arrangements for the prevention and deterrence of fraud;
  - Ensure that appropriate action is taken against known perpetrators of fraud; and

Board Committees (Cont'd)

Audit Committee (Cont'd)

Role & Responsibilities (Cont'd)

- Challenge management and internal and external auditors to ensure that the entity has appropriate antifraud programs and controls in place to identify potential fraud and ensure that investigations are undertaken if fraud is detected.

- The Committee shall correspondingly escalate any issues to the relevant committees arising from its review of its own papers, or from regulatory documents received and reviewed as applicable.

External Audit

- Recommending to the Board, who will in turn recommend to the shareholders the appointment, removal, and remuneration of external auditors for the Bank as well as any subsidiary of the Bank;
- Ensuring the establishment of policies and procedures with respect to proposed agreement with the external auditors for the provision of non-audit services to the Bank, for the performance such other oversight functions as may be determined by the board;
- Approving the engagement letter setting out the scope and terms of external audit;
- Approving the External audit plan to ensure that these are risk-prioritised and address all activities over a measurable and reasonable cycle, and that the work of external and internal auditors is coordinated;
- Meeting regularly with the external auditor (including once at the planning stage before the audit and once after the audit at the reporting stage) and at least once a year, without management being present, to discuss the external auditor's remit and any issue arising from the external audit, and to discuss any matter that the Committee thinks should be discussed privately; and
- Assessing the external auditors periodically in terms of:
  - the skills, resources, and independence of the external audit firm and its practices for quality control; and
  - the accounting practices.

Board Committees (Cont'd)

Cyber & Technology Committee

Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 3 members and a maximum of 5 members provided that at least 2 of the members are Non-Executive Directors with relevant experience in cyber/technology related matters, including the CEO. Post 30 June 2025, the Committee consists of 1 Independent Non-Executive Director, 1 Executive Director and 1 Non-Executive Director.

The composition was as follows:

Members	Appointment date as member	Status
Fiorangello Salvatorelli (Chairperson)	13 August 2025	Independent Non-Executive Director
James Kevin Simmonds	03 September 2025	Non-Executive Director
Thierry Paul Robert Rene Vallet	13 August 2025	Executive Director

Role & Responsibilities

The duties of the Committee should review and assess, where relevant, and make its recommendations to other Committees / the Board on the following matters, *inter alia:* -

Strategy and policies

- Strategies and framework related to Cyber and Technology including e-banking products and services;
- Relevant Cyber and Technology policies, implementation of Technology and digitalisation initiatives/projects as approved and aligned with the overall business strategy;
- Cyber and technology security awareness and training program for staff, directors and senior management including monitoring of the effectiveness of such programs through periodic testing, feedback, and reporting of awareness levels and user behavior metrics (e.g., phishing simulations);
- Operating models of Cyber & Technology areas, including Responsibility, Accountability, Consulted & Informed [RACI] Matrix;
- Architecture blueprints for enterprise, business, technical and so on, as per mapping to organizational-wide processes;

Board Committees (Cont'd)

Cyber & Technology Committee (Cont'd)

Role & Responsibilities (Cont'd)

Strategy and policies (Cont'd)

- Any relevant proposals, updated policies, standards, procedures and framework related to Cyber and Technology Security blue print in line with the security strategies of the Bank; and
- Ensuring the formal adoption, implementation and annual review of a Cybersecurity Governance Framework consistent with the Bank of Mauritius Cybersecurity Guideline.

Risks

- Receiving reports on material cyber and technology incidents, on the evolution of the threat landscape and on the status and effectiveness of the cyber and technology risk management framework;
- Assessing cyber and technology investments for sustaining the bank's growth considering proper balance of costs, risks and benefits;
- Reviewing, assessing and recommend to the Audit Committee the Internal Audit's IT Annual Audit Plan and the corresponding Risk assessment;
- Assessing, controlling, managing and mitigating Information, Cyber and technology risks as identified during audit process and to liaise with the Risk Committee accordingly;
- Creating awareness about exposure towards IT and Cyber Technology risks and controls, effectiveness of management's monitoring of IT and Cyber Technology risks through oversight over the proceedings of the Information Security Management Committee;
- Ensuring that appropriate business continuity arrangements / measures are in place;
- Monitoring of the bank's information management and data governance framework and systems including those relating to compliance with the General Data Protection Regulations (and any analogous legislation);
- Ensuring appropriate IT Risk Assessment is conducted on regular basis and Risk Register is up to date at all times;
- Ensuring vulnerabilities assessment and penetration testing is performed as and when needed and follow up on timely execution of remediation plan;
- Ensuring that a Cyber Incident Response Plan ("CIRP") is established, regularly tested, and updated, and that material cybersecurity incidents are reported to the Bank of Mauritius within the regulatory timelines;
- Reviewing post-incident reports and ensure lessons learned are implemented to improve resilience;
- Ensuring that a data classification framework is implemented, sensitive data is identified, and appropriate controls (encryption, access controls, etc.) are in place based on data sensitivity;
- Overseeing the conduct of periodic cyber resilience assessments, such as red teaming, simulated phishing, and tabletop exercises, to validate response capabilities;
- Overseeing the assessment and mitigation of cybersecurity risks in the Bank's supply chain, including vendors, partners and other interconnected entities; and
- Ensuring that cybersecurity practices, controls and frameworks are reviewed periodically to remain aligned with applicable regulatory requirements including the Bank of Mauritius Cybersecurity Guideline.

Board Committees (Cont'd)

Cyber & Technology Committee (Cont'd)

Role & Responsibilities (Cont'd)

Resources

- Appointing any such person (employee, consultant or advisor) to undertake any specific projects or assignments in relation to the Bank's technology, security or digitalisation initiatives/projects, and to review the progress of such engagements, for escalation from the relevant management committees;
- Reviewing the on-going appropriateness and relevance of the bank's policy for the allocation of resources required to deliver both the short-term and long-term information technology strategies;
- Reviewing and classifying all cyber and technology outsourcing related-activities and projects as well as monitoring closely the performance of service providers, ensuring they meet the Bank's cybersecurity requirements, and that appropriate Service Level Agreements ("SLAs") and independent assurance reports (e.g. SOC 2, ISO 27001) are obtained and reviewed periodically;
- IT organizational structure complements the business model and its direction; and
- Overseeing the cyber and technology landscape and the adequacy of human and other resources.

Performance and value

- Ensuring that Management has implemented relevant processes and practices that ensure that the IT services deliver value to the business;
- Assessing whether priorities set by management is as per overall strategy and business short term, mid-term and long-term goals;
- Assessing senior management's performance in implementing IT strategies, policies, projects and contribution of Cyber Technology to businesses; and
- Reviewing and approving the Key Performance Indicators for Cyber and Technology teams as per established strategy.

Budgets

- Reviewing and monitoring of the cyber and technology OPEX and CAPEX budgets vs actual; and
- Assessing and recommending proposed cyber and technology OPEX and CAPEX budgets.

Other

- Undertaking such other duties and responsibilities as determined by the Board of Directors of the bank for this Committee from time to time.

Board Committees (Cont'd)

Nomination & Remuneration Committee

Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 3 members and a maximum of 5 members. The Committee shall consist of a majority of Non-Executive Directors. Post 30 June 2025, the Committee consists of 1 Independent Non-Executive Directors and 2 Non-Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Olivier Emmanuel Jauffret	13 August 2025	Independent Non-Executive Director
Shainy Luxmi Munisami	03 September 2025	Non-Executive Director
James Kevin Simmonds	03 September 2025	Non-Executive Director

Roles and responsibilities:

Responsibilities as Nomination Committee include:

- Recommending to the Board candidate(s) for board positions including the appointment of the chairperson of the Board, Committees members and Chairpersons of Committees;
- When considering an appointment to the Board, the Committee shall satisfy itself that the candidate is able to commit sufficient time and effort to fulfil its responsibilities effectively, particularly if the candidate sits on multiple boards or undertakes other professional or commercial activities.
- Recommending appointment of Senior Officers to the Board;
- Ensuring that all directors including potential candidates and Senior Officers of the Bank are fit and proper and not disqualified to hold such position in the Bank in line with the requirements of the relevant laws and regulations;
- Reviewing the Board structure, size and composition considering the balance of skills and expertise and make recommendations to the Board with regards to any adjustments that are deemed necessary;

Board Committees (Cont'd)

Nomination & Remuneration Committee (Cont'd)

Roles and Responsibilities (Cont'd)

- Recommending criteria for the selection of board members and criteria for the evaluation of their performance; and
- Exercising oversight for critical people issues within the Bank including leadership, talent management and development as well as succession planning for key positions.

Responsibilities as Remuneration Committee:

- Responsible for recommending to the Board of Directors the remuneration policy for executive directors, Company Secretary, Senior Officers (as defined by Banking Act 2004), Executives and the Chairperson of the Board, including pension rights and any other compensation as per laws and regulations. The Board shall determine the remuneration of the non-executive directors;
- Recommending and monitoring the level and structure of remuneration for senior management and Senior Officers;
- Taking into account all factors which it deems necessary including relevant legal and regulatory requirements, the principles of the Code and associated guidance;
- Reviewing the on-going appropriateness and relevance of the remuneration policy;
- Within the terms of the agreed policy and in consultation with the CEO, as appropriate, recommending to the Board of Directors the total individual compensation package of each executive director, the Board Chairperson, Company Secretary and other designated Senior Officers and Executives including bonuses, pension, incentive payments, allowances and share options or other share awards;
- Overseeing any major changes in employee benefits structures throughout the Bank;
- Working and liaising as necessary with other Board committees;
- Agreeing the policy for authorising claims for expenses from the directors;
- Recommending to the Board the design of, and determine targets for, any performance-related pay schemes operated by the Bank and the total annual payments made under such schemes; and
- Annual review of bonuses and salaries adjustments.

Responsibilities from a governance perspective:

- Determining, agreeing and developing the Bank's general policy on corporate governance in accordance with the recommendations of the Code of Corporate Governance and other applicable Guidelines;
- Providing advice to the Board on corporate governance related-matters;
- Ensuring that disclosures on corporate governance whether in the annual report or on an ongoing basis, are made in accordance with the principles of the Code of Corporate Governance and other applicable Guidelines;
- Reviewing the annual corporate social responsibility policies and related budgets;
- Recommending to the Board any amendments in the Charter of the Bank's Foundation (AfrAsia Foundation) and make any other recommendations to the Board for the proper functioning of the said Foundation;
- Ensuring that new board members receive thorough orientation on board governance and key strategic issues facing the financial institution;
- Recommending the establishment and membership of committees to the Board for approval; and
- Receiving and deliberating on any matters referred to the Committee by any other committees for onward submission to the Board.

Board Committees (Cont'd)

Risk Committee

Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 4 members and a maximum of 5 members. Except for the CEO, the Committee shall consist of Non-Executive Directors. The members should be well versed with the Bank's risk management processes in general, and have a broad understanding of financial and business risks as well as the international economic and political environment. Post 30 June 2025, the Committee consisted of 1 Independent Non-Executive Director, 2 Non-Executive Directors and 1 Executive Director.

The composition was as follows:

Members	Appointment date as member	Status
Alastair James Bryce	14 February 2023	Independent Non-Executive Director
Vikas Monawer	03 September 2025	Non-Executive Director
James Kevin Simmonds	03 September 2025	Non-Executive Director
Thierry Paul Robert Vallet	01 April 2024	Executive Director

Note:

- Fiorangelo Salvatorelli was member / Chairperson from 26 June 2025 to 13 August 2025.

Role & Responsibilities

- Advising the Board on the Bank's overall current and future risk appetite, and ensure alignment with strategic, capital and financial plans, in line with the BOM's Risk Appetite Framework requirements. The Committee shall ensure that risk appetite is embedded into the risk culture and decision-making processes throughout the institution;
- Reviewing and considering, on at least an annual basis, the adequacy and effectiveness of the risk and credit risk management framework and policies, identifying, measuring, monitoring and controlling risk and the extent to which these are operating effectively;
- Reviewing and recommending to the Board any changes to risk policies and procedures to ensure adequacy, effectiveness and robustness of the risk framework;

Board Committees (Cont'd)

Risk Committee (Cont'd)

Role & Responsibilities (Cont'd)

- Ensuring that the Bank maintains adequate infrastructure, resources and systems to support risk management, and that risk management staff operate independently from the Bank's risk-taking activities in accordance with regulatory requirements;
- Monitoring and assessing management's periodic reports on risk exposure, risk portfolio, risk appetite, concentration of risk by category, stress testing and risk management activities;
- Providing oversight and ensuring appropriate design and execution of stress and scenario testing; including review and approval of the Bank's ICAAP and ECL frameworks, which should include:
  - the roles and responsibilities of the Board, Senior Management, Assurance functions (comprising Risk Management, Compliance and Internal Audit) as well as other stakeholders responsible for ongoing activities within the stress testing framework including scenario/model development/results; reporting, control and monitoring of data, results obtained and their end use;
  - Assessing of the performance of the risk methodologies, assumptions and scenarios and their effectiveness, and to make recommendations for remedial actions as necessary; and
  - Conducting periodic reviews of policies and procedures to ensure compliance to Bank of Mauritius Guidelines on Stress Testing.
- Identifying principal risks, including those relating to credit, market, liquidity, operational, legal, compliance, reputational and other risks and actions to measure, manage and mitigate these risks;
- Overseeing the identification and management of climate-related, environmental and other emerging risks, including ESG risks, in line with BOM guidelines and international best practices; to ensure that appropriate scenario analysis, disclosure frameworks and risk assessment tools are adopted;
- Reviewing and approving country risk limits and all significant credit exposures of the Bank;
- Establishing adequate procedures and effective controls in terms to credit risks and identify any deterioration in the loan portfolio;
  - Managing Stage 2 and Stage 3 assets;
- Recommending the appointment of the Chief Risk Officer who, among other things, shall have no revenue-related performance targets, and shall provide assurance that the oversight of risk management is independent from operational management, and is adequately resourced with proper visibility and status in the Bank;
- Ensuring that the Chief Risk Officer provides regular reports to the Committee, senior management and the Board on his/her activities and findings relating to the Bank's risk appetite framework;
- Developing an evolving and challenging risk culture within the Bank, and to ensure that adequate training is delivered to all relevant staff on a regular basis; and
- Ensuring that the Bank has a comprehensive risk governance framework that is consistent with the BOM's Risk Management Guideline, including:
  - Clearly defined roles and responsibilities of the Board, Board Committees, Senior Management, and Risk Management functions.
  - Approval of the Bank's Risk Management Framework and its alignment with the strategic objectives of the Bank.
  - Oversight of the independence, adequacy of resources, and effectiveness of the risk management and compliance functions.

Board Committees (Cont'd)

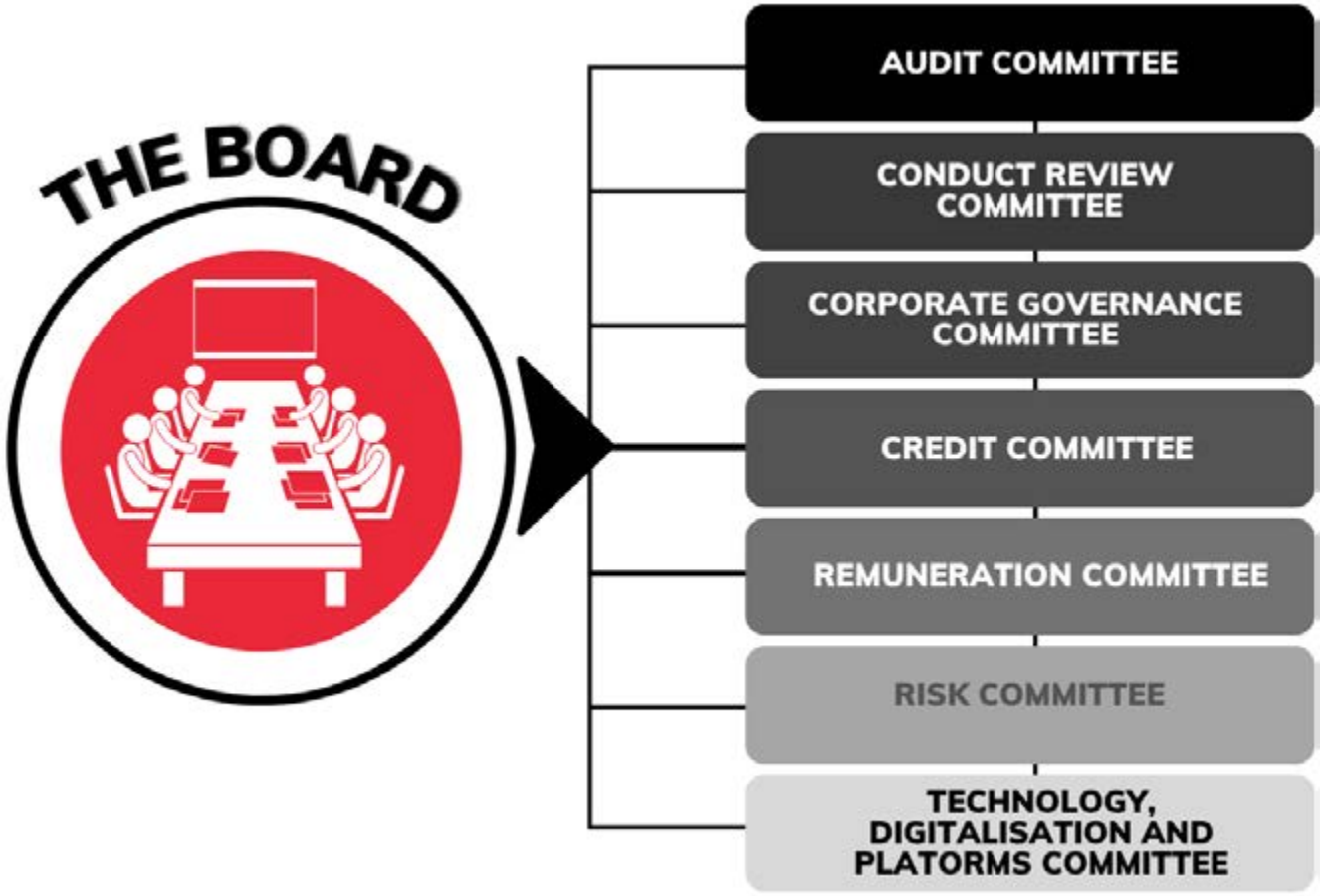
Risk Committee (Cont'd)

Role & Responsibilities (Cont'd)

- Overseeing the implementation of a structured Enterprise-Wide Risk Management ("ERM") framework covering all material risks across business lines, legal entities and jurisdictions, and ensure periodic independent review of the ERM framework.
- Overseeing the effectiveness of the Bank's business continuity management ("BCM"), recovery and resolution planning, and ensure appropriate testing of recovery and crisis management frameworks.
- Ensuring that internal control systems and compliance functions are effective, independent and adequately resourced, and that breaches or control weaknesses are escalated to the Committee.
- Reviewing and providing oversight on risk-related aspects of material related party transactions and to ensure mechanisms are in place to manage and disclose conflicts of interest in accordance with the BOM Guideline on Corporate Governance; and
- Overseeing risk management activities outsourced to third parties and ensure such arrangements comply with the BOM Guideline on Outsourcing by Financial Institutions, particularly with respect to risk ownership, controls, and performance monitoring.

Board Committees

The Board Committees Structure as of 30 June 2025 is as follows:



Board Committees (Cont'd)

Audit Committee



Meetings:

In accordance with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require to ensure the execution of its mandate effectively. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 3 Independent Non-Executive Directors and a maximum of 5 Independent Non-Executive Directors. As of 30 June 2025, the Committee consisted of 3 Independent Non-Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Alastair James Bryce (Chairperson)	26 June 2025	Independent Non-Executive Director
Marie Doriane Jessica Denise – Rama	14 February 2023	Independent Non-Executive Director
Kamaraj Ananda (Krishan) Vuddamalay	13 February 2025	Independent Non-Executive Director

Note:

- Joan Jill Wan Bok Nale was a member / Chairperson from 05 November 2020 to 21 May 2025;
- Rehana Kasenally was a member from 14 February 2023 to 10 December 2024;
- Fiorangelo Salvatorelli was a member from 01 April 2022 to 26 June 2025; and
- The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

General

- Ensuring that the Bank complies with regulatory requirements;
- Ensuring that there is an open avenue of communication between the Head of Internal Audit, the Head of Compliance and the External Auditors and the Board of Directors;
- Ensuring that the Committee reports to the Board on the conduct of its responsibilities in frequency specified by the Board, with particular reference to the appointment, powers and duties of auditors;
- Performing such additional duties/investigations as may be assigned to it by the Board of Directors;
- Reviewing annually and, if necessary propose for formal Board adoption, amendments to the Audit Committee's Terms of Reference and other recommendations/deliberations voted on at the Committee;

Board Committees (Cont'd)

Audit Committee (Cont'd)

- Outside of the formal meetings, the Committee Chairperson shall maintain a dialogue with key individuals involved in the Bank's governance, including the Board Chairperson, the CEO, the CFO, the external audit Lead Partner, the Head of Compliance and the Head of Internal Audit; and
- Meeting both internal and external auditors separately at least once a year without the Bank's management being present to discuss issues related to the Bank's audit and any other matters of concern which either party may wish to raise.

Financial Reporting

- Discussing with senior management and external auditors the overall results of the audit, the quality of financial statements and any concerns raised by external auditors. This should include:
  - key areas of risk for misinformation in the financial statements, including critical accounting policies, accounting estimates and financial statement disclosures;
  - changes in audit scope;
  - whether the external auditor considers the estimates used as aggressive or conservative within an acceptable range;
  - significant or unusual transactions; and
  - internal control deficiencies identified during the course of the audit;
- Enquiring about the appropriateness of the Expected Credit Losses ("ECL") process, models and the assumptions made for IFRS 9 (as overseen by the Risk Committee), and the impact on the financial statements;
- Reviewing any transactions brought to its attention by auditors or any officers of the institution, or that might otherwise come to its attention, which might adversely affect the financial condition of the Bank;
- Assessing whether the Bank has implemented adequate financial disclosure procedures;
- Reviewing the interim and audited financial statements of the Bank (Company and Group level) for adequacy, using a fair and reasonable point of view, before their approval by the Board; and
- Reviewing relevant financial ratios, stress testing scenarios, solvency checks, and inputs from other Committees to discuss on any declaration of interim / final dividend for ordinary shares and Class A shares. The declaration of interim / final ordinary dividend should be in line with the capital strategy of the Bank, and should follow the devised process leading up to same.

Overall Internal Control

- Assessing whether the Bank has implemented adequate internal control procedures by:
  - Enquiring from management, the Head of Internal Audit, the Head of Compliance, and the External Auditors about significant risks or exposures and evaluate the steps taken to minimise such risk to the Bank;
  - Considering and reviewing the Head of Internal Audit's and Head of Compliance's significant findings during the year and Management's responses thereto; and
  - Requiring management of the Bank to implement and maintain appropriate accounting, internal control and financial disclosures and review, evaluate and approve such procedures.
- Ensuring that management is taking appropriate corrective action in response to deficiencies identified by the internal and external auditors, including internal control weaknesses and instances of non-compliance with laws.

Board Committees (Cont'd)

Audit Committee (Cont'd)

Internal Audit

- Reviewing and providing input on the Internal Audit activity's strategic plan, objectives, performance measures, and outcomes;
- Approving the annual Internal Audit plan to ensure that these are risk prioritised and address all activities over a measurable and reasonable cycle, and ensure that the work of external and internal auditors is coordinated, and completed timely:
- Reviewing and approving the Internal Audit charter at least annually. The charter should be reviewed to ensure that it accurately reflects the Internal Audit activity's purpose, authority, and responsibility, consistent with the mandatory guidance of The IIA's International Professional Practices Framework and the scope and nature of assurance and consulting services, as well as changes in the financial, risk management, and governance processes of the organization and reflects developments in the professional practice of internal auditing;
- Reviewing regular reports from the Head of Internal Audit and where it deems necessary recommend Ad-Hoc assignments to address specific matters;
- Ensuring that Internal Audit provides independent assurance to the Board on whether:
  - the internal control system in place is performing effectively and is adequate to mitigate risks consistent with the risk appetite of the financial institution; and
  - the organisational goals are met and corporate governance processes are effective and efficient.
- Ensuring that:
  - the Board is providing Internal Audit authority, among other things, to independently assess the effectiveness of internal control, risk management and governance systems;
  - the Internal Audit function has adequate resources and recommend to the Board additional Internal Audit headcount, training budget and capex, when deemed required;
  - Internal auditors adhere to international professional standards, such as those of the Institute of Internal Auditors Internal auditors adhere to international professional standards, such as those of the Institute of Internal Auditors;
  - the Internal Audit team has adequate professional background and training to carry out its responsibilities effectively, across the various fields audited (IT, IFRS, Banking etc.);
  - the Internal Audit reports are transmitted to the Board without any undue filtering of findings by management, and that the reports include a timeframe within which corrective action must be taken;
  - the Board, through management feedback and recommendations, provides timely and effective response to the findings of internal auditors.
- Internal Audit must report directly to and have easy access to the Committee, and the Committee shall approve the remuneration of the Head of Internal Audit, with input from the Remuneration Committee.

Board Committees (Cont'd)

Audit Committee (Cont'd)

Compliance

- Reviewing and providing input on Compliance's strategic plan, objectives, performance measures, and outcomes;
- Approving the annual Compliance plan/strategy and Compliance Charter;
- Reviewing and recommending the Bank's AML Policy for approval to the Board;
- Ensuring that there is appropriate structure in place for identifying, monitoring, and managing compliance and AML risk:
  - as well as a reporting system to advise the Committee and the Board of instances of regulatory non-compliance on a timely basis; and
  - as well as review regular reports from the Head of Compliance.
- Ensuring that:
  - The Compliance function has adequate authority, independence and stature in the organization;
  - The Compliance function has adequate resources and recommend to the Board additional Compliance headcount, training budget and capex, where deemed required.
- Compliance must report directly to and have an easy access to Committee, and the Committee shall approve the remuneration of the Head of Compliance, with input from the Remuneration Committee.

Devolution and Interaction with other Committees

- Certain aspects of the Committee's responsibilities have been devolved to the applicable Board Committee given their mandate as follows, and accordingly, these matters shall be discussed at their respective meetings, and where applicable reported on to the AC or to the Board directly:
  - The appropriateness of the ECL process, models and the assumptions made for IFRS9 are overseen by the Risk Committee and the AC shall receive the Risk Chair's debrief as part of its Financial reporting review;
  - The Committee shall receive the TDP Chair's debrief on:
    - ✓ the Internal Audit's IT Annual Audit Plan and the corresponding Risk assessment; and
    - ✓ The appropriate corrective action in response to deficiencies identified by the internal and external auditors, including internal control weaknesses and instances of non-compliance with laws relevant to IT matters.
  - Receiving the Remuneration Committee Chair's debrief on the quantum of the Discretionary Bonus Provision for inclusion in the financial statements;
  - Management of AML risk – The Committee receives reports on AML matters from Compliance, Internal Audit and External Audit, based on their respective reviews/reports which are submitted to the Audit Committee. However, Customer On boarding matters and Customer Due Diligence review matters for the bank are escalated to the Risk Committee, through the Head of AML. The Risk Committee is also responsible for review of the AML/CFT risk appetite document before same is submitted to the Board for approval;
  - With regards to Fraud: To obtain reasonable assurance with respect to the organisation's procedures for the prevention and detection of fraud, the Risk Committee shall:
    - ✓ Overseeing management's arrangements for the prevention and deterrence of fraud;
    - ✓ Ensuring that appropriate action is taken against known perpetrators of fraud; and
    - ✓ Challenging management and internal and external auditors to ensure that the entity has appropriate antifraud programs and controls in place to identify potential fraud and ensure that investigations are undertaken if fraud is detected.
  - Receiving the appropriate debriefs from other Committees in line with the Dividend policy process to facilitate its own deliberations.

Board Committees (Cont'd)

Audit Committee (Cont'd)

Devolution and Interaction with other Committees (Cont'd)

- Correspondingly escalating any issues to the relevant Committees arising from its review of its own papers, or from regulatory documents received and reviewed as applicable.

External Audit

- Recommending to the Board, who will in turn recommend to the shareholders the appointment, removal, and remuneration of external auditors for the Bank as well as any subsidiary of the Bank;
- Ensuring the establishment of policies and procedures with respect to proposed agreement with the external auditors for the provision of non-audit services to the Bank, for the performance such other oversight functions as may be determined by the board;
- Approving the engagement letter setting out the scope and terms of external audit;
- Approving the External audit plan to ensure that these are risk-prioritised and address all activities over a measurable and reasonable cycle, and that the work of external and internal auditors is coordinated;
- Meeting regularly with the external auditor (including once at the planning stage before the audit and once after the audit at the reporting stage) and at least once a year, without management being present, to discuss the external auditor's remit and any issue arising from the external audit, and to discuss any matter that the Committee thinks should be discussed privately; and
- Assessing the external auditors periodically in terms of:
  - the skills, resources, and independence of the external audit firm and its practices for quality control; and
  - the accounting practices.

Board Committees (Cont'd)

Conduct Review Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Committee shall consist of a minimum of 3 members and a maximum of 5 members. As of 30 June 2025, the Committee consisted of 1 Independent Non-Executive Director, 2 Non-Executive Directors, and 1 Executive Director.

The composition was as follows:

Members	Appointment date as member	Status
Boris Faucher (Chairperson)	14 February 2023	Non-Executive Director
Olivier Emmanuel Jauffret	29 March 2024	Independent Non-Executive Director
Marie Jennifer Jean-Louis	14 February 2023	Executive Director
Anaick Helene Larabi Guidez	13 February 2025	Non-Executive Director

Note: The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

- Requiring Management of the Bank to establish policies, systems and procedures to comply with the requirements of the Bank of Mauritius Guideline on Related Party Transactions;
- Ensuring the review of the policies and procedures periodically to ensure their continuing effectiveness, adequacy and enforcement, in the best interests of the Bank prior to submission for Board of Directors' approval;
- Ensuring that the Bank has suitable framework, process and policy approved by the Board of Directors to ensure that Board members and staff with conflict of interest are excluded from the approval and monitoring process of related party transactions;
- Ensuring approval authorities and processes are in place for related party transactions in accordance with the Bank's policy;
- Reviewing and approving each credit exposure to related parties;
- Ensuring that the Board of Directors is promptly apprised of any material development on related party transactions;
- Ensuring that market terms and conditions are applied to all related party transactions;
- Ensuring that the Bank has a robust system for checks and balances to monitor compliance with regulatory limits with respect to related party transactions; uphold impartiality and prevent credit activities of any kind to override established credit approval policies and procedures when granting credit facilities to related parties;

Board Committees (Cont'd)

Conduct Review Committee (Cont'd)

Roles and responsibilities (Cont'd):

- Reviewing the practices of the Bank to ensure that any transaction with related parties that may have a material effect on the stability and solvency of the Bank is identified and dealt with in a timely manner;
- Ensuring that Write- Offs of Related party credit exposure are reviewed and subject to the prior approval of the Board of Directors;
- Reviewing and escalating to the Board on a quarterly basis control reports on related party transactions covering;
  - new related party transactions;
  - the performance of the Bank's related party exposures, including compliance with policies and procedures (including internal/regulatory limits), breach of covenants, deterioration in credit quality, impairment of assets and non-perfection of collateral;
  - the performance of services provided by related party and other arrangements/contracts with related parties, including compliance with agreed service level agreements;
  - the findings and status of recommendations of control functions, the Audit Committee and the Risk Management Committee in respect of related party transactions; and
  - Credit facilities to staff which are not in line with the terms and conditions as approved by the Board.

Board Committees (Cont'd)

Corporate Governance Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Board shall appoint the members of the Committee from amongst the Directors of the Bank and shall be composed of a majority of Non-Executive Directors. The Committee shall consist of a minimum of 3 members and a maximum of 5 members. As of 30 June 2025, the Committee consisted of 3 Non-Executive Directors and 2 Independent Non-Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Aslam Kanowah (Chairperson)	22 October 2020	Non-Executive Director
Jan Fredrik Louis Gaëtan Boullé	22 October 2020	Non-Executive Director
Marie Doriane Jessica Denise-Rama	14 February 2023	Independent Non-Executive Director
Olivier Emmanuel Jauffret	29 March 2024	Independent Non-Executive Director
Christian St-Arnaud	01 April 2022	Non-Executive Director

Note: The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

- Determining, agreeing and developing the Bank's general policy on corporate governance in accordance with the recommendations of the Code of Corporate Governance and other applicable Guidelines;
- Providing corporate governance advice to the Board;
- Ensuring that disclosures on corporate governance whether in the annual report or on an ongoing basis, are made in accordance with the principles of the Code of Corporate Governance and other applicable Guidelines;
- Preparing the corporate governance report to be published in the annual report;
- Reviewing the annual corporate social responsibility policies and related budgets;
- Recommending to the Board any amendments in the Charter of the Bank's Foundation (AfrAsia Foundation) and make any other recommendations for the proper functioning of the said Foundation;

Board Committees (Cont'd)

Corporate Governance Committee (Cont'd)

Roles and responsibilities (Cont'd):

- Ensuring that the board members receive thorough orientation on board governance and key strategic issues facing the financial institution;
- Receiving and deliberating on any matters referred to the Committee by the Remuneration Committee or any other committees for onward submission to the Board; and
- Receiving and validating the Bank's annual corporate KPIs following recommendation from the Strategy Committee for onward submission to the Board.

The Corporate Governance Committee shall also act as the Nomination Committee. Responsibilities as Nomination Committee include:

- Recommending to the Board candidates for board positions, including the chair of the Board and chairs of the Board Committees;
- Ensuring that all directors, potential Board candidates and Senior Officers of the Bank are fit and proper and not disqualified to hold such position in the Bank in line with the requirements of the relevant laws and regulations;
- Reviewing the Board structure, size and composition considering the balance of skills and expertise and make recommendations to the Board with regards to any adjustments that are deemed necessary;
- Recommending criteria for the selection of board members and criteria for the evaluation of their performance;
- Ensuring that the provisions of the Constitution of the Bank, the Companies Act, regulations and the BOM requirements, relating to the procedures, selection and appointment of directors and senior officials, are abided to;
- Recommending nominees for board committees;
- Reviewing the contribution of individual directors to the achievement of corporate objectives as well as on the regularity of their attendance at the board and committee meetings;
- When considering an appointment to the Board, the Nomination Committee shall satisfy itself that the candidate is able to commit sufficient time and effort to fulfil its responsibilities effectively, particularly if the candidate has a seat on multiple boards or undertakes other professional or commercial activities; and
- Ensuring that Senior Management team is adequately skilled and resourced, with succession plans in place, to provide ongoing stable leadership and management of the organisation.

Board Committees (Cont'd)

Credit Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be 3 members.

Weekly Credit Committee held:

During the financial year under review, the members of the Credit Committee met to discuss and approve credit files on a weekly or fortnightly basis or as and when required. The Board has set credit limits for executive approval at different levels, namely, Senior Manager Credit Risk, Head of Credit and Management Credit Committee from a lending/credit perspective and the Conduct Review Committee from a Related Party perspective. These delegated lending limits were approved in November 2021, reviewed in December 2022, and in February 2024. The approvals of credit files initially approved by the Credit Committee on a weekly or fortnightly basis are ratified in the quarterly Credit Committee meetings. For the financial year under review, there were 17 Credit Committee meetings, 59 Management Credit Committee meetings held. The frequency of these meetings was necessary to meet business and client expectations and to ensure rigorous debates on credit matters at the different levels of approval authority.

**The number of meetings featured pertains solely to quarterly meetings.*

Composition and Membership:

The Board shall appoint the members of the Committee from amongst the Directors of the Bank consisting of Non-Executive Directors. The Committee shall consist of a minimum of 3 members and a maximum of 5 members. As of 30 June 2025, the Committee consisted of 3 Non-Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Aslam Kanowah (Chairperson)	02 March 2022	Non-Executive Director
Christian St-Arnaud	22 October 2020	Non-Executive Director
François Laurent De La Hogue	14 May 2024	Non-Executive Director

Note:

- Aslam Kanowah was appointed as Chairperson in 02 October 2024;
- Christian St-Arnaud was Chairperson from 03 March 2022 to 02 October 2024;
- Alastair James Bryce was a member from 14 February 2023 to 02 October 2024; and
- The management team members are in attendance as and when required for their relevant section(s).

Board Committees (Cont'd)

Credit Committee (Cont'd):

Roles and responsibilities:

- Reviewing Credit Risk Policy and related techniques and guidelines, procedures at least once a year to ensure their continued adequacy and effectiveness and submit same for Board's approval;
- Overseeing the credit activity of the financial institution with integrity, using strictly and exclusively prudential credit criteria;
- Ensuring the selection and appointment of qualified and competent management to administer the credit risk management function;
- Ensuring that in case of international credit transactions country risk limits are in place and available and, in addition to standard risks, any risks associated with economic, political and social environment in the country as well as transfer risk are considered;
- Reviewing all significant credit exposures of the bank;
- Reviewing, at the request of the Risk Committee, specific significant delinquent credits and management's actions taken or contemplated for their recovery;
- Overseeing the credit risk management of the Bank, including reviewing the loan portfolio (composition and quality) and monitoring of significant credit exposures;
- Approving credit applications in accordance with the Bank's Credit Risk Policy when exceeding limits delegated to Management Credit Committee;
- Reviewing and approving any deviations from the Bank's written Credit Risk Policy and actions to ensure compliance with the policy; review trends in the quality of, and concentration in, the financial institution's credit portfolio, to identify emerging problems and act to deal with the problems;
- Ensuring that management establishes adequate credit assessment processes and effective controls to identify any deterioration in the loan portfolio;
- Recommending any delegated credit approval authorities to Senior Officers and Management Credit Committee; and
- As and when required, Board Credit Committee may provide its views and comments to Board Risk Committee on specific credit matters.

Board Committees (Cont'd)

Remuneration Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least twice a year and otherwise as required. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Board shall appoint the members of the Committee from amongst the Non-Executive Directors of the Bank, preferably a majority of Independent Non-Executive Directors. The Committee shall comprise between 3 and 5 members. As of 30 June 2025, the Committee consisted of 1 Independent Non-Executive Director and 3 Non-Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Marie Doriane Jessica Denise-Rama (Chairperson)	14 February 2023	Independent Non-Executive Director
Jan Fredrik Louis Gaëtan Boullé	02 March 2022	Non-Executive Director
Boris Faucher	17 May 2022	Non-Executive Director
Aslam Kanowah	02 March 2022	Non-Executive Director

Note: The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

- Having responsibility for recommending to the Board of Directors the remuneration policy for all Executive Directors, Directors, Company Secretary, Executives and the Chairperson of the Board, including pension rights and any compensation payments to be approved by the Board as per laws and regulations. The Board shall determine the remuneration of the non-executive directors. No director, Executive or senior manager shall be involved in any decisions as to their own remuneration;
- Recommending and monitoring the level and structure of remuneration for senior management;
- Taking into account all factors which it deems necessary including relevant legal and regulatory requirements, the principles of the Code and associated guidance;
- Reviewing the on-going appropriateness and relevance of the remuneration policy;
- Within the terms of the agreed policy and in consultation with the CEO, as appropriate, recommend to the Board of Directors the total individual compensation package of each executive director, the Board Chairperson, Company Secretary and other designated senior executives including bonuses, pension, incentive payments, allowances and share options or other share awards;

Board Committees (Cont'd)

Remuneration Committee (Cont'd):

Roles and responsibilities (Cont'd):

- Overseeing any major changes in employee benefits structures throughout the Bank;
- Being exclusively responsible for establishing the selection criteria, selecting, appointing and setting the terms of reference for any remuneration consultants who advise the Committee;
- Working and liaising as necessary with other Board committees;
- Agreeing the policy for authorising claims for expenses from the directors;
- Recommending to the Board the design of, and determine targets for, any performance related pay schemes operated by the Bank and the total annual payments made under such schemes; and
- Annual review of bonuses and salaries adjustments.

Board Committees (Cont'd)

Risk Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The Board shall appoint the members of the Committee and shall comprise any non-executive directors, with an Independent Non-Executive Director as Chairperson, including the CEO. The members should be well versed with the Bank's risk management processes in general, and have a broad understanding of financial and business risks as well as the economic environment. The Committee shall consist of a minimum of 3 members and a maximum of 5 members. As of 30 June 2025, the Committee consisted of 2 Independent Non-Executive Directors, 1 Non-Executive Director and 1 Executive Director.

The composition was as follows:

Members	Appointment date as member	Status
Fiorangelo Salvatorelli (Chairperson)	02 March 2022	Independent Non-Executive Director
Alastair James Bryce	14 February 2023	Independent Non-Executive Director
Christian St Arnaud	30 November 2020	Non-Executive Director
Thierry Paul Robert Rene Vallet	01 April 2024	Executive Director

Note:

- Fiorangelo Salvatorelli was appointed as Chairperson on 26 June 2025;
- Alastair James Bryce was Chairperson from 14 February 2023 to 26 June 2025; and
- The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

- Advising the Board on the Bank's overall current and future risk appetite, to oversee senior management's implementation of the Risk Appetite Framework and risk management policies, to ensure these are in line with regulatory and corporate governance best practice and to report on the evolution of the Bank's risk culture;
- Reviewing and considering, on at least an annual basis, the adequacy of the risk management framework and policies, identifying, measuring, monitoring and controlling risk and the extent to which these are operating effectively; To ensure infrastructure, resources and systems are in place for risk management, namely to ensure that the staff responsible for implementing risk management systems perform those duties independently of the Bank's risk-taking activities;
- Reviewing management's periodic reports on risk exposure, risk portfolio, risk appetite, stress testing and risk management activities;

Board Committees (Cont'd)

Risk Committee (Cont'd)

Roles and responsibilities (Cont'd):

- Providing oversight and ensure appropriate design and execution of stress and scenario testing; including review and approval of the Bank's Internal Capital Adequacy Assessment Process ("ICAAP"), ECL frameworks, which should include;
  - The roles and responsibilities of the Board, Senior Management, Assurance functions (comprising Risk Management, Compliance and Internal Audit) as well as other stakeholders responsible for ongoing activities within the stress testing framework including scenario/model development/results; reporting, control and monitoring of data, results obtained and their end use;
  - Assessment of the performance of the risk methodologies, assumptions and scenarios and their effectiveness, and to make recommendations for remedial actions as necessary; and
  - Conducting periodic reviews of policies and procedures to ensure compliance to Bank of Mauritius Guidelines on Stress Testing.
- Identifying principal risks, including those relating to credit, market, liquidity, operational, legal, compliance, reputational and other risks and actions to measure, manage and mitigate these risks;
  - Management of Stage 2 and Stage 3 assets.
- Overseeing climate-related and environmental risk matters including establishment of appropriate risk policies and to reviewing their effectiveness;
- Appointing the Chief Risk Officer who, among other things, shall have no revenue-related performance targets, and shall provide assurance that the oversight of risk management is independent from operational management, and is adequately resourced with proper visibility and status in the Bank;
- Ensuring that the Chief Risk Officer provides regular reports to the Committee, senior management and the Board on his/her activities and findings relating to the Bank's risk appetite framework; and
- Developing an evolving and challenging risk culture within the Bank, and to ensure that adequate training is delivered to all relevant staff on a regular basis.

Board Committees (Cont'd)

Technology, Digitalisation and Platforms Committee



Meetings:

In line with its approved Terms of Reference, the Committee is required to convene at least once every quarter or more frequently as circumstances require. The quorum for any meeting shall be a majority of the membership of the Committee.

Composition and Membership:

The membership of the Committee shall consist of any member of the Board, including the CEO. The Committee shall consist of a minimum of 3 members and a maximum of 5 members provided that at least 2 of the members are Independent Non- Executive Directors with relevant experience in cyber/technology matters. As of 30 June 2025, the Committee consisted of 2 Independent Non-Executive Directors and 2 Executive Directors.

The composition was as follows:

Members	Appointment date as member	Status
Kamaraj Ananda Vuddamalay (Chairperson)	13 February 2025	Independent Non-Executive Director
Fiorangello Salvatorelli	02 March 2022	Independent Non-Executive Director
Marie Jennifer Jean-Louis	14 February 2023	Executive Director
Thierry Paul Robert Rene Vallet	01 April 2024	Executive Director

Note:

- Rehana Kasenally was a member from 14 February 2023 to 10 December 2024;
- Fiorangelo Salvatorelli was Chairperson from 03 March 2022 to 26 June 25; and
- The management team members are in attendance as and when required for their relevant section(s).

Roles and responsibilities:

Strategy and policies

- Strategies and framework related to Information Technology, Digitalisation and Platforms, Cyber and Technology risks management strategy and framework including e-banking products and services;
- Relevant IT, Cyber and Technology policies, implementation of IT and digitalisation initiatives/projects as approved and aligned with the overall business strategy;
- Any proposals, updated policies, standards, procedures and framework related to IT and Cyber Security blue print in line with the security strategies of the Bank; and
- Recommending a robust Cyber and technology security awareness and training program for staff, directors and senior management.

Board Committees (Cont'd)

Technology, Digitalisation and Platforms Committee (Cont'd)

Roles and responsibilities (Cont'd):

Risks

- Receiving reports on material cyber and technology incidents, on the evolution of the threat landscape and on the status and effectiveness of the cyber and technology risk management framework;
- Assessing IT / Cyber Securities investments for sustaining the bank's growth considering proper balance of costs, risks and benefits;
- Reviewing, assessing and recommending to the Audit Committee the Internal Audit's IT Annual Audit Plan and the corresponding Risk assessment;
- Assessing, controlling, managing and mitigating Information, Cyber and technology risks as identified during audit process and to liaise with the Risk Committee accordingly;
- Creating awareness about exposure towards IT and Cyber Technology risks and controls, effectiveness of management's monitoring of IT and Cyber Technology risks through oversight over the proceedings of the Information Security Management Committee;
- Ensuring that appropriate business continuity arrangements / measures are in place;
- Monitoring of the bank's information management and data governance framework and systems including those relating to compliance with the General Data Protection Regulations (and any analogous legislation);
- Ensuring appropriate IT Risk Assessment is conducted on regular basis and Risk Register is up to date at all times; and
- Ensuring vulnerabilities assessment and penetration testing is performed as and when needed and follow up on execution of remediation plan.

Resources

- Appointing of any such person (employee, consultant, or advisor) to undertake any specific projects or assignments in relation to the Bank's technology or digitalization initiatives/projects;
- Reviewing the on-going appropriateness and relevance of the bank's policy for the allocation of resources required to deliver both the short-term and long-term information technology strategies;
- Reviewing and classify all IT and cyber security outsourcing related-activities and projects as well as monitoring closely the performance of service providers;
- IT organizational structure complements the business model and its direction; and
- Overseeing the cyber and technology landscape and the adequacy of human and other resources.

Performance and value

- Ensuring that Management has implemented relevant processes and practices that ensure that the IT services deliver value to the business; and
- Assessing senior management's performance in implementing IT strategies, policies, projects and contribution of Cyber Technology to businesses.

Budgets

- Reviewing and monitoring of the IT OPEX and CAPEX budgets vs actual; and
- Assessing and recommending proposed IT / Cyber Security OPEX and CAPEX budgets.

Board Committees (Cont'd)

Technology, Digitalisation and Platforms Committee (Cont'd)

Other

- Undertaking such other duties and responsibilities as determined by the Board of Directors of the bank for this Committee from time to time.

Board of Directors Meetings

ATTENDANCE REPORT

The attendance report of the Directors, determined from the date of appointment, at Board and Committee meetings for the year ended 30 June 2025 are tabulated below:

	Board of Directors	Audit Committee	Conduct Review Committee	Corporate Governance Committee	Credit Committee	Remuneration Committee	Risk Committee	Strategy Committee **	TDP Committee
No. of meetings held	**9**	**15**	**4**	**9**	**4, (17)**	**9**	**6**	**4**	**6**
Olivier Emmanuel Jauffret (Chairperson)	9/9	-	4/4	9/9	-	-	-	4/4	-
Thierry Paul Robert Vallet (CEO)	9/9	-	-	-	-	-	6/6	4/4	6/6
Alastair James Bryce*	9/9	-	-	-	1/1, (5/5)	-	6/6	4/4	-
Marie Doriane Jessica Denise-Rama	9/9	15/15	-	9/9	-	9/9	-	-	-
Marie Jennifer Jean-Louis	9/9	-	4/4	-		-	-	4/4	6/6
Salvatorelli Fiorangelo	9/9	14/15	-	-	-	-	6/6	4/4	6/6
Kamaraj Ananda Vuddamalay (Appointed on 10 December 2024)	5/5	3/4	-	-	-	-	-	-	2/2
Jan Fredrik Louis Gaëtan Boullé (Resigned on 22 July 2025)	7/9	-	-	9/9	-	9/9	-	-	-
Laurent Francois De La Hogue* (Resigned on 22 July 2025)	9/9	-	-	-	4/4, (15/17)	-	-	4/4	-

*These Directors also attended the Weekly Credit Committee meetings, and the weekly meetings are represented respectively by the figures in brackets.

** - The Strategy Committee was dissolved, effective 26 June 2025

Board of Directors Meetings (Cont'd)

ATTENDANCE REPORT (CONT'D)

	Board of Directors	Audit Committee	Conduct Review Committee	Corporate Governance Committee	Credit Committee	Remuneration Committee	Risk Committee	Strategy Committee **	TDP Committee
No. of meetings held	**9**	**15**	**4**	**9**	**4 (17)**	**9**	**6**	**4**	**6**
Boris Faucher (Resigned on 22 July 2025)	9/9	-	4/4	-	-	8/9	-	4/4	-
Aslam Kanowah* (Resigned on 22 July 2025)	9/9	-	-	9/9	4/4, (16/17)	9/9	-	-	-
Rehana Kasenally (Cessation on 10 December 2024)	4/4	8/8	-	-	-	-	-	-	3/3
Anaick Helene Larabi Guidez (Appointed on 02 December 2024 and resigned on 22 July 2025)	5/5	-	1/1	-	-	-	6/6	-	6/6
Christian St-Arnaud* (Resigned on 22 July 2025)	7/9	-	-	8/9	4/4, (17/17)	-	6/6	-	-
Joan Jill Wan Bok Nale (Resigned on 21 May 2025)	9/9	15/15	-	-	-	-	-	-	-
Average Attendance	**97%**	**94%**	**100%**	**98%**	**100%**	**97%**	**100%**	**100%**	**100%**

*These Directors also attended the Weekly Credit Committee meetings, and the weekly meetings are represented respectively by the figures in brackets.

** - The Strategy Committee was dissolved, effective 26 June 2025.

PRINCIPLE THREE – DIRECTOR APPOINTMENT PROCEDURES

Board Member Appointment

The Board has established a well-defined and transparent framework governing the nomination and appointment of directors. In addition to overseeing the selection and onboarding of new directors, the Board is also responsible for having an appropriate succession plan for both key Senior Management positions and the Board. All directors are subject to election/re-election on an annual basis at the AGM.

The Nomination & Remuneration Committee supports the Board in implementing its obligations and is entrusted to review the Board size, structure and composition regularly and identify as well as recommend potential directors to the Board for its approval. Review of the Board composition and appointment of prospective candidates as directors are based on merit, and consideration is given to skills, experience, expertise, knowledge, independence, gender and added value or contribution to the Board. The Board's nomination and appointment process can be summarised below:



Once the assessment process has been finalised, the Nomination & Remuneration Committee submits its nomination to the Board for approval, and the appointment is subject to regulatory approvals.

In case of a casual vacancy, the Director may serve until the next AGM, at which he or she will stand for election by the shareholders.

Board Member Appointment (Cont'd)

The newly appointed Director receives a Letter of Appointment which contains the following main details:

- Time commitment;
- Roles and duties;
- Outside interests;
- Confidentiality;
- Dealing in shares;
- Induction;
- Training and Development; and
- Insurance.

The appointments and resignations during the financial year under review have been summarised under the "**BOARD COMPOSITION"** section under the sub-headers, "**Appointments**" and "**Resignations**".

Induction and Professional Development

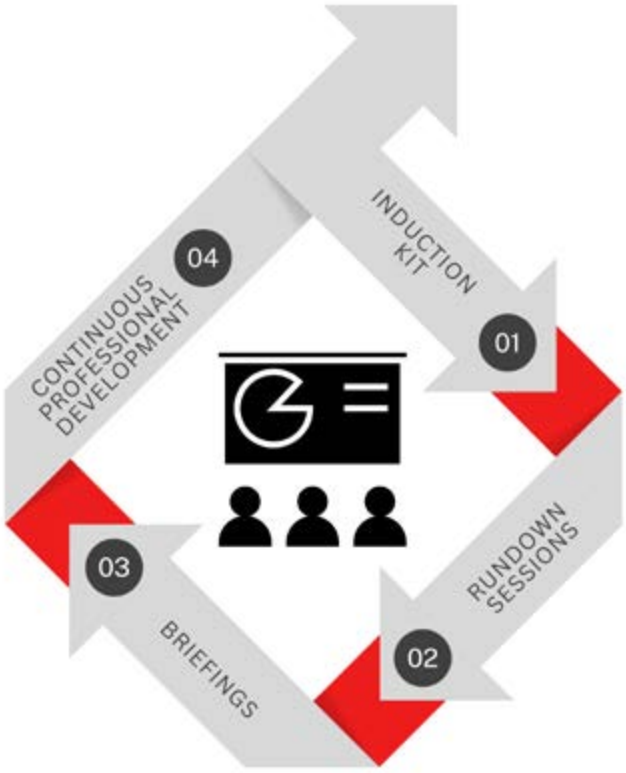
Upon appointment to the Board, Directors undertake thorough, individualised induction training to get acquainted with the Bank's operations, including particular training on money laundering and terrorist financing risks. New appointees receive an induction kit, along with the Constitution, Board Charter and Terms of Reference for Board Committees. They are also duly apprised of their statutory duties, obligations and refresher sessions conducted as required. To date, all new directors have completed the induction and orientation process.

In line with the Charter, newly appointed directors shall receive an induction kit containing, inter alia, the following:

- Group Structure;
- Board and Committees composition;
- Terms of Reference of Board Committees;
- Latest Annual report;
- Latest interim or annual financial statements;
- Board Charter;
- Constitution of the Bank;
- Minutes of the Board for the last 6 months; and
- Any other pertinent information or documents.

The Chairperson frequently evaluates directors' training requirements and contrives suitable development opportunities to enhance their skills and knowledge. The Company Secretary maintains a register of all directors' training activities.

Induction and Professional Development (Cont'd)



Note: Briefings include one-to-one with the Chairperson, Company Secretary, and CEO and a presentation on the main business units.

Moreover, on a quarterly basis, the Directors receive an update on any regulatory change, including a summary of any new BOM guidelines or any change to existing BOM guidelines or an Act relevant to the banking and financial services sector.

In line with continuous professional development for the financial year under review, the Directors attended trainings encompassing key subject matters, namely: Cyber Security Awareness Training (Online), Boardvantage Training (Online), The Role of the Chair of the Board (MIoD), Global Trend in Remuneration linked to ESG Target (MIoD), 2025 Governance Agenda: Emerging Priorities for Boards workshop and AML/CFT Training.

Succession Planning

In accordance with its Terms of Reference, the Board is responsible for the succession planning of the Board, the Chief Executive Officer and the Senior Management team of the Bank.

The Board has mandated the Nomination & Remuneration Committee to put in place the succession plans, especially those of the Chairperson and the CEO. The same is formalised in the terms of reference of the Nomination & Remuneration Committee.

PRINCIPLE FOUR – DIRECTOR DUTIES, REMUNERATION AND PERFORMANCE

Legal Duties

All Directors are fully cognisant of their statutory duties as outlined in The Companies Act 2001.

Code of Ethics for the Board

The Bank has a Code of Ethics for its Board; the same is available on the Bank's website. (https://www.afrasiabank.com/media/3187/code-of-ethics-Board-of-directors.pdf)



The Board maintains that it must foster ethical conduct all across the Bank, encouraging senior management and the staff to adhere to the Conduct and Ethics Policy. As such, the Board monitors and evaluates compliance with its Code of Ethics as and when required.

Board Appraisal

The Board must undergo a performance appraisal exercise, in accordance with the Code and BOM's Guidelines on Corporate Governance. The Directors are requested to evaluate the Board on the following main criteria:

- The Board's size, composition, and structure;
- The Board's roles, duties, and responsibilities;
- The effectiveness of the Board and its Committees;
- The role and function of the Chairperson; and
- Performance review of individual directors.

A Board and Directors' evaluation was conducted in November 2022 by external consultants, under the oversight of both the Chairperson of the Board and the Nomination & Remuneration Committee. The next board appraisal exercise will be conducted subsequently.

Directors' Remuneration and Benefits

The Remuneration Committee, as part of its commitment, recommends, acknowledges, develops, and assesses the Bank's general remuneration philosophy and the Executive and Senior Management remuneration.

The remuneration and benefits paid and payable to the Directors for the year ended 30 June 2025 are tabulated below:

Remuneration and benefits paid and payable (MUR'000)				
	Fixed	**Variable**	**Others**	**Total**
Olivier Emmanuel Jauffret (Chairperson)[1]	6,600	-	-	6,600
Thierry Paul Robert Rene Vallet[4] (Chief Executive Officer)	-	-	-	-
Alastair James Bryce	500	984	-	1,484
Marie Doriane Jessica Denise-Rama (Resigned on 29 August 2025)	500	1,724	-	2,224
Marie Jennifer Jean-Louis[4]	-	-	-	-
Fiorangelo Salvatorelli	500	1,379	-	1,879
Kamaraj Ananda Vuddamalay (Appointed 10 December 2024 and resigned on 29 August 2025)	277	225	-	502
Jan Fredrik Louis Gaëtan Boullé[2] (Resigned on 22 July 2025)	500	959	-	1,459
Laurent François De La Hogue[2] (Resigned on 22 July 2025)	500	959	-	1,459
Boris Faucher[3] (Resigned on 22 July 2025)	-	-	-	-
Aslam Kanowah (Resigned on 22 July 2025)	500	1,959	-	2,459
Rehana Kasenally (Cessation on 10 December 2024)	251	675	-	926
Anaick Helene Larabi Guidez[2] (Appointed on 02 December 2024 and resigned on 22 July 2025)	288	45	-	333
Christian St-Arnaud (Resigned on 22 July 2025)	500	1,474	-	1,974
Joan Jill Wan Bok Nale (Resigned on 21 May 2025)	444	945	225	1,614

[1] The Chairperson does not receive any additional fees for attendance of any meetings.
[2] The fees were paid to IBL Ltd.
[3] The Director has opted to waive any compensation for acting as Director of AfrAsia Bank Limited
[4] Thierry Paul Robert Rene Vallet and Marie Jennifer Jean-Louis received no fees for attending AfrAsia Bank's Board or Committee meetings.

Directors' Remuneration and Benefits (Cont'd)

The table below sets out the fee structure for Non-Executive and Independent Non-Executive Directors:

Category of Member	MUR'000	Fee details
Chairperson	6,600	Fixed fee per annum
Board Member	500	Fixed per annum for a maximum of 5 Board meetings
Additional fee to Board Member	50	Per attendance of any additional Board meetings
Committee Member	45	Per attendance
Additional fee to the Chairperson of the Committee	10	Per attendance
Risk Committee Member being also a Credit Committee Member	25	Per attendance

None of the Non-Executive Directors have received any remuneration in the form of share options or bonuses associated with organisational performance during the year.

Total remuneration and benefits paid and payable, to the Directors from the Bank and its subsidiary for the year ended 30 June 2025 were as follows:

	YEAR ENDED 30 JUNE 2025		YEAR ENDED 30 JUNE 2024		YEAR ENDED 30 JUNE 2023	
	Executive Directors	Non-Executive Directors	Executive Directors	Non-Executive Directors	Executive Directors	Non-Executive Directors
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
The Bank AfrAsia Bank Limited	58,093*	22,913	28,447	24,026	22,134	26,282

Note:

- No director fees were paid to the Directors of AfrAsia Investment Limited.
- The total remuneration and benefits paid and payable for the year ended 30 June 2025 to the Executive Directors – namely Thierry Paul Robert Rene Vallet, CEO and Marie Jennifer Jean-Louis, CFO amounted to MUR 58.1m and are split between them, 54% and 46% respectively. These were made up of the following components: a) 38% for basic salary, including end-of-year bonus; b) 50% for performance bonus; and c) the difference of 12% comprised of other benefits.

Directors' Share Interest

The interests of the Directors in the securities of the Bank are maintained by the Company Secretary. As part of the appointment of a Director, the latter should notify the Company Secretary in writing of their interests as well as their related parties' interests in the securities of the Bank. As of 30 June 2025, the details are tabulated below:

	Category of Member	No. of shares
Thierry Paul Robert Rene Vallet	Executive Director	420,323
Marie Jennifer Jean-Louis	Executive Director	47,000
Jan Fredrik Louis Gaëtan Boullé	Non-Executive Director	28,100

Conflicts of Interest

A Director shall be interested in a transaction to which the Bank is a party, where the Director derives or may derive material financial benefit(s) personally or through another person(s)/entity(ies). This includes direct or indirect interest(s).

Any conflict or potential conflict of interest from a Director and Senior Executive must be declared to the Board or the Company Secretary. The conflicts of interest of Directors are recorded in a separate register maintained by the Company Secretary. The Interest Register is available for consultation by shareholders upon written request to the Company Secretary.

It is noted that for any Board and Committee meetings, declaration of interest is a standard item at the top of the agenda whereby the Directors present should declare any interest that they have or may have with respect to any of the matters to be discussed. Any declaration shall be recorded in the minutes accordingly, and the conflicted Director shall abstain from participating in the deliberations and from voting on the concerned matter. Conflicted Director(s) shall not be counted in the quorum for the concerned matter.

The following principles are encouraged concerning conflicts of interest:

- The personal interests of a Director or persons closely associated with the Director must not take precedence over the Bank and its shareholders, including the minority ones;
- Directors are required to avoid conflicts of interest and make full and timely disclosure of any such conflicts when exposed to them; and
- Directors are aware that their fiduciary duties and responsibilities are to act in the best interest of the Bank.

All information obtained by Directors in their capacity as directors to the Board of AfrAsia Bank is treated as confidential and is not divulged to any other parties without the expressed approval of the Board.

Technology and Cyber Security

In line with AfrAsia Bank's strategic ambitions, the Technology & Cybersecurity functions continued to enable business resilience, digital innovation, and operational excellence. This financial year was marked by an important transformation, guided by a Board-approved 3-year roadmap and targeted investments, ensuring alignment between business and technology strategy.

Key achievements included IT infrastructure stabilisation, progressive cloud migration for greater agility and cost-effectiveness, and enhanced Disaster Recovery and High Availability capabilities, delivering improved Recovery Time Objectives ("RTO") and Recovery Point Objectives ("RPO"). A new Technology Operating Model was implemented to strengthen governance, optimise resources, and align delivery with business priorities, supported by updated policies, procedures, and standards. Cybersecurity remained a top priority, with further advancement of the Zero Trust Security model, enhanced threat detection, and the establishment of a Cyber & Technology Risk Management Framework to ensure compliance and resilience. In the same vein, we now have 24/7 surveillance on best-of-breed technology for monitoring our services. The Bank also commenced development of an integrated omnichannel banking experience to deliver seamless and secure interactions across touchpoints, enhancing both employee and customer engagement.

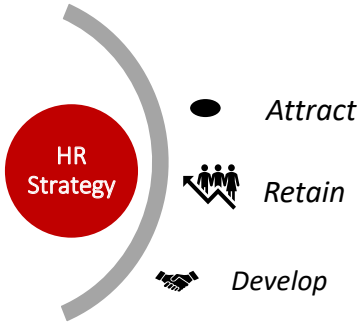
Despite a scarcity of skilled talent, delivery was maintained through careful prioritisation, streamlined execution, and continued investment in competency development. Looking ahead, priorities include a) Core Banking Modernisation, b) Continued Digital Transformation, and c) Conservative AI adoption, with the TDP Committee providing oversight to ensure a secure, resilient, and future-ready technology environment that supports AfrAsia Bank's growth.

During the financial year under review, Cyber and Technology projects and matters were deeply discussed at the committee level. The Bank is continuing its sustained efforts in delivering as per the board-approved Technology Strategy & Action Plan.

Refer to the Risk Management Report of the Annual Report under the Information Technology section for further insight into information governance.

Human Capital

At AfrAsia Bank, our people are our most valuable asset. Our Human Resource ("HR") strategy is focused on creating an environment that enables employees to thrive, develop and stay motivated. Our aim is to position AfrAsia Bank as an employer of choice and maintain a high-performing, inclusive and diverse workforce. Our HR functions play a critical role in attracting, developing, and retaining our people.



ATTRACT

AfrAsia Bank promotes a merit-based recruitment process that upholds fairness, transparency, and equal opportunity for all candidates.

During the financial year under review, the Bank strengthened its workforce by onboarding new talent across key business units. In line with our commitment to employee development, we placed a strong emphasis on internal mobility—empowering our people to grow within the Bank and explore cross-functional career opportunities. This approach reflects our strategic focus on building future-ready capabilities from within.

Our corporate presence on LinkedIn, supported by the use of LinkedIn Recruiter as a global talent acquisition platform, has played a key role in enhancing our employer brand, attracting top talent, and sharing stories of career growth within the Bank

- Flexible work arrangements to care for self and family;
- Interest-subsidised staff loans or employee discounts;
- Competitive remuneration;
- Attractive medical insurance and pension scheme;
- Educational sponsorship and study leave; and
- Health screening and wellness initiatives.

RETAIN

Retention of key talent is a strategic priority. As an outcome of our various HR initiatives which are part of the retention strategy, AfrAsia Bank's HR team systematically conducts exit interviews to gather valuable insights and comments from leavers. This data is critical and allows the HR department to find means and ways to bring improvements and reach an acceptable turnover rate. We have experienced a stabilization of our turnover which is at 11%.

Human Capital (Cont'd)

RETAIN (CONT'D)

The Bank has also implemented various initiatives with a view to enhancing the Employee Value Proposition, namely:

- Competitive remuneration packages with a view to attracting and retaining the best talent. This exercise is carried out yearly with the assistance of salary survey providers;
- Performance-related rewards to incentivise high performance; and
- Review of benefits such as transport allowance and pension contribution to stay competitive, aligned with competitive market practice.

In line with our commitment to acknowledging effort and loyalty, we implemented a formal recognition scheme that encourages employees to go the extra mile. In addition, our long service awards celebrated the commitment of colleagues who have dedicated many years to the success of the Bank—underscoring our appreciation for their invaluable contribution.

EQUAL OPPORTUNITY AND DIVERSITY

AfrAsia Bank is an equal opportunity employer. All employment decisions, including recruitment, development, and compensation, are based on merit. The Bank has adopted a range of policies, including:

- Equality Policy;
- Resourcing Policy;
- Code of Ethics Policy;
- Performance Management Policy; and
- Training Policy.

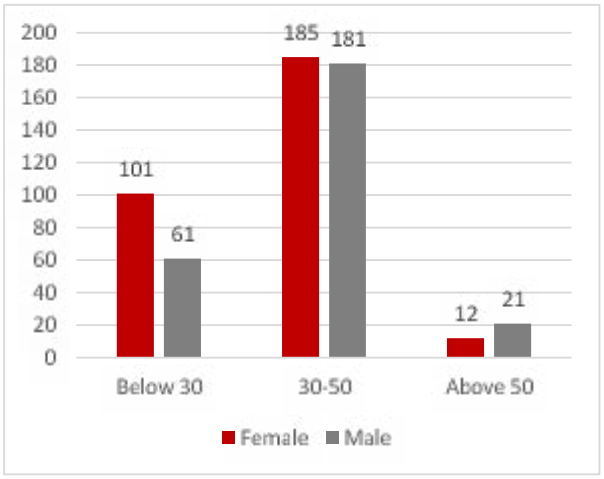
AfrAsia Bank is committed to creating a workplace where all individuals—regardless of gender, age, disability, race, religion, marital status, or sexual orientation—are respected and empowered to thrive. A key milestone was the move to Tribeca ABL Tower, which features disability-friendly infrastructure, including accessible entrances, restrooms, and navigation support. AfrAsia Bank embeds non-discriminatory principles across all its people-related policies and practices. Sustainability is reflected not only in the way we serve clients but also in how we nurture inclusive human capital.

Human Capital (Cont'd)

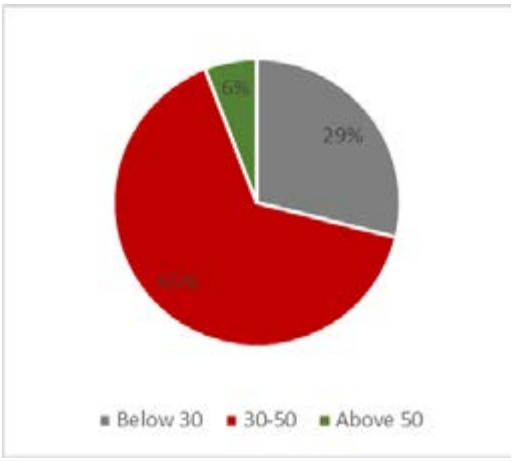
STAFF PROFILE AS OF JUNE 2025 (Mauritius, South Africa and UAE)

Number of Employees: 561

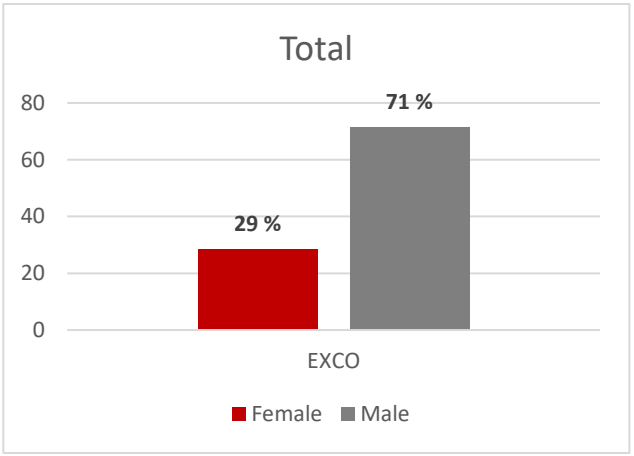
Age Profile (breakdown by Gender)



Age Profile (Percentages)



ExCo percentage per gender



As AfrAsia Bank strives to maintain a gender-neutral approach in its HR practices, the representation of women in senior management at the Executive Committee Level ("ExCo") is regularly monitored. The Bank continues to invest in leadership development initiatives across all levels to support and increase gender diversity in leadership roles.

Human Capital (Cont'd)

DEVELOP

In understanding the importance of people development in today's fast-changing financial services environment, the Bank invested in targeted training programmes focused on both key technical skills and future skills as well as leadership skills. These initiatives were closely aligned with the Bank's strategic priorities, as identified in the FY25 Training Needs Analysis ("TNA").

A summary of the key trainings offered are as follows:

ICT ✓ **ITIL 4 Foundation** ✓ **COBIT** ✓ **CGEIT** ✓ **Certified Information Security Manager ("CISM")**	**Internal Audit** ✓ **ESG Certificate: Internal Auditing for Sustainable**	**AML/CFT** ✓ **AML/CFT Assessment** ✓ **Assessing the Risk of Proliferation Financing**
Fraud Training ✓ **Fraud Attempted Risk Training**	**AI** ✓ Digital Marketing in the Age of AI ✓ Artificial Intelligence in Banking Sector	**Leadership** ✓ Executive Leadership Programme ✓ Strategic Leadership Programme
Risk Management ✓ **ICC Joint Outreach Session – Customer Risk Assessment and Business Risk Assessment**	**IFRS 9 & ACI** ✓ ACI Dealing Certificate ✓ IFRS Deep Dives – IAS 12 'Income Taxes 'Financial Instruments'	**Conference** ✓ Excellence in Digital Banking 2.0 – International Summit

The training provided equipped our employees with the tools and knowledge needed to perform effectively, adapt to change, and stay ahead in a competitive landscape.

WELLBEING

As a responsible employer, employee well-being is a top priority at AfrAsia Bank. We take a practical approach—whether through extended leave to care for oneself or family, or by ensuring fair recognition and rewards for work delivered. We strive to create an environment where our employees feel a true sense of belonging and can enjoy meaningful downtime, whether at home or away with their families. We listen to our employees through frequent communications and employee engagement surveys. Key issues are discussed openly and our latest engagement survey results affirm that we are a strong and trusted brand.

We also embrace work hard, play harder culture, with regular social and team-building events that strengthen bonds and add a sense of fun to our professional lives.

Human Capital (Cont'd)

LOOKING AHEAD: STRATEGIC HR PRIORITIES

People and Culture: special attention is paid to people and there is the ambition of becoming an employer of choice with an exciting proposition and the aim of promoting an agile, committed, collaborative and streamlined team culture that fosters closer and more motivating leadership. The Bank seeks to boost its employees' development programmes and career plans, featuring a more proactive people development model for training teams and focusing on critical and future skills.

As we move forward, our strategy will continue to focus on fostering a purpose-driven and caring culture. Key priorities will include:

- Further enhancing our Employee Value Proposition ("EVP");
- Building competent, people-focused leaders who can nurture and inspire their teams;
- Developing a robust talent pipeline to ensure business continuity and future leadership; and
- Continuing to elevate the employee experience across the lifecycle, from onboarding to development and recognition.

We remain deeply committed to creating a work environment where our people feel valued, supported, and motivated to grow and thrive.

Remuneration Philosophy

Our remuneration strategy is designed to reward competitively the achievement of the Bank's sustainable performance and attract, retain and motivate the very best people, regardless of gender, ethnicity, age or disability.

AfrAsia Bank's total remuneration approach, which includes the variable remuneration policy, sets out the Bank's policy on remuneration for Executives, Senior Management and Employees and the key factors that are taken into account when setting this philosophy.

It is the Bank's basic remuneration philosophy to provide a competitive level of total compensation which is targeted between the 50th and 75th percentile of the market, to attract, retain and motivate qualified and competent employees. The Bank's variable remuneration is driven primarily by a performance-based culture that aligns with the Bank's strategy and objectives, which are duly approved by the Board of Directors. These elements support the achievement of our objectives through balancing rewards for both short-term results and long-term sustainable performance. Our strategy is designed to share our success and to align employees' incentives within our risk framework and risk outcomes.

The quality and long-term commitment of all of our employees are fundamental to our success. We therefore aim to attract, retain and motivate the very best people who are committed to maintaining a career with the Bank, and who will perform their role in the long-term interest of the Bank. The Bank's reward package comprises the following key elements:

- Fixed pay, which includes salary and fixed pay allowance;
- Benefits include but are not limited to medical insurance and pensions; and
- Annual performance bonus, which varies with performance achieved and is assessed at the discretion of the Board and Executives, depending on the level of responsibility.

A robust and effective governance framework ensures that the Bank operates within clear parameters of its remuneration strategy and policy. All compensation matters and overall compliance with regulatory requirements are overseen by the Nomination & Remuneration Committee.

In order to ensure alignment between what we pay our people and our business strategy, we assess individual performance against annual objectives summarised in our performance management system. This assessment also considers adherence to the Bank's values, risks and compliance measures. Altogether, performance is therefore judged not only on what is achieved over the period but also importantly on how it is achieved.

Related Party Framework

The Bank operates its assessment of its related parties through its Conduct Review Committee, which is guided by its own Terms of Reference and in accordance with BOM's Guideline on Related Party Transactions.

Refer to the Risk Management Report of the Annual Report under the Related Party Transactions, Policies, and Practices section.

PRINCIPLE FIVE – RISK GOVERNANCE AND INTERNAL CONTROL

Board

During FY25, the Board continued to provide strong strategic leadership and oversight. The Board remains ultimately responsible for establishing the Bank's risk appetite, approving risk-related policies, and ensuring the effective governance of risk across the organisation.

The Board ensures that appropriate governance structures, processes, and systems are in place for the identification, assessment, monitoring, and mitigation of key risks. The Bank's Enterprise Risk Management Framework ("ERMF") has been further strengthened during the year to integrate a consistent, bank-wide approach to risk management that aligns with strategic objectives, business plans, and regulatory requirements. The ERMF supports proactive risk identification and monitoring across all business units and risk categories, ensuring that risk exposures are managed within the risk appetite approved by the Board.

Risk Committee and Executive Management

The Risk Committee plays a key role in overseeing the Bank's risk profile and advising the Board on risk-related matters. Its core responsibilities include:

- Advising the Board on the Bank's current and future risk appetite;
- Overseeing the implementation of the Risk Appetite Framework ("RAF") by Senior Management;
- Assessing the state of the Bank's risk culture; and
- Providing oversight of risk-related frameworks, policies, and exposures.

The Committee oversees a wide range of risk categories, including but not limited to: credit risk, country risk, market risk, interest rate risk, operational risk, cyber risk, reputational risk, and information risk. All oversight is conducted in alignment with the risk appetite and the risk management policies approved by the Board, as well as in accordance with the BOM regulatory guidelines.

The Risk Committee is also responsible for ensuring that the Bank maintains robust capital adequacy, liquidity, and solvency levels. Regular reports are received from the Risk Department under the purview of the Chief Risk Officer ("CRO") on matters such as:

- The Bank's current risk profile and exposures;
- Utilisation against risk limits;
- Breaches of risk limits and corresponding remediation actions; and
- Trends and emerging risk indicators.

To further support effective risk governance, several management-level committees report into the Risk Committee, including:

- Assets and Liabilities Committee ("ALCO")
- Impairment Committee ("IMC")
- Risk Management Committee ("RMC")

In parallel, the Management Credit Committee ("MCC") reports to the Credit Committee on all credit-related matters.

Risk Management

The Bank's Risk Management function operates as a core component of the second line of defence. It maintains independence from business units and revenue-generating activities, and ensures objective oversight of all risk-taking activities across the Bank.

The Risk Management Division is structured across specialist teams that are responsible for monitoring, assessing, and reporting on risk exposures. These teams ensure that risks are appropriately measured, aligned with the Bank's risk appetite and tolerances, and adequately supported by capital and liquidity buffers.

While the Risk Management function works collaboratively with business units to enhance awareness and embed a strong risk culture, it retains the independence necessary to challenge decisions and escalate concerns. The Chief Risk Officer has direct access to the Chairperson and members of the Risk Committee, facilitating transparent reporting and effective challenge at the highest levels of governance.

This structure and approach support the Bank's commitment to strong internal controls, transparent governance, and full compliance with all regulatory requirements applicable under Principle Five.

The complete Risk Management Report of the Annual Report forms an integral part of Section A.

Corporate Integrity and Whistleblowing Policy

The Bank has established a Corporate Integrity and Whistleblowing Policy to promote an atmosphere of honesty and encourage employees to conduct themselves in the best interests of the Bank. The applicability of this policy extends to all employees of the Bank, irrespective of their locational, contractual, or probationary nature.

A copy of the Corporate Integrity and Whistleblowing Policy is available on the Bank's website: (https://www.afrasiabank.com/media/3190/corporate-integrity-and-whistle-blowing-policy.pdf



PRINCIPLE SIX – REPORTING WITH INTEGRITY

FINANCIAL

The Directors bear the responsibility for the preparation of financial statements in compliance with International Financial Reporting Standards, International Accounting Standards, and The Companies Act 2001 (as amended). It is incumbent upon the Directors to ensure adherence to the provisions outlined in The Companies Act 2001 (as amended), The Banking Act 2004 (as amended), and The Financial Reporting Act 2004 (as amended).

Furthermore, the Directors are tasked with guaranteeing that the financial statements are free from errors, material misstatements, and irregularities. In the event of any non-compliance, it is their duty to disclose, explain, and quantify such instances.

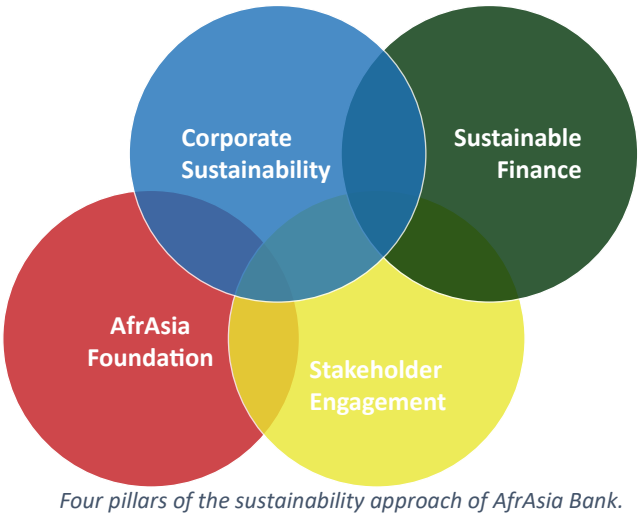
SUSTAINABILITY

Sustainability is evolving globally, driven by initiatives like the EU Green Deal, which are influencing the integration of Environmental, Social, and Governance ("ESG") factors in business operations, particularly in the financial sector. In response to new climate-related regulations and aligned with our vision, AfrAsia Bank has adopted several ESG initiatives, contributing to the Sustainable Development Goals ("SDGs"). We have also reaffirmed our commitment to the United Nations Global Compact ("UNGC") and the Global Reporting Initiative ("GRI"). We are honoured by the recognition we have received for our sustainability efforts and remain dedicated to making a positive impact through our interconnected Sustainability Approach.

1. SUSTAINABILITY APPROACH

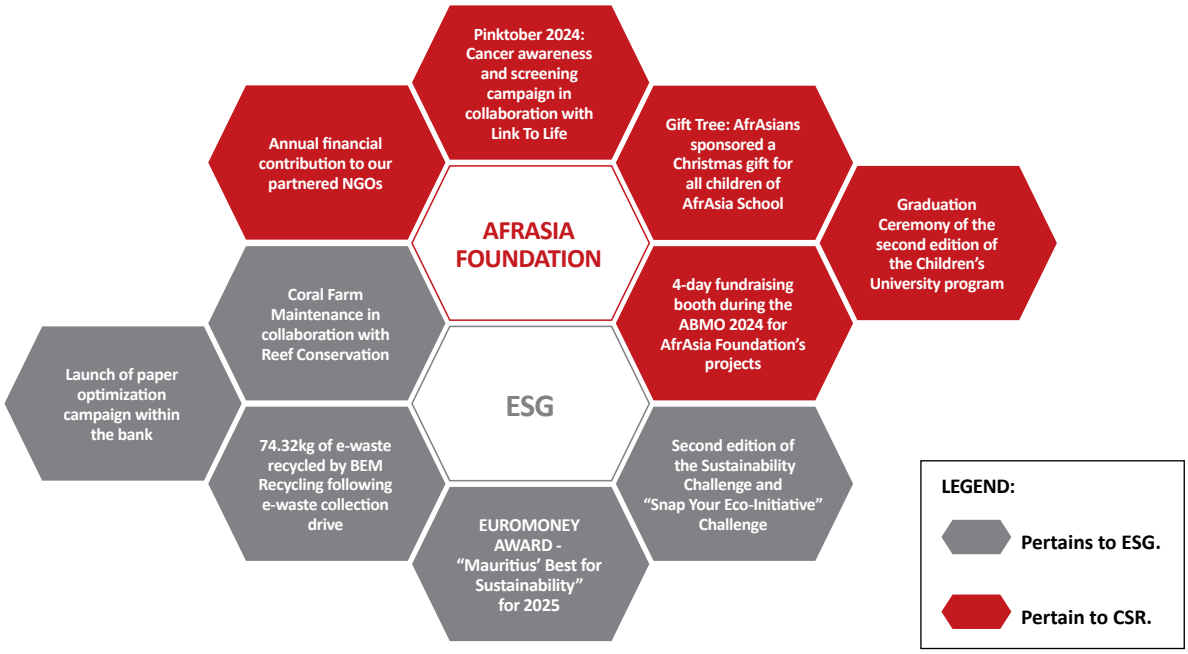
The Bank's approach to sustainability rests on four pillars, namely: Corporate Sustainability, Sustainable Finance, Stakeholder Engagement, and the AfrAsia Foundation, which are all driven by a continuous improvement process to keep pace with the rapidly evolving ESG landscape.

While each pillar carries a unique set of initiatives and independent projects, their interconnectedness constitutes the sustainability approach of the Bank.



Four pillars of the sustainability approach of AfrAsia Bank.

2. ESG & CSR ACHIEVEMENTS FY25 AT A GLANCE



Snapshot of ESG and AfrAsia Foundation achievements of AfrAsia Bank for the FY25

3. CORPORATE SUSTAINABILITY

The Bank is strategically implementing measures to navigate the rapidly evolving ESG landscape, which is becoming increasingly prescriptive. The Bank recognises the importance of future-proofing its operations by aligning with relevant ESG requirements. This strategic focus aims to proactively manage ESG-related risks and ensure compliance with both local and international environmental regulations and guidelines.

3.1 ESG Governance

The Bank has a dedicated Sustainability & CSR department that leads the development and execution of the Bank's sustainability strategy, oversees ESG initiatives, and drives Corporate Social Responsibility ("CSR") programs. The Bank has also set up an ESG Committee, composed of the Head of Departments of the Bank, to drive its ESG agenda, oversee implementation, and ensure integration across all business activities. ESG Committee meetings are held on a monthly basis (9 ESG committees were conducted for FY25), and relevant matters are escalated to concerned Management Committees and up to the Board if required.

Recognising that ESG matters are cross-cutting and impact various functions of the Bank, an internal ESG Governance Structure is currently being established. This structure is designed to facilitate timely and coordinated decision-making across all levels of the Bank, including the Board.

3.2 ESG Risk Management and Compliance

As ESG reporting is becoming more stringent across the world, particularly in Europe and the US, we can expect ESG frameworks to become more prescriptive and hence, embedded in business decision-making.

(i) Bank of Mauritius Guideline on Climate-related and Environmental ("CR&E") Financial Risk Management

The Bank has developed its CR&E Financial Risk Management Framework and is currently working towards its implementation in line with the regulations.

The Board has the ultimate responsibility to approve and oversee the strategy for CR&E financial risks and opportunities management. The Risk Committee, which is a sub-committee of the Board, supports the Board in the identification of CR&E financial risks of the Bank and the development of measures to mitigate these risks.

Please refer to the "Climate Change and Environmental Financial Risks" section of the Annual Report for more detailed information.

(ii) Environmental and Social Risk Management ("ESRM")

A key milestone in the adoption of Environmental and Social (E&S) risk management in the banking sector worldwide was the introduction of the Equator Principles in 2003. This risk management framework, adopted by financial institutions globally, provides guidance for identifying, assessing, and managing environmental and social risks in project financing.

In line with international best practices, the Bank is currently progressing toward the implementation of an ESRM. The core objective of the E&S due diligence process under the ESRM is to assess the potential environmental and social risks associated with financed activities.

Exclusion List

Our Credit Risk Policy contains a business exclusion list, based on the Rome consensus and the Agence Française de Développement exclusion lists, with prohibited and restricted lending to activities involving child/forced labor, weapons trade or causing harm to critical habitat, amongst others.

(iii) IFRS S1 and S2

In June 2023, the International Sustainability Standards Board ("ISSB") released its first two Sustainability Disclosure Standards: IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information* and IFRS S2 *Climate-related Disclosures.*

In response, the Bank is actively working towards adopting sustainability reporting practices aligned with these new global standards. This reflects the Bank's commitment to enhanced transparency, comparability, and credibility in its sustainability disclosures, in line with emerging international expectations.

SUSTAINABILITY (CONT'D)

3.3 Ethics and Compliance

AfrAsia Bank is regulated by the Bank of Mauritius and the Financial Services Commission (Mauritius). The Bank is committed to transparency and compliance with the laws and regulations that govern the Bank's various activities and strives to always achieve high ethical standards. As part of AfrAsia Bank's Compliance Charter and AML Policy, the Bank has put in place a comprehensive Compliance and AML/CFT framework, as well as relevant policies and procedures and internal controls. Various on-going initiatives ensure that the Bank is compliant at all times, and these include (but are not limited to):

- Ongoing review of Policies and Procedures in line with relevant regulatory requirements;
- AML/CFT Compliance and other relevant trainings are available on the internal learning platform for all staff;
- Communication of updates and changes in laws and legislations to the Management Team and internal teams, as required, through emails;
- Due diligence on all clients, partners and suppliers as per our AML Policy and Account Opening Procedures; and
- Implementation of Corporate Integrity and Whistle Blowing policy to detect and report any irregularities.

Money Laundering and Terrorism Financing

AfrAsia Bank's has revisited its approach towards Money laundering/Financing Terrorism Risk and has encapsulated the AML Department under the Risk umbrella from a governance perspective. The AML Department identifies risks that the Bank faces, especially regarding the customer relationship. This is done when a new customer is onboarded, through ongoing review of customers, and post-transaction monitoring on key risk indicators.

Some of the measures in place are as follows:

- AML Policy;
- Sanctions Policy;
- AML/CFT Risk Appetite;
- Account Opening Procedures;
- Exempt Customer Framework;
- PEP Policy and Procedure;
- Request for information procedures; and
- Risk Classification of Countries and Jurisdictions Procedure.

Regular trainings on AML & CFT are conducted face-to-face as well as through electronic methods to all staff of the Bank throughout the financial year. These trainings include AML & CFT refresher trainings to all staff of the bank and induction trainings to all recruits. Dedicated trainings are delivered to the Board of Directors, and specialised trainings for specific staff and departments are provided to cover the products and services of the Bank. Furthermore, the regulatory cluster of the Compliance Department disseminates regulatory changes pertinent to the Banking Sector to the Management, Board and respective departments of the Bank.

SUSTAINABILITY (CONT'D)

3.4 Environmental Performance

AfrAsia Bank is working towards efficiently managing its use of natural resources and waste generation. In this regard, for the past years, the Bank has been monitoring its paper and electricity consumption as well as its e-waste generation.

Financial Year	Ebene Office (KWH)	(Reams)	Paper Waste recycled (Kg)
2023	513,461	2,556	-
2024	529,430	2,560	-
2025	581,858	2,525	1,841*

Electricity Consumption; Paper Usage and Paper Waste Recycled across the Ebene Office

** Jan-25 to Jun-25.*

Increasing energy consumption may be correlated with increasing headcount. Over the past three years, e-waste recycling has been minimal, as most equipment is rented and scrap electronics are set aside for bulk recycling.

The Bank is enhancing its environmental efforts through the AfrAsia Go-Green Initiatives ("AGGI"), which aim to improve energy, water, and paper consumption, and waste management. Since January 2025, the Bank has been receiving regular recycling certificates from Mafta International Ltd, ensuring an accurate tracking of paper recycling across the Bank.

Towards the end of the financial year, we started moving into our new building—AfrAsia Tower at Tribeca.

4. SUSTAINABLE FINANCE

The Bank has been steadily developing its green portfolio since 2019 to cater to the needs of its clients.

4.1 GREEN CAR LOAN

Launched in 2019 as AfrAsia Bank's first green lending product, the Green Car Loan continues to support the shift toward low-carbon mobility.

In FY25, the Green Car Loan portfolio showed solid growth and high-value engagement as adoption continued to build, with green car loans representing approximately **30.5%** of the car loan portfolio.

SUSTAINABILITY (CONT'D)

4.1 GREEN CAR LOAN (CONT'D)

This offering remains a strategic lever for AfrAsia Bank's ESG ambitions, enabling both individual and institutional clients to invest in a cleaner, more sustainable future.

4.2 STRUCTURED PRODUCTS

As a financial institution, we have a key role in transitioning towards a low-carbon economy. Our objective is to reduce our direct and indirect impact while giving our customers opportunities to invest in climate solutions. Since June 2020, our Treasury Structuring Team have offered our customers the opportunity to invest in Structured Deposits linked to ESG indices.

As of 30 June 2025, we have registered 'Underlying Notional Investment' into Structured Deposits linked to ESG to the tune of MUR 1.48bn (2024: MUR 1.45bn; 2023: MUR 1.5bn).

5. STAKEHOLDER ENGAGEMENT

Stakeholder engagement is pivotal in propelling the growth of sustainability within the banking industry. At AfrAsia Bank, we embrace transparent and collaborative relationships with stakeholders to reinforce our broader commitment to environmental stewardship and social responsibility with the aim of fostering positive change

5.1 HUMAN CAPITAL

Refer to the section, **"Human Capital and Remuneration Philosophy"**.

5.2 HEALTH AND SAFETY

COMPLIANCE WITH THE LAWS

The Occupational Safety and Health system is implemented as prescribed by the law. Accordingly, all requirements are met and implemented as per below:

- A full-time safety and health officer was appointed;
- Yearly fire warden training;
- Yearly fire drill training;
- Yearly first aid training (at least 10% of overall staff);
- Minimisation of health and safety risk through a dedicated process and Risk Management;
- Safety training for sub-contractors; and
- Equipment with regard to the health and well-being of staff has been provided and is readily available.

SUSTAINABILITY (CONT'D)

5.2 HEALTH AND SAFETY

ACCIDENTS AT WORK

Whilst the aim is to ensure the safety of all employees and visitors, only 1 incident (as categorised by the Ministry of Labour) was reported for the FY25. Serious accidents are, as per the definition of the Occupational Safety and Health Administration ("OSHA"), meaning the injured person attended a medical centre for treatment and was admitted overnight. The Health & Safety team does its best to ensure that accidents' occurrence is minimised, but if the same eventually occurs, it investigates all accidents and takes the necessary steps to address any matters of concern or increase awareness to avoid a repeat incident. Sessions on General safety training and a session of advanced first aid training session (delivered by an external supplier) have been held. Fire drills for both the Port-Louis and Ebene sites have been carried out as per the requirements of the relevant legislation.

5.3 CUSTOMER EXPERIENCE

Driven by our long-standing ambition to be the benchmark Bank for Excellence in Customer Service and Customer Experience in the local market, AfrAsia Bank has significantly advanced its customer-centric initiatives over the past year. Recognising the evolving demands of a heavily tech-informed environment, we have prioritised maximising the client experience, which is now more crucial than ever before. Over the past year, our emphasis on enhanced coverage and bespoke advisory functions has proven to be crucial differentiators, as standard banking becomes increasingly commoditised. This commitment is deeply embedded in our operations, ensuring that services are seamlessly available to our customers across every key financial touchpoint when they borrow, spend, save, invest and protect. Through dedicated daily efforts, our teams have diligently captured critical moments, guiding customers effectively towards astute financial decisions. This year, we further strengthened our service culture mindset through targeted employee training programs, leading to even greater service alignment across the business.

AfrAsia Bank's strategic objective for FY25 has been to continually elevate the experience provided to its esteemed customers, while simultaneously enhancing the standards of its service and product offerings. Central to this approach is the adoption of a flexible and fair methodology in all customer interactions, ensuring a service precisely tailored to individual needs and circumstances. As such, our commercial team of subject matter experts, equipped with a 360-degree knowledge of the client – their business, industry, goals, and history – are focused on crafting personalised solutions that often proactively anticipate client requirements and offer timely advice. One of AfrAsia Bank's intrinsic beliefs is that maintaining business relationships in Banking will always remain paramount despite rapid technological advancements.

The latest customer satisfaction survey undertaken unequivocally supports the Bank's dedication, revealing a positive Net Promoter Score ("NPS") of 27. This significantly exceeds the Mauritius Retail Banks' average (12.5) and effectively matches the global Banking sector benchmark (26). Additionally, the Bank also achieved a robust Customer Satisfaction Index ("CSI") of 81. These commendable results are a clear testimony to the Bank's unwavering commitment to delivering service excellence. Furthermore, the daily monitoring of all customer touchpoints and continuous improvements in the customer journey play a vital role. To this end, the Bank's dedicated CX Committee was established to actively analyse all internal pain points, ensuring that swift and effective remedial actions are implemented to resolve matters that may impact service levels.

SUSTAINABILITY (CONT'D)

5.3 CUSTOMER EXPERIENCE (CONT'D)

In the past year, the committee spearheaded improvements across the business by remediating the identified pain points, resulting in a decrease in client grievances and an increase in client compliments. We remain committed to building on these achievements, consistently setting new benchmarks in customer satisfaction and loyalty.

CX CHARTER

Reinforcing our commitment to a seamless customer journey, AfrAsia Bank's CX Charter sets out our internal procedures, ensuring consistency regardless of the service or department. This foundational document guides employees on customer interactions, detailing the right processes, procedures, and SLAs. It ensures every employee is aligned with their responsibilities, accountabilities, and the desired customer outcomes.

COMPLAINTS

At AfrAsia Bank, we deeply value customer feedback, providing accessible channels for customers to easily escalate any concerns or share their insights on their banking experience. This vital client engagement allows the Bank to learn from every client interaction, precisely identifying areas for enhancement, and proactively refine service delivery to avoid recurrence. Demonstrating our commitment, a comprehensive Complaints Awareness Campaign was launched during the FY25. This initiative was designed to empower and encourage all staff to actively escalate any client complaints received, whether verbal or written, ensuring they are logged through appropriate internal channels. Such an approach not only promotes accountability and responsiveness throughout the organisation but also directly fuels AfrAsia Bank's commitment to continuous improvement and the ongoing elevation of its customer service standards. Customers can escalate their concern/feedback on the Bank's services, products, processes, systems, and employees through the following channels:

Website - https://www.afrasiabank.com/en/about/feedback



In Writing

Write to us at the address below:

The Complaints Officer

AfrAsia Bank
12th floor AfrAsia Tower, Tribeca Central, 72261, Trianon, Mauritius
Fax: (230) 468 1655
Or through the complaint form, which is available online at (https://www.afrasiabank.com/media/15939/your-feedback-matters-june-2025.pdf). The form can be filled in and dropped in our Complaints Box in our Tribeca and Port Louis branches.

By Phone

Call the Complaints Officer on +230 (403 5500). Lines are open between 9.00 a.m. and 5.30 p.m. every day except on weekends and public holidays.

Online

Send us an email on complaints@afrasiabank.com and we will get back to you.

SUSTAINABILITY (CONT'D)

6. CORPORATE SOCIAL RESPONSIBILITY

AFRASIA FOUNDATION

Established in May 2016, the AfrAsia Foundation focuses on its mission to shape a world of difference by funding sustainable projects that support the environment and society to help build thriving communities. The Foundation aims to create meaningful sustainable change in the Mauritian society through long-term collaboration with various NGOs to support our three-pronged strategic pillars: Education, Health, Environment.



Three pillars of the AfrAsia Foundation.

PILLAR 1: EDUCATION

AFRASIA SCHOOL

In partnership with the NGO Ti Rayons Soleil, AfrAsia School offers a safe and inclusive learning environment that provides free, quality pre-primary education to underprivileged children aged 3 to 5. Rooted in a holistic approach, the early childhood programme also includes nutritional support, healthcare services, psychological and special needs care, as well as transportation.

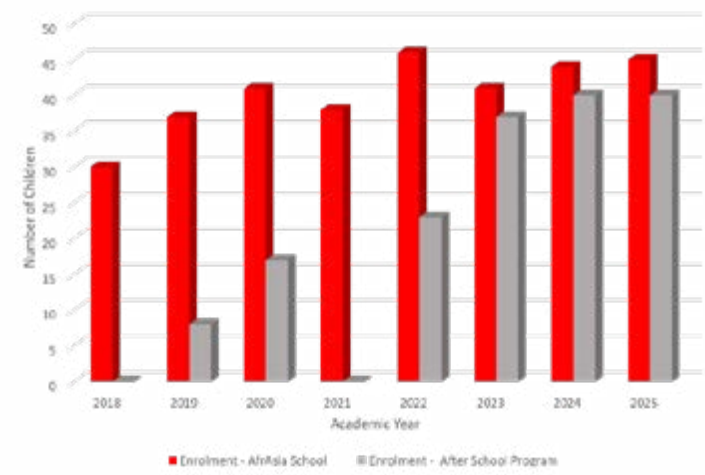
To ensure continued academic success, AfrAsia School also runs an after-school programme for its graduates who are now enrolled in primary school. In parallel, a dedicated Parent Empowerment Support Programme is held throughout the year to equip families with the tools and guidance needed to better support their children's development.

Achievements for FY25

- AfrAsia Foundation contributed MUR 3.2M to Ti-Rayons Soleil for the running of AfrAsia School (FY25)
- 45 students have enrolled for AfrAsia School (CY25)
- 40 participants have enrolled for the After-School program (CY25)
- 7 families, totalling 26 individuals, benefited from the "Food Support" program (FY25)

SUSTAINABILITY (CONT'D)

AFRASIA SCHOOL



No. of beneficiaries of Pre-Primary schooling and the Afterschool Programme at AfrAsia School between CY 2018 - 2025.

CHILDREN'S UNIVERSITY AFRASIA FOUNDATION PROGRAM

In line with its educational mission, the AfrAsia Foundation secured the license in 2022 to implement the Children's University AfrAsia Foundation ("CUAF") program in Mauritius. Through the Children's University, the Foundation is striving to provide the skills, knowledge, and inspiration for children to thrive academically and pursue higher education.

Achievements for FY25

- 1710.5 learning hours have been accumulated as at June 2025
- 50 beneficiaries have enrolled on the program (FY25)
- 40 students have successfully graduated from the program in April 2025
- 6 Learning Destinations have been uploaded on the Children's University portal
- 4 CUAF sites have been developed in collaboration with different local CUAF partners and fully funded by AfrAsia Foundation

SUSTAINABILITY (CONT'D)

CHILDREN'S UNIVERSITY AFRASIA FOUNDATION PROGRAM

Figure 1: CUAF Graduation Ceremony on the 5th April 2025 at Institut Francais de Maurice



Figure 2: High Commissioner of Australia, Ms. Kate Chamley, as Guest of Honour during the CUAF Graduation ceremony



Exhibition of the final projects of the graduates from the four participating CUAF sites: AfrAsia School, Safire, Oasis de Paix and Lovebridge



Graduates in front of their final projects.



PILLAR 2: HEALTH

AfrAsia Foundation partners with NGO, Link to Life to raise awareness about cancer, promote community education, and highlight the importance of early detection—particularly in the fight against breast, cervical, testicular, and prostate cancers.

Achievements for FY25

- AfrAsia Foundation contributed MUR 0.83m to Link To Life for the AfrAsia Mobile Cancer Screening, Sensitisation and Support Program for FY25.
- Facilitated 892 breast cancer screenings
- Sponsored 66 breast prostheses
- Provided discounted cancer screenings to the bank's female staff

SUSTAINABILITY (CONT'D)

PILLAR 2: HEALTH (CONT'D)

Breast Cancer awareness workshop provided to AfrAsia Bank's employees by Link To Life



Free cancer awareness campaigns provided to the community including workshops and screenings



PILLAR 3: ENVIRONMENT

In the wake of the Wakashio oil spill in 2020, AfrAsia Foundation launched the SOS Mangrove Programme in partnership with NGO Reef Conservation. The initiative aims to:

- Promote and support research on mangrove ecosystems in Mauritius;
- Raise awareness about the importance of mangroves among community members; and
- Encourage and implement mangrove restoration efforts in collaboration with key stakeholders.

Achievements for FY25

- AfrAsia Foundation contributed MUR 1.96m to Reef Conservation for the SOS Mangrove Program;
- Launch of the first edition of the Mangrove Matters challenge in March 2025 to encourage wider use of the Mangrove Matters mobile application and to collect comprehensive data on mangroves across Mauritius. 243 participants were registered: 99 students, 121 private groups, 23 individuals;
- 617 endemic and mangrove-associated coastal plants housed at Melville Mangrove Nursery;

SUSTAINABILITY (CONT'D)

PILLAR 3: ENVIRONMENT (CONT'D)

Achievements for FY25 (Cont'd)

- 109 participants reached through school visits to the nursery sponsored by AfrAsia Foundation;
- 4 Bis Lamer sessions conducted, reaching 206 community members;
- 1,510 mangrove booklets printed (1,040 English, 470 French); 500+ distributed; and
- 487 observations submitted via the Mangrove Matters App.

Bis lamer sessions with students



PRINCIPLE SEVEN – AUDIT

External Audit

Ernst & Young ("EY") has been the external auditor of the Bank for the past 4 years. The re-appointment of EY has been approved on 10 December 2024 at the AGM.

The Audit Committee continuously evaluates the independence and effectiveness of the external auditor before making a recommendation to the Board on their appointment and retention.

The Audit Committee meets privately with the external auditors on a quarterly basis to discuss critical issues and potential threats to independence and remains satisfied that they are not unduly influenced by management.

As per the International Code of Ethics for Professional Accountants by the International Ethics Standards Board for Accountants ("IESBA") for the non-assurance services and the fee-related provisions, the Bank has in place a policy for non-assurance services provided by the external auditors. This policy aims to:

- Preserve the independence and objectivity of the external auditor in performing the statutory audit;
- Avoid any conflict of interest by outlining the types of work that the external auditor cannot undertake (prohibited services) outside of the audit engagement and the considerations that should be applied in assessing potential conflicts of interest; and
- Establish a pre-concurrence process for the provision of non-assurance services by the external auditor.

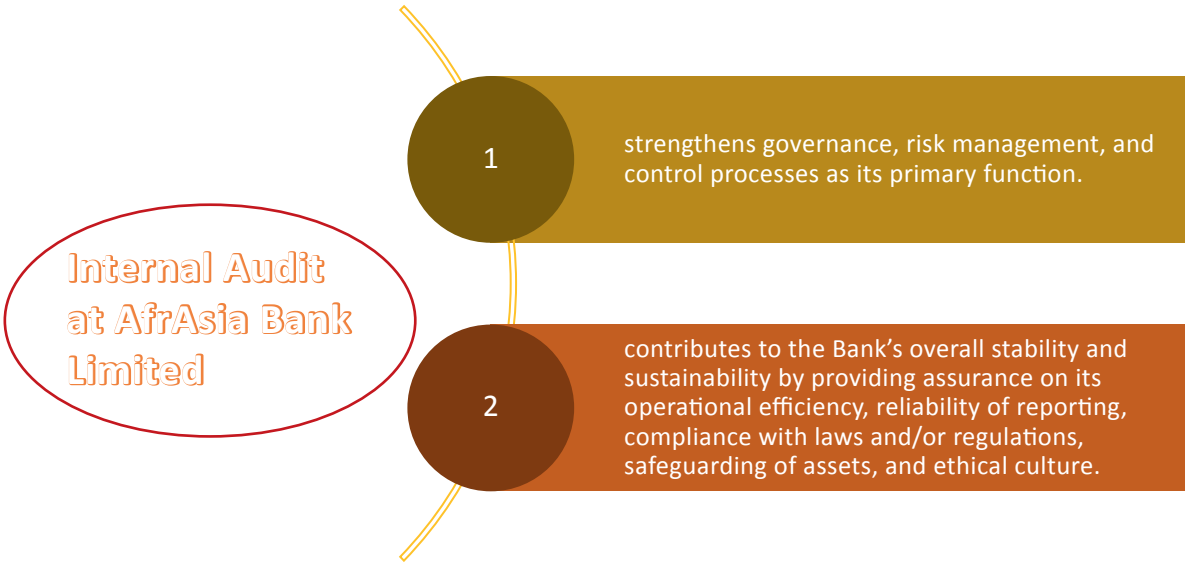
The fees for audit and other services were as follows:

	YEAR ENDED 30 JUNE 2025		YEAR ENDED 30 JUNE 2024		YEAR ENDED 30 JUNE 2023	
	Audit MUR '000	**Other* MUR '000**	**Audit MUR '000**	**Other* MUR '000**	**Audit MUR '000**	**Other* MUR '000**
Ernst & Young						
The Bank						
AfrAsia Bank Limited	**31,585**	**11,687**	29,575	5,579	16,520	8,841
Ernst & Young						
The Subsidiaries						
AfrAsia Investments Limited	**373**	**66**	345	41	330	24

*Other services include limited review, assurance reports and tax consultancy.

Internal Audit

Internal auditing is an independent, objective assurance and advisory service designed to add value and improve an organisation's operations. It helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management and control processes.



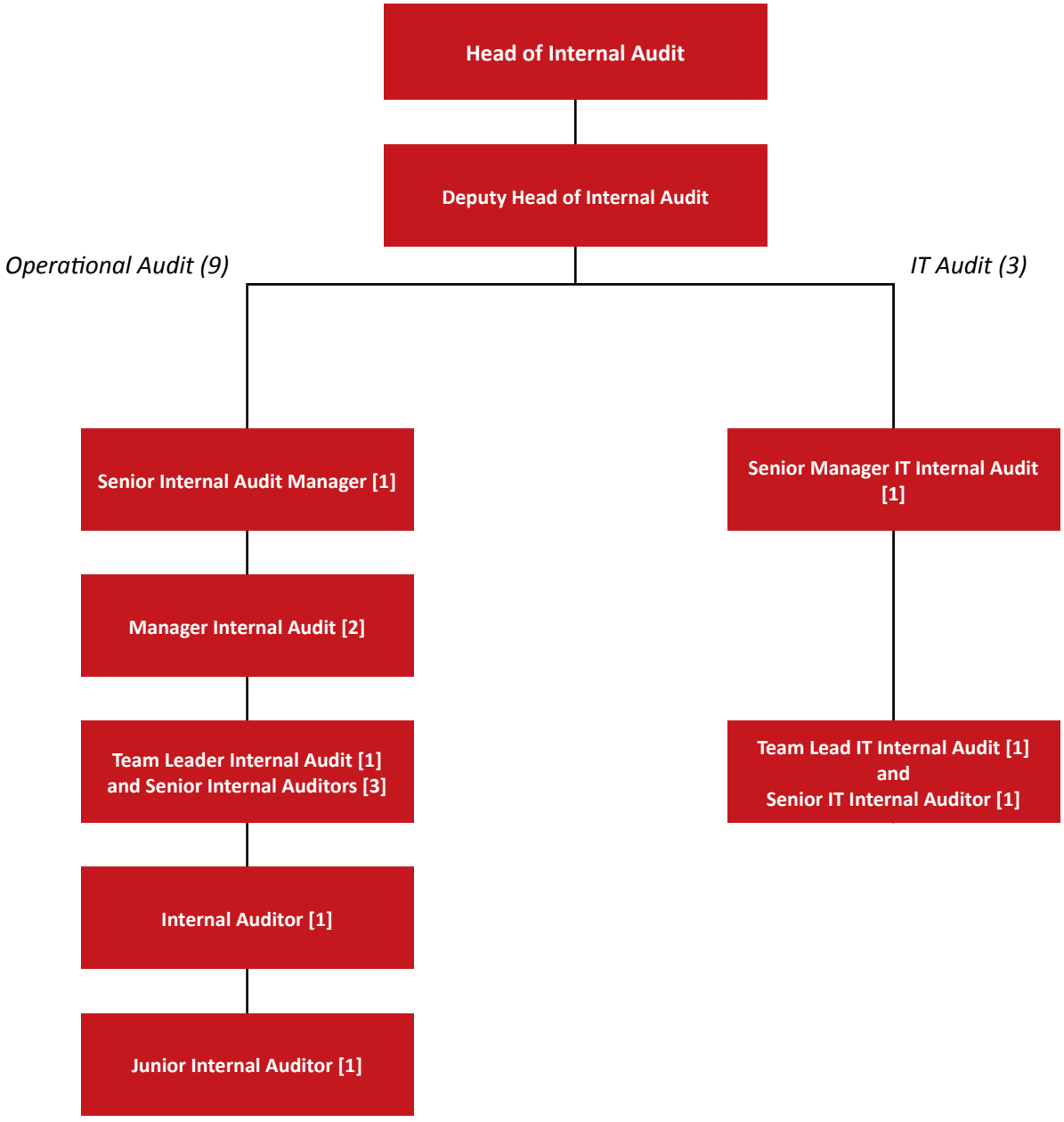
The Internal Audit ("IA") Function at AfrAsia Bank is governed by the Internal Audit Charter, which was approved by the Audit Committee.

The Internal Audit Department has a 3-year Strategic Plan (FY24 to FY26), which was approved by the Audit Committee. The strategic plan is updated on an annual basis. As part of our IA strategic initiatives, IA is exploring the possibility of automating the audit process in FY26 through the implementation of an internal audit software.

Internal Audit (Cont'd)

The structure is as follows:

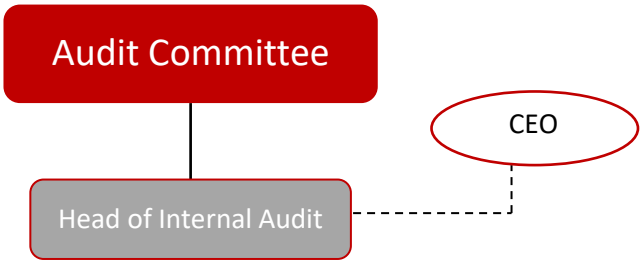
Current Headcount: 14



Internal Audit (Cont'd)

Independence of the Internal Audit Team

The Internal Audit Function in AfrAsia Bank remains independent of the activities audited. There have been no restrictions placed on the right of access by internal audit to the records, management, or employees of the Bank as part of the audit procedures performed during the financial year under review and to the date of this report. The Head of Internal Audit maintains a direct reporting line with the Audit Committee for direction and accountability and with the CEO for administrative interface and support in line with good governance practices.



The Head of Internal Audit has regular access to the Chairperson of the Audit Committee. He attends quarterly meetings with the Audit Committee and more frequently when the need arises.

Qualifications and experience

Kristy Kumar Ballah, a Chartered Banker and also a Fellow of the Institute of Chartered Accountants in England and Wales with 20 years of experience in the auditing field, heads the Internal Audit department.

Prior to joining the Bank, he was the Group Internal Audit Manager at the Mauritius Commercial Bank. He started his career with PWC, where he grew to become an Audit Manager. Over the years, the Head of Internal Audit had exposure to local organisations operating in diverse sectors and also had significant international exposure. He is well acquainted with risk management activities in general. The profile of the Head of Internal Audit is displayed on the Bank's website.

The Head of Internal Audit is supported by 13 staff members combining significant banking and auditing experience. The team includes members with "Big 4 firm" exposure and professional designations such as Fellow of the Association of Chartered Certified Accountants ("FCCA"), Association of Chartered Certified Accountants ("ACCA"), Certified Internal Auditor ("CIA"), Certified Information Systems Security Professional ("CISSP"), Certified Ethical Hacker ("CEH"), and Certified Information Systems Auditor ("CISA").

The Internal Audit Team is also committed to continuous improvement with a view to being Institute of Internal Audit ("IIA") compliant through trainings delivered by highly recognised institutes such as the Institute of Internal Auditors (Global) and Institute of Risk Management on Global Internal Audit Standards, topical requirements (ESG, cybersecurity etc.) and other emerging key areas of consideration.

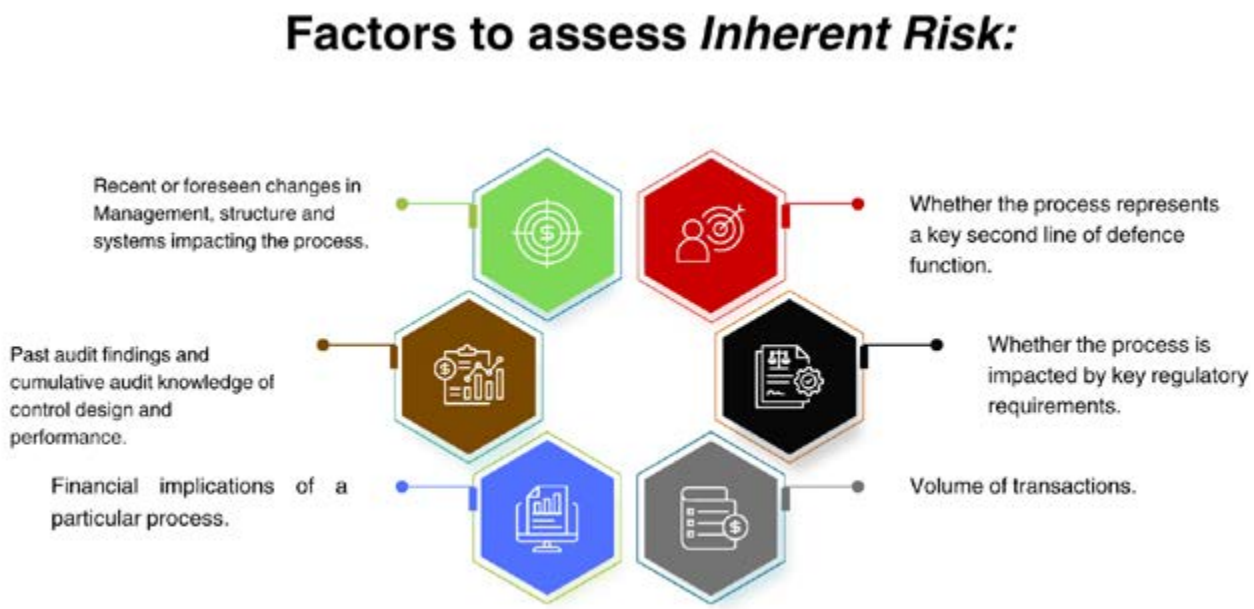
Internal Audit (Cont'd)

Implementation of the risk-based audit plan

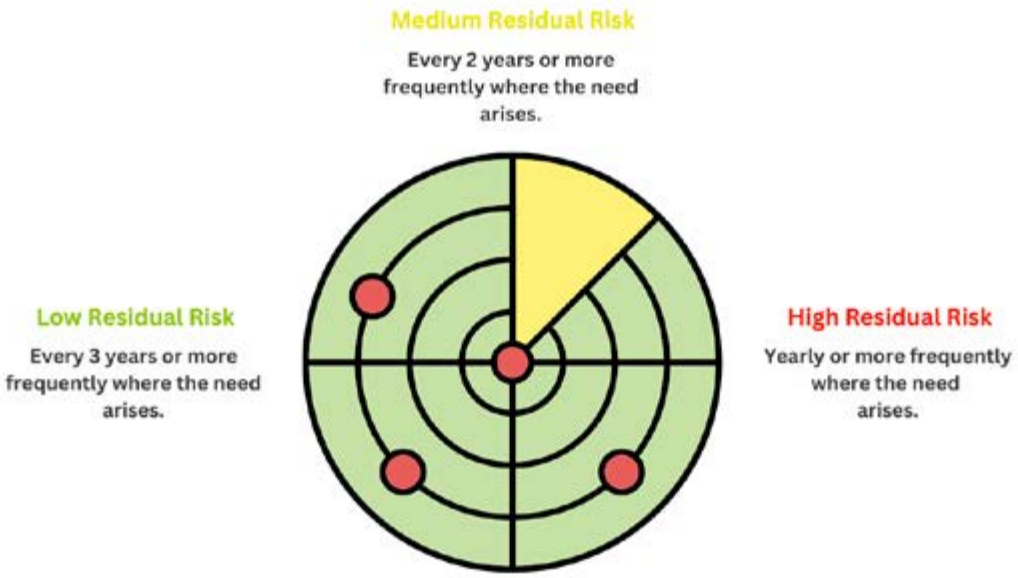
The Internal Audit Team implements the yearly risk-based audit plan (comprising a mix of operational and ICT audits), which is approved by the Audit Committee.

- Operational Audit

The below key criteria are used, amongst others, to assign an inherent risk rating to identified areas/processes, and subsequently an assessment of controls' design and performance is performed to obtain the residual risk rating:



The audit frequency for identified areas/processes is based on residual risk as follows:

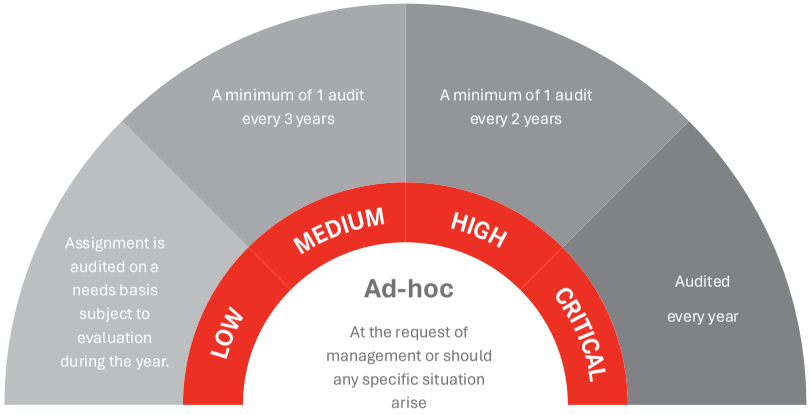


Internal Audit (Cont'd)

Implementation of the risk-based audit plan (Cont'd)

- ICT Audit

The criticality of areas and audit frequency is determined as follows:



LOW

- In case these applications/systems are compromised, this could lead to minor levels of inconvenience and distress to banking operations
- Application/System is easily recoverable and reproducible
- Application/System provides an informational/non-critical service
- As per BIA, the recovery time objective should be within 24 hours or more

MEDIUM

- Applications/Systems/IT Infrastructure devices/location & network/Policies cater for the internal functional needs of the bank
- Compromise of these applications/systems/middleware may lead to minor levels of inconvenience and distress to banking operations
- As defined in the BIA, the recovery time objective (RTO) should be within 24 hours

HIGH

- Applications/Systems/IT Infrastructure devices/location & network are developed to primarily support the different business initiatives and to also shape the business objectives of the bank
- Failure in having these components up and running could entail disruption to the business function but with a less aggravated note to the overall banking operations
- Availability for applications/systems/middleware/ infrastructure location during business hours is expected and the recovery time objective (RTO) should be within 8 hours as per the BIA

CRITICAL

- Applications/Systems/IT Infrastructure devices/location & network are earmarked as critical based on availability to sustain the business
- As per the Business Impact Analysis (BIA), the Recovery Time Objective (RTO) for these components is very low i.e. a maximum of 4 hours of downtime
- Sensitive data is transmitted in and out of those applications/systems/middleware, a fissure to them could result in serious financial loss, confidential data being exposed, legal dispute and customer distrust
- The downtime could potentially give rise to enforcing BCP procedures

Note: The hours mentioned in the above diagram are absolute numbers of hours and are independent of working hours.

- Spot Audits

Spot audits are also performed monthly for areas deemed higher risk in the FY.

Internal Audit (Cont'd)

The FY25 Audit Plan

The FY25 audit plan has been satisfactorily executed. Valid explanations exist for any audit that has been rescheduled in FY26, whereas there were also ad-hoc assignments carried out in FY25, at the request of Management and Audit Committee.

The Internal Audit Team provides varying degrees of assurance about the effectiveness of the risk management and control processes of selected activities and functions of the organisation. It is worth mentioning that, as of date, the majority of issues categorised as higher risk have either been addressed or Management has established a remedial plan.

Any risk or deficiency in the system of internal controls revealed during audits has been reported in the respective reports issued at the end of the assignment. The audit report includes audit recommendations, management comments, an action plan and a timeline for implementation. Monitoring of implementation is done by Internal Audit.

PRINCIPLE EIGHT – RELATIONS WITH SHAREHOLDERS AND OTHER KEY STAKEHOLDERS

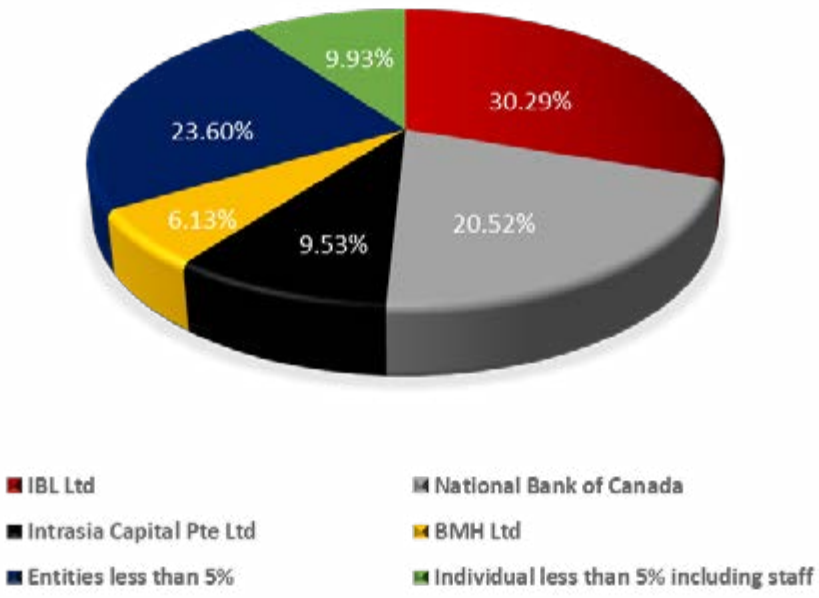
AfrAsia Bank's stakeholders encompass individuals and organisations with vested interests in the Bank or those impacted by its operations. The key stakeholder groups include customers, employees, shareholders and investors, government and regulatory authorities. These primary stakeholders play crucial roles in the Bank's ecosystem and are an integral part of its success and sustainability.

Shareholding Structure

AfrAsia Bank boasts a diverse shareholder base, comprising reputable local and international private institutional investors from multiple continents. As of 30 June 2025, the Bank had a robust expansion in its regulatory capital base to stand at MUR 22.5bn. The institution is committed to transparent and effective communication with all shareholders, ensuring that minority shareholders' interests are protected.

The Bank's shareholding structure as of 30 June 2025 is as follows:

Shareholder	Number of Shares	% Shareholding
IBL Ltd	34,219,736	30.29
National Bank of Canada	23,188,038	20.52
Intrasia Capital Pte Ltd	10,767,466	9.53
BMH Ltd	6,926,196	6.13
Entities less than 5%	26,662,152	23.60
Individual less than 5% including staff	11,213,622	9.93
	112,977,210	**100.00**



Shareholding Structure (Cont'd)

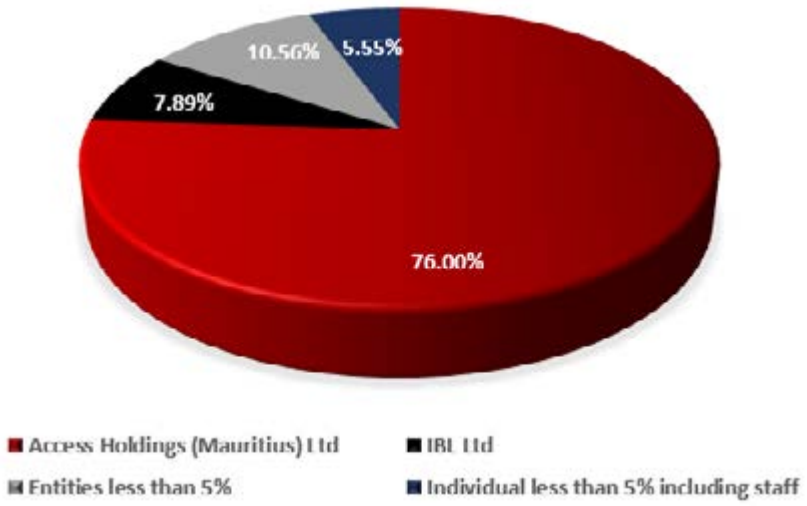
Size of shareholding	Number of shareholders	Number of shares	Holding (%)
1 – 1,000	1,927	267,576	0.24
1,001 – 5,000	164	374,669	0.33
5,001 – 10,000	29	189,850	0.17
10,001 – 50,000	56	1,448,413	1.28
50,001 – 500,000	25	4,594,935	4.07
Above 500,001	23	106,101,767	93.91
Total	**2,224**	**112,977,210**	**100.00**

Category	Number of shareholders	Number of shares	Holding (%)
Individuals	2,046	11,213,622	9.93
Insurance and assurance companies	6	1,301,514	1.15
Pensions and provident funds	36	4,133,628	3.66
Investment and trusts companies	13	10,550,228	9.34
Other corporate bodies	123	85,778,218	75.92
Total	**2,224**	**112,977,210**	**100.00**

Substantial Change in Shareholding

The Bank's shareholding structure is as follows as of date:

Shareholder	Number of Shares	% Shareholding
Access Holdings (Mauritius) Ltd	85,862,680	76.00
IBL Ltd	8,912,600	7.89
Entities less than 5%	11,928,693	10.56
Individual less than 5% including staff	6,273,237	5.55
	112,977,210	**100.00**



Shareholding Structure (Cont'd)

Size of shareholding	Number of shareholders	Number of shares	Holding (%)
1 – 1,000	1,909	261,648	0.23
1,001 – 5,000	158	360,544	0.32
5,001 – 10,000	28	180,383	0.16
10,001 – 50,000	30	660,066	0.58
50,001 – 500,000	16	2,675,961	2.37
Above 500,001	10	108,838,608	96.34
Total	**2,151**	**112,977,210**	**100.00**

Category	Number of shareholders	Number of shares	Holding (%)
Individuals	1,996	6,273,857	5.55
Insurance and assurance companies	1	284	-
Pensions and provident funds	26	1,376,378	1.22
Investment and trusts companies	14	8,017,859	7.10
Other corporate bodies	114	97,308,832	86.13
Total	**2,151**	**112,977,210**	**100.00**

Dividend Policy

Dividends are proposed by Management to the Board in line with the provisions of the Banking Act 2004 (as amended), the BOM's Guideline on Payment of Dividends (as amended), the Companies Act 2001 of Mauritius, and the Bank's Constitution. Once the Board is satisfied with Management's recommendation and the satisfaction of solvency tests and other ratios, the Board may approve the payment of dividends, subject to the approval of BOM, after which dividends may be distributed to shareholders.

Dividend on Ordinary Shares

The Bank has achieved a good financial return to allow dividends of MUR 2.4bn (MUR 1.6bn final dividend of MUR 14.60 per share for FY24 and MUR 769.4m interim dividend of MUR 6.81 per share with respect to the period ended 31 December 2024), declared and paid during the financial year under review (FY24: MUR 2.8bn that is, MUR 2.0bn final dividend of MUR 17.78 per share for FY23 and MUR 806.7m interim dividend of MUR 7.14 per share with respect to the period ended 31 December 2023; FY23: MUR 482.4m that is, MUR 4.27 per share for FY22). This can be summarised as follows:

Dividends on Ordinary Shares (MUR'm)			
	2023	2024	**2025**
Dividend paid	482.4	2,815.4	**2,418.8**

Dividend Policy (Cont'd)

Dividend on Class A Shares (Cont'd)

The dividend of MUR 106.9m for the 6 months ended 30 June 2024 was approved by the Board of Directors on 13 November 2024, and payment was effected on 03 January 2025. The dividend of MUR 99.4 for the 6 months ended 31 December 2024 was approved by the Board of Directors on 16 May 2025, and payment was effected on 19 June 2025. (2024: MUR 106.2m for the 6 months ended 31 December 2023, MUR 101.3m for the 6 months ended 30 June 2023 and MUR 96.3m for the 6 months ended 31 December 2022 and 2023: MUR 76.5m for the 6 months ended 30 June 2022 and MUR 67.5m for the 6 months ended 31 December 2021). This can be summarised as follows:

Dividends on Class A Shares – Series 1 and 2 (MUR'm)			
	2023	2024	**2025**
Dividend paid	144.0	303.8	**206.3**

Material Clauses of The Constitution

Article 21.2 of the Bank's Constitution provides for a list of reserved matters that must be approved by special resolution of the voting shareholders of the Bank.

Restrictions concerning the disposal of shares are set out in Articles 15 and 16 of the Bank's Constitution. Such restrictions include the requirement to obtain the Board's approval in connection with the registration of share transfers.

Shareholders' Agreement

During the financial year ending 30 June 2025, the Bank did not enter into any Shareholders' Agreement. The Bank was, however, advised by its previous anchor shareholders namely IBL Ltd and National Bank of Canada, that they have signed a share purchase agreement with Access Bank UK Limited for the acquisition by Access Bank UK Limited (through its wholly owned subsidiary, Access Holdings (Mauritius) Ltd) of a majority stake in the Bank's share capital.

Significant Contracts

AfrAsia Bank has not entered into any significant contracts with third parties during the financial year ended 30 June 2025.

Management Agreements

AfrAsia Bank has not entered into any management agreements with third parties during the financial year ended 30 June 2025.

Gifts and Donations

The Bank has made MUR 6,000 in gifts and donations during the year ended 30 June 2025 (2024: MUR 66,000 and 2023: MUR 3,000).

Political Donations

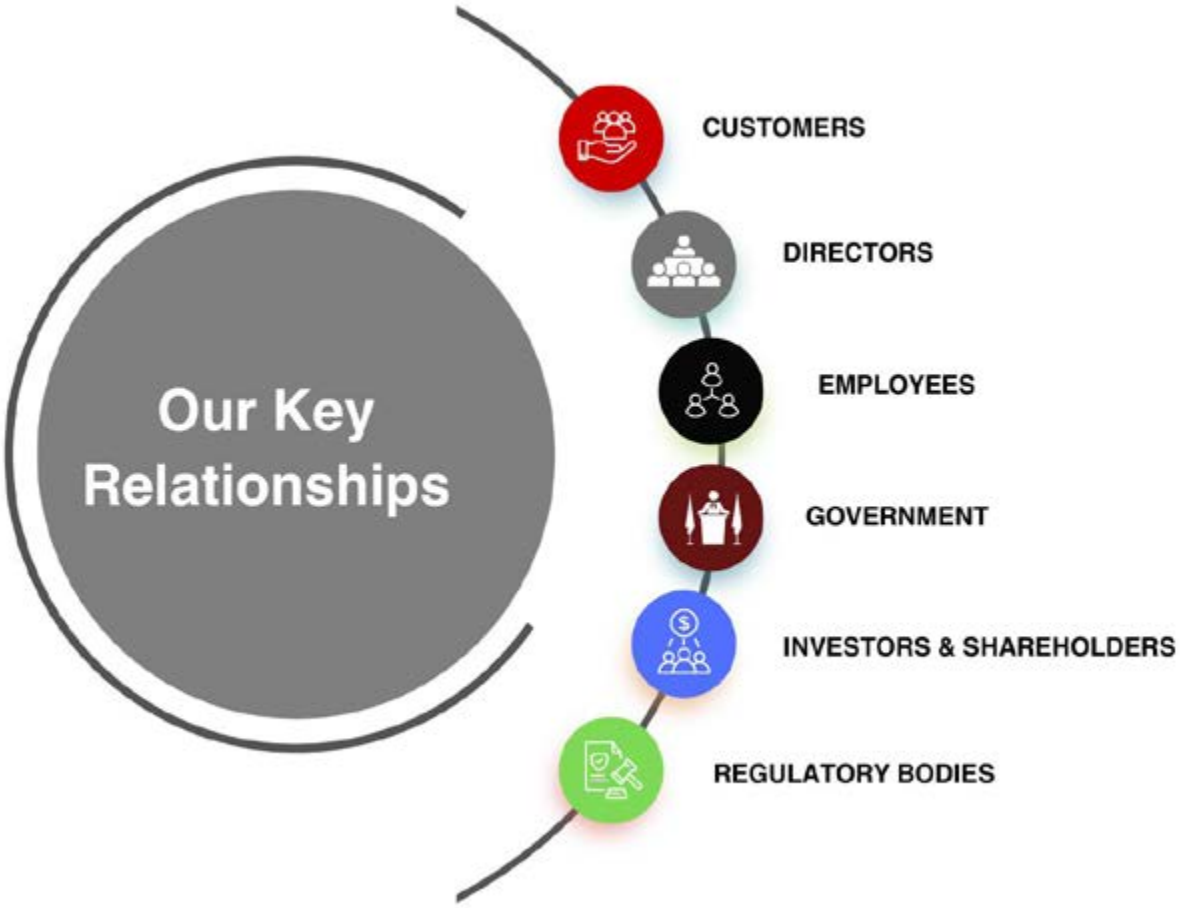
The Bank has made political donations of MUR 3.5m during the year ended 30 June 2025 (2024 and 2023: NIL)

Related Party

The Bank has not entered into any new operational agreements with any related parties during the financial year ended 30 June 2025. For further details pertaining to related party transactions and balances relating to the year ended 30 June 2025, kindly refer to note 36 on “Related Party Disclosures” of the Annual Report.

Our Key Relationships

The Bank maintains a proactive stance in managing relationships with its key stakeholders. In selecting suppliers, contractors, and non-governmental organisations, it prioritises entities whose values and focus areas are closely aligned with those of the Bank. AfrAsia Bank has implemented diverse channels for stakeholder engagement and feedback collection. This comprehensive feedback mechanism enables the Bank to identify strengths and address areas requiring improvement, ensuring continuous enhancement of its operations and stakeholder relations.



Our Key Relationships (Cont'd)

Below is an overview of our main stakeholders and how the Bank engages with them:

Customers

How We Engage with Customers	• Dedicated relationship managers proposing tailored financial solutions • Business meetings and visits • Online and Offline Conferences, Roadshows and Presentations • Clients Networking Events • Sponsorship of events, competitions or other activities which involve High Net Worth Individuals and Corporates which are potential clients • Market updates • Website • Social media platforms • Customer Satisfaction surveys • E-mailing • Formal Letters • Phone contacts • Branches and Representative Office
Their Contribution to Value Creation	• Customers are the lifeblood of the Bank without whom AfrAsia Bank would not exist. The Bank has developed marketing and sales strategies to position the AfrAsia Bank's brand strongly in its target markets. It also has business strategies to grow its business locally and internationally.
What Customers Expect from Us	• High-quality products/value propositions and service excellence • Sustainable business model • Strong financial fundamentals • Efficient complaint management system • Continuously enhancing our customer relationship management practices • Seamless online banking experience with intuitive, fast and secure banking channels such as Internet banking platform and mobile banking applications • Easy and fast over-the-counter banking experience
What Concerns our Customers	• Transparent and timely reports regarding the financial performance of the bank • Security and confidentiality of transactions and data • Corporate governance and ethics • Disclose how the bank is addressing ESG matters

Directors

The role and responsibilities of the Board of Directors have been commented on under the section, "**The Key Roles and Responsibilities of the Board**".

Our Key Relationships (Cont'd)

Employees

How We Engage with Employees	• Face-to-face meetings • Social events/activities • Training and coaching • External learning and growth opportunities • Committees • Recognition and rewards • Virtual workshops and meetings
Their Contribution to Value Creation	• Work towards achievement of our strategy - Key Performance Indicators • Demonstrate passion towards a positive customer experience • Help create and build positive working relationships • Enhance trust on the market • Help create a positive employer and corporate brand
What Employees Expect from Us	• An environment that encourages growth and open communication • The opportunity to achieve personal goals whilst aligning to the Bank's objectives • A favourable internal climate that promotes engagement for achievement
What Concerns our Employees	• A safe and healthy place to work • Continued career growth • Open door management style with mutual trust • A positive work cultures • Sustainability and CSR actions • Regular feedback and coaching • Competitive remuneration • Financial and non-financial rewards • Recognition • A high level of empowerment and autonomy

Government and Regulatory Authorities

How We Engage with the Government and Regulatory Authorities	• Regular meetings • Workgroups with the Bank of Mauritius and Financial Services Commission on regulatory guidelines, new legislations, laws and other matters • Written communication • Regulatory returns • Onsite and offsite supervision by the regulators • Trilateral meeting between the Bank of Mauritius, External Auditors and the Bank • Regulatory approvals

Our Key Relationships (Cont'd)

Government and Regulatory Authorities (Cont'd)

How We Engage with the Government and Regulatory Authorities (Cont'd)	▪ Providing information during Parliamentary debates through the Mauritius Bankers Association and Business Mauritius ▪ Training sessions ▪ Virtual Committees and conferences
Their Contribution to Value Creation	▪ The regulator provides the enabling regulatory framework ▪ Guidelines and instructions from the regulators issued from time to time
What the Government and Regulatory Authorities expect from us	▪ Providing banking and financial services in a transparent, secure and sustainable way ▪ Ensuring and maintaining customer satisfaction ▪ Complying with acts, regulations and guidelines
What Concerns the Government and Regulatory Authorities	▪ Products and services being provided and the communication around same ▪ Compliance with laws, acts and regulations ▪ Transparency and accessibility to accurate, relevant and current information ▪ The Bank's duty of confidentiality and data protection ▪ Duties of the Board and Senior Management, including their respective trainings ▪ Appropriate Customer Due Diligence and Know Your Client ("KYC") processes and reviews ▪ Risk management and internal controls ▪ Complaints handling and customer care ▪ Compliance with the principles of corporate governance ▪ Sustainable financing

Investors and Shareholders

How We Engage with Investors and Shareholders	▪ Annual reports, media releases and published results ▪ Board meetings ▪ Annual general meetings ▪ Investor Relations web page
Their Contribution to Value Creation	▪ Investors provide capital to sustain the bank's growth locally and internationally
What Investors and Shareholders Expect from Us	▪ Providing sustained returns on investment through strong fundamentals, brand, resilience, sound risk profile, strategic growth opportunities, and good governance practices while building a sustainable business model
What Concerns Investors and Shareholders	▪ Delivering sustainable return on investment ▪ Achieving the Bank's vision and adhering to the mission ▪ ESG-related matters ▪ Sound Leadership, Management, and strategic direction ▪ Corporate governance and ethics ▪ Execution of the business strategy ▪ A high level of employee engagement and a positive employer brand, as well as low employee turnover.

Our Key Relationships (Cont'd)

Investors and Shareholders (Cont'd)

The Board distributes notices for AGM and other shareholder meetings, along with related documents, to shareholders at least 21 days before the scheduled meeting date. These notices clearly explain the proxy voting procedures and specify the deadline for receiving proxy forms.

Some Key Dates

Shareholders' Calendar

Financial Year End	30 June
Annual General Meeting	November/December

Publication of Financial Statements

30 September quarter-end	15 November
31 December quarter-end	15 February
31 March quarter-end	15 May
30 June year-end	September or any other dates permitted by the Bank's regulators

Dividends

Ordinary Shares Dividends

Final

Declaration	Post 30 June upon closure of accounts
Payment	Upon receipt of approval from the regulator

Interim

Declaration	Post 31 December
Payment	Upon receipt of approval from the regulator

Class A Shares Dividends

Declaration	Post June and December
Payment	Upon receipt of approval from the regulator

The Annual Report is published in its entirety on the Bank's website. (https://www.afrasiabank.com/en/about/investors/annual-reports).

The Corporate Governance Report has been approved by the Board of Directors and signed on its behalf by:

OLIVIER EMMANUEL JAUFFRET
Chairperson

ALASTAIR JAMES BRYCE
Director

Date: 22 September 2025

STATEMENT OF COMPLIANCE

(SECTION 75(3) OF THE FINANCIAL REPORTING ACT 2004 (AS AMENDED))

Name of Public Interest: AfrAsia Bank Limited
Reporting Period: 1 July 2024 to 30 June 2025

The Board of AfrAsia Bank Limited confirms, to the best of their knowledge that AfrAsia Bank Limited and its Subsidiary have complied with all of its obligations and requirements under the National Code of Corporate Governance 2016. The Bank has applied all of the principles set out in the Code whilst also explaining the application of the said principles in this Corporate Governance Report.

OLIVIER EMMANUEL JAUFFRET
Chairperson

ALASTAIR JAMES BRYCE
Director

Date: 22 September 2025





Risk Management Report



RISK MANAGEMENT REPORT

RISK MANAGEMENT

Risk management at AfrAsia Bank Limited (the "Bank" or "AfrAsia Bank") is at the heart of the Bank's decision-making in determining and implementing the Bank's strategic planning to support sustainable business growth. This is achievable through informed, prudent risk decisions, a robust risk management framework and a proactive risk culture.

The Risk Management Framework is a pivotal element in managing the risks of the Bank. It enables proactive identification, active management and monitoring of these risks. The risk appetite, policies, and procedures are regularly reviewed and updated to be fully aligned with regulations, laws, and industry practices.

Risk management is the process of identifying, evaluating and managing the impact of uncertain events, and monitoring the consequences at acceptable levels within the Bank's risk appetite.



RISK MANAGEMENT STRATEGY

The risk management processes are guided by well-defined policies appropriate for various risk categories, independent risk oversight, and periodic monitoring through the subcommittees both at the management level and board level.

RISK MANAGEMENT STRATEGY (CONT'D)

The risk-management cycle comprises four phases:

- Establishing objectives by identifying the strategic goals and determining constraints;
- Analysing the risks;
- Selecting controls and assessing the alternatives to address the risks; and
- Implementing the alternatives and monitoring the progress and results.

The process organises information about the possibility of a spectrum of undesirable outcomes into an inclusive and orderly structure that helps decision-makers make informed choices about their activities and ability to manage risks.

RISK CULTURE

A strong risk management culture is essential to keep the Bank, our employees and our customers safe and secure from existing and emerging risks. Under the guidance of the Board, senior management sets the tone by clearly articulating and exemplifying the Bank's core risk values. This leadership is instrumental in fostering a culture that emphasizes prudent risk-taking and long-term relationships with customer relationships, through the economic cycle.

A critical driver of risk culture is the "tone from the top" — where clear, consistent messages from leadership conveys expectations and reinforces a disciplined approach to risk management. The Bank is committed to build a risk-aware culture by designing and embedding sound risk management practices into its strategic objectives and daily operations through communication and targeted training. A key part of this is to establish ownership of risks and controls across the Bank and the ability of staff to escalate matters without fear of any adverse consequences. This open and accountable environment supports proactive risk identification and response, which are vital to the Bank's long-term resilience and success.

RISK SKILLS AND CAPABILITIES

To reinforce a strong risk culture across the Bank, all staff are required to complete risk training annually as part of their mandatory training program. Additionally, a comprehensive library of risk management learning resources is available, to staff with specific risk management responsibilities, supporting continuous skill and capability development.

There is ongoing investment in risk systems and models alongside the Bank's focus on customer and product, systems and process management. This drives improvements in risk data quality, aggregation and reporting, thereby enabling more effective and efficient risk decision-making.

RISK APPETITE FRAMEWORK

The risk appetite of the Bank is set by the Board and governed by the Risk Appetite Framework, which articulates the risks that the Bank is willing to accept. It also serves to reinforce the risk culture by setting a clear message from the top. The risk appetite framework considers the various types of risks and is embedded into its policies, processes, authorities, thresholds, and limits to guide decision-making and risk management. The framework is reviewed and refreshed to ensure coverage across all principal risks; and any emerging risks, and aligns with internal and external factors.

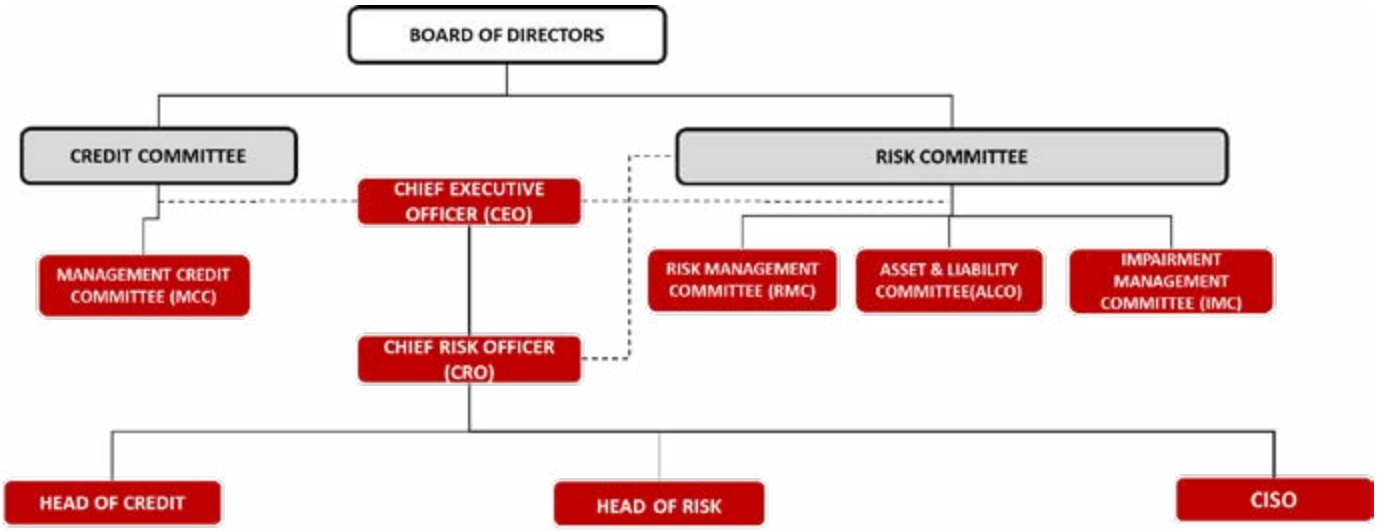
The setting of thresholds is essential in making risk appetite an intrinsic part of our operations as it helps to keep all the risks within acceptable levels. Portfolio risk limits such as sectors, country, and counterparties which are quantifiable risk types, are established based on a prudent approach taking into consideration the different requirements related to the guidelines of Bank of Mauritius ("BOM") and industry practices. These are implemented and monitored as per the Risk Appetite Framework. The non-quantifiable risk types are managed using qualitative principles which clearly translate the Bank's strategic goals within approved risk parameters.

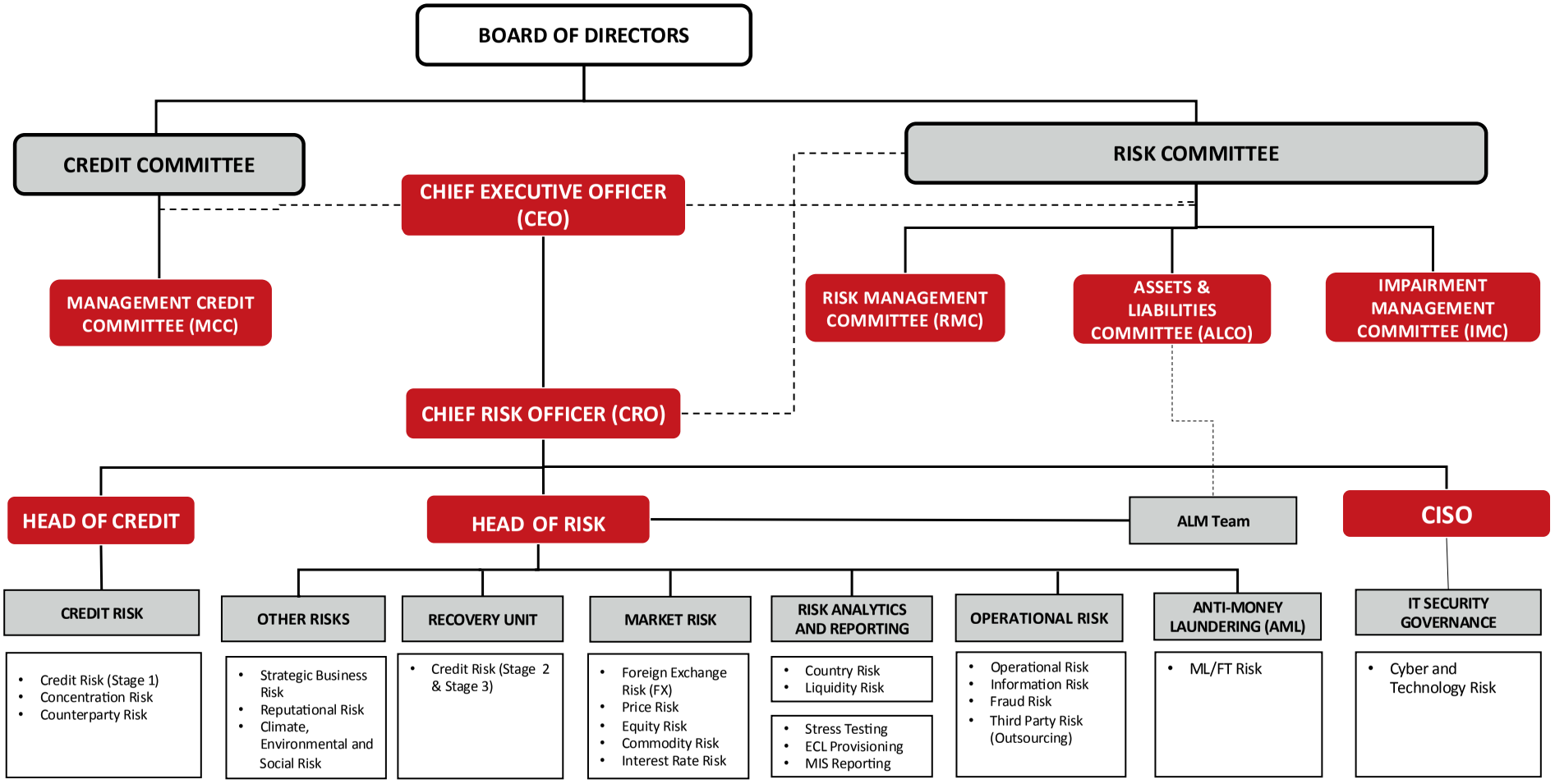
In line with the BOM's guidelines, management has established comprehensive policies and procedures addressing the principal risks in day-to-day operations, thereby aligning risk management activities with the Bank's strategic goals and approved risk appetite.

RISK GOVERNANCE AND OVERSIGHT STRUCTURE

The independent status of the risk management function is supported by a governance structure that provides for the escalation of risk issues to management through management forums and to Board committees and the Board, on a quarterly basis or as appropriate.

The chart below illustrates the Board's and management-level committees in the Bank's risk governance structure.





Fixed Line – Direct reporting to the CEO/Committee
Dotted Line – Operationally reports to the Board Committee

COMMITTEES ESTABLISHED BY MANAGEMENT

Management Credit Committee ("MCC")

The MCC is the senior management credit decision-making committee with a defined delegated authority as determined by the Board through the Credit Committee and Risk Committee from time to time.

Composition of MCC:

Voting Members: Head of Credit, Chief Executive Officer and Chief Financial Officer, or a delegated Senior Person

Non-Voting Members: Head of Risk, Chief Risk Officer

The main functions of the MCC are as follows:

- Assist the Board formulating, approving and implementing credit policies, guidelines and credit practices of the Bank;
- Exercise responsibility for the independent assessment, approval, review and monitoring of all credit risk assets relating to the Bank's business in line with Delegated Lending Authority; and
- Ensure that the origination and management of the assets in the portfolio are carried out in conformity with the Bank's policies, and regulatory guidelines.

Asset and Liability Committee ("ALCO")

The Asset and Liability Committee, which is chaired by the Chief Executive Officer, comprises the following members: The Chief Commercial Officer, Chief Financial Officer, Chief Risk Officer (non-voting member), Group Head of Compliance and Money Laundering Reporting Officer (non-voting member) and Head of Treasury & Markets. The Committee meets at least once a month. In the absence of any ALCO member, a designated alternate attend on their behalf.

ALCO's primary responsibility is to ensure that the Bank's overall asset and liability structure including its liquidity, currency and interest rate risks and capital position are managed within the risk appetite set by the Risk Committee.

Impairment Management Committee ("IMC")

The Bank's IMC comprises the Chief Executive Officer, Chief Financial Officer, Chief Risk Officer (with veto rights), Head of Risk and any delegated representatives who meet at least once a quarter or as and when required.

The functions of the IMC are as follows:

- Review Top Non-Performing Accounts;
- Review list of new Non- Performing Accounts;
- Review and approve all files, which warrant new/additional specific provisions;
- Review and approve Expected Credit Loss (ECL)for Stage 2 and 3 assets;
- Approve proposals for restructuring of facilities;
- Approve proposals for one-time settlements or out of court settlements;
- Approve and recommend a list of accounts earmarked for write-off to Board Risk Committee;
- Approve one-time settlement for written off accounts;
- Approve Out of Court settlement for written off accounts;

- Review and approve any downgrade of accounts in Watchlist to Stage 3;
- Approve the review and upgrade of Stage 2 accounts to Stage 1;
- Review and approve accounts assessed as showing Significant Increase in Credit Risk ("SICR");
- Acknowledge files under legal action;
- Review and approve all accounts in Watchlist (Downgrade/ Upgrade);
- Acknowledge bad debts recovered for the Quarter;
- Take cognizance of recoveries and write-backs for the Quarter;
- Approve any exceptions to be ratified by Board Risk Committee.

Risk Management Committee ("RMC")

The Committee comprises the Chief Executive Officer, Chief Commercial Officer, Chief Financial Officer, Chief Risk Officer (veto rights), Group Head Compliance and MLRO (Non-voting member), Head of Risk, Head of Global Business, Head of Internal Audit (Non-voting member), Head of Legal, and Chief Information Security Officer (CISO). In the absence of any RMC member, a designated alternate with sufficient seniority level should attend on their behalf.

The main functions of the RMC are as follows:

- advise the Risk Management Committee on the implementation of the Risk Appetite Framework and reporting on the overall current and future risk appetite and risk culture of the Bank;
- oversee the management of the overall risks of the Bank including market, liquidity, operational, legal, compliance, reputational, credit, cyber technology and IT security, IT risks, complaints and other risks and actions to mitigate such risks and to ensure effective risk management framework, policies, procedures and processes;
- ensure that reports including any corrective actions taken are provided to the Risk Management Committee.

MANAGEMENT OF KEY RISK AREAS

Risk can be defined as the uncertainty of an event occurring in the future. In the banking context, it is the exposure to the uncertainty of an outcome, where exposure maybe defined as the position or stake banks take in the market. The main types of risk faced by the Bank are as follows:

Type of Risk	Description	Mitigating Actions
Financial Risks		
Credit Risk	Credit Risk is the risk of loss arising out of the failure of obligors to meet their financial or contractual obligations when due. It is composed of obligor risk and concentration risk.	- Adherence to Policies & Procedures - Compliance with Regulatory Guidelines - Rigorous Credit Assessment - Regular Control & Monitoring - Key Resources with technical expertise - Allocation of delegated limit for approval at various levels - Collateral and Credit Enhancements - Ongoing Monitoring - Stress Testing and Scenario Analysis

Type of Risk	Description	Mitigating Actions
		❞ Effective recovery and Workout Process ❞ Governance and Reporting ❞ Regular Credit Committee meetings held to deliberate on credit files ❞ Quarterly review by Credit Committee
Country Risk	Country risk, also known as cross-border country risk, refers to the uncertainty surrounding an obligor's ability including that of the host country's sovereign, and the group's local branches or subsidiaries to meet financial obligations due to political or economic conditions in the host country.	❞ Regular Country Risk Assessment of political, economic, and regulatory environments in host countries to identify and evaluate risk exposures. ❞ Country Risk Limits are established, with proactive monitoring of exposure levels (utilisation) to ensure they remain within approved thresholds. ❞ Quality Reviews are carried out by the Risk Committee, covering aspects such as current country limits and proposals to either increase existing limits or establish new ones. ❞ All activities are aligned with the Risk Appetite Framework and are governed by the Bank's Country Risk Appetite and reported in the Bank's Risk Appetite Statement. ❞ Credit Risk Mitigation ❞ Monitoring and early warning ❞ Governance and Reporting
Market Risk	Market risk is the risk of a change in the market value, actual or effective earnings, or future cash flows of a portfolio of financial instruments, including commodities, caused by adverse movements in market variables such as equity, bond and commodity prices, currency exchange and interest rates, credit spreads, recovery rates, correlations and implied volatilities in all of these variables.	❞ Market Risk Policy ❞ Process & level of acceptance ❞ Risk Limits and Controls ❞ Diversification of portfolios ❞ Stress Testing and scenario analysis ❞ System Implementation
Funding and Liquidity Risk	Funding risk is the risk associated with the impact on a project's cash flow from higher	❞ Liquidity risk is managed in line with the Bank's internal liquidity risk management

Type of Risk	Description	Mitigating Actions
	funding costs or lack of availability of funds. Liquidity risk is defined as the risk that the Bank, although solvent, cannot maintain or generate sufficient cash resources to meet its payment obligations in full as they fall due, or can only do so at materially disadvantageous terms.	framework and the BOM's Guideline on Liquidity Risk Management and Guideline on Net Stable Funding Ratio. Daily reporting of liquidity metrics and monitoring of Liquidity Early Warning Indicators. Limits and Risk Appetite Governance and Reporting Reporting to ALCO
Interest Rate Risk	The risk arising from changes in interest rates or the prices of interest rate related securities and derivatives, impacting on the Bank's earnings or economic value of equity.	Limits and Risk Appetite Asset-Liability Management Stress Testing and scenario analysis Governance and Reporting
Climate-Related and Environmental Financial Risk	Risk posed by the exposure of financial institutions to physical risks (such as flooding, cyclones, etc.) or transition risks (such as change in policy, change in market sentiment, etc.) caused by or related to climate change and/or exposure to activities that may potentially cause or be affected by environmental degradation (such as air pollution, water pollution, etc.)	Documented Policy and Procedures. Regulatory Guideline. Enhanced due diligence Engagement and collaboration with clients Risk Assessment and monitoring Portfolio Diversification Training and internal capacity building. Data and Reporting
Non-Financial Risks		
Operational Risk	Operational risk is the risk of loss suffered as a result of the inadequacy of or failure in internal processes, people, systems or from external events.	Documented policies, procedures & processes Implementation of systems & internal controls Awareness Training and best practices Internal Controls Incident Management and Reporting Risk Monitoring and Assessment Business Continuity Planning Technology and system resilience
Compliance Risk	Compliance Risk is the risk of legal or regulatory sanction, financial loss or damage to reputation that the group may suffer as a	Policies and Procedures in line with regulatory requirements and standards BOM

Type of Risk	Description	Mitigating Actions
	result of its failure to comply with laws, regulations and codes of conduct and standards of good practice applicable to its financial services and banking. The Bank adheres to the Guideline on Compliance Risk Management and Governance Framework issued by the BOM in November 2024.	Guideline on Compliance Risk Management and Governance Framework - Internal controls - Trained and qualified staff - Appropriate system and tools
Information Risk	The risk of accidental or intentional unauthorised use, modification, disclosure or destruction of information resources, which would compromise the confidentiality, integrity or availability of information.	- Documented policies, processes & procedures - Implementation of systems & internal controls - Security Awareness Training and best practices. - Regular Audits and Vulnerability Assessment - Back Up and Recovery - Governance and Compliance
Cyber Risk	The risk of failure, unauthorised or erroneous use of information systems resulting in financial loss, disruption or damage to the reputation of the Bank.	- Educate Employees & stakeholders on Information Security including Cyber Security measures and assessment - Endpoint Security on Devices including - Access Management - Robust Cybersecurity Framework - Employee Awareness and Training - Encryption and Anti-virus Protection - Ensure efficient Patch Management on information systems - Cyber Threat detection and online monitoring 24/7, 365/365 - Distributed denial-of-service (“DDoS”) monitoring services - Privileged Access Management platform to control access to critical platform - Email and Web Security Platform - Data Loss Prevention and Back-Up - Multifactor Authentication for remote access

Type of Risk	Description	Mitigating Actions
		▪ Two tier Firewalling and Network segmentation ▪ Incident Response and Recovery ▪ Governance and Reporting
Transversal Risks		
Business Strategic Risk	Business strategic risk is the risk of earnings variability, resulting in operating revenues not covering operating costs after excluding the effects of market risk, credit risk, structural interest rate risk and operational risk.	▪ Documented policies, procedures and processes ▪ Implementation of systems and internal controls ▪ Training ▪ Ensure that the Bank adheres to its Risk Appetite ▪ Ensure that Business strategy is embedded in the Risk Appetite Framework ▪ KPIs and benchmarking ▪ Governance and Oversight
Reputational Risk	Reputational risk is the risk of potential or actual damage to the group's image, which may impair the profitability, and/or sustainability of its business.	▪ Strong Corporate Governance ▪ Proactive communication, staff training, and HR practices ▪ Robust Risk Management ▪ Documented policies, procedures and processes ▪ Efficient complaints & feedback handling for continuous improvement of products/services ▪ Constant compliance checks, monitoring and Reporting ▪ Information Security ▪ Stakeholder Engagement ▪ Crisis Management

ENTERPRISE RISK MANAGEMENT

The Bank's Enterprise Risk Management("ERMF") is structured to align with the industry-accepted internal control framework standards and applies to every area of the business, covering all types of risks. The Bank has adopted a hybrid version of COSO and ISO standards for implementing and managing its Enterprise Risk Management. The framework is regularly reviewed and updated to align more closely with the changing nature of risks within the industry and the Bank, along with evolving regulatory expectations.

The ERMF provides the Bank with an effective mechanism for developing and embedding risk policies and risk management strategies which are aligned with the risks faced by its businesses. It also seeks to facilitate effective communication on these matters across the Bank. The ERMF enables proactive identification, active management and monitoring of the risks, and facilitates a consistent approach across the Bank.

Below is a snapshot of the ERM Framework that has been implemented in Afrasia Bank

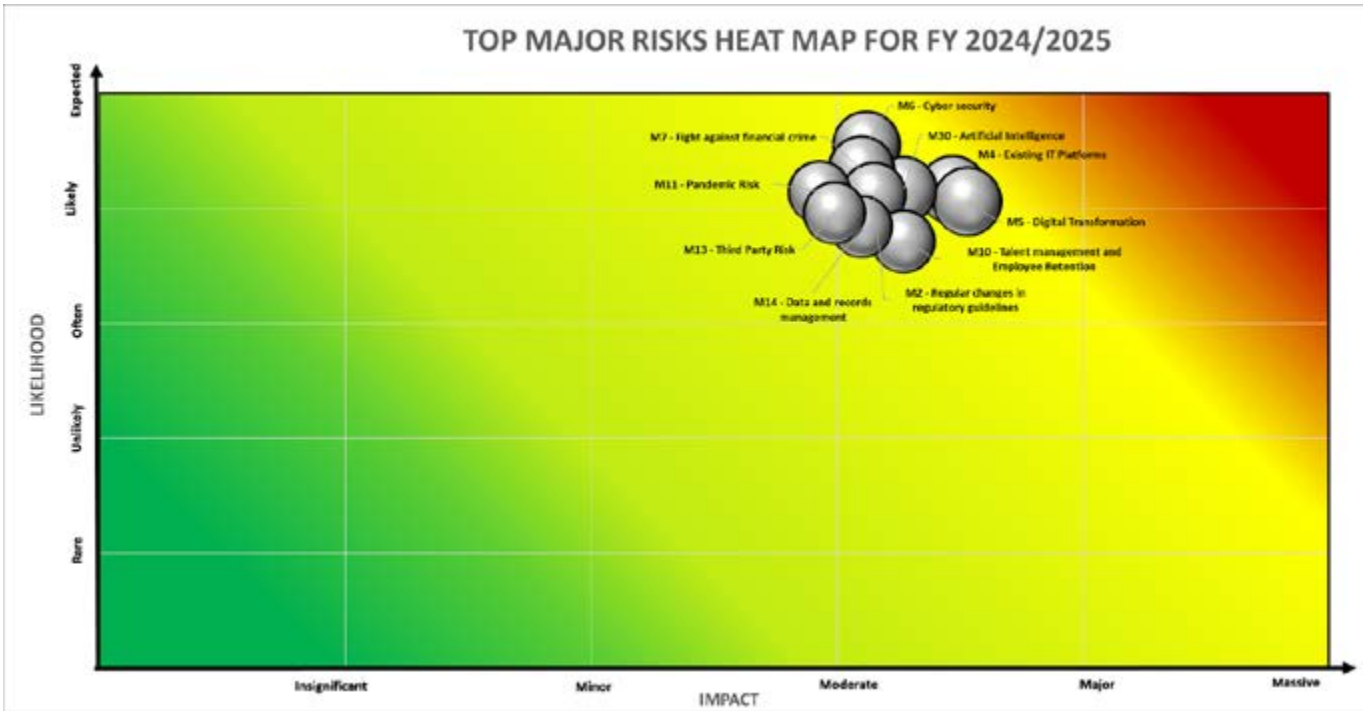


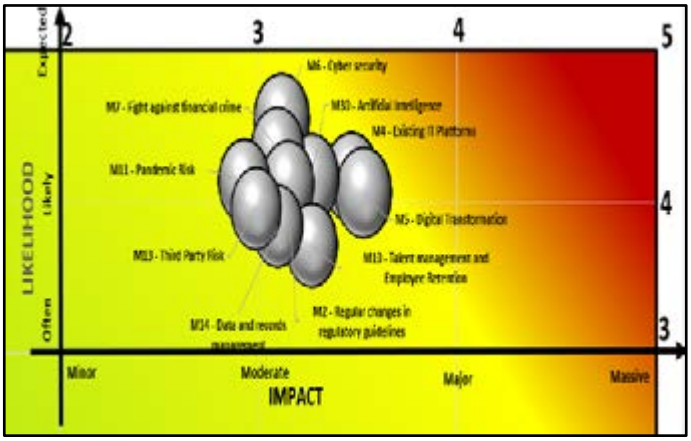
The Bank has transformed its approach to risk management to support its strategic ambition and purpose and has conducted a comprehensive review of its ERMF. The Bank's approach to setting, and the ongoing management of risk appetite is detailed in the risk appetite framework, which is an integral component of the ERMF. The process for identification, evaluation and management of the emerging and principal risks faced by the Bank is integrated into the overall ERMF. The risk identification, evaluation and management processes are also designed to identify whether the controls in place result in an acceptable level of risk. Activity to deliver further improvements to the ERMF and its supporting risk management methodologies will continue.

ENTERPRISE RISK MANAGEMENT(CONT'D)

TOP 10 MAJOR RISKS FOR THE BANK

The top ten major risks of the Bank have been assessed with all departments participating in an online rating exercise in relation to their actual business activities. The snapshot below depicts the inherent risks of each major risk in terms of both likelihood and impact.





SN	Risk No	Risk Type	Ranking FY 23/24	Ranking FY 24/25	Ranking Movement	Risk Score FY 23/24	Risk Score FY 24/25	Risk Score Movement
1	M4	Existing IT Platforms	1	1	⇔	14.61	14.44	↓
2	M5	Digital Transformation	3	2	↑	12.86	14.33	↑
3	M6	Cyber security	2	3	↓	14.05	14.20	↑
4	M30	Artificial Intelligence	New	4	New	New	13.60	↑
5	M7	Fight against financial crime	6	5	↑	10.43	13.45	↑
6	M2	Regular changes in regulatory guidelines	5	6	↓	10.52	12.98	↑
7	M10	Talent management and Employee Retention	4	7	↓	11.40	12.13	↑
8	M11	Pandemic Risk	18	8	↑	8.15	12.13	↑
9	M14	Data and records management	8	9	↓	10.41	11.90	↑
10	M13	Third Party Risk	11	10	↑	9.45	11.84	↑

For FY25, a new risk has entered the Bank's Top 10 Enterprise Risks namely Artificial Intelligence("AI") which has ranked fourth in the current assessment.

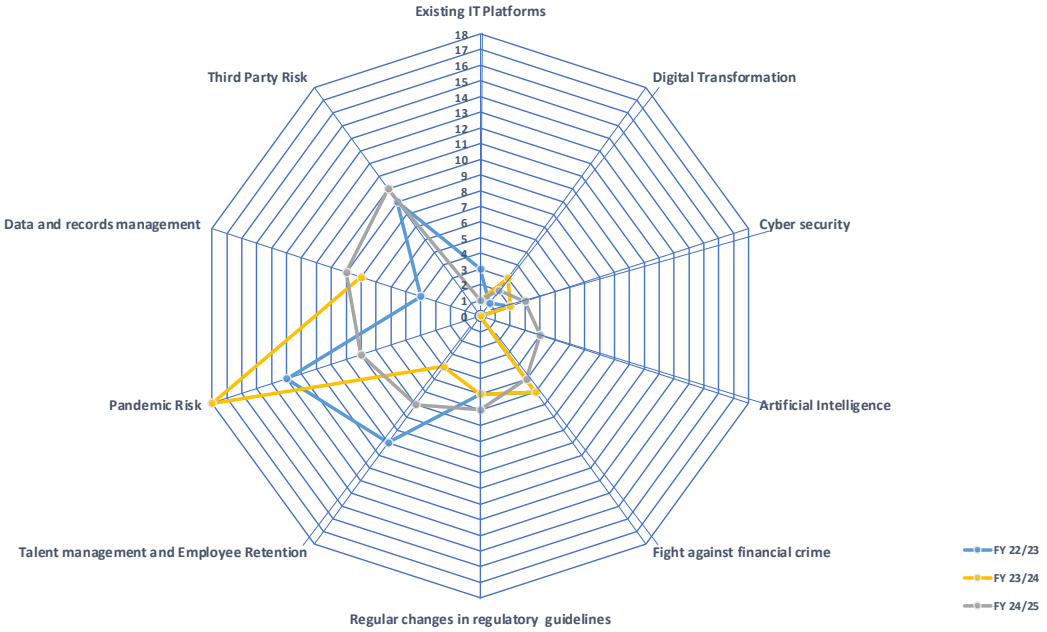
The Top 3 Enterprise Risks remains consistent with risks related to: Existing IT Platform, Digital Transformation and Cyber Security and positioned themselves first, second and third respectively.

ENTERPRISE RISK MANAGEMENT(CONT'D)

On the other hand, risks associated with fight against financial crime, regulatory changes, talent management and employee retention are positioned mid-table in the Bank's Top 10 Enterprise Risks. Notably, pandemic risk has re-entered the Top 10 this year, rising significantly from eighteenth to eighth position. Meanwhile, data and records management has dropped by one place to ninth, and third-party risk rounds out the list at tenth position. Overall, the impact of these major risks is monitored and managed. Appropriate actions are being taken to mitigate the inherent risks in these areas and to remain within the Bank's risk profile and appetite.

The diagram below depicts the trends of the major risks between FY23, FY24 and FY25.

TRENDS ANALYSIS OF THE TOP 10 ENTERPRISE RISK DURING THESE 3 PAST YEARS



Legend :Risk nearer to the centre is the highest Risk among the Top 10 Enterprise Risks starting from 1 to 10

CREDIT RISK

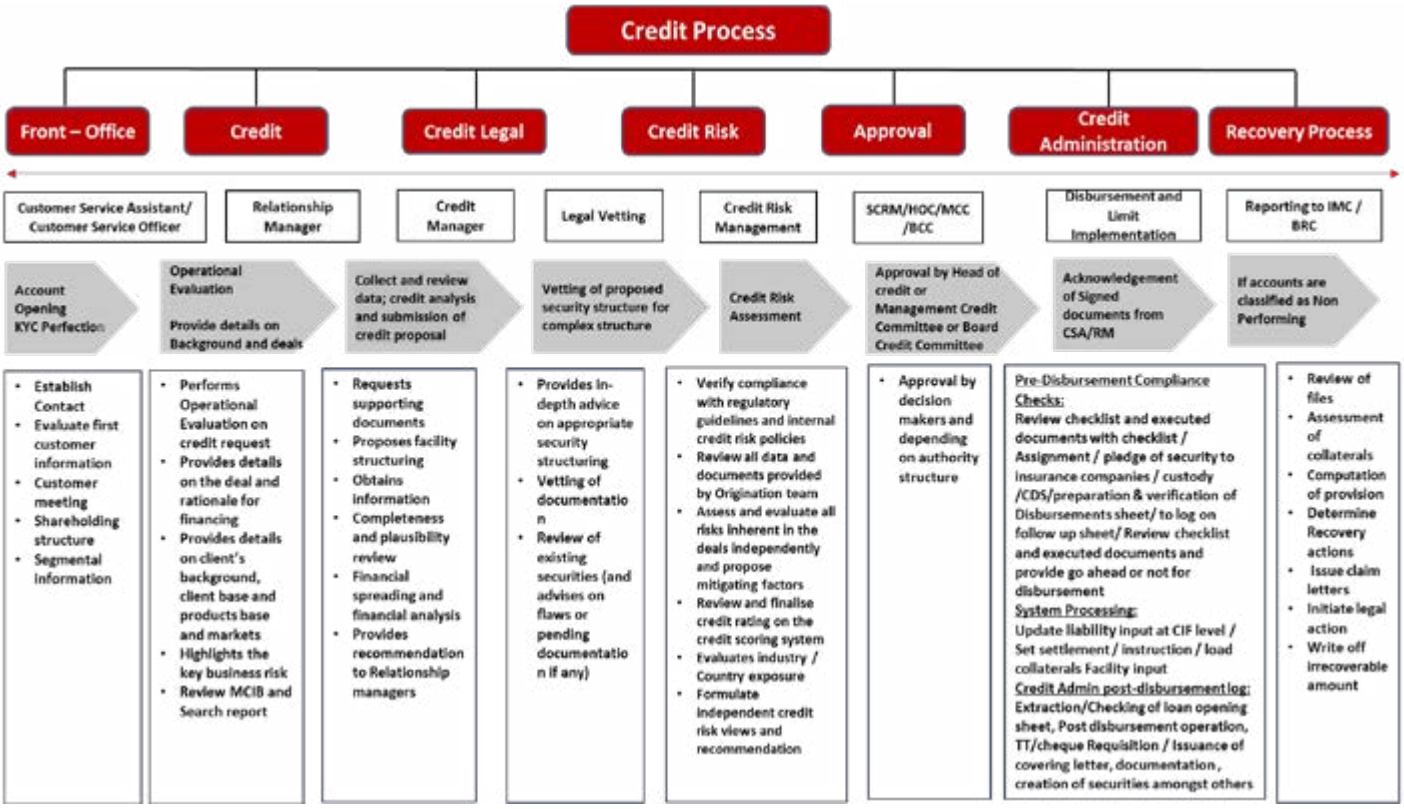
Credit risk refers to the potential for financial loss resulting from the failure of clients or counterparties to fulfil their financial obligations to the Bank. To manage this risk, the Bank has established credit processes designed to monitor and control exposures to both individual and corporate clients. Additional sources of credit risk may arise from trading activities—such as investments in debt securities—and from settlement balances with market counterparties, among others.

The Bank's credit risk management objective is to uphold a robust and effective integrated risk management framework. This framework ensures that controls are aligned with sound risk management practices based on international standards, while also ensuring compliance with the Bank's internal policies and applicable regulatory requirements.

Organisation and Structure

The Bank has structured its credit risk management function to ensure that decisions are well-informed, appropriately delegated, and aligned with the approved lending authority limits. Responsibilities are clearly defined to maintain adequate segregation of duties, thereby supporting sound risk governance. Established credit policies and procedures facilitate effective monitoring and management of credit risk, in full compliance with the Bank of Mauritius guidelines and consistent with the Bank's defined risk appetite.

Credit Risk Policies



CREDIT RISK(CONT'D)

IFRS 9 Financial Instruments ("IFRS 9")

Since 2018, the Bank has operated a centrally managed IFRS 9 programme, involving cross-functional collaboration among business units and subject matter experts in methodology, data sourcing and modelling, IT processing, and reporting. The programme is governed under the Bank's IFRS 9 Policy, with oversight from representatives across Risk (including Risk Analytics, Market Risk, and Recovery), Credit Risk, IT, and Finance.

The adoption of IFRS 9 has enabled the Bank to enhance its internal control system with better end-to-end management on an ongoing basis, which is critical in avoiding unintended consequences. In addition, IFRS 9 has allowed the Bank to analyse high-frequency market data to enhance the risk assessment of our portfolios, while still delivering a consistent customer experience within set risk parameters.

The Bank also complies with the macro-prudential measures as set out in Bank of Mauritius Guideline on Classification, Provisioning and Write off of Credit Exposures (Revised August 2024). As such, the Bank computes General Provisions in parallel with IFRS 9 requirements. If the IFRS 9 provisions for Stage 1 and Stage 2 exposures are lower than the minimum general provisions required by BoM, the shortfall amount is allocated into the Portfolio reserve account under Tier 2 Capital. This ensures that the Bank maintains a minimum level of provisioning for prudential purposes, even if accounting estimates under IFRS 9 suggest lower expected losses.

During FY25, the Bank undertook a comprehensive review of its ECL models and methodologies to improve the accuracy of provision estimates, incorporating more granular historical data and relevant macroeconomic conditions. In line with IFRS 9 principles, which require the integration of forward-looking Information (FLI) into ECL calculations, the Bank also updated its FLI scalars. The approach adopts a data-driven and quantitative model, integrating both global and local macroeconomic indicators for enhanced forecasting accuracy.

Our Credit Rating

The Bank utilises CRISIL models to assess the creditworthiness of various counterparties, including retail customers, small and medium enterprises, large corporates, as well as global and domestic banks. For retail customers, the CRISIL Retail Scoring Solution ("CRESS") is employed. CRISIL, a global analytics company and one of India's leading credit rating agencies, is majority-owned by S&P Global Inc. and provides advanced research and credit risk solutions to major banks and corporations worldwide. The rating models are based on a range of criteria, including:

- Financial information;
- Financial and non-financial securities;
- Counterparty credentials;
- Facility details; and
- A qualitative assessment of the industry and operational environment, covering industry risk, business risk, market position, financial risk, management risk and account conduct risk).

CREDIT RISK(CONT'D)

Our Credit Rating (Cont'd)

CRISIL rating grades and descriptions for each grade are being mapped to S&P rating for ECL computation are as follows:

Rating Grades	Description	Definition	S&P Rating Equivalent
AAA	Investment Grade - Highest Safety	Borrowers rated AAA are judged to offer highest safety of timely payment.	AA-
AA+	Investment Grade - High Safety	Borrowers rated AA+ are judged to offer high safety of timely payment.	A+
AA	Investment Grade - High Safety	Borrowers rated AA are judged to offer safety of timely payment. They differ in safety from AA+ only marginally.	A-
A	Investment Grade - Adequate Safety	Borrowers rated A are judged to offer adequate safety of timely payment.	BB+
BBB	Investment Grade - Moderate Safety	Borrowers rated BBB are judged to offer moderate safety of timely payment of interest and principal for the present.	BB-
BB	Investment Grade - Moderate Safety	Borrowers rated BB are judged to offer moderate safety of timely payment of interest and principal for the present. There is only a marginal difference in the degree of safety provided by borrowers rated BBB.	B
B	Investment Grade - Minimum Safety	Borrowers rated B are judged to carry minimum safety of timely payment of interest and principal for the present.	CCC+
CC	Sub-Investment Grade - Inadequate Safety	Borrowers rated CC are judged to carry inadequate safety of timely payment.	CCC-
C	Sub-Investment Grade - High Risk	Borrowers rated C have a greater susceptibility to default.	CCC-
D	Highly Susceptible to Default/Default	Borrowers rated D are in default or are expected to default on maturity.	D

Credit Monitoring Portfolio

Credit risk exposures are managed through a comprehensive post-disbursement monitoring process. This includes regular portfolio reviews and the proactive identification of early warning indicators. Exposures showing signs of deterioration are placed on a watch list and are subject to enhanced monitoring, with file reviews conducted at least monthly to ensure timely corrective actions are taken. In addition, both regular and ad-hoc checks are performed to ensure adherence to that the credit risk guidelines and policies approved by the Board. All borrowers, irrespective of their financial standing, undergo a comprehensive review of all credit facilities at least annually. Interim reviews are conducted more frequently when warranted by changes in circumstances, enabling the early detection of any significant increase in credit risk.

While uncertainties persist in relation to local and foreign factors such as the Red Sea crisis, US tariff and embargo and the impact of Russian-Ukraine war, and evolving global interest rate policies – risks to financial stability remain elevated. The deterioration in macroeconomic conditions in FY25 and beyond underscores the need for vigilance. In this context, the Bank continues to adopt a prudent and responsive approach to credit risk management, supported by close monitoring and timely interventions as necessary. On the domestic segment, the Bank actively monitors the impact of recent change in government policies and the influence of external global factors. In addition, the Bank continues to enhance its credit risk assessment framework aiming at better portfolio management and the early identification of potential vulnerabilities.

CREDIT RISK(CONT'D)

Credit Monitoring Portfolio (Cont'd)

Loans and advances to Customers

Credit rating grade	2025			
	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR	MUR	MUR	MUR
Performing:				
Credit rating AAA	**1,245,779,764**	**26,530,836**	-	**1,272,310,601**
Credit rating AA+ to AA-	**4,208,067,880**	**61,860,232**	-	**4,269,928,112**
Credit rating A+ to A-	**25,425,220,856**	**489,898,072**	-	**25,915,118,928**
Credit rating BBB+ to BBB-	**12,782,064,429**	**1,408,563,644**	-	**14,190,628,073**
Credit rating BB+ to BB-	**5,280,882,934**	**509,572,588**	-	**5,790,455,522**
Credit rating B+ to B-	**2,495,052,643**	**721,676,740**	-	**3,216,729,383**
Credit rating CCC+ to C	**6,145,906**	**95,557,428**	-	**101,703,334**
Non-performing:				
Credit rating D	-	-	**2,263,781,421**	**2,263,781,421**
Total gross carrying amount	**51,443,214,414**	**3,313,659,540**	**2,263,781,421**	**57,020,655,375**
Less: allowance for impairment losses	***(230,076,825)***	***(116,655,901)***	***(1,939,957,737)***	***(2,286,690,464)***
Carrying amount at 30 June 2025	**51,213,137,589**	**3,197,003,639**	**323,823,684**	**54,733,964,911**

Loans and advances to Banks

Credit rating grade	2025			
	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR	MUR	MUR	MUR
Performing:				
Credit rating AAA	-	-	-	-
Credit rating AA+ to AA-	-	-	-	-
Credit rating A+ to A-	**9,318,033,068**	-	-	**9,318,033,068**
Credit rating BBB+ to BBB-	**6,391,357,159**	-	-	**6,391,357,159**
Credit rating BB+ to BB-	**4,588,939,229**	-	-	**4,588,939,229**
Credit rating B+ to B-	**688,836,493**	-	-	**688,836,493**
Credit rating CCC+ to C	-	-	-	-
Non-performing:	-	-	-	
Credit rating D	-	-	-	-
Total gross carrying amount	**20,987,165,950**	-	-	**20,987,165,950**
Less: allowance for impairment losses	***(31,982,031)***	-	-	***(31,982,031)***
Carrying amount at 30 June 2025	**20,955,183,919**	-	-	**20,955,183,919**

During the financial year ended 30 June 2025, the Bank undertook proactive measures to prudently manage its credit exposures and ensure a well-diversified loan portfolio. In addition, periodic stress testing was conducted to evaluate the resilience of its portfolio under adverse scenarios, enabling the Bank to take informed risk mitigation actions as necessary.

CREDIT RISK(CONT'D)

CONCENTRATION OF RISK

The Bank's credit concentration ratios for both single and group obligors are well within regulatory limits. As at 30 June 2025, the credit concentration ratio for large exposures above 10% stood at 122.05%. significantly below the regulatory limit of 800%. The Bank's maximum credit exposure to a single obligor represented 9.53% of the Bank's Tier 1 Capital within a regulatory limit of 25%. Similarly, the maximum credit exposure to a group of closely related customers amounted to 27.77% of the Bank's Tier 1 capital within a regulatory limit of 40%. The key focus of the Bank's credit risk management strategy is to prevent undue concentration across its credit portfolio, whether in terms of counterparty, group, sector, and country to ensure a well-diversified and resilient credit portfolio.

Regulatory Credit Concentration Limit	As at 30 June 2025
Credit exposure to any single consumer shall not exceed 25% of the Bank's Tier 1 Capital	Highest single customer: 9.53%
Credit exposure to any group of closely related customers shall not exceed 40% of the Bank's Tier 1 Capital	Highest group of closely related customers: 27.77%
Aggregate large credit exposures to all customers and Banks of closely related customers above 10% of the Bank's Tier 1 Capital shall not exceed 800% of the Bank's Tier 1 Capital	122.05%

***Note:** Public State Entities (PSEs) are exempt from credit concentration as per BOM's Guideline.*

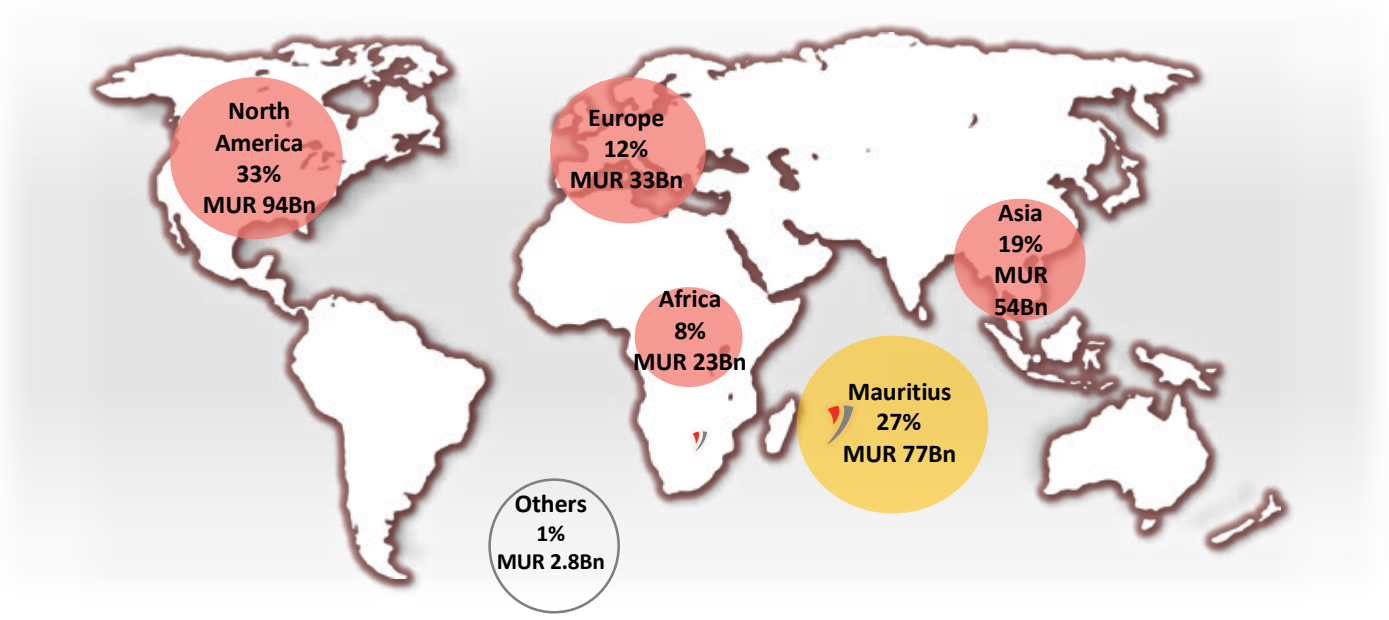
Furthermore, economic reports, and country and industry analysis are prepared and submitted to the Risk Committee to highlight trade developments and risks to the Bank's credit portfolio. These reports are used to define strategies for both our industry portfolio, and individual counterparties within the portfolio.

CREDIT RISK(CONT'D)

Concentration by Geography

The Bank's financial assets before considering any collateral held or other credit enhancements, can be analysed and grouped by geographical regions as follows:

Region	GROSS MAXIMUM EXPOSURE		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Africa			
Mauritius	**76,681,600**	68,568,160	71,008,088
Other African countries	**22,644,336**	16,175,490	11,929,781
North America	**93,982,464**	94,035,411	85,956,628
Asia	**54,268,423**	44,540,782	39,530,574
Europe	**33,157,369**	37,464,522	22,682,471
Others	**2,775,218**	1,478,568	1,398,010
	283,509,410	262,262,933	232,505,552



CREDIT RISK(CONT'D)

Concentration by Industry

The Bank's financial assets, without taking account of any collateral held or other credit enhancements, are as follows:

Sector-wise distribution of credit	GROSS MAXIMUM EXPOSURE		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Agriculture	**1,149,938**	866,048	1,505,616
Construction, infrastructure and real estate	**6,436,657**	7,110,366	4,676,206
Financial and business services	**120,396,255**	114,133,423	110,549,958
Government and parastatal bodies	**109,289,775**	101,591,260	82,918,042
Information, communication and technology	**1,691,317**	2,204,663	1,882,903
Manufacturing	**8,867,077**	9,149,793	7,273,551
Personal	**5,336,993**	4,659,236	3,752,881
Professional	**8,245,369**	1,291,470	1,390,450
Transport	**3,328,908**	1,320,486	1,444,318
Tourism	**3,723,202**	4,107,144	4,082,530
Traders	**9,474,158**	11,159,836	10,797,006
Others	**5,569,761**	4,669,208	2,232,091
	283,509,410	262,262,933	232,505,552

Credit Risk Mitigation

As a fundamental credit principle, the Bank does not extend credit facilities solely based of the collateral provided. Lending decisions are primarily driven by the borrower's credit rating, identified sources of repayment and debt-servicing capacity. Collaterals are taken when required by the Bank to mitigate credit risk and is monitored on a regular basis with the frequency of valuation determined by the liquidity and volatility of the underlying asset.

Legal certainty of enforceability is another technique used to enforce risk mitigation. Where a claim on counterparty is secured by eligible collateral, the secured portion of the claim is weighted according to the risk weight of the collateral and the unsecured portion according to the risk weight of the counterparty. To mitigate counterparty risk, the Bank also requires close-out netting agreements. This enables the Bank to offset positive and negative replacement values of contracts if the counterparty defaults. The Bank's policy is to promote the use of close-out netting agreements and mutual collateral management agreements with an increasing number of products and counterparties in order to reduce counterparty risk.

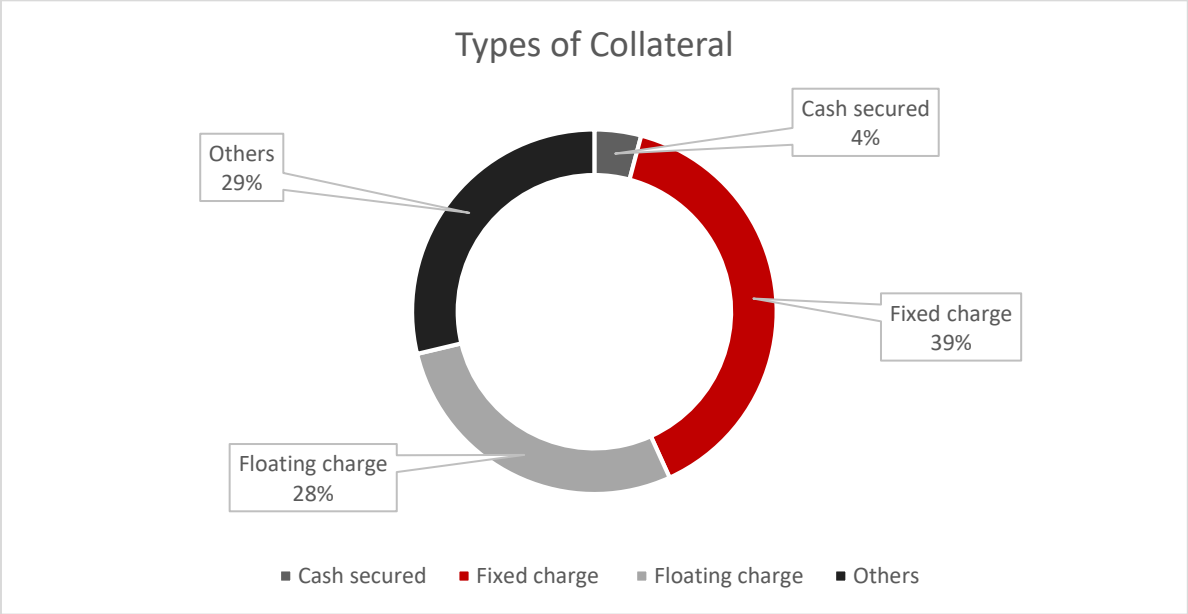
As at 30 June 2025, claims secured by cash and other tangible securities represented approximately 61% of the loan book, whilst unsecured or non-tangible portions accounted for 39% of the total loan book. For the secured portion of the portfolio, the fair value of collateral exceeds the corresponding gross loan exposures. In addition, gross loans to banks are typically extended on a clean basis, in line with standard market practices.

CREDIT RISK(CONT'D)

Credit Risk Mitigation (Cont'd)

The value of collateralised loans and other credit enhancements, excluding impaired assets is as follows:

Collateral Details	Total (MUR'M)	Total %
Cash secured	1,943	4%
Fixed charge	18,343	39%
Floating charge	13,169	28%
Others	13,478	29%
	46,933	100%



Where appropriate, the Bank requires additional credit enhancements in the form of personal guarantees from promoters, directors, and shareholders, as well as corporate and cross-guarantees from parent or sister companies. These guarantees serve as supplementary risk mitigants and are requested based on the specific credit profile and structure of the transaction.

RELATED PARTY TRANSACTIONS, POLICIES PRACTICES

The Bank adheres to the Guideline on Related Party Transactions issued by the BOM in December 2001 most recently revised in May 2022. A related party approval process is in place, and aligned with the requirements of the revised guideline. In February 2023, the Bank reinstated the Conduct Review Committee (CRC) which is mandated to review and approve related party transactions.

The Bank's policy on related party transactions sets out the:

- Rules governing the identification of related parties;
- Governance framework governing such transactions;
- Applicable terms and conditions for dealing with related parties;
- Reporting procedures to relevant governance committees; and
- Monitoring of related party transactions.

All related party transactions are submitted for review and approval by the CRC and where applicable, by other authorised approval bodies in accordance with the delegated lending authority limits (based on the criteria set out in the guideline) which ensures that all transactions are conducted on an arm's length basis and reflect prevailing market terms. During the normal course of business throughout the year under review, the Bank engaged in various transactions with related parties. These included placements and loans to/from banks, deposits as well as other standard banking transactions. As at 30 June 2025, related party exposure was at **30.81%** (Cat 1 and Cat 2), well within the regulatory thresholds.

The Bank has complied with all requirements of the Bank of Mauritius Guideline on Related Party Transactions. Related Party Transactions. Reporting to the regulator is conducted on a quarterly basis, and all related party transactions for the financial year ended 30 June 2025 were closely monitored and reported to the CRC.

MARKET RISK

Overview

Market risk, according to the Basel Committee on Banking Supervision, refers to the potential for losses arising from fluctuations in market prices, including interest rates, equity prices, foreign exchange rates, and commodity prices. Effective management of market risk is crucial to safeguard the Bank's financial stability and ensure sustainable growth.

It encompasses the risk of losses in on- and off-balance sheet positions arising from movements in market variables. Basel's frameworks, such as Basel II and Basel III, establish principles for measuring, managing, and capitalizing against market risk to ensure banks hold sufficient capital buffers to withstand adverse market fluctuations.

Risk Identification

The Bank continuously monitors key market indicators and economic factors that could impact its financial position. This includes the assessment of risks related to:

- Currency exchange rate volatility
- Interest rate fluctuations
- Equity market movements
- Commodity price variations

Risk Measurement and Assessment

The Bank employs quantitative tools such as Value at Risk (VaR), stress testing, and scenario analysis to quantify potential losses under adverse market conditions. Regular risk assessments enable the Bank to understand its exposure levels and inform strategic decision-making.

The Bank uses a robust risk management framework to monitor and manage the various market risks that it is exposed to on a daily basis. Both the ALCO (Asset and Liability Committee) and Risk Committee define, review and monitor on a regular basis a set of different market risk limits that is in line with the Bank’s overall risk appetite and also complement the regulatory limits as established by the Bank of Mauritius.

MARKET RISK(CONT'D)

Risk Mitigation Strategies

To manage market risks effectively, The Bank adopts various strategies, including:

- Hedging: Utilizing derivatives such as forward contracts, options, and swaps to hedge against currency, interest rate, and commodity price risks.
- Diversification: Spreading investments across different asset classes and geographies to reduce exposure to any single market.
- Asset and Liability Management: Aligning the maturity profiles and currencies of assets and liabilities to minimize mismatch risks.
- Limit Setting: Establishing risk limits and monitoring adherence to ensure exposures remain within acceptable thresholds.

Net Foreign Exchange Open Positions

Open positions in foreign currencies expose the Bank to currency risk, the possibility that fluctuations in exchange rates may result in adverse movements in the value of current holdings and future cash flows that are denominated in currencies other than the base currency. This risk is inherently present at the Bank due to its multi-currency investing and lending activities.

For the financial year ended 30th June 2025, the Bank has maintained a daily net FX Open position against the Mauritian rupee that was well under the regulatory limit of 15% of Tier 1 capital as prescribed by the Bank of Mauritius (see graph below).

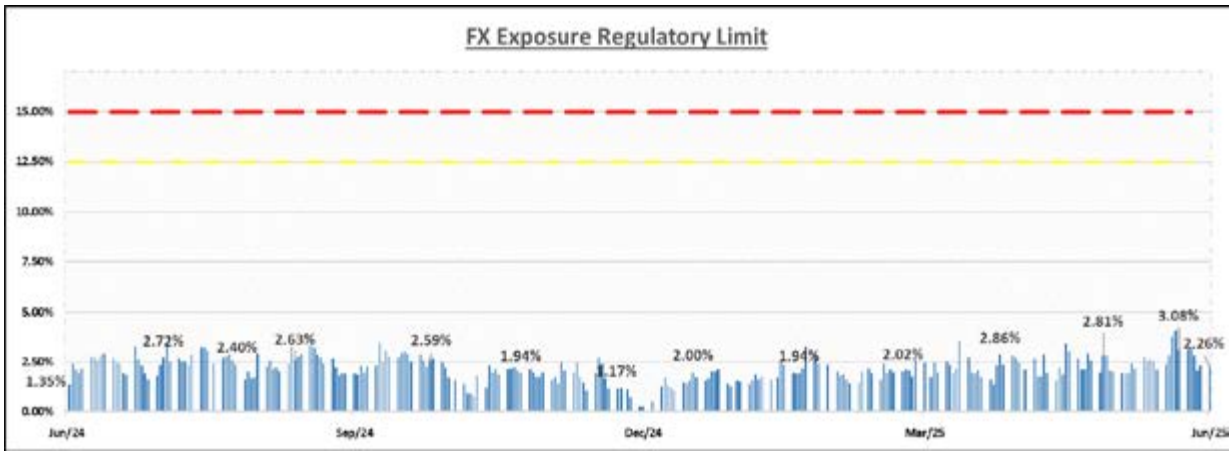


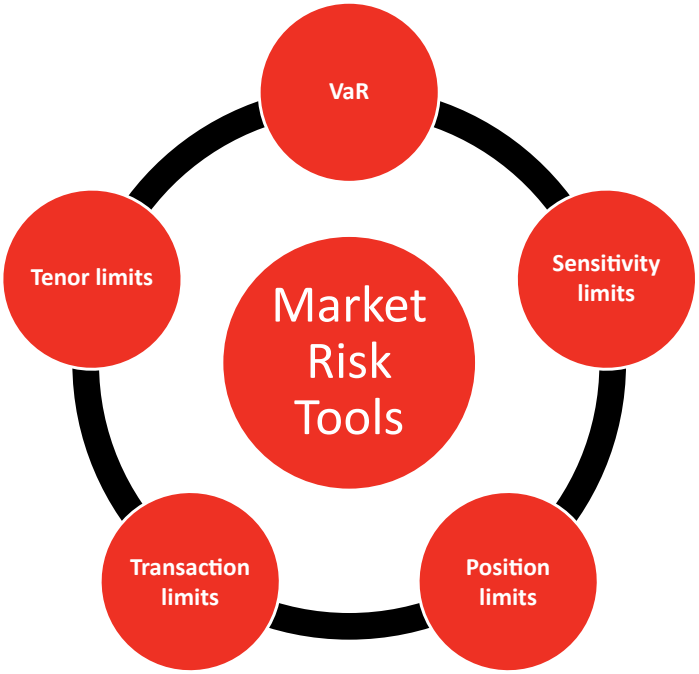
Table 1: FX Exposure for the Financial Year ended 30th June 2025

MARKET RISK(CONT'D)

Risk Monitoring and Reporting

The Bank's Risk Management Committee oversees market risk exposures through regular reporting and review sessions. Key risk metrics are communicated to senior management and the Board of Directors, ensuring transparency and prompt action when necessary.

The Bank uses a range of statistical and financial tools to measure the size of potential losses across different market scenarios and investment time horizons.



Value at Risk

The Value at Risk (VaR) model provides an estimate of the potential future loss of a position over a specified horizon, given a required degree of confidence in the estimate. The Bank uses the Monte Carlo approach to estimate a daily VaR at 99% confidence level, for the FCY Government Securities portfolio.

Sensitivity Limits

The Bank uses different sensitivity limits to cap the impact of adverse movements in interest rate on the fixed income portfolio. In particular, duration limits are measured on a daily basis to quantify the effect of both 1% and 0.01% change in interest rate and compared against pre-defined limits. Moreover, the Bank has established different limits for the different categories of fixed income instruments in order to better measure and manage the overall portfolio from a market risk perspective.

MARKET RISK(CONT'D)

Position Limits

Position limits are mainly used at the Bank to limit concentration risk by restricting the maximum exposure to one particular market, sector or instrument. These limits are carefully set so as to ensure appropriate diversification across portfolios while avoiding overly restrictive to prevent the generation of absolute returns. Position limits complement the other types of risk management tools used at the Bank as they are easily understood, implemented and monitored.

Stop-Loss Limits

Various stop-loss limits are used across portfolios to ensure that appropriate actions are undertaken when losses breach pre-defined levels. Remedial actions usually involve either a reduction in the size of a portfolio or its complete liquidation when a loss of a particular size occurs over a specified period. An alternative approach to stop-loss limits used at the Bank especially during periods of high volatility involves derivatives instruments, such as put and call options, to maintain expected losses within acceptable levels.

Tenor Limits

Most fixed income products will ultimately expire on a pre-defined date. Bonds with different maturity dates will react differently to changes in market structure. Generally, the longer the tenor of a bond, the more sensitive it is to changes in interest rates. From a market risk perspective, it is advisable to place limits on the maximum tenor of bonds in order to manage the riskiness of the fixed income portfolio. At the Bank, we use different limits to control the tenor of bonds and also to regulate the trading frequency of dealers.

LIQUIDITY AND FUNDING RISKS

Liquidity and Funding Risks are risks that the Bank will not be able to meet its daily cash and financial obligations as they fall due or do so at materially significant costs. These risks arise from mismatches in cash flows between the Bank's assets and liabilities as well as the characteristics of some products with ambiguous maturities.

As a financial institution, the Bank's primary objective is to manage liquidity such that it supports its business strategy while ensuring it can meet its commitments as they come due, even under stressed conditions. This is done primarily by implementing a liquidity risk policy framework approved by the Board, which establishes the Bank's risk appetite and defines triggers, risk indicators, monitoring structures and escalation trees.

The Bank's ALCO, under from the oversight of the Risk Committee, is responsible for the assessment, monitoring and management of the liquidity risk and strategy and for ensuring compliance with both internal and regulatory limits.

As per the principles outlined in the Bank's liquidity risk policy, the following approach is adopted to manage liquidity risk both under business-as-usual and stressed scenarios.

Short-term liquidity risk management	Structural (longer-term) liquidity risk management	Contingency liquidity risk management
Managing intra-day liquidity positions	Identification of structural liquidity mismatches against tolerance limits and breaches are escalated to ALCO	Setting of appropriate early warning indicators
Monitoring daily and short-term cash flow requirements	Managing term lending capacity by considering behavioural profiling of ambiguous maturity assets and liabilities	Undertaking liquidity stress testing and scenario analysis
Setting up of interbank and repo lines	Monitoring depositor concentration against internal limits and holding sufficient marketable assets against the Bank's deposit base	Ensuring a liquidity contingency plan is in place with appropriate action plans and escalation processes
Setting of deposit rates according to market conditions and ALCO approved targets.	Managing long-term cash flows	

Regulatory Environment

The Bank works closely with the Bank of Mauritius to implement regulatory liquidity standards. The Bank adapts its processes and policies to reflect the Bank's liquidity risk appetite towards these new requirements.

LIQUIDITY AND FUNDING RISKS(CONT'D)

Liquidity Coverage Ratio

The Bank of Mauritius ("BOM"), in line with Basel principles, issued Liquidity Coverage Ratio ("LCR") requirements for banks in November 2017 (revised March 2023), as part of the Guideline on Liquidity Risk Management.

The LCR was introduced primarily to ensure banks maintain an adequate stock of unencumbered high-quality liquid assets (HQLA), consisting of cash or assets convertible into cash at little or no loss of value in private markets, to meet liquidity needs for a 30-calendar day period, under a severe liquidity stress scenario.

$$\text{LCR} = \frac{\text{Stock of HQLA}}{\text{Total net cash outflows over the next 30 calendar days}}$$

The Bank publishes its LCR on a quarterly basis and reports to the BOM fortnightly. The BOM adopted a phased-in approach to the Basel III LCR requirement. Since January 2020, banks have been required to hold minimum LCR ratios of 100% for local currency, material foreign currencies and on a consolidated basis.

The following table provides the Bank's LCR position as at 30 June 2025. The LCR stood at 330%, well above the 100% regulatory requirement, demonstrating a robust liquidity position.

LCR Disclosure Requirements

(Consolidated in MUR)		TOTAL UNWEIGHTED VALUE[1] (MUR'000)	TOTAL WEIGHTED VALUE[1] (MUR'000)
HIGH-QUALITY LIQUID ASSETS			
1	Total high-quality liquid assets (HQLA)	111,931,743	110,556,857
CASH OUTFLOWS			
2	Retail deposits and deposits from small business customers, of which:	61,271,289	4,182,080
3	*Stable deposits*	-	-
4	*Less stable deposits*	61,271,289	4,182,080
5	Unsecured wholesale funding, of which:	151,753,061	81,276,986
6	*Operational deposits (all counterparties)*	4,495,509	1,123,877
7	*Non-operational deposits (all counterparties)*	147,257,552	80,153,109
8	*Unsecured debt*	-	-
9	Secured wholesale funding	-	-
10	Additional requirements, of which:	17,966,538	3,566,128
11	*Outflows related to derivative exposures and other collateral requirements*	801,582	801,582
12	*Outflows related to loss of funding on debt products*	-	-

(Consolidated in MUR)		TOTAL UNWEIGHTED VALUE[1] (MUR'000)	TOTAL WEIGHTED VALUE[1] (MUR'000)
13	*Credit and liquidity facilities*	17,164,956	2,764,546
14	Other contractual funding obligations	688,144	688,144
15	Other contingent funding obligations	5,544,822	277,241
16	**TOTAL CASH OUTFLOWS**	**237,223,854**	**89,990,579**
CASH INFLOWS			
17	Secured funding (e.g. reverse repos)	-	-
18	Inflows from fully performing exposures	62,052,385	56,515,308
19	Other cash inflows	687,381	-
20	**TOTAL CASH INFLOWS**	**62,739,766**	**56,515,308**
			TOTAL ADJUSTED VALUE
21	**TOTAL HQLA**		**110,556,857**
22	**TOTAL NET CASH OUTFLOWS**		**33,475,271**
23	**LIQUIDITY COVERAGE RATIO (%)**		**330%**
24	**QUARTERLY AVERAGE OF DAILY HQLA[2]**	**109,616,893**	

[1] The quarterly average of monthly observations is based on April to June 2025 month end figures.

[2] The quarterly average of daily HQLA is based on close of day figures over the 1st April 2025 to 30th June 2025 period.

Net Stable Funding Ratio (NSFR)

In June 2024, the BOM issued the Guideline on Net Stable Funding Ratio. Along with the LCR, the NSFR represents the second of the two main Basel III reforms introduced to strengthen liquidity regulations and promote the resilience of the banking sector in the aftermath of the 2007's global financial crisis. The NSFR complements the short-term nature of the LCR by creating incentives for banks to fund their activities with more stable sources of funding over a one-year time horizon, thereby reducing funding risk and potential broader systemic stress. It limits a bank's ability to expand its balance sheet through over-reliance on short-term wholesale funding and encourages better assessment of funding risk across all on- and off-balance sheet exposures.

$$\text{NSFR} = \frac{\text{Total amount of available stable funding}}{\text{Total amount of required stable funding}}$$

The Bank reports to the BOM, and discloses the NSFR, on a quarterly basis. In line with BOM's implementation timeline of the NSFR, banks are required from 30 June 2024 onwards, to maintain a minimum NSFR of 70% for local currency, material foreign currencies and on a consolidated basis. Since 31 December 2024, the minimum requirement for the NSFR ratio has been set at 100%.

The following table presents the Bank's NSFR position as at 30 June 2025. The NSFR stood at 151%, well in excess of 100% regulatory requirement effective from December 2024, reflecting the resilience of the Bank's long-term funding profile.

LIQUIDITY AND FUNDING RISKS(CONT'D)

NSFR Disclosure Requirements

	(Consolidated in MUR'000)	Unweighted value by residual maturity				Weighted value
		No maturity	< 6 months	≥ 6 months to < 1 year	≥ 1yr	
ASF Item						
1	**Capital**	**23,136,000**	**-**	**-**	**-**	**23,136,000**
2	*Regulatory capital*	23,111,475	-	-	-	23,111,475
3	*Other capital instruments*	24,525	-	-	-	24,525
4	**Retail deposits and deposits from small business customers:**	**35,480,625**	**22,260,870**	**5,943,414**	**2,513,212**	**59,829,630**
5	*Stable deposits*	-	-	-	-	-
6	*Less stable deposits*	35,480,625	22,260,870	5,943,414	2,513,212	59,829,630
7	**Wholesale funding**	**74,062,473**	**30,169,446**	**8,352,684**	**4,333,102**	**60,625,403**
8	*Operational deposits*	4,367,748	-	-	-	2,183,874
9	*Other wholesale funding*	69,694,725	30,169,446	8,352,684	4,333,102	58,441,529
10	**Other liabilities:**	**43,733,810**	**35,902,833**	**-**	**41,832**	**-**
11	*NSFR derivative liabilities*		-	-	41,832	
12	*All other liabilities and equity not included in the above categories*	43,733,810	35,902,833	-	-	-
13	**Total ASF**					**143,591,033**
RSF Item						
14	**Total NSFR High Quality Liquid Assets (HQLA)**					**6,048,566**
15	**Deposits held at financial institutions for operational purposes**	**3,168,143**	**-**	**-**	**-**	**1,584,071**
16	**Performing loans and securities:**	**3,140,924**	**27,541,077**	**8,769,128**	**64,996,435**	**72,821,559**
17	Performing loans to financial institutions secured by HQLA 1	-	4,575,507	-	-	686,326
18	Performing loans to financial institutions secured by non HQLA 1 and unsecured performing loans to financial institutions	554,840	9,246,146	2,839,934	19,835,610	22,725,724
19	Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	2,560,736	8,913,150	771,782	27,798,642	29,751,680
20	*With a risk weight of less than or equal to 35% under the Guideline on Standardised Approach to Credit Risk*	100,416	601,124	-	359,003	655,922
21	Performing residential mortgages, of which:	-	74,670	88,062	3,060,479	2,575,555
22	*With a risk weight of 35% under the Guideline on Standardised Approach to Credit Risk*	-	-	115	536,091	348,517
23	*Securities that are not in default and do not qualify as HQLA, including exchange-traded equities*	25,348	4,731,604	5,069,350	14,301,704	17,082,273
24	**Other assets:**	**19,622,425**	**53,709,169**	**-**	**117,200**	**13,496,352**
25	*Physical traded commodities, including gold*	-				-
26	*Assets posted as initial margin for derivative contracts and*		-	-	-	-

(Consolidated in MUR'000)		Unweighted value by residual maturity				Weighted value
		No maturity	< 6 months	≥ 6 months to < 1 year	≥ 1yr	
	contributions to default funds of a Central Counterparty (CCP)					
27	*NSFR derivative assets*		-	-	39,330	39,330
28	*NSFR derivative liabilities before deduction of variation margin posted*		-	-	77,870	15,574
29	*All other assets not included in the above categories*	19,622,425	53,709,169	-	-	13,441,447
30	**Off-balance sheet items**	**27,338,621**	**-**	**-**	**-**	**1,012,779**
31	**Total RSF**					**94,963,326**
32	**Net Stable Funding Ratio (%)**					**151%**

Liquidity Stress Tests and Contingency Plan

On a monthly basis and as part of its annual ICAAP process, the Bank runs various liquidity stress scenarios, with different severity levels, to assess the adequacy of its stock of liquid assets. These scenarios simulate stressed depositor outflow situations and factor in both bank-specific and systemic risk.

In assessing the adequacy of its stock of liquid assets, the Bank applies a haircut on the market value of its liquid assets to reflect forced sale discounts.

In line with BOM requirements, the Bank maintains a comprehensive liquidity contingency plan with well-defined action plans and an approved escalation tree in the event of a liquidity crisis. Qualitative and quantitative liquidity early warning indicators are tracked and reported to ALCO on a monthly basis.

Liquidity Risk Appetite

The Bank monitors a range of liquidity risk limits and ratios against an internally approved risk appetite. The Bank's liquidity risk appetite is based on the following principles:

- Ensuring a sufficient amount of unencumbered liquid assets to cover its financial obligations under both normal and stressed conditions;
- Holding a liquidity buffer above the minimum regulatory requirements; and
- Securing diversified and stable sources of funding.

LIQUIDITY AND FUNDING RISKS(CONT'D)

Liquid Assets

To protect depositors from unexpected crisis situations, the Bank holds a portfolio of unencumbered liquid assets that can be readily liquidated to meet financial obligations. The majority of unencumbered liquid assets are held in MUR or USD. Moreover, all assets that can be quickly monetised are considered liquid assets.

The table below provides a breakdown of the Bank's eligible liquid and marketable instruments as defined by the Basel Committee on Banking Supervision and the Banking Act.

As at 30 June 2025, the Bank's liquid assets ratio was 82.3% against an internal limit of 25%.

As at 30 June 2025 (MUR'm)	Bank-owned liquid assets[1]	Liquid assets received[2]	Total Liquid assets	Encumbered liquid assets[3]	Unencumbered liquid assets
Cash and deposits with financial institutions	**59,172**	**-**	**59,172**	**-**	**59,172**
Securities					
Issued or guaranteed by foreign sovereign	75,256	-	75,256	-	75,256
Issued or guaranteed by local government/Central Bank	22,470	7,076	29,546	-	29,546
Other debt securities	6,865	-	6,865	-	6,865
Total	**163,763**	**7,076**	**170,839**	**-**	**170,839**

(1) Bank-owned liquid assets include assets for which there are no legal or geographic restrictions.

(2) Securities received as collateral with respect to reverse repo transactions.

(3) Encumbered assets relate to assets pledged as collateral against Bank's borrowing.

Funding Mix and Depositor Concentration Ratio

The Bank aims to maintain an adequate balance of its funding base through appropriate diversification of its funding sources. The Bank also diversifies its funding by currency, geography and maturity. Management's objective is to achieve an optimal balance between demand and term deposits in line with the Bank's asset deployment strategy.

At the end of the current financial year, the Bank does not foresee any event, commitment or demand that might have a significant impact on its funding and liquidity risk position.

As at 30 June 2025, the Bank's short-term depositor concentration ratios were as follows:

MUR deposits	
Single depositor/ Group of related counterparties	1.4%
Top 10 depositors/ Group of related counterparties	10.0%
FCY deposits	
Single depositor/ Group or related counterparties	2.8%
Top 10 depositors/ Group of related counterparties	9.1%

OPERATIONAL RISK MANAGEMENT

The Bank always promotes a culture where operational risk is everyone's responsibility. Operational risk is the risk of not achieving our strategy or objectives as a result of inadequate or failed in internal processes, people, and systems or from external events which can lead to adverse customer impact, reputational damage, litigation or financial loss.

Operational risk is inherent in all banking products, activities, processes and systems, and effective management of operational risk is a fundamental element of the risk management programme.



Sound operational risk management reflects the effectiveness of the Board of Directors and senior management in administering the portfolio of products, activities, processes and systems.

Operational risk management is a systematic approach used by the Bank to identify, assess, control, and mitigate risks that may arise from day-to-day operations. It involves managing the risks associated with people, processes, systems, and external factors that can affect the Bank's ability to achieve its objectives.

Operational risk is a broad category of risk that encompasses various types of non-financial risks, including but not limited to:

- Human error: Errors or mistakes made by employees in their daily tasks and responsibilities, which can lead to operational failures;
- Process failures: Weaknesses or breakdowns in operational processes, leading to inefficiencies or operational disruptions;
- Technology and system risks: Risks arising from the use of technology and information systems, including data breaches, system failures, and cyber-attacks;
- External events: Risks arising from external factors beyond the Bank's control, such as natural disasters, political instability, or changes in regulations;
- Fraud and security risks: Risks associated with fraudulent activities or security breaches that can lead to financial losses or damage to the Bank's reputation.

Effective Operational Risk Management involves the following key steps:

- Risk Identification: Identifying and categorising potential risks that can impact the Bank's operations;
- Risk Assessment: Assessing the likelihood and potential impact of identified risks to prioritise them for mitigation efforts;
- Risk Control and Mitigation: Implementing controls and measures to reduce the probability of risks occurring or minimising their impact if they do occur;
- Risk Monitoring and Reporting: Continuously monitoring operational risks, tracking their effectiveness, and reporting on the status of risk management efforts;
- Risk Culture and Awareness: Fostering a risk-aware culture within the Bank, where employees understand their role in managing risks and are encouraged to report potential issues;
- Incident Response and Recovery: Developing plans and procedures to respond to and recover from operational incidents when they occur.

Operational Risk Management is a vital aspect of overall risk management in the Bank, as it helps to protect the Bank from potential losses, enhances decision-making, and ensures resilience in the face of unexpected challenges.

OPERATIONAL RISK MANAGEMENT (CONT'D)

It is a dynamic process that requires ongoing attention and adaptation to evolving business environments and emerging risks.

The Bank has a well-defined structure for operational risk management that complies with regulatory and best practice requirements and is aligned with the risk culture and the risk profile of its activities. This is supplemented by an Operational Risk Management Framework ("ORMF") which includes the three lines of defence from Business Units, Control Units, to the Internal/External Auditors and involvement of senior management ensuring that all operational risks are efficiently managed across its activities.

The ORMF incorporates several key components, including:

- Risk Control Self-Assessment (RCSA) processes
- Risk impact and likelihood matrices
- Key Risk and Control Indicators (KRI/KCI)
- Early Warning Indicators (EWIs)
- A comprehensive operational risk event management tool and escalation process
- Scenario analysis
- Audit recommendations
- Use of external information sources (such as industry reports and external events)
- Operational loss management processes

The Bank continuously improves its operational control procedures to keep pace with new regulations and best practices in the market through holistic follow up of risks and their mitigating controls.

The Bank fosters awareness and knowledge of operational risks at all levels of organisations through its risk culture.

During the FY25, the yearly risk awareness session was organised through the Bank's online training platform and a mandatory risk awareness session is delivered to all new recruits of the Bank. Tailormade training was organised with different stakeholders across the Bank based on the complexity of their activities, processes and businesses.

The Bank has consolidated the management of incidents into a procedure manual where the accountability of the incident management is clearly stipulated from the initiator to the approver with prescribed timeframe for closure.

To support risk management efforts, a Risk Register Guide has been implemented to enable business units to identify, assess, manage, monitor and review their respective risks.

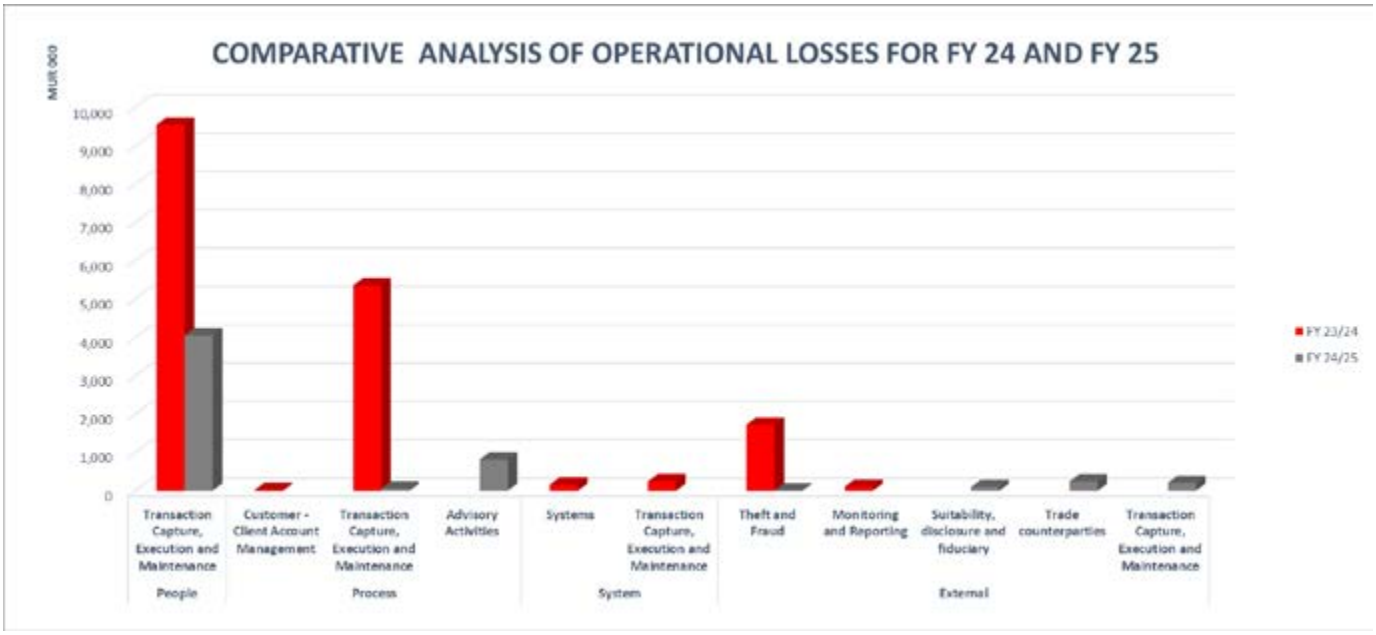
To further strengthen risk culture, a Risk Maturity Survey was conducted in June 2025 to gauge the Bank's progress in embedding risk management across the organization. The result of survey showed that the Bank has a "Defined" Risk Maturity level. For better monitoring of Operational Risk Losses, the Bank has devised a methodology to cascade the Bank's Risk Appetite for Operational Risk Loss down to departmental level. This initiative enables the Bank to focus on high risk areas and take timely measures and actions to mitigate losses efficiently.

OPERATIONAL RISK MANAGEMENT (CONT'D)

The Bank calculates its minimum (Pillar I) operational risk capital requirement using the Basic Indicator Approach (BIA) where the capital charge is 15% of average gross income over the last 3 years. Refer to section on Capital Structure and Adequacy in this report.

The Bank has established EWIs for Operational Risk Loss from a range **of 0.1% to 1.0 % of Gross income**. For this FY25, the Bank recorded Operational losses which stood at **0.055%** of Gross Income which is within the risk appetite.

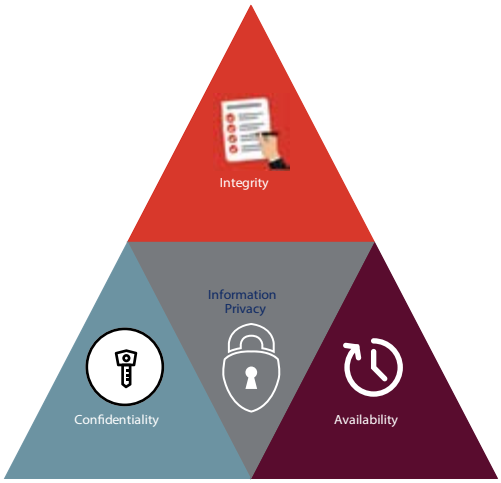
The chart below shows the comparison of the Losses between FY24 and FY25



INFORMATION TECHNOLOGY

Information Technology is geared towards enabling sophisticated product development and better market infrastructure, as well as enabling the Bank reach geographically distant and diversified markets. The Bank's efforts are aimed at leveraging FinTech to keep pace in the digitalised market while keeping aligned with its Information Technology Security policies.

Data and information: Effective deployment of data and information assets is achieved through management information systems, business intelligence/analytics, decision support and forecasting. As data and information are among the most valuable assets of the Bank, its information strategy focuses not only on the above but also on data governance in view of ensuring integrity and consistency of data at every stage of the data lifecycle, maintaining adherence to the Data Privacy rules including Mauritius Data Protection Act ("DPA") 2017, the General Data Protection Regulation ("GDPR") 2018 and POPI Act 2020. The Bank is committed to ensure that individual's privacy rights and entitlements are adequately protected in relation to the techniques used to capture, transmit, manipulate, record or store personal data.



Technology, infrastructure and security: With technology evolving faster than ever, the primary challenge for an enabling technology is to ensure that the Bank is adequately prepared and equipped to meet and sustain the rigorous and continuous evolution of requirements for new technologies in the era of digital innovation and artificial intelligence, whilst managing the associated costs and risks.

The Bank's Information Technology and Information Security frameworks are built on global standards like ITIL, ISO 27001 and NIST which are aligned with the Bank of Mauritius Guideline on Cyber and Technology Risk Management. Governance practices include regular reviews with executive management and extends up to the Board, with regular updates and feedback flowing in both directions. Internal, external and regulatory audits play a crucial role in the governance cycle including periodic checks on the Bank's policies and their implementation.

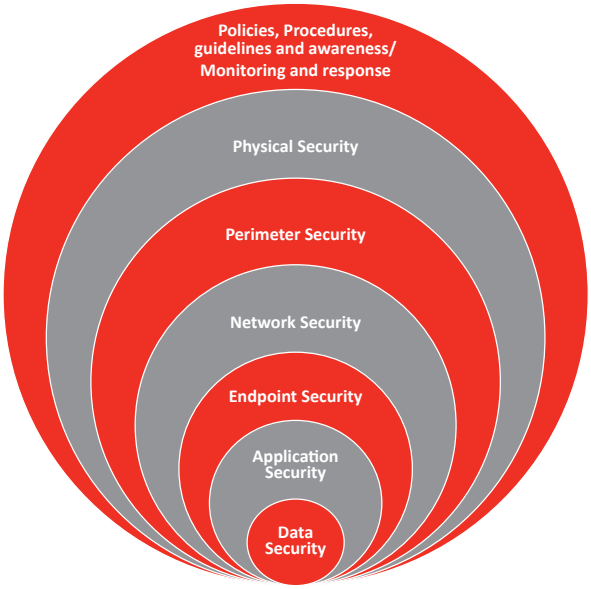
Information Risk Management aims to maintain the confidentiality, integrity and availability of information assets when stored, processed and transmitted. All measures converge towards the adoption of best practices through recognised frameworks and standards, ensuring efficiency and consistency in mitigating information risk across the Bank

CYBERSECURITY POSTURE

As part of the Bank's response to the evolving nature of cyber threats, the IT Security Risk team has implemented a set of comprehensive policies for information security, cyber security, and technology risks that protect the confidentiality, integrity, and availability of information created, processed, transmitted, stored and disposed of by the Bank. The policies and procedures are available and accessible to employees at all times. The ICT Security Risk department develops its policies and procedures and implements security solutions in line with established frameworks such as ISO 27001 and NIST and in alignment with the Cyber and Technology Risk Management Framework of the Bank of Mauritius.

During this financial year, ICT Security has emphasis the following:

1. Ensure conformity with local regulator guidelines regarding cyber and technology risk management.
2. Conduct cybersecurity awareness training for staff on common and new cybersecurity threats and techniques such as credential harvesting attacks, two-factor authentication attacks, password security, safe web browsing, and secure use fof social media platforms.
3. Conduct phishing simulation exercises to assess the staff's resilience to phishing attacks and reporting of cybersecurity incidents.
4. Deploy AI-driven network detection and response technology to protect against malicious internal network activities.
5. Enforce password complexity requirements on the Bank's internal domain to comply with the Bank's password security policy and to minimise the risk of password compromise. Additionally, two-factor authentication has been implemented to access the Bank’s internal applications.
6. Ensure staff adherence to the Bank's policies, procedures, and training materials through a centralised policy management and compliance tool.
7. A yearly vulnerability assessment and penetration testing exercise was conducted to identify flaws or weaknesses in the Bank's internal/external network.
8. Develop of a Cyber and Technology Risk Management Framework to comply with regulator guidelines on managing cyber and technology risks.



Overview of Cybersecurity measures already implemented at the Bank.

CYBERSECURITY POSTURE (CONT'D)

Data Security
Focuses on protecting sensitive data, regardless of where it resides, using encryption, access controls, data loss prevention (DLP) techniques, and other measures to ensure data confidentiality, integrity, and availability.

Application Security
Secure the software applications used by the Bank, including web applications, mobile apps, and other software, by implementing secure coding practices, vulnerability assessments, and access controls.

Endpoint Security
Protects individual devices, such as laptops, desktops, and mobile devices, from malware, unauthorized access, and other threats by using antivirus software, endpoint detection and response (EDR) solutions, and other security tools.

Network Security
Secures the network infrastructure, using techniques like network segmentation, intrusion detection and prevention systems (IDS/IPS), and secure network protocols to protect data in transit.

Perimeter Security
Creates a boundary around the network, using firewalls, intrusion detection systems, and other technologies to control access and block malicious traffic from entering the network.

Physical Security
Protecting the physical assets and facilities of the bank such as servers, workstations, network equipment, the server room and office from unauthorized access, theft, or damage.

Policies Procedures, guidelines and awareness
Policies, procedures, and guidelines at the Bank support operational efficiency, regulatory compliance, and a strong risk management framework. They provide a structured approach to daily operations, ensuring consistency and clarity in employee actions. Awareness training is carried out to educate employees on cybersecurity threats, data protection, and compliance regulations, fostering a culture of security across the Bank.

Monitoring and Response
Cybersecurity monitoring and response is a continuous process of involving the observation of networks, systems, and applications to detect and respond to potential threats in real-time.

Senior management receives monthly reports, including statistics on the security technologies installed, the volume of spam and cyberattacks detected, and the remedial actions performed. Quarterly reports are also submitted to the BRC, providing the Board of Directors with an overview of the Bank's cyber security posture.

BUSINESS CONTINUITY MANAGEMENT

The Bank's Business Continuity Management ("BCM") Policy includes plans to mitigate operational risks, demonstrating our commitment to ensure business continuity for our shareholders, customers and employees. Business Impact Analysis, Business Recovery Strategies and Emergency Response plans are defined and implemented to provide for a Disaster Recovery site with data being updated as per set recovery time objectives. These measures minimise operational, financial, legal, reputational and other material consequences arising from any disruption to the Bank's primary IT infrastructure.

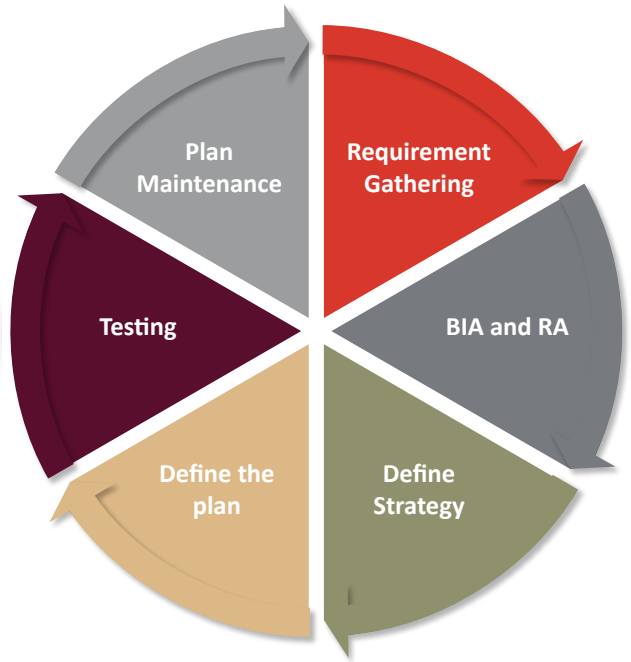


The BCM policy, last reviewed in 2024, is in line with the Business Continuity Institute Good Practice Guidelines 2018 (BCI GPG 2018), which are built on ISO requirements namely ISO 22301:2012 for Business Continuity Management and ISO/TS 22317:2015 for Business Impact Analysis.

The management team of the Bank is committed to the following statement: "*We will take all necessary measures to ensure the continuity of business operations and to minimise recovery time in the case of disaster (natural or otherwise) or in the event of an emergency.*"

The Bank has established a BCM Steering Committee to review the processes after each testing exercise and to review the policy every year with a view to continuously improve resilience. The ultimate objective is to ensure that any disruption to operations whether caused by natural calamities, cyberattack or others is addressed and restored within a minimum lapse of time allowing the Bank to resume normal operations within a reasonable time frame.

At least one BCM test is performed annually across critical infrastructure involving all functions and user groups throughout the Bank. This ensures the effectiveness of the processes and verifies the readiness of both infrastructure and people. The Bank has adopted a cyclical approach residing on four pillars: Readiness, Prevention, Response and Recovery/Resumption to continuously improve on the BCM and attain an efficient and acceptable level. Rigorous administration and maintenance, as well as any event experienced, will necessitate revisions and/or additions.



The strategy adopted for an efficient BCM is to continuously test, train, evaluate and maintain our Business Continuity Plan. The BCM policy is in place for moving towards a better resilient framework to protect the interest of all stakeholders of the Bank.

CLIMATE CHANGE AND ENVIRONMENTAL FINANCIAL RISKS

Climate change poses a real financial risk to the banking sector. As global temperatures rise, extreme weather events intensify, and environmental degradation accelerates, financial institutions are increasingly exposed to a wide range of climate-related and environmental ("CR&E") risks that can impact asset values, loan portfolios and long-term profitability. Banks face two broad categories of CR&E risks: physical risks, arising from climate-related damages such as floods and cyclones; and transition risks, linked to the shift towards a low-carbon economy, including regulatory changes, evolving market preferences, and technological disruptions.

The Bank has established its Climate-Related and Environmental Financial Risk Management Framework and is progressing with its implementation in accordance with regulatory requirements. The Bank considers the adoption of the Bank of Mauritius Guideline on Climate-Related and Environmental Financial Risk Management as part of an ongoing, iterative process aimed at continuous improvement.

CR&E Governance

The governance structure integrates CR&E considerations across key committees and decision-making bodies, ensuring alignment with the Bank's overall risk management strategy.



Governance for CR&E Financial Risk Management

- **Board of Directors**: Holds ultimate accountability for approving and overseeing the Bank's strategy on CR&E financial risks and opportunities.
- **Risk Committee (Board Subcommittee)**: Supports the Board in the identification of CR&E financial risks and development of measures to mitigate these risks.
- **Executive Committee**: Ensures the Bank operates within the strategic framework, risk appetite, and policies approved by the Board, including those addressing CR&E financial risks.
- **Risk Management Committee**: Assesses the Bank's risk profile and ensures that material CR&E-related financial risks are addressed in a timely manner.
- **ESG Committee**: Oversees the management of ESG risks and opportunities, including CR&E, and serves as a cross-functional platform to coordinate ESG initiatives and projects. The ESG Committee meets monthly and provides regular updates to the Risk Management Committee.

CR&E Strategy

As a responsible bank, ABL is committed to maintain allegiance with applicable climate and environmental regulations. The Bank opted for a phased approach to managing its CR&E risks, mainly because it is essential to understand the current exposure to CR&E risks of its credit portfolio and potential impact on the financials of the Bank.

According to the Nationally Determined Contributions ("NDC") of Mauritius, the country is highly vulnerable to climate change.

CLIMATE CHANGE AND ENVIRONMENTAL FINANCIAL RISKS(CONT'D)

The diagram below summarises the main risks identified:

Risks		Impact
Physical	Flooding	Flash flooding causing damage to infrastructure, buildings and agriculture.
	Cyclone	Extreme weather conditions causing damage to infrastructure, buildings and agriculture.
	Sea level rise	Rising sea level causing coastal erosion and damaging buildings and infrastructure.
	Water scarcity	Prolonged droughts leading to scarcity of water for domestic and agricultural purposes.
Transition	Policy and Legal	Changes in regulations and policies aimed at reducing GHG emissions affecting industries highly reliable on fossil fuels or high carbon technologies.
	Technology and Market	Changes in customer preferences for greener alternatives causing declining demand for traditional products; businesses failing to invest in innovative solutions finding themselves with stranded assets.

The Bank also endeavours to develop and maintain a suite of offerings that support the transition to a low-carbon economy and contribute to the reduction of CR&E risk exposure. These include, but are not limited to, green construction, energy efficiency projects, and green mobility initiatives.

CR&E Risk Management

The Bank has in place its CR&E Financial Risk Management Framework which acts as a guidance for the identification, categorisation, mitigation, monitoring and reporting of CR&E risks and opportunities.

The CR&E risk management process of the Bank is carried out by three lines of defence with different roles and responsibilities. The Sustainability & CSR department is responsible and accountable for the implementation, review and proper maintenance of the CR&E Financial Risk Management Framework.

The Bank has adopted a phased approach, with the first iteration currently in progress. It involves a baseline assessment of the credit portfolio to identify material CR&E risk exposures by country, sector, and business lines. This will allow the Bank to define its CR&E financial mitigants and integrate them into the Credit Risk Policy of the Bank. The second iteration will consist of integration of CR&E considerations in the credit lifecycle at the counterparty level.

The Bank has conducted a climate-related scenario analysis exercise encompassing two scenarios: "The Sudden Wake-up Call" and "The EU Green Deal", as requested by the Bank of Mauritius. This initial exercise serves as a baseline for ongoing refinement and improvement in our climate risk assessment capabilities.

CLIMATE CHANGE AND ENVIRONMENTAL FINANCIAL RISKS(CONT'D)

CR&E Risk Management (CONT'D)

The objective of the exercise was to assess the potential credit risk impact on the Bank's exposures, in light of accelerated sustainability regulations, extreme climatic events, transition risk, and compliance pressures.

AfrAsia Bank Ltd reports to the Bank of Mauritius on a yearly basis on CR&E-related events—particularly cyclones and flooding—that had an impact on its operations, including any operational losses incurred. The report includes any eventual credit losses arising from borrower defaults attributable to such events, as well as information on training and awareness sessions attended by staff on CR&E matters. The Bank will continue to arrange CR&E training and awareness programs for the staff on a timely basis as per requirements.

CUSTOMER RISKS

Customer risk encompasses the potential threats posed by a customer's profile, the nature of products and services used, transaction patterns, delivery channels, jurisdictions, as well as segment classification. The Bank remains vigilant in its approach to managing these risks, ensuring alignment with regulatory expectations and internal risk appetite.

The Bank's Anti-Money Laundering ("AML") Desk, acting as a second line of defence, continues to ensure that the Bank's services are not misused for illicit purposes such as money laundering or terrorist financing. It plays a pivotal role in identifying, monitoring, and mitigating customer-related risks by maintaining strong oversight of risk frameworks, systems, and controls.

To support this, the Bank leverages a combination of in-house and external technologies, allowing for adaptive and intelligent risk detection. This blended approach ensures that the Bank remains ahead of evolving typologies and maintains a high standard of AML compliance.

Customer risk is evaluated using a combination of:

- Risk appetite thresholds;
- Defined risk metrics and incident tracking;
- Regulatory insights and feedback;
- Ongoing assessments by the AML and compliance teams.

Monitoring of customer risk is conducted in coordination with first-line risk functions, control activities, second-line oversight, and independent audits—both internal and external. Identified risks are addressed through policy refinements, enhanced controls, and timely remediation efforts as necessary.

Key risk areas include:

- **Geographical Risk**: Exposure linked to customers operating in or connected with high-risk jurisdictions.
- **Transactional Risk**: Monitoring the volume, frequency, and nature of transactions to detect anomalies.
- **Industry Risk**: Certain sectors present higher AML/CTF exposure, requiring closer scrutiny.
- **Customer Behaviour**: Deviations from established activity patterns may signal emerging risk.
- **Reputational Risk**: Public domain information, including adverse media, is factored into risk assessments.
- **Regulatory and Legal Risk**: Adherence to all applicable laws governing AML and customer due diligence.
- **Third-Party Risk**: Evaluation of intermediaries or agents acting on behalf of the customer.
- **Sanctions Risk**: Screening customers against international sanctions and watchlists to ensure full compliance.

Through comprehensive risk assessments and robust controls, the Bank reinforces its ability to identify and mitigate customer risks effectively. This proactive approach underpins a sound AML framework and supports the Bank's commitment to maintaining the integrity of the financial system.

CAPITAL STRUCTURE AND ADEQUACY

REGULATORY FRAMEWORK

The Bank complies with the capital adequacy requirements set out by the Bank of Mauritius, in alignment with the Basel framework. These requirements are designed to strengthen the resilience of the banking sector against financial and economic shocks, promote sound risk management and governance practices, and enhance transparency and disclosure across institutions.

The Bank adheres to the Guideline on Scope of Application of Basel III and Eligible Capital – (June 2014, revised June 2021). Since 2014, the Bank has also been classified as a Domestic Systemically Important Bank ("D-SIB"), following its annual assessment in accordance with the Guideline for dealing with Domestic- Systemically Important Banks - June 2014.

The calculation of risk weighted assets ("RWA") is carried out in accordance with the following BOM guidelines:

- the Guideline on Standardised Approach to Credit Risk (March 2008, revised April 2022),
- the Guideline on Measurement and Management of Market Risk (July 2009), and
- the Guideline on Operational Risk Management and Capital Adequacy Determination (February 2005, revised April 2008).

These requirements are fully embedded in the Bank's capital adequacy computation, capital management policy and capital plan.

CAPITAL MANAGEMENT

The Bank manages its capital structure proactively and dynamically, in line with its Capital Management Policy and evolving economic, regulatory, and business conditions. The core objectives of the Bank's capital management are to:

- ensure ongoing compliance with externally imposed capital requirements,
- maintain financial strength to support strategic initiatives, and
- deliver sustainable returns to shareholders.

Capital is managed to safeguard the Bank's resilience, preserve access to funding, and support its long-term growth plans. In doing so, the Bank places a strong emphasis on maintaining adequate capital buffers over minimum regulatory thresholds, as defined by the Bank of Mauritius under the Basel III framework.

CAPITAL MANAGEMENT (CONT'D)

The Bank regularly monitors its capital adequacy ratio ("CAR") against the internal capital limits set by Management and regulatory limits. These assessments are supported by robust capital planning, stress testing, and forecasting under both baseline and stress scenarios.

The capital management framework is embedded within the Bank's governance and decision-making processes, ensuring that capital considerations are integrated into business planning, dividend distribution, and risk-taking decisions.

REGULATORY CAPITAL

The regulatory capital consists of Tier 1 and Tier 2 capital, with Tier 1 capital further divided into Common Equity Tier 1 ("CET 1") and Additional Tier 1 ("AT 1").

CET1 capital primarily includes ordinary share capital, retained earnings, other comprehensive income, and eligible reserves. Deductions from CET1 capital are applied in line with regulatory requirements and mainly related to intangible assets and deferred tax assets.

AT1 capital is composed exclusively of the Bank's Class A shares, which meet all the criteria for recognition as Additional Tier 1 instruments.

Tier 2 capital includes expected credit loss ("ECL") provisions for Stage 1 and Stage 2 exposures, country risk provisions, and additional provisions in accordance with the Guideline on Classification, Provisioning and Write-off of Credit Exposures (November 2004, revised August 2024).

The composition and quality of the Bank's regulatory capital are subject to ongoing review, ensuring compliance with evolving regulatory standards and supporting the Bank's risk profile and business strategy.

As at 30 June 2025, the Bank's total regulatory capital stood at MUR 22.5bn, representing strong year-on-year growth of 17% compared with MUR 19.2bn recorded as at 30 June 2024. This increase was primarily supported by the Bank's robust financial performance for the year, highlighted by a net profit after tax of MUR 6.3bn.

CET 1 capital amounted to MUR 19.9bn, while Tier 1 capital reached MUR 21.3bn, reflecting continued earnings retention and disciplined capital management.

In line with the Guideline on Payment of Dividend (September 2020, revised November 2021) and the Bank's dividend policy, dividends of MUR 2.4bn and MUR 0.2bn were distributed from the Bank's retained earnings to ordinary shareholders and to Class A shareholders respectively during the financial year ended 30 June 2025.

CAPITAL MANAGEMENT AND ADEQUACY (CONT'D)

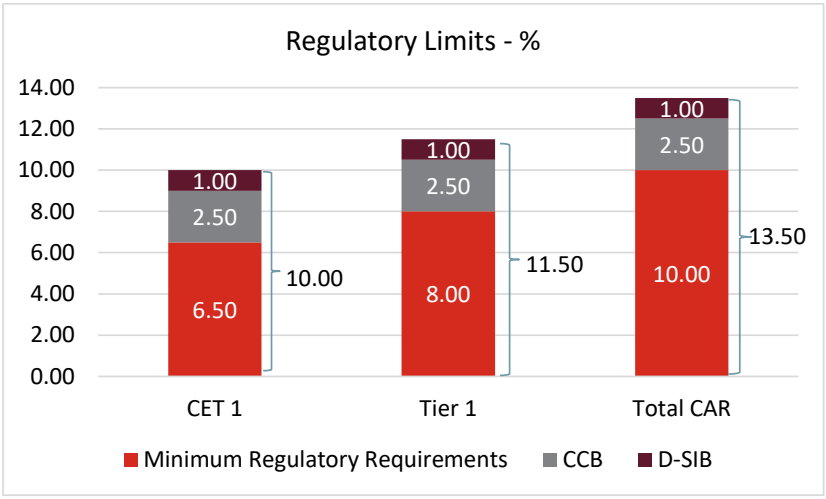
CAPITAL ADEQUACY RATIO

The Bank continues to comply with the Guideline on Scope of Application of Basel III and Eligible Capital (June 2014, revised June 2021), which requires institutions to maintain a minimum regulatory requirement of 10.00% at all times.

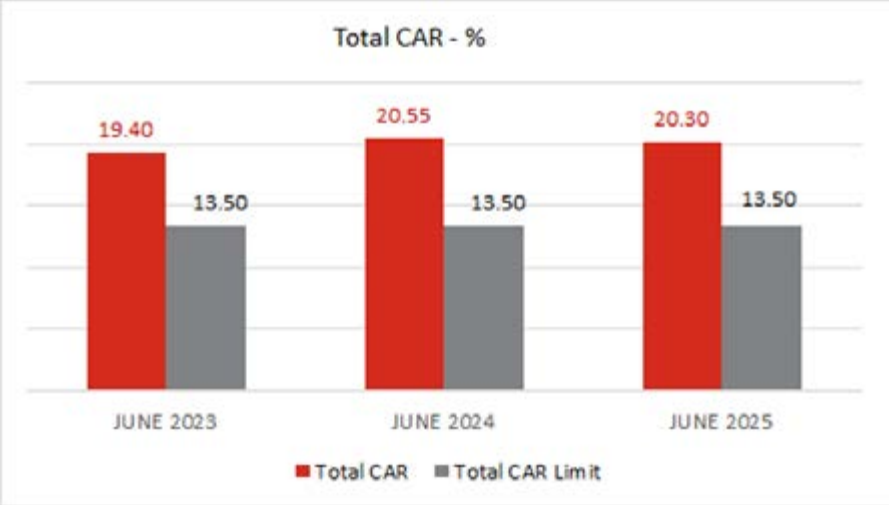
Additionally, the Bank is subject to a Capital Conservation Buffer ("CCB") of 2.50%, as stipulated under the Basel III framework, bringing the total capital requirement to 12.50%.

Furthermore, as a D-SIB, the Bank is required to hold an additional capital buffer of 1.00% for the calendar year 2025, following the annual assessment conducted by the Bank of Mauritius.

Accordingly, the regulatory limit for the Bank for 2025 is 13.50%, inclusive of the minimum regulatory requirement, the CCB, and the D-SIB buffer as shown in the bar chart below:



As at 30 June 2025, the Bank's total CAR stood at 20.30%, showing a slight decrease of 25 basis points from 20.55% reported as at 30 June 2024. The CET 1 ratio dropped by 18 basis points to reach 17.99%, from 18.17% for the previous financial year. The Tier 1 capital ratio also dropped by 42 basis points from 19.64% as at 30 June 2024 to reach 19.22% as at 30 June 2025.



CAPITAL MANAGEMENT AND ADEQUACY (CONT'D)

CAPITAL ADEQUACY RATIO

in MUR'000		June 2023	June 2024	June 2025
Common Equity Tier 1 capital: instruments and reserves				
Share Capital		3,641,049	3,641,049	3,641,049
Statutory reserve		2,149,252	3,202,994	4,150,099
Retained earnings		7,704,188	10,359,060	12,450,418
Accumulated other comprehensive income and other disclosed reserves		313,935	348,824	307,813
Common Equity Tier 1 capital before regulatory adjustments		**13,808,424**	**17,551,927**	**20,549,379**
Common Equity Tier 1 capital: regulatory adjustments				
Other intangible assets		-362,778	-265,546	-262,569
Deferred Tax		-280,787	-294,218	-379,952
Total regulatory adjustments to Common Equity Tier 1 capital		**-643,565**	**-559,764**	**-642,521**
Common Equity Tier 1 capital		**13,164,859**	**16,992,163**	**19,906,858**
Additional Tier 1 capital: instruments				
Instruments issued by the Bank that meet the criteria for inclusion in Additional Tier 1 capital (not included in CET1)		1,369,777	1,369,406	1,361,243
Additional Tier 1 capital		**1,369,777**	**1,369,406**	**1,361,243**
Tier 1 capital (Tier 1 = CET1 + AT1)		**14,534,636**	**18,361,569**	**21,268,101**
Tier 2 capital: instruments and provisions				
Provisions or loan-loss reserves (subject to a maximum of 1.25 percentage points of credit risk-weighted risk assets calculated under the standardised approach)		743,680	854,999	1,200,854
Tier 2 capital		**743,680**	**854,999**	**1,200,854**
Total Capital (capital base) (= Tier 1 + Tier 2)		**15,278,316**	**19,216,568**	**22,468,955**
Risk weighted assets				
Credit Risk		71,619,254	82,643,689	96,068,335
Market Risk		128,923	204,788	429,016
Operational Risk		6,993,519	10,660,596	14,160,276
Total risk weighted assets		**78,741,696**	**93,509,073**	**110,657,627**
Capital Adequacy Ratios	**Regulatory Limits 2025**			
CET1 CAR (CET1 / RWA)	10.00%	16.72%	18.17%	17.99%
Tier 1 CAR (T1 / RWA)	11.50%	18.46%	19.64%	19.22%
Total CAR (TC / RWA)	13.50%	19.40%	20.55%	20.30%

CAPITAL MANAGEMENT AND ADEQUACY (CONT'D)

RECONCILIATION WITH AFRASIA BANK'S AUDITED FINANCIAL STATEMENTS

in MUR'000	June 2025	
	Statement of Financial Position as in published financial statements	Statement of Financial Position as per Basel
ASSETS		
Cash and balances with banks	14,140,601	20,310,238
Due from banks	54,374,971	54,381,208
Derivative financial instruments	136,312	136,312
Loans and advances to banks	20,955,184	20,987,166
Loans and advances to customers	54,733,965	55,080,698
Investment securities	130,601,501	130,650,428
Other assets	6,578,190	409,884
Property and equipment	796,515	796,515
Right of use assets	441,847	441,847
Intangible assets	262,569	262,569
Deferred tax assets	379,952	379,953
TOTAL ASSETS	**283,401,607**	**283,836,818**
EQUITY AND LIABILITIES		
LIABILITIES		
Due to banks	2	2
Deposits from banks	200,548	200,548
Deposits from customers	257,974,800	257,974,800
Borrowings from financial institution	157,253	157,253
Derivative financial instruments	78,394	78,394
Current tax liabilities	431,413	431,413
Lease liabilities	444,038	444,038
Other liabilities	978,222	923,291
Provisions	-	490,142
of which: Provision reflected in regulatory capital	-	*490,142*
Employee benefits	188,174	188,174
TOTAL LIABILITIES	**260,452,844**	**260,888,055**
EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT		
Ordinary Shares	3,641,049	3,641,049
of which amount eligible for CET1		*3,641,049*
Class A shares	1,385,768	1,385,768
of which amount eligible for AT1		*1,361,243*
Retained earnings	12,450,419	12,450,419
Other reserves	5,471,527	5,471,527
of which: Provision reflected in regulatory capital	-	710,712
TOTAL EQUITY	**22,948,763**	**22,948,763**
TOTAL EQUITY AND LIABILITIES	**283,401,607**	**283,836,818**

CAPITAL MANAGEMENT AND ADEQUACY (CONT'D)

RISK-WEIGHTED ASSETS

For the financial year ended 30 June 2025, the Bank recorded a notable increase of MUR 17.2bn in its total RWAs, reaching MUR 110.7bn, as compared to MUR 93.5bn as at 30 June 2024. This growth reflected the expansion of the Bank's loan to customers portfolio as well as a substantial rise in operational RWAs, attributable to a strong average gross positive income of MUR 9.4bn over the past three financial years.

Credit Risk RWAs

Credit RWAs are determined using the Standardised Approach, in accordance with the Guideline on Standardised Approach to Credit Risk (March 2008, revised April 2022). This includes both on-balance sheet and off-balance sheet exposures. Risk weights are applied at the exposure level, for both market-related and non-market-related credit exposures.

The Bank also adheres to the Guideline on the Recognition and Use of External Credit Assessment Institutions (March 2008, revised August 2023), using external ratings from rating agencies like Moody's, CARE Ratings, and Global Credit Rating ("GCR") to assign appropriate risk weights to eligible exposures.

Market Risk RWAs

Market RWAs are computed under the Standardised Approach, following the Guideline on Measurement and Management of Market Risk (July 2009). The Bank's market risk capital requirement is based primarily on its foreign exchange open position risk, covering both the banking book and the trading book.

Operational Risk RWAs

For operational risk, the Bank applies the Basic Indicator Approach as defined in the Guideline on Operational Risk Management and Capital Adequacy Determination (February 2005, revised April 2008). Under this approach, the capital charge is calculated by applying 15% to the average annual positive gross income for the last three financial years, and then multiplying the result by 10 to derive the operational risk-weighted amount.

CAPITAL MANAGEMENT AND ADEQUACY (CONT'D)

RISK-WEIGHTED ASSETS

	June 2023	June 2024	June 2025				
On-Balance Sheet Assets	RWAs	RWAs			Credit exposure	Risk weightage	Risk weighted assets
	MUR'000	MUR'000			MUR'000	%	MUR'000
Cash Items	-	-			47,527	-	-
Claims on Sovereigns	2,020,941	2,577,842			92,590,025	0-100	3,335,451
Claims on Central Bank	-	-			9,819,526	-	-
Claims on Banks	24,007,618	24,252,343			94,074,293	20-100	27,421,601
Claims on non-central government public sector entities	2,056,650	562,566			3,546,178	50	2,104,948
Claims on corporates	31,227,435	42,088,102			62,394,356	20-150	47,203,002
Claims on regulatory retail portfolio	762,787	783,209			1,097,973	75	823,479
Claims secured by residential property	2,185,280	2,706,729			3,218,111	35-125	3,407,394
Claims secured by commercial real estate	1,144,424	1,244,001			1,041,755	100-125	1,164,173
Past Due Claims	89,964	177,939			311,984	50-150	398,520
Other Assets	938,301	1,357,528			1,808,688	100	1,808,687
Total	**64,433,400**	**75,750,259**			**269,950,416**		**87,667,255**
Non-Market related Off-Balance Sheet Assets	RWAs	RWAs	Notional amount	Credit Conversion Factor	Credit equivalent amount	Risk weightage	RWAs
	MUR'000	MUR'000	MUR'000	%	MUR'000	%	MUR'000
Direct Credit Substitutes	38,722	937	43,692	100	43,692	100	43,692
Transaction-related contingent items	923,558	1,275,245	6,846,553	50	3,174,930	50-150	3,263,110
Trade related contingencies	106,092	37,741	172,268	20-50	48,253	100	42,810
Other commitments	5,558,214	5,436,509	20,255,578	0-50	6,331,063	0-125	4,938,288
Total	**6,626,586**	**6,750,432**	**27,318,091**		**9,597,938**		**8,287,900**
Market related Off Balance Sheet Assets	RWAs	RWAs	Notional amount	Credit Conversion Factor	Credit equivalent amount	Risk weightage	RWAs
	MUR'000	MUR'000	MUR'000	%	MUR'000	%	MUR'000
Interest rate contracts	8,492	5,494	812,600	1	8,126	20-100	4,350
Foreign exchange contracts	34,006	44,005	3,115,933	2-3	65,776	20-100	58,583
Other market-related contracts	516,770	93,499	1,943,668	10-15	251,235	20	50,247
Total	**559,268**	**142,998**	**5,872,201**		**325,137**		**113,180**
Total Credit Risk-Weighted Assets	**71,619,254**	**82,643,689**	**303,140,708**				**96,068,335**
Risk-Weighted Assets for Market Risk	RWAs	RWAs					RWAs
	MUR'000	MUR'000					MUR'000
Aggregate net open foreign exchange position	128,923	204,788					429,016
Total Market Risk-Weighted Assets	**128,923**	**204,788**					**429,016**
Risk-Weighted Assets for Operational Risk						Capital charge for operational risk	RWAs
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	%	MUR'000
Annual Gross Income			8,045,331	9,915,906	10,359,317		
Average gross income for previous 3 years	4,662,346	7,107,064					9,440,184
Capital charge for operational risk	699,352	1,066,060				15	1,416,028
Total Operational Risk-Weighted Assets	**6,993,519**	**10,660,596**					**14,160,276**
Total Risk-Weighted Assets	**78,741,696**	**93,509,073**					**110,657,627**

Stress Testing

Stress testing is a core component of the Bank's risk management framework. It involves both sensitivity and scenario analyses to evaluate the potential impact of microeconomic and macroeconomic developments, as well as portfolio changes, on the Bank's financial soundness. The outcomes of these exercises are instrumental in assessing the Bank's resilience under specific and hypothetical adverse scenarios, particularly with regard to earnings, liquidity, capital adequacy, and alignment with the Bank's risk appetite and regulatory requirements.

The Bank has an established and comprehensive Stress Testing Policy, which details the Bank's Stress Testing Framework, in line with the principles outlined in the Bank of Mauritius Guideline on Stress Testing (June 2022). This framework also defines the stress testing scenarios used in the Bank's Internal Capital Adequacy Assessment Process (ICAAP)**,** conducted annually.

The Stress Testing Policy is reviewed and updated annually to ensure continued relevance and alignment with the Bank's asset profile, strategic direction, evolving business model, as well as prevailing and anticipated economic and market conditions.

Stress testing is a fundamental tool to:

- Facilitate a view of the Bank's forward risk profile as a result of portfolio effects and/or changes in macroeconomic conditions;
- Identify potential vulnerability to severe but plausible shocks; and
- Determine appropriate management actions or contingency plans to limit the impact of such events on the entity.
- Stress testing Results have an impact on decision-making, including strategic business decisions through:
- Strategic planning and budgeting;
- ICAAP, including capital planning and management, and the setting of capital buffers;
- Informing the setting of risk appetite statements;
- Liquidity planning and management;
- Identifying and proactively mitigating risks through actions such as reviewing and changing risk limits, limiting exposures or hedging; and
- Risk Based Supervisory ("RBS") reporting to the Central Bank.

The various types of Scenario Analysis performed at the Bank are as follows:

(a) Scenario Analysis

Scenario analysis involves applying historical or hypothetical events to evaluate the potential impact of future developments on a financial system, sector, or the Bank's portfolio or products. It is not intended to serve as a forecasting tool, but rather as a structured method for exploring plausible and coherent narratives that describe alternative paths to current or expected conditions, and quantifying their impact accordingly.

Unlike sensitivity analysis, which typically isolates and tests the effect of changes in individual variables, scenario analysis considers a broader set of economic and financial parameters in an integrated and consistent manner, providing a more comprehensive view of potential risks and vulnerabilities.

- Changing **multiple risk inputs simultaneously** with the **source of the stress event** well defined;
- Macroeconomic stress testing involves the creation of a **severe but plausible macroeconomic scenario,** and the assessment of the **impact of key macroeconomic risk drivers** (e.g. GDP, interest rates, inflation) on key risk inputs (e.g. PD, LGD and EAD);
- Assessing the impact on the statement of profit or loss and other comprehensive income, the statements of financial position and capital ratios; and
- Other hypothetical or historical scenarios: "what-if "scenarios.

(b) Sensitivity Analysis

Sensitivity analysis is the process of evaluating the impact of changes in a single risk factor or a limited set of closely related variables, assumptions, or parameters. By adjusting those inputs to assess their effect on a specific risk position. This method isolates the influence of individual elements to better understand their potential impact. It is important to note that the underlying event causing movements in the parameters is hypothetical in nature.

(c) Reverse Stress Testing

Reverse stress testing is the process of assessing a predefined adverse outcome for the Bank such as a breach of regulatory ratios, insolvency, or a liquidity shortfall and then identifying the scenarios that could lead to such outcomes. Unlike traditional stress testing, which starts with a scenario and measures its impact, reverse stress testing begins with an assumed failure point and works backward to determine what combination of events could cause it.

This approach helps the Bank uncover hidden risks and vulnerabilities within its business model, products, or portfolios that could threaten its financial viability. It also supports the identification of extreme but plausible scenarios that may compromise the Bank's resilience. This in turn, enhances risk preparedness and strategic planning.

Assessing scenarios and circumstances that would render its business model unviable, thus helps identify potential business vulnerabilities:

- Starts from the point of failure of the Bank's business model and then works backwards to identify circumstances or scenarios under which this might occur; and
- The point of failure is considered to be significant financial losses that impact the Bank's capital, or a lack of liquidity to such an extent that the existing business model would no longer be viable or where material supervisory intervention would occur.

COMPLIANCE RISK

Compliance risk is defined as the risk of legal or regulatory sanctions, material financial loss, or loss to reputation that the Bank may suffer as a result of its failure to comply with laws, regulations and rules applicable to its banking activities. Internal control and risk mitigation measures are put in place and implemented within the Bank to ensure compliance with the relevant laws, regulations and internal policies and procedures.

The Bank adheres to the Guideline on Compliance Risk Management and Governance Framework issued by the BOM in November 2024. A Compliance Risk Management and Governance Framework ("Compliance Risk Framework") has been implemented, in line with the Guideline. The Compliance Risk Framework enhances the effort of the Bank to have a strong compliance culture and an effective governance and risk management framework for compliance risk and enterprise wide risk management.

As per the Compliance Strategy, Compliance Plan and Compliance Risk Framework approved by the Board of Directors, compliance reviews of relevant departments of the Bank are conducted on a regular basis. Reports/findings are duly submitted to the Senior Management, Audit Committee of the Board and the Board of Directors.

Moreover, the Compliance Function is responsible for providing assurance and advising the Management and staff of the Bank concerning compliance and regulatory matters.

Regulatory Compliance and Interaction

- Review of Policies & Procedures of the Bank;
- Assistance in Corporate Governance matters;
- Liaison with Regulators and authorities, providing assistance during examinations/inspections;
- Report compliance issues;
- Ensure implementation of recommendations from regulators as well as regulatory changes;
- Compliance/Regulatory advice to Senior Management and Sales Departments;
- Review and recommendations for new products and projects of the Bank; and
- Risk Based Supervision Reporting concerning Anti-Money Laundering/Combating the Financing of Terrorism ("AML/CFT").

Monitoring and Testing

- Transaction Monitoring using an AML software;
- Compliance Control and Testing – Testing of AML desk operations, operational processes and regulatory guidelines;
- Replying to requests for Information from investigative/regulatory authorities; and
- Review, investigation and reporting of transactions.

Financial Crime

- Fraud identification, investigation and reporting;
- AML Training, Assessment, Compliance workshop and circulation of regulatory changes;
- Financial crime and investigations of Suspicious Transactions;

- Report Suspicious Transactions to Financial Intelligence Unit ("FIU");
- Reply to queries from correspondent banks;
- KYC/AML/Sanctions advisory to the Sales team, Operations team and AML Team; and
- Enterprise Wide Risk Assessments of AML/CFT.

FRAUD RISK

Overview

Fraud risk remains a significant concern within the banking sector, driven by both internal and external threats which may result in financial losses, regulatory penalties, reputational damage, and legal liabilities. In line with regulatory expectations from the Bank of Mauritius and international best practices, AfrAsia Bank Limited ("the Bank") has adopted a structured and proactive approach to fraud risk management.

The Bank's fraud risk framework is anchored by a robust governance model that supports effective oversight and implementation of fraud prevention, detection, and response mechanisms. The strategy is consistent with the Bank's zero-tolerance policy towards fraudulent activities and promotes ethical conduct, transparency, and resilience across all operations.

The FRMF is aligned with international standards, including the Basel Committee on Banking Supervision guidelines, and complies with the regulatory requirements of the **Bank of Mauritius**. It incorporates both proactive and reactive mechanisms to safeguard the Bank's operations and reputation. The strategy is underpinned by the principles of the **Fraud Triangle (Pressure, Opportunity, Rationalisation)**, helping the Bank to understand and address the root causes of fraud.

Fraud Risk Strategy

At AfrAsia Bank, our Fraud Risk Management Strategy is central to ensuring the safety, integrity, and reputation of the Bank, its employees, clients, and stakeholders. This strategy supports the overarching Fraud Risk Management Policy and is directly aligned with our commitment to a zero-tolerance approach to fraud. The strategy is designed to safeguard the Bank's operations against fraud and its potential consequences while ensuring compliance with the applicable legal and regulatory requirements.

Strategic Pillars of Fraud Risk Management

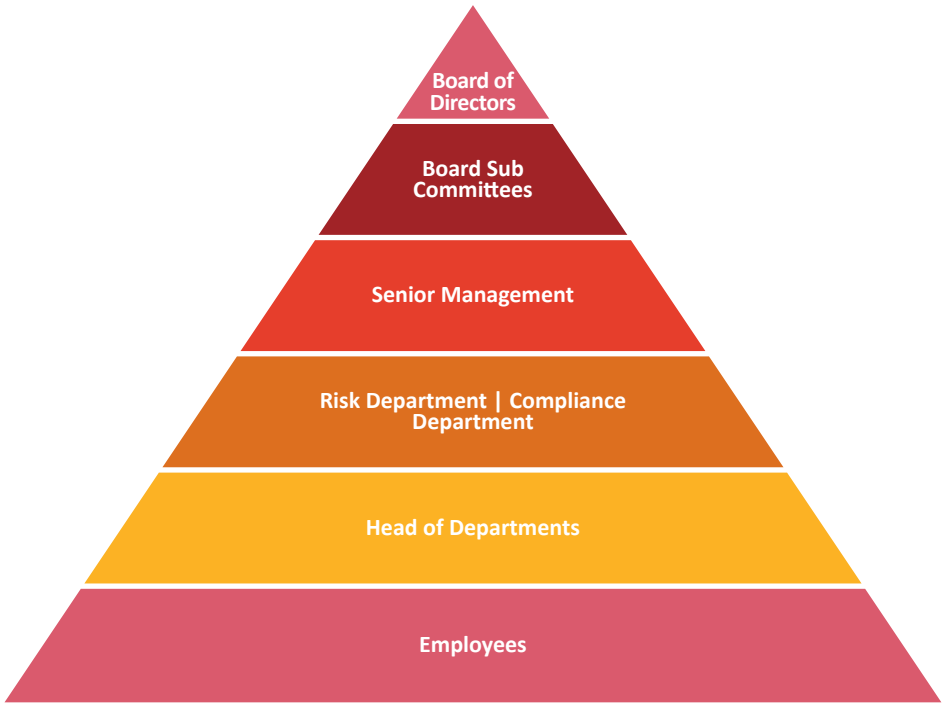
The Bank's fraud risk strategy is structured around four core pillars:

1. Prevention – Promoting awareness and embedding fraud risk ownership across business lines;
2. Detection – Leveraging automated monitoring systems and data analytics to identify anomalies;
3. Response – Ensuring swift and effective investigation and resolution of fraud incidents;
4. Continuous Improvement – Regular assessments, reviews, and updates of controls and policies.

Fraud Risk Governance

The Bank has in place a comprehensive **Fraud Risk Management Framework (FRMF)**, aligned with the guidance of the **Basel Committee on Banking Supervision** and the **Bank of Mauritius Guidelines on Corporate Governance**. The framework defines governance structures, roles, and responsibilities across three lines of defence, ensuring an integrated and bank-wide approach to fraud risk oversight.

An overview of the Bank's Fraud Risk Governance Structure is as follows:



Key elements include:

- **Fraud Risk Appetite Statement**, approved by the Board of Directors, which defines the acceptable level of fraud risk exposure;
- **Fraud Risk Management Policy**, which outlines procedural controls, reporting obligations, and accountability mechanisms;
- Deployment of **technology-driven tools**, including real-time transaction monitoring systems and anomaly detection models;
- **Independent internal audit reviews** and fraud investigations to evaluate the effectiveness of fraud controls.

The governance framework is further supported by regular reporting to senior management and the Board Risk Committee to ensure continuous alignment with the Bank's strategic objectives and regulatory expectations.

To further strengthen the framework, fraud culture surveys are conducted regularly to assess employee awareness and attitudes towards fraud, while a whistleblowing channel ensures employees can report suspected fraudulent activities without fear of retaliation. Together, these components create a strong, multi-layered approach to managing fraud risks, promoting a strong culture of transparency, accountability, and vigilance throughout the Bank.

Key Developments in FY24/25

During the financial year under review, the Bank enhanced its fraud risk management posture through the implementation of the following initiatives:

- Designation of **Fraud Risk Champions** across all departments to act as focal points for fraud-related matters;
- Execution of a **Bank-wide Fraud Risk Assessment** to identify and prioritise key risk areas;
- Conduct of **fraud awareness training** for employees and Board members;
- Implementation of **fraud-specific Key Performance Indicators (KPIs)** to monitor risk trends and control effectiveness;
- Weekly multi-stakeholder **fraud risk meetings** to address emerging risks and ensure coordination;
- Enhancement of **fraud detection rules** within the transaction monitoring systems to improve real-time alerting;
- Strengthening of card security processes including revised protocols for **card delivery and destruction**;
- Dissemination of targeted **fraud prevention communications** (e.g., emailers on card data protection).

Fraud Risk Environment and Outlook

The external environment remains challenging due to increased digitalisation, greater transaction volumes, and the growing sophistication of cyber-enabled fraud. Key observed threats in FY 2024/2025 included:

- **Social engineering attacks**;
- **Account takeover incidents**; and
- **Identity theft across digital channels**.

In response, the Bank continues to invest in technological enhancements, reinforcing staff capabilities, and adapt its risk controls to emerging threats. A culture of risk awareness and integrity is being fostered through ongoing training, fraud culture assessments, and reinforced internal reporting protocols.

Looking ahead, AfrAsia Bank will continue to strengthen its fraud risk defences, prioritise customer protection, and maintain rigorous compliance with the Bank of Mauritius guidelines. Through vigilant oversight, continuous enhancement of controls, and a culture rooted in ethical conduct, we aim to mitigate the impact of fraud and uphold the trust placed in us by our customers, regulators, and shareholders.

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL REPORTING

The consolidated and separate financial statements of the Group's and the Bank's operations in Mauritius presented in this annual report have been prepared by management, which is responsible for their integrity, consistency, objectivity, and reliability. The IFRS Accounting Standards as issued by the International Accounting Standards Board as well as the requirements of The Companies Act 2001 of Mauritius, The Banking Act 2004 (as amended), Financial Report Act 2004 (as amended) and the guidelines issued by the Bank of Mauritius, have been applied in the preparation and fair presentation of the financial statements for the year ended 30 June 2025 and management has exercised its judgement and made best estimates where deemed necessary.

The Group and the Bank have designed and maintained their accounting systems, related internal controls, and supporting procedures to provide reasonable assurance that financial records are complete and accurate and that assets are safeguarded against loss from unauthorised use or disposal. These supporting procedures include careful selection and training of qualified staff, the implementation of organisation and governance structures providing a well-defined division of responsibilities, authorisation levels, and accountability for performance and communication of the Bank's policies, procedure manuals, and guidelines of the Bank of Mauritius throughout the Bank.

The Bank's Board of Directors acts in part through the Audit Committee, Conduct Review Committee, Corporate Governance Committee, Credit Committee, Risk Committee, Remuneration Committee, and Technology, Digitalisation and Platforms Committee, which comprise executive, non-executive and independent directors, oversee management's responsibility for financial reporting, internal controls, assessment and control of major risk areas, and assessment of significant and related party transactions.

The Bank's internal auditors, who have full and free access to the Audit Committee, conduct a well-designed programme of internal audits. In addition, the Bank's compliance function maintains policies, procedures, and programs directed at ensuring compliance with regulatory requirements.

Pursuant to the provisions of The Banking Act 2004 (as amended), the Bank of Mauritius makes such examination and inquiry into the operations and affairs of the Bank as it deems necessary.

The Bank's external auditors, Ernst & Young, have full and free access to the Board of Directors and its Committees to discuss the audit and matters arising therefrom, such as their observations on the fairness of financial reporting and the adequacy of internal controls.

OLIVIER EMMANUEL JAUFFRET
Chairperson

THIERRY VALLET
Chief Executive Officer

ALASTAIR JAMES BRYCE
Director

Date: 22 September 2025

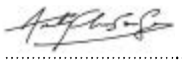




Financial Statements



In terms of Section 166(d) of the Mauritius Companies Act 2001, we certify that, to the best of our knowledge and belief, AfrAsia Bank Limited (the "Bank"), has filed with the Registrar of Companies all such returns as are required of the Bank under the Mauritius Companies Act 2001 for the year ended 30 June 2025.



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ANDY CHAN SOON SEN
Company Secretary

Date: 22 September 2025

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Opinion

We have audited the consolidated and separate financial statements of AfrAsia Bank Limited (the "Bank") and its subsidiary (the "Group") set out on pages 269 to 367 of section B of the Annual report which comprise the consolidated and separate statements of financial position as at 30 June 2025, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of the Group and Bank as at 30 June 2025, and of its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and comply with the Companies Act 2001, Banking Act 2004 and Financial Reporting Act 2004.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated and separate financial statements section of our report. We are independent of the Group and Bank in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (the "IESBA Code") and other independence requirements applicable to performing audits of financial statements of the Group and Bank and in Mauritius. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits of the Group and Bank and in Mauritius. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Key Audit Matters (continued)

The Key Audit Matter applies equally to the audit of the consolidated and separate financial statements.

Key Audit Matter	How the matter was addressed in the audit
Expected credit losses (ECL) on loans and advances to customers Expected credit losses (ECL) relating to loans and advances to customers, disclosed in note 16(b), represent management's best estimates of the losses incurred within the loan portfolios at the reporting date. We identified the audit of ECL on loans and advances to customers as a key audit matter owing to the following: • The impairment provisions are material to the Group and the Bank in terms of value. The Group and the Bank reported ECL of Mur 2.3bn as at 30 June 2025 (2024: Mur 1.9bn); • The impairment calculations involve significant judgements and a high degree of estimation uncertainty in respect to the determination of the components of the ECL model (PD, EAD & LGD); • The evaluation of significant increase in credit risk (SICR); and • Significant judgements, estimates and assumptions have been made by management in respect of the loss event, as well as determination of the value of collaterals for stage 3 loans and advances to customers.	To address the Key Audit Matter, our audit procedures included: • Understanding of ECL model: We reviewed the ECL model and underlying methodologies used to estimate PD, LGD and EAD, ensuring compliance with the Group's and the Bank's accounting policies, Bank of Mauritius Guidelines and applicable accounting standards. • Testing Stage Classification: We evaluated the criteria applied in determining and identifying loans and advances to customers that exhibit a significant increase in credit risk, as well as the ongoing monitoring of stage 2 and stage 3 exposures. We also reviewed the appropriateness of the Group's and the Bank's Significant Increase in Credit Risk (SICR) methodologies and performed tests on the stage allocations, including SICR triggers, for a selected sample of individual exposures across the Group's and the Bank's portfolios. • Governance process: We reviewed ECL governance procedures, including management's oversight, periodic re-assessment of model performance, and the roles of relevant committees such as risk management, to ensure adequate identification and mitigation of impairment risks in the Group's and Bank's loan portfolios. • Validation of data inputs: We performed data testing over the inputs into ECL to ensure that the data used within the ECL estimation process is complete and accurate.

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Key Audit Matters (continued)

Key Audit Matter	How the matter was addressed in the audit
Expected credit losses (ECL) on loans and advances to customers (Cont'd) In particular, the following areas require significant judgements and makes use of estimates: **1. Modelled ECL impairment losses - Stage 1 and stage 2 loans and advances to customers** • A significant portion of ECL is calculated on a portfolio basis. This requires the use of statistical models which incorporates data and assumptions which are not always observable. There is judgement applied with respect to the relevant inputs to the model as well as in the determination of the most appropriate assumptions and estimates applied within the credit impairment parameters, i.e., Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD). • Significant increase in credit risk (SICR) is assessed based on the current risk of default of an account relative to its risk of default at origination. This assessment, and the determination of credit impaired loans and advances to customers, incorporates judgement by management.	**1. Modelled ECL impairment losses - Stage 1 and stage 2 loans and advances to customers** • Involvement of specialist: We involved our quantitative specialists to assess whether the design and specifications of the ECL models and the assumptions behind their underlying parameters, i.e., Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD) were in line with the requirements of IFRS 9 Financial Instruments. The specialists have also assessed whether the ECL models were correctly implemented, through reperformance of the ECL model underlying parameters (PD/LGD/EAD), as per the documented methodology, as well as an independent reperformance of the ECL calculations.

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Key Audit Matters (continued)

Key Audit Matter	How the matter was addressed in the audit
Expected credit losses (ECL) on loans and advances to customers (Cont'd) **2. Estimation and incorporation of multiple forward-looking macroeconomic scenarios and weightings into the ECL calculation - Stage 1 and stage 2 loans and advances to customers** IFRS 9 requires the measurement of ECL on a forward-looking basis based on reasonable and supportable information, including the impact of future macro-economic conditions. The Group and the Bank has employed statistical models to quantify the relationships between Probability of Default (PD) and macro-economic variables to model forward-looking PDs for the estimation of ECL. Variables that were incorporated into the models were the Gross Domestic Product Annual Growth Rate and the Inflation Rate. Three forward-looking scenarios (Baseline, Upside, Downside) were considered, and forward-looking adjustment are calculated by scenario and are probability weighted in the final ECL estimate. Significant management judgement is applied in determining the forward-looking scenarios and the probability weightings applied. **3. Stage 3 ECL provisions assessed on an individual basis** • A significant portion of loans and advances to customers are assessed for recoverability on an individual basis. Significant judgements, estimates and assumptions are applied by management to: ○ Determine if the loans and advances are credit impaired; and ○ Evaluate the valuation and recoverability and timing of the recoverability of collaterals.	**2. Estimation and incorporation of multiple forward-looking macroeconomic scenarios and weightings into the ECL calculation - Stage 1 and stage 2 loans and advances to customers** • The specialist team assessed the appropriateness of the forward-looking information incorporated into the models. Independent ECL quantifications have been performed to test the key assumptions of the model to ensure the ECL results are sensible. The appropriateness of the macroeconomic forecasts used was reviewed through benchmarking against independent external sources. The team also tested the design and implementation over the approval of updated forward-looking information used within the models. **3. Stage 3 ECL provisions assessed on an individual basis** • We assessed the reasonability of management judgements used to determine the completeness of credit impaired exposures. • Our procedures focused on assessing the reasonability of the estimate of the amount and timing of expected future cash flows used in measuring ECL. • We ensured that all credit impaired loans have been properly identified in stage 3 by management by: ○ Reviewing minutes of Board Risk Committee and the Impairment Management Committee; ○ Obtaining and testing loan arrears reports and perform backstop procedures to ensure completeness of the Stage 3 impairment list of the ECL model; ○ Identifying loan facilities meeting certain criteria such as financial difficulties of the borrower and restructured loans and ensuring that these are included in the list of credit impaired facilities; and ○ Where exposures are collateralised, we tested the Group's and the Bank's legal right to the collateral by inspecting legal agreements. We assessed the reasonability of the valuation of the collateral by evaluating key assumptions against available market and ensured that the realisable period is reasonable. Where management has engaged specialists, we evaluated their competence and objectivity.

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Other Information

The directors are responsible for the other information. The other information comprises the information included in the 367−page document titled 'ANNUAL REPORT 2025', which includes the chairperson's message, the chief executive officer's message, the management discussion and analysis, the corporate governance report, the risk management report, the statement of management's responsibility for financial reporting and the certificate from the company secretary.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act 2001, Banking Act 2004 and Financial Reporting Act 2004 and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and Bank or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS (CONTINUED)

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements (Continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and Bank's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Use of our report

This report is made solely to the Bank's members, as a body, in accordance with Section 205 of the Companies Act 2001. Our audit work has been undertaken so that we might state to the Bank's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Bank and the Bank's members, as a body, for our audit work, for this report, or for the opinions we have formed.

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REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Companies Act 2001

We have no relationship with or interests in the Bank or any of its subsidiaries other than in our capacity as auditor and dealings in the ordinary course of business.

We have obtained all the information and explanations we have required.

In our opinion, proper accounting records have been kept by the Bank as far as it appears from our examination of those records.

Banking Act 2004

In our opinion, the consolidated and separate financial statements have been prepared on a consistent basis and are complete, fair and properly drawn up and comply with the Banking Act 2004 and the regulations and guidelines of the Bank of Mauritius.

The explanations or information called for or given to us by the officers or agents of the Bank were satisfactory.

Financial Reporting Act 2004

The directors are responsible for preparing the Corporate Governance Report. Our responsibility under the Financial Reporting Act is to report on the compliance with the Code of Corporate Governance ("the Code") disclosed in the annual report and assess the explanations given for non-compliance with any requirement of the Code. From our assessment of the disclosures made on corporate governance in the annual report, the Bank has, pursuant to section 75 of the Financial Reporting Act, complied with the requirements of the Code.

ERNST & YOUNG
Ebène, Mauritius

ANDRE LAI WAN LOONG, F.C.A.
Licensed by FRC

Date: 22 September 2025

A member firm of Ernst & Young Global Limited.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

for the year ended 30 June 2025

		THE GROUP			THE BANK		
		2025	2024	2023	**2025**	2024	2023
	Notes	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Interest income	**4(a)**	**12,258,030**	11,402,418	7,292,926	**12,258,030**	11,402,418	7,292,926
Interest expense	**4(b)**	**(5,047,070)**	(4,258,025)	(1,580,744)	**(5,047,070)**	(4,258,025)	(1,580,744)
Net interest income, calculated using EIR method		**7,210,960**	7,144,393	5,712,182	**7,210,960**	7,144,393	5,712,182
Fee and commission income	**5(a)**	**1,571,052**	1,412,811	1,241,015	**1,571,052**	1,412,811	1,241,015
Fee and commission expense	**5(b)**	**(521,808)**	(476,540)	(398,389)	**(521,808)**	(476,539)	(398,388)
Net fee and commission income		**1,049,244**	936,271	842,626	**1,049,244**	936,272	842,627
Net trading income	**6**	**2,099,321**	1,829,991	1,489,505	**2,099,329**	1,829,986	1,489,502
Other (losses)/gains	**7(a)**	**(874)**	1,187	391	**(874)**	1,187	391
Other operating income	**7(b)**	**658**	4,069	629	**658**	4,069	629
Total operating income		**10,359,309**	9,915,911	8,045,333	**10,359,317**	9,915,907	8,045,331
Net impairment (loss)/credit on financial assets	**8**	**(403,278)**	49,315	243,645	**(403,278)**	49,315	243,645
Net operating income		**9,956,031**	9,965,226	8,288,978	**9,956,039**	9,965,222	8,288,976
Personnel expenses	**9**	**(1,361,808)**	(968,260)	(959,075)	**(1,361,808)**	(968,260)	(959,075)
Depreciation of property and equipment	**19**	**(30,411)**	(30,419)	(28,599)	**(30,411)**	(30,419)	(28,599)
Depreciation of right of use assets	**21**	**(27,654)**	(23,586)	(35,309)	**(27,654)**	(23,586)	(35,309)
Amortisation of intangible assets	**20**	**(38,805)**	(92,981)	(60,495)	**(38,805)**	(92,981)	(60,495)
Other operating expenses	**10**	**(765,284)**	(624,036)	(555,514)	**(764,808)**	(623,616)	(555,112)
Total operating expenses		**(2,223,962)**	(1,739,282)	(1,638,992)	**(2,223,486)**	(1,738,862)	(1,638,590)
Profit before tax		**7,732,069**	8,225,944	6,649,986	**7,732,553**	8,226,360	6,650,386
Tax expense	**11(b)**	**(1,418,518)**	(1,201,419)	(771,416)	**(1,418,518)**	(1,201,419)	(771,416)
Profit for the year		**6,313,551**	7,024,525	5,878,570	**6,314,035**	7,024,941	5,878,970
Other comprehensive (loss)/income that will not be reclassified to profit or loss:							
Remeasurement of employee benefits	**30**	**(20,450)**	(97,115)	3,371	**(20,450)**	(97,115)	3,371
Deferred tax on remeasurement of employee benefits	**11(d)**	**6,934**	13,151	(693)	**6,934**	13,151	(693)
Fair value gain on equity investments designated at fair value through other comprehensive income	**17(c)**	**3,090**	631	917	**3,090**	631	917
Exchange gain on equity investments designated at fair value through other comprehensive income	**17(c)**	**807**	330	756	**807**	330	756
Other comprehensive (loss)/income for the year		**(9,619)**	(83,003)	4,351	**(9,619)**	(83,003)	4,351
Total comprehensive income for the year attributable to equity holders of the parent		**6,303,932**	6,941,522	5,882,921	**6,304,416**	6,941,938	5,883,321

The notes on pages 273 to 367 form an integral part of these financial statements.
Auditor's report on pages 262 to 268.

STATEMENTS OF FINANCIAL POSITION

as at 30 June 2025

		THE GROUP			THE BANK		
		2025	2024	2023	**2025**	2024	2023
	Notes	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
ASSETS							
Cash and balances with banks	**13**	**14,140,601**	18,847,227	16,757,284	**14,140,601**	18,847,227	16,757,277
Due from banks	**14**	**54,374,971**	38,511,567	47,682,116	**54,374,971**	38,511,567	47,682,116
Derivative financial instruments	**15**	**136,312**	366,664	385,550	**136,312**	366,664	385,550
Loans and advances to banks	**16(a)**	**20,955,184**	14,647,416	13,189,589	**20,955,184**	14,647,416	13,189,589
Loans and advances to customers	**16(b)**	**54,733,965**	47,857,486	39,266,981	**54,733,965**	47,857,486	39,266,981
Investment securities	**17**	**130,601,501**	134,697,387	108,685,735	**130,601,501**	134,697,387	108,685,735
Other assets	**22**	**6,578,196**	5,608,828	4,751,969	**6,578,190**	5,608,822	4,751,962
Property and equipment	**19**	**796,515**	604,442	159,161	**796,515**	604,442	159,161
Right of use assets	**21**	**441,847**	45,421	65,779	**441,847**	45,421	65,779
Intangible assets	**20**	**262,569**	265,545	362,778	**262,569**	265,545	362,778
Deferred tax assets	**11(d)**	**379,952**	294,219	280,787	**379,952**	294,219	280,787
TOTAL ASSETS		**283,401,613**	261,746,202	231,587,729	**283,401,607**	261,746,196	231,587,715
EQUITY AND LIABILITIES							
LIABILITIES							
Due to banks	**23**	**2**	868	-	**2**	868	-
Deposits from banks	**24**	**200,548**	335,051	358,723	**200,548**	335,051	358,723
Deposits from customers	**25**	**257,972,767**	239,910,949	213,229,467	**257,974,800**	239,913,413	213,232,468
Borrowings from financial institution	**26**	**157,253**	167,183	150,918	**157,253**	167,183	150,918
Derivative financial instruments	**15**	**78,394**	224,771	204,959	**78,394**	224,771	204,959
Current tax liabilities	**11(a)**	**431,413**	522,721	821,973	**431,413**	522,721	821,973
Lease liabilities	**21**	**444,038**	44,582	64,663	**444,038**	44,582	64,663
Other liabilities	**27**	**979,142**	1,082,422	1,197,332	**978,222**	1,081,555	1,196,336
Employee benefits	**30**	**188,174**	186,599	110,936	**188,174**	186,599	110,936
TOTAL LIABILITIES		**260,451,731**	242,475,146	216,138,971	**260,452,844**	242,476,743	216,140,976
EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT							
Ordinary shares	**28**	**3,641,049**	3,641,049	3,641,049	**3,641,049**	3,641,049	3,641,049
Class A shares	**29**	**1,385,768**	1,385,768	1,385,768	**1,385,768**	1,385,768	1,385,768
Retained earnings	**31**	**12,470,049**	10,379,176	7,724,718	**12,450,419**	10,359,062	7,704,188
Other reserves	**31**	**5,453,016**	3,865,063	2,697,223	**5,471,527**	3,883,574	2,715,734
TOTAL EQUITY		**22,949,882**	19,271,056	15,448,758	**22,948,763**	19,269,453	15,446,739
TOTAL EQUITY AND LIABILITIES		**283,401,613**	261,746,202	231,587,729	**283,401,607**	261,746,196	231,587,715

The financial statements have been approved by the Board of Directors and authorised for issue on 22 September 2025.

OLIVIER EMMANUEL JAUFFRET	**THIERRY VALLET**	**ALASTAIR JAMES BRYCE**
Chairperson	**Chief Executive Officer**	**Director**

The notes on pages 273 to 367 form an integral part of these financial statements.
Auditor's report on pages 262 to 268.

(a) THE GROUP	Notes	Ordinary shares MUR'000	Class A shares MUR'000	Retained earnings MUR'000	Other reserves MUR'000	Total MUR'000
Attributable to equity holders of the parent						
At 1 July 2022		3,641,049	1,385,768	3,568,710	1,596,691	10,192,218
Profit for the year		-	-	5,878,570	-	5,878,570
Other comprehensive income		-	-	2,678	1,673	4,351
Total comprehensive income for the year		-	-	5,881,248	1,673	5,882,921
Appropriation of reserves	31	-	-	(897,820)	897,820	-
Additional provision in relation to Bank of Mauritius Guideline	31	-	-	(201,039)	201,039	-
Dividends	12	-	-	(626,381)	-	(626,381)
At 30 June 2023		3,641,049	1,385,768	7,724,718	2,697,223	15,448,758
At 1 July 2023		3,641,049	1,385,768	7,724,718	2,697,223	15,448,758
Profit for the year		-	-	7,024,525	-	7,024,525
Other comprehensive (loss)/income		-	-	(83,964)	961	(83,003)
Total comprehensive income for the year		-	-	6,940,561	961	6,941,522
Appropriation of reserves	31	-	-	(1,087,670)	1,087,670	-
Additional provision in relation to Bank of Mauritius Guideline	31	-	-	(79,209)	79,209	-
Dividends	12	-	-	(3,119,224)	-	(3,119,224)
At 30 June 2024		3,641,049	1,385,768	10,379,176	3,865,063	19,271,056
At 1 July 2024		**3,641,049**	**1,385,768**	**10,379,176**	**3,865,063**	**19,271,056**
Profit for the year		**-**	**-**	**6,313,551**	**-**	**6,313,551**
Other comprehensive (loss)/income		**-**	**-**	**(13,516)**	**3,897**	**(9,619)**
Total comprehensive income for the year		**-**	**-**	**6,300,035**	**3,897**	**6,303,932**
Appropriation of reserves	**31**	**-**	**-**	**(902,196)**	**902,196**	**-**
Additional provision in relation to Bank of Mauritius Guideline	**31**	**-**	**-**	**(681,860)**	**681,860**	**-**
Dividends	**12**	**-**	**-**	**(2,625,106)**	**-**	**(2,625,106)**
At 30 June 2025		**3,641,049**	**1,385,768**	**12,470,049**	**5,453,016**	**22,949,882**

(b) THE BANK	Notes	Ordinary shares MUR'000	Class A shares MUR'000	Retained earnings MUR'000	Other reserves MUR'000	Total MUR'000
At 1 July 2022		3,641,049	1,385,768	3,547,780	1,615,202	10,189,799
Profit for the year		-	-	5,878,970	-	5,878,970
Other comprehensive income		-	-	2,678	1,673	4,351
Total comprehensive income for the year		-	-	5,881,648	1,673	5,883,321
Appropriation of reserves	31	-	-	(897,820)	897,820	-
Additional provision in relation to Bank of Mauritius Guideline	31	-	-	(201,039)	201,039	-
Dividends	12	-	-	(626,381)	-	(626,381)
At 30 June 2023		3,641,049	1,385,768	7,704,188	2,715,734	15,446,739
At 1 July 2023		3,641,049	1,385,768	7,704,188	2,715,734	15,446,739
Profit for the year		-	-	7,024,941	-	7,024,941
Other comprehensive (loss)/income		-	-	(83,964)	961	(83,003)
Total comprehensive income for the year		-	-	6,940,977	961	6,941,938
Appropriation of reserves	31	-	-	(1,087,670)	1,087,670	-
Additional provision in relation to Bank of Mauritius Guideline	31	-	-	(79,209)	79,209	-
Dividends	12	-	-	(3,119,224)	-	(3,119,224)
At 30 June 2024		3,641,049	1,385,768	10,359,062	3,883,574	19,269,453
At 1 July 2024		**3,641,049**	**1,385,768**	**10,359,062**	**3,883,574**	**19,269,453**
Profit for the year		**-**	**-**	**6,314,035**	**-**	**6,314,035**
Other comprehensive (loss)/income		**-**	**-**	**(13,516)**	**3,897**	**(9,619)**
Total comprehensive income for the year		**-**	**-**	**6,300,519**	**3,897**	**6,304,416**
Appropriation of reserves	**31**	**-**	**-**	**(902,196)**	**902,196**	**-**
Additional provision in relation to Bank of Mauritius Guideline	**31**	**-**	**-**	**(681,860)**	**681,860**	**-**
Dividends	**12**	**-**	**-**	**(2,625,106)**	**-**	**(2,625,106)**
At 30 June 2025		**3,641,049**	**1,385,768**	**12,450,419**	**5,471,527**	**22,948,763**

The notes on pages 273 to 367 form an integral part of these financial statements.
Auditor's report on pages 262 to 268.

STATEMENTS OF CASH FLOWS

for the year ended 30 June 2025

		THE GROUP			THE BANK		
		2025	2024	2023	**2025**	2024	2023
	Notes	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
OPERATING ACTIVITIES							
Cash flows generated from/(used in) operating activities	**33(b)**	**19,130,388**	(2,768,991)	(25,251,310)	**19,130,388**	(2,768,984)	(25,251,308)
Tax paid	**11**	**(1,588,625)**	(1,500,952)	(272,354)	**(1,588,625)**	(1,500,952)	(272,354)
Net cash flows generated from/(used in) operating activities		**17,541,763**	(4,269,943)	(25,523,664)	**17,541,763**	(4,269,936)	(25,523,662)
INVESTING ACTIVITIES							
Purchase of property and equipment	**19**	**(202,436)**	(475,700)	(69,101)	**(202,436)**	(475,700)	(69,101)
Proceeds from disposal of property and equipment		**1,000**	-	-	**1,000**	-	-
Purchase of intangible assets	**20**	**(35,829)**	(77,387)	(57,563)	**(35,829)**	(77,387)	(57,563)
Net cash flows used in investing activities		**(237,265)**	(553,087)	(126,664)	**(237,265)**	(553,087)	(126,664)
FINANCING ACTIVITIES							
Repayment of principal portion of lease liabilities	**21**	**(24,545)**	(23,589)	(34,999)	**(24,545)**	(23,589)	(34,999)
Dividends paid		**(2,625,045)**	(3,119,224)	(626,380)	**(2,625,045)**	(3,119,224)	(626,380)
Net cash flows used in financing activities		**(2,649,590)**	(3,142,813)	(661,379)	**(2,649,590)**	(3,142,813)	(661,379)
Net cash flows for the year		**14,654,908**	(7,965,843)	(26,311,707)	**14,654,908**	(7,965,836)	(26,311,705)
Movement in cash and cash equivalents							
Cash and cash equivalents at 1 July		**44,194,541**	50,552,201	75,114,651	**44,194,541**	50,552,194	75,114,642
Net increase/(decrease) in cash and cash equivalents		**14,654,908**	(7,965,843)	(26,311,707)	**14,654,908**	(7,965,836)	(26,311,705)
Net foreign exchange difference		**(790,634)**	1,608,183	1,749,257	**(790,634)**	1,608,183	1,749,257
Cash and cash equivalents at 30 June	**33(a)**	**58,058,815**	44,194,541	50,552,201	**58,058,815**	44,194,541	50,552,194

The notes on pages 273 to 367 form an integral part of these financial statements.
Auditor's report on pages 262 to 268.

1. CORPORATE INFORMATION

AfrAsia Bank Limited ("the Bank") is a public company incorporated and domiciled in the Republic of Mauritius. The principal activity of the Bank and of its subsidiary (together referred to in this report as "the Group") is the provision of financial services in the Indian Ocean region. Its registered office is at 10, Dr Ferrière Street, Port Louis, Mauritius.

The Bank has one offshore representative office in Johannesburg and a branch in Dubai. The relevant costs and income derived from these offices have been included in these financial statements.

2. APPLICATION OF NEW AND REVISED IFRS ACCOUNTING STANDARDS

In the current year, the Group and the Bank have applied all of the new and revised Standards and Interpretations issued by the International Accounting Standards Board ("IASB") and the International Financial Reporting Interpretations Committee ("IFRIC") of the IASB that are relevant to its operations and effective for accounting periods beginning on 1 July 2024.

New and revised standards that are effective for the current year

The following amendments were effective in the current reporting period:

Amendments to IAS 7 - Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures titled Supplier Finance Arrangements

The amendments to IAS 7 state that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, IFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

The amendments did not have any impact on the Group's and the Bank's consolidated and separate financial statements.

Amendments to IAS 1 Presentation of Financial Statements – Classification of Liabilities as Current or Non-Current

The Group and the Bank have adopted the amendments to IAS 1, published in January 2020, for the first time in the current year.

The amendments affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments did not have any impact on the Group's and the Bank's consolidated and separate financial statements.

Amendments to IAS 1 Presentation of Financial Statements – Non-current Liabilities with Covenants

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or non-current). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g., a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date).

The amendments did not have any impact on the Group's and the Bank's consolidated and separate financial statements.

2. APPLICATION OF NEW AND REVISED IFRS ACCOUNTING STANDARDS (CONTINUED)

New and revised standards that are effective for the current year (continued)

Amendments to IFRS 16 Leases – Lease Liability in a Sale and Leaseback

The amendments to IFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

The amendments did not have any impact on the Group's and the Bank's consolidated and separate financial statements.

New and revised standards in issue but not yet effective

At the date of authorisation of these financial statements, the following relevant IFRS Accounting Standards were in issue but effective on annual periods beginning on or after the respective dates as indicated:

IFRS 7	Financial Instruments: Disclosures – Amendments regarding the classification and measurement of financial instruments (effective 1 January 2026)
IFRS 9	Financial Instruments – Amendments regarding the classification and measurement of financial instruments (effective 1 January 2026)
IFRS 18	Presentation and Disclosures in Financial Statements – Original issue (effective 1 January 2027)
IFRS 19	Subsidiaries without Public Accountability: Disclosures – Original issue (effective 1 January 2027)

The directors anticipate that these Standards and Interpretations will be applied in the Group's and the Bank's financial statements at the above effective dates in future periods. The directors assessed the impact of the standards, interpretations, and amendments effective 1 January 2024 on the financial statements and does not anticipate any of these items to have an impact on the Group and the Bank. For the new and revised standards effective post 1 January 2025, the directors have not yet had the opportunity to consider the potential impact of the application of these amendments.

3A. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policies applied in the preparation of the consolidated and separate financial statements are set out below.

(a) Basis of preparation

The consolidated and separate financial statements of the Group and the Bank have been prepared on a historical cost basis, except as modified by the fair valuation of certain financial instruments.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(a) Basis of preparation (continued)

In estimating the fair value of an asset or a liability, the Group and the Bank take into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for leasing transactions that are within the scope of IFRS 16.

Statement of compliance

The consolidated and separate financial statements of the Group and the Bank have been prepared in accordance with IFRS accounting standards as issued by the IASB and in compliance with the Mauritius Companies Act 2001, the Guidelines and Guidance Notes issued by the Bank of Mauritius, the Financial Reporting Act 2004 and the Banking Act 2004.

Presentation of financial statements

The financial statements are presented in Mauritian Rupees ('MUR') and all values are rounded to the nearest thousand except when otherwise indicated.

The Group and the Bank present their statements of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 37 (c).

(b) Basis of consolidation

The consolidated financial statements comprise the financial statements of the Bank and entity controlled by the Bank (its subsidiary). Control is achieved when the Bank is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Bank controls an investee if and only if the Bank has:

(i) Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
(ii) Exposure, or rights, to variable returns from its involvement with the investee; and
(iii) The ability to use its power over the investee to affect its returns.

The Bank re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Bank obtains control over the subsidiary and ceases when the Bank loses control of the subsidiary.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

(c) Foreign currency translation

The consolidated and separate financial statements are presented in Mauritian Rupees ('MUR'). Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(c) Foreign currency translation (continued)

Transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the spot rate of exchange at the reporting date and all differences are recognised in profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the dates of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

(d) Recognition of income and expenses

(i) Net interest income

Interest income and expense for all financial instruments except for those equity instruments classified as held for trading or those measured or designated as at fair value though profit or loss ('FVTPL') are recognised in 'Net interest income' as 'Interest income' and 'Interest expense' in profit or loss using the effective interest method. Interest on financial instruments measured as at FVTPL is included within the fair value movement during the year in 'Net trading income'.

The interest income/interest expense is calculated by applying the effective interest rate ("EIR") to the gross carrying amount of non-credit impaired financial assets (i.e., at the amortised cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortised cost of financial liabilities. For credit-impaired financial assets the interest income is calculated by applying the EIR to the amortised cost of the credit-impaired financial assets (i.e., the gross carrying amount less the allowance for ECLs).

(ii) Net fee and commission income

Fee and commission income and expense include fees other than those that are an integral part of EIR. The Group and the Bank earn fee and commission income from a diverse range of services being provided to its customers. Fee income can be categorised as follows:

Fee income earned from services provided
These fees include commission income, custody fee income and other card and fee income. The fees are recognised as the related services are provided.

Loan origination fees and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the EIR on the loan. A contract with a customer that results in a recognised financial instrument in the Group's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and this is accounted for under Note 4 'Net Interest income' and then applies IFRS 15 to the residual which is accounted for under Note 5 'Net Fee and commission income'.

Fee income from providing transaction services
Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the performance obligations. Such income is disclosed under "Fee and commission income – others" under Note 5.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(d) Recognition of income and expenses (continued)

(ii) Net trading income

Results arising from trading activities include all gains and losses from changes in fair value and related interest income or expense and dividends for financial assets and financial liabilities held-for-trading.

(e) Financial instruments

Financial assets and financial liabilities

Financial assets and financial liabilities (excluding regular way trades) are recognised in the statements of financial position when the Group and the Bank become a party to the contractual provisions of the instrument. Recognised financial assets and financial liabilities are initially measured at fair value. Regular way trades are purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. These are recognised using settlement date accounting and are applied both for financial assets mandatorily measured at FVTPL and financial assets measured at amortised cost.

Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at FVTPL) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at FVTPL are recognised immediately in profit or loss.

If the transaction price differs from fair value at initial recognition, the entity will account for such difference as follows:

- if fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognised in profit or loss on initial recognition (i.e., day 1 profit or loss);
- in all other cases, the fair value will be adjusted to bring it in line with the transaction price (i.e., day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability.

The Group and the Bank have not applied hedge accounting to its financial instruments during the years ended 30 June 2023, 2024 and 2025.

Financial assets

All financial assets are recognised and derecognised on a trade date where the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market, and are initially measured at fair value, plus transaction costs, except for those financial assets classified as at FVTPL.

Transaction costs directly attributable to the acquisition of financial assets classified as at FVTPL are recognised immediately in profit or loss. For all financial assets the amount presented on the statements of financial position represent all amounts receivable including interest accruals. All recognised financial assets that are within the scope of IFRS 9 are required to be subsequently measured at amortised cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Specifically:

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Financial assets (continued)

- debt instruments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortised cost;
- debt instruments that are held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income (FVTOCI); and
- all other debt instruments (e.g., debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at FVTPL.

However, the entity may make the following irrevocable election / designation at initial recognition of a financial asset on an asset-by-asset basis:

- the entity may irrevocably elect to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies, in OCI; and
- the entity may irrevocably designate a debt instrument that meets the amortised cost or FVTOCI criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

The Group and the Bank have not designated any debt instruments that meet the amortised cost or FVTOCI criteria as measured at FVTPL.

The Group and the Bank have granted loans, as part of syndicated loan arrangement, that include features that change contractual cash flows based on the borrower meeting certain contractually specified targets. For example, the contractual interest rate is reduced if the borrower meets specific targets, such as achieving a certain percentage of women in middle and senior management positions or reducing carbon emissions. If the ESG feature could only have a de minimis effect on the contractual cash flows of the loans, then the feature does not affect the classification of the loan. However, if the effect of the ESG feature could be more than de minimis, then judgement is required about whether the feature would be consistent with a basic lending arrangement and meet the SPPI criterion. For the year under review, the Bank considers that the ESG feature to be de minimis and does not affect the classification of the loan.

Equity instruments designated at FVTOCI

On initial recognition, the entity may make an irrevocable election (on an instrument by instrument basis) to designate investments in equity instruments as at FVTOCI. Designation at FVTOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognised by an acquirer in a business combination.

A financial asset is held for trading if:

- it has been acquired principally for the purpose of selling it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the entity manages together and has evidence of a recent actual pattern of short-term profit taking; or
- it is a derivative (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument)

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Equity instruments designated at FVTOCI (continued)

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the fair value reserve. The cumulative gain or loss is not reclassified to profit or loss on disposal of the equity investments, instead, it is transferred to retained earnings.

Cash and cash equivalents

Cash and cash equivalents as referred to in the cash flow statements comprises cash in hand, non–restricted current accounts with the Central Bank, cash held with other banks, net of outstanding bank overdrafts, and amounts due from banks on demand or with an original maturity of three months or less.

Mandatory balances relate to the minimum amount of cash that banks must keep at the Central Bank in accordance with the Bank of Mauritius Guideline on Cash Reserve Requirement (CRR). Please refer to Note 22 for more details.

Financial guarantees

In the ordinary course of business, the Group and the Bank give financial guarantees, consisting of letters of credit, bank guarantees and acceptances. Financial guarantee contracts issued by an entity are initially measured at their fair values and, if not designated as at FVTPL and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- the amount of the loss allowance determined in accordance with IFRS 9; and
- the amount initially recognised less, where appropriate, cumulative amount of income recognised in accordance with the entity's revenue recognition policies.

Any increase in the liability relating to financial guarantees is recorded in the statements of profit or loss and other comprehensive income. The premium received is recognised in the statements of profit or loss and other comprehensive income in 'Fee and commission income' at a point in time when the financial guarantee is issued.

Impairment of financial assets

Expected Credit Loss ("ECL") is required to be measured through a loss allowance at an amount equal to:

- 12-month ECL, i.e. the portion of lifetime ECL associated with the possibility of a facility defaulting over the next 12 months after reporting date, (referred to as Stage 1 ECL). The ECL of financial instruments with maturity less than 12 months, will be the credit losses expected over the period to maturity;
- lifetime ECL, i.e., the expected losses from a borrower defaulting on its obligation throughout the life of the facility (referred to as Stage 2 ECL, or Non-Performing Assets, classified as Stage 3) on the basis that the financial asset is credit impaired.

A loss allowance for lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments which are not impaired ECLs are measured at an amount equal to the 12-month ECL. More details on the determination of a significant increase in credit risk (SICR) are provided in Note 37 (b).

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Impairment of financial assets (continued)

The calculation of ECL is performed on a quarterly basis or as and when required, using the probabilities of default (PD), loss given default (LGD) and exposure at default (EAD) at account level. For Stage 1 assets, ECLs are calculated based on a 12-month horizon. The ECLs expected to occur in months 1 to 12 are not discounted, whereas any ECLs estimated beyond 12 months—specifically from months 13 to 24—are discounted back by one year to reflect their present value. For Stage 2 assets whereby loss provisions are based on a lifetime ECL estimate, ECLs are calculated separately for Year 0, Year 1, Year 2 and so on up to the residual maturity of the facility. The present value of these annual ECLs is then taken as lifetime ECL by discounting based on the effective interest rate. For stage 3, ECL is estimated based on discounted expected recovery cashflows.

The Group and the Bank assessed on a forward-looking basis the ECL associated with:

- loans and advances to banks and customers;
- due from banks;
- debt instruments at amortised cost;
- debt instruments at FVTOCI;
- loan commitments issued; and
- financial guarantee contracts issued.

The Bank recognizes a loss allowance for such losses at the end of each reporting period. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

More information on measurement of ECLs is provided in Note 37.

Credit impaired financial assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets.

Evidence of credit-impairment includes observable data about the following events:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event with 91 days or more in arrears;
- the lender, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- the disappearance of an active market for a security because of financial difficulties; or
- the purchase of a financial asset at a deep discount that reflects the incurred credit losses.

It may not be possible to identify a single discrete event - instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Group and the Bank assess whether debt instruments that are financial assets measured at amortised cost or FVTOCI are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Group and the Bank consider factors such as bond yields, credit ratings and the ability of the borrower to raise funding.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Credit impaired financial assets (continued)

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession the risk of not receiving the contractual cash flows has reduced significantly and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted the asset is deemed credit impaired when there is observable evidence of credit-impairment including meeting the definition of default. The definition of default (see below) includes unlikeliness to pay indicators and a backstop if amounts are overdue for 91 days or more.

The Group and the Bank do not hold any purchased or originated credit impaired financial assets.

Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in the determination of whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the PD which affects both the measurement of ECLs and the identification of a SICR (see Note 37 (b)).

The Group and the Bank consider the following as constituting an event of default when:

- the borrower is in arrears for 91 days or more on any material credit obligation to the Group and the Bank; or
- the borrower is unlikely to pay its credit obligations to the Group and the Bank in full.

This definition of default is used by the Group and the Bank for accounting purposes as well as for internal credit risk management purposes and is broadly aligned to the regulatory definition of default. The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding. When assessing if the borrower is unlikely to pay its credit obligation, the Group and the Bank consider both qualitative and quantitative indicators. The information assessed depends on the type of the asset, for example in corporate lending a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty are key inputs in this analysis. For other qualitative criteria, refer to SICR below. The Bank applies these criteria for both Stage 2 or Stage 3 classification, depending on magnitude of such events. Of note, a non-performing credit facility, initially under Stage 1 is straightaway classified to Stage 3 in cases of serious signs of credit impairment.

The Group and the Bank use a variety of sources of information to assess default which are either developed internally or obtained from external sources. More details are provided in Note 37. As noted in the definition of credit impaired financial assets above, default is evidence that an asset is credit impaired. Therefore, credit impaired assets will include defaulted assets, but will also include other non-defaulted asset given the definition of credit impaired is broader than the definition of default.

Curing

It is the Bank's policy to consider a financial instrument as 'cured' and therefore reclassified out of Stage 3 to Stage 2 or from Stage 2 to Stage 1 when none of the default criteria or SICR triggers have been present for at least 6 consecutive months. This is carried out in line with IFRS 9 policy and Credit Impairment Policy. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit rating, at the time of the cure, and whether this indicates there has been a SICR compared to initial recognition.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Significant increase in credit risk (SICR)

In accordance with IFRS 9, the Group and the Bank actively monitor all financial assets, loan commitments, and financial guarantee contracts subject to impairment requirements to determine whether Significant Increase in Credit Risk (SICR) has occurred since initial recognition. Upon identification of SICR, a lifetime Expected Credit Loss (ECL) is recognised, replacing 12-month ECL previously applied.

The Group and the Bank have elected not to apply the IFRS 9 practical expedient that permits the assumption that financial instruments with 'low credit risk' at the reporting date have not experienced a significant increase in credit risk. Instead, all exposures—regardless of credit rating—are assessed individually for SICR to ensure a robust and risk-sensitive approach.

SICR is assessed on a quarterly basis, with due consideration to qualitative indicators, with primary emphasis placed on Days Past Due (DPD) and internal credit risk grading. Where DPD exceeds 30 days, file is classified as Stage 2 asset.

In line with internal governance practices, any exposure with credit risk overdue by more than six months is conservatively classified as Stage 2 asset.

This reflects Bank's prudent stance on credit risk where updated risk information is unavailable.

Quarterly SICR assessment also incorporates a wide range of qualitative indicators, including:

- Adverse legal or regulatory developments (e.g., court orders, confirmed fraud);
- Financial restructuring or modification of initial terms and conditions due to emerging financial distress;
- Deterioration in Borrower's financial condition impairing debt-servicing capacity;
- Adverse developments in Borrower's industry or macroeconomic environment;
- Sovereign or country risk downgrades; and
- Significant reductions in profitability, revenue, or market capitalisation (for listed entities).

The SICR framework is subject to regular oversight by Risk Management function, management committees, sub-committees to the Board and the Board of Directors, to ensure continued alignment with evolving regulatory requirements, internal risk appetite, and macroeconomic conditions.
Exposure monitoring is conducted periodically, with the frequency of review determined by the size and segment of the portfolio:

- Exposures below MUR 10m within Individual, Business Banking, and Private Banking SME segments are reviewed annually; and
- All other exposures are reviewed on a quarterly basis.

In line with internal governance practices, any exposure with a credit review overdue by more than six months is conservatively classified as Stage 2. This reflects the Bank's prudent stance on credit risk where updated risk information is unavailable.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Significant increase in credit risk (SICR) (continued)

The SICR assessment also incorporates a wide range of qualitative indicators, including, but not limited to:

- Adverse legal or regulatory developments (e.g., court orders, confirmed fraud);
- Financial restructuring or modification of terms due to emerging financial distress;
- Deterioration in the borrower's financial condition impairing debt-servicing capacity;
- Adverse developments in the borrower's industry or macroeconomic environment;
- Sovereign or country risk downgrades;
- Significant reductions in profitability, revenue, or market capitalisation (for listed entities); and
- Placement on internal watchlists or other early warning signals.

For exposures regularised from Stage 3, a mandatory cooling-off period of six months is enforced during which the account remains in Stage 3 to ensure consistent and improved repayment behaviour. Following this period, the exposure is reclassified to Stage 2 for an additional three-month monitoring phase before any further upgrades are considered.

Stage 2 exposures are subject to quarterly reassessment. An upgrade to Stage 1 is permitted only when the borrower demonstrates a sustained improvement in credit quality, including a minimum of six consecutive months of timely repayments and the resolution of all SICR indicators.

This conservative staging approach ensures that upgrades are sustained in observed performance, in alignment with the Group's and the Bank's prudent risk management principles and IFRS 9 expectations.

The SICR framework is subject to regular oversight by the Risk Management function, management committees, sub-committees to the Board and the Board of Directors, to ensure continued alignment with evolving regulatory requirements, internal risk appetite, and macroeconomic conditions.

Modification and derecognition of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g., a change to the increase in the interest rate that arises when covenants are breached).

Restructured loan is defined as a loan whose underlying terms and conditions have been reviewed and which constitutes a concession granted to a borrower for economic or legal reasons related to his financial condition. Restructured facilities remain classified as impaired if when, in the aggregate, the period of time the loan is in arrears before restructuring and after restructuring is 90 days or more. A facility that has been classified as impaired shall continue to be classified as impaired until repayments have been received by the financial institution, in amount and in such stipulated time, for a continuous period of six months, strictly in accordance with the terms and conditions of the restructured loan. If the facility is restructured more than once it shall continue to be classified as impaired until repayments have been received by the financial institution, in amount and in such stipulated time, for a continuous period of nine months, at a minimum, strictly in accordance with the terms and conditions of the restructured loan.

Modification to loan contract other than restructuring are done through derecognition of existing loan and accounting for a new loan contract at amortised cost.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Modification and derecognition of financial assets (continued)

The Group and the Bank renegotiate loans to customers in financial difficulty to maximise collection and minimise the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default or default has already happened and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness), change in interest rates and amendments to covenants. The Bank has a forbearance policy in place to cater for requests for restructuring of debts. When a financial asset is modified, the Group and the Bank assess whether this modification results in derecognition. In accordance with the Group's and the Bank's policy, a modification results in derecognition when it gives rise to substantially different terms. To determine if the modified terms are substantially different from the original contractual terms, the Group and the Bank consider the following:

- Qualitative factors, such as contractual cash flows after modification are no longer SPPI, change in currency or when rights to cash flows between the original counterparties expire because a new debtor replaces the original debtor (unless both debtors are under common control), the extent of change in interest rates, and maturity. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original EIR. If the difference in present value is greater than 10% the Group deems the arrangement is substantially different leading to derecognition. When performing a quantitative assessment of a modification or renegotiation of a credit-impaired financial asset or a purchased or originated credit-impaired financial asset that was subject to a write-off, the Group and the Bank consider the expected (rather than the contractual) cash flows before modification or renegotiation and compares those with the contractual cash flows after modification or renegotiation.

When performing a quantitative assessment of a modification or renegotiation of a credit-impaired financial asset or a purchased or originated credit-impaired financial asset that was subject to a write-off, the entity considers the expected (rather than the contractual) cash flows before modification or renegotiation and compares those with the contractual cash flows after modification or renegotiation. In the case where the financial asset is derecognized, the loss allowance for ECL is remeasured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised par amount because there remains a high risk of default which has not been reduced by the modification. The Group and the Bank monitor credit risk of modified financial assets by evaluating qualitative and quantitative information, as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the entity determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- the remaining lifetime PD estimated based on data at initial recognition and the original contractual terms; with
- the remaining lifetime PD at the reporting date based on the modified terms.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Modification and derecognition of financial assets (continued)

For financial assets modified as part of the forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the ability to collect the modified cash flows taking into account the previous experience of similar forbearance action, as well as various behavioural indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. If a forborne loan is credit impaired due to the existence of evidence of credit impairment (see above), the Group and the Bank perform an ongoing assessment to ascertain if the problems of the exposure are cured, to determine if the loan is no longer credit-impaired. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behaviour following modification leading to a reversal of the previous SICR. Where a modification does not lead to derecognition, the Group and the Bank calculate the modification loss by comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Modification losses for financial assets are included in the profit or loss account. Then the Group and the Bank measure ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in calculating the expected cash shortfalls from the original asset.

The Group and the Bank derecognise a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity.

If the Group and the Bank neither transfer nor retain substantially all the risks and rewards of ownership and continue to control the transferred asset, the Group and the Bank recognise their retained interest in the asset and an associated liability for amounts it may have to pay. If the Group and the Bank retain substantially all the risks and rewards of ownership of a transferred financial asset, the Group and the Bank continue to recognise the financial asset and also recognise a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognised in OCI and accumulated in equity is recognised in profit or loss, with the exception of equity investment designated as measured at FVTOCI, where the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss. On derecognition of a financial asset other than in its entirety (e.g., when the Group and the Bank retain an option to repurchase part of a transferred asset), the Group and the Bank allocate the previous carrying amount of the financial asset between the part it continues to recognise under continuing involvement, and the part it no longer recognises on the basis of the relative fair values of those parts on the date of the transfer.

The difference between the carrying amount allocated to the part that is no longer recognised and the sum of the consideration received for the part no longer recognised and any cumulative gain/loss allocated to it that had been recognised in OCI is recognised in profit or loss. A cumulative gain/loss that had been recognised in OCI is allocated between the part that continues to be recognised and the part that is no longer recognised on the basis of the relative fair values of those parts. This does not apply for equity investments designated as measured at FVTOCI, as the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Write-off

Loans and debt securities are written off when the Group and the Bank have no reasonable expectations of recovering the financial asset (either in its entirety or a portion of it). This is the case when the Group and the Bank determine that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. The bank may write off financial assets partially that are still subject to enforcement actions and efforts to recover the debts and have not yet been concluded where bank's recovery action is foreclosing on collateral and the value of collateral is such that there is no reasonable expectation for full recovery. Write–off requirements in IFRS 9 are considered at each reporting date and are not delayed until some arbitrary past due date has been reached.

A write-off constitutes a derecognition event. The Group and the Bank may apply enforcement activities to financial assets written off. Recoveries resulting from the Group's and the Bank's enforcement activities will result in impairment gains, which will be presented in 'net impairment loss on financial assets' in the statements of profit or loss.

Presentation of allowance for ECL in the statements of financial position

Loss allowances for ECLs are presented in the statements of financial position as follows:

- for financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- for debt instruments measured at FVTOCI: no loss allowance is recognised in the statements of financial position as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the fair value reserve;
- for loan commitments and financial guarantee contracts: as a provision; and
- where a financial instrument includes both a drawn and an undrawn component, and the entity cannot identify the ECL on the loan commitment component separately from those on the drawn component: the entity presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group and the Bank are recognised at the proceeds received, net of direct issue costs. Repurchase of the Group's and the Bank's own equity instruments is recognised and deducted directly in equity. No gain/loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Group's and the Bank's own equity instruments. Ordinary shares are classified as equity. The Bank's Class A shares are classified as equity as they are callable at the option of the Bank. These shares carry non-cumulative dividends which are payable at the discretion of the Board. Incremental costs directly attributable to the issue of ordinary shares, net of any tax effects, are recognised as a deduction from equity.

Financial liabilities

Financial liabilities include deposits from banks, deposits from customers, due to banks, debts issued and other liabilities and are initially measured at fair value, net of transaction costs. These financial liabilities are subsequently measured at amortised cost using the effective interest method. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(e) Financial instruments (continued)

Financial liabilities measured at FVTPL

Financial liabilities are classified as at FVTPL when the financial liability is (i) held for trading, or (ii) it is designated as at FVTPL. The Group has financial liabilities held for trading which are measured at FVTPL. A financial liability is classified as held for trading if:

- it has been incurred principally for the purpose of repurchasing it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

Financial liabilities at FVTPL are stated at fair value, with any gains/losses arising on remeasurement recognised in profit or loss. The net gain/loss recognised in profit or loss incorporates any interest paid on the financial liability.

Derecognition and modification of financial liabilities

The Group and the Bank derecognise financial liabilities when, and only when, the Group's and the Bank's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss. When the entity exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the entity accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. To determine if the modified terms of a liability are substantially different to the original terms a similar process with modification of financial assets is followed. The modification is assessed at first on a qualitative basis, factors such as a change in currency or the introduction of a non-closely related embedded derivative that significantly modifies the cash flows are regarded as substantially different. If it is not clear from the qualitative assessment that a modification has resulted in a substantial change in a financial liability, a quantitative assessment is applied. It is assumed that the terms of the financial liability are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate is at least 10 per cent different from the discounted present value of the remaining cash flows of the original financial liability.

If the modification is not substantial, the Group and the Bank recalculate the amortised cost of the modified financial liability by discounting the modified contractual cash flows using the original EIR. The Group and the Bank recognise any adjustment to the amortised cost of the financial liability in profit or loss as income or expense at the date of the modification. The financial liability modification gain/loss is not significant for the Group and the Bank. Modification gains are presented in 'other operating income' and modification losses are presented in 'other operating expenses' in profit or loss.

(f) Derivative financial instruments

The Group and the Bank enter into a variety of derivative financial instruments some of which are held for trading while others are held to manage its exposure to interest rate risk; credit risk; and foreign exchange rate risk. Derivative held include forward contracts, spot position, swaps, foreign exchange option contracts, cross currency interest rate swap and interest rate swaps and structured deposits. Derivatives are initially recognised at fair value at the date a derivative contract is entered into and are subsequently remeasured to their fair value at each reporting date. The resulting gain or loss is recognised in profit or loss. A derivative with a positive fair value is recognised as a financial asset whereas a derivative with a negative fair value is recognised as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than 12 months and it is not expected to be realised or settled within 12 months. Other derivatives are presented as current assets or current liabilities.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(g) Equity reserves

The reserves recorded in equity on the statements of financial position include:

- 'Fair value reserve' relates to the gain or loss arising from changes in the fair value of equity and debt instruments measured at FVTOCI;
- 'Statutory reserve' which represents 15% of the net profit transferred in accordance with the Banking Act 2004 until the amount equals the stated capital of the Group and the Bank;
- 'General banking reserve' which comprises amounts set aside for general banking risks including country risk; and
- 'Provision reserve' which represents the incremental regulatory provision required by the prudential guidelines whereby provisioning as per IFRS 9 requirements is lower than the minimum portfolio provision. The appropriation of reserves is performed in accordance with the requirements of the Bank of Mauritius revised Guideline on Classification, Provisioning and Write-off of Credit Exposures (2024) (previously: the Bank of Mauritius Guideline on 'Credit Impairment Measurement and Income Recognition (2016)' and 'Additional Macroprudential Measures for the Banking Sector (2015).

(h) Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the statements of financial position.

Income and expense will not be offset in the statements of profit or loss and other comprehensive income unless required or permitted by any accounting standard or interpretation, as specifically disclosed in the accounting policies.

(i) Dividend payable

Dividends on ordinary shares and Class A shares are recognised as a liability and deducted from equity when they are approved by the Bank's directors and the Bank of Mauritius. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

(j) Fair value measurement

The Group and the Bank measure financial instruments, such as derivatives, financial assets held for trading and equity investments, at fair value at each reporting date. Also, fair values of financial instruments measured at amortised cost are disclosed in Note 32 (b).

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group and the Bank.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group and the Bank use valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. Please refer to note 32 (a) for more details on the fair value hierarchy used by the Group and the Bank.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(k) Fair value measurement (continued)

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group and the Bank determine whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group and the Bank have determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy. An analysis of fair values of financial instruments and further details as to how they are measured is provided in Note 32 (a).

(l) Property and equipment

Property and equipment are stated at cost excluding the costs of day-to-day servicing, less subsequent accumulated depreciation and subsequent accumulated impairment in value. Depreciation is calculated using the straight-line method to write down the cost of property and equipment to their residual values over their estimated useful lives. An item of property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Residual values and useful lives are reviewed at least at each financial year end and are as follows:

	Rate
Renovations and improvement to buildings	10%
Furniture and fittings	10% - 20%
Office equipment	10% - 20%
Motor vehicles	14.29% - 20%
Computer equipment	25% - 33.33%

(m) Intangible assets (excluding goodwill)

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives and are as follows:

	Rate
Computer software	25%
Banking software	14.29%
Customer relation	13% - 20%
Cards Related Assets	33.33%

(n) Leases

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. The Group and the Bank's lease terms generally range from 2 to 10 years. The major leases relate to buildings, used for office premises.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(o) Impairment of non-financial assets

The Group and the Bank assess at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group and the Bank estimate the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.
For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group and the Bank estimate the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

(p) Provisions and other contingent liabilities

Provisions are recognised when the Group and the Bank have a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in profit or loss net of any reimbursement.

The Group and the Bank operate in a regulatory and legal environment that, by nature, has a heightened element of litigation risk inherent to its operations. As a result, they are involved in various litigation, arbitration and regulatory investigations and proceedings both in local and in other jurisdictions, arising in the ordinary course of the Group's and the Bank's business. When the Group and Bank can reliably measure the outflow of economic benefits in relation to a specific case and considers such outflows to be probable, the Group and the Bank record a provision against the case. Where the probability of outflow is considered to be remote, or probable, but a reliable estimate cannot be made, a contingent liability is disclosed. However, when the Group and the Bank are of the opinion that disclosing these estimates on a case-by-case basis would prejudice their outcome, then the Group and the Bank do not include detailed, case-specific disclosures in their financial statements. Given the subjectivity and uncertainty of determining the probability and amount of losses, the Group and the Bank take into account a number of factors including legal advice, the stage of the matter and historical evidence from similar incidents. Significant judgement is required to conclude on these estimates.

(q) Pension benefits

The Group and the Bank operate a defined contribution pension plan. The contribution payable to the defined contribution plan is in proportion to the services rendered to the Group and the Bank by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(q) Pension benefits (continued)

The present value of retirement gratuities under The Workers' Rights Act 2019 is recognised in the statements of financial position as a liability. Re-measurement, comprising actuarial gains and losses, is reflected immediately in the statements of financial position with a charge or credit recognised in other comprehensive income in the period in which they occur. Re-measurement recognised in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to profit or loss. Past service cost is recognised in profit or loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset.

Defined contribution costs are categorised as follows:

- Service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements)
- Net interest expense or income
- Remeasurement

The Group and the Bank present the first two components of defined contribution costs in profit or loss in the line item personnel expenses. Curtailment gains and losses are accounted for as past service costs.

State plan Contributions to the National Pension Scheme are expensed to profit or loss in the period in which they fall due.

(r) Taxation

(i) Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Current tax also includes any tax arising from dividends. The Bank is subject to the Advance Payment System (APS) whereby it pays income tax on a quarterly basis. A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

(ii) Deferred Tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences,

- except where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- in respect of taxable temporary differences associated with investments in subsidiary, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(s) Taxation (continued)

(ii) Deferred Tax (continued)

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- in respect of deductible temporary differences associated with investments in subsidiary, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(iii) Corporate Social Responsibility

The Corporate Social Responsibility ('CSR') was legislated by the Government of Mauritius in July 2009. In terms of the legislation, the Bank is required to allocate a percentage of its chargeable income of the preceding financial year under Segment A. The required CSR fund for the year is recognised in tax expense in the statements of profit or loss and other comprehensive income. The net amount of CSR fund payable to the taxation authority is included in current tax liabilities in the statements of financial position.

(iv) Special Levy

The Bank is liable to pay a special levy as a percentage of its leviable income from residents, other than companies holding a Global Business Licence (GBLs) under the Financial Services Act. The special levy expense for the year is recognised in tax expense in the statements of profit or loss and other comprehensive income. The amount of Special Levy payable to the taxation authority is included in current tax liabilities in the statements of financial position.

(v) Corporate Climate Responsibility Levy

The Finance (Miscellaneous Provisions) Act 2024 which was gazetted on 27 July 2024, introduced a new Corporate Climate Responsibility Levy whereby the Bank is required to allocate a percentage of its chargeable income of the current financial year under both Segments. The required CCR Levy is recognised in tax expense in the statements of profit or loss and other comprehensive income. The amount of CCR Levy payable to the taxation authority is included in current tax liabilities in the statements of financial position.

3A. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

(t) Reverse repurchase agreements

Reverse repurchase agreements ("reverse repos") refers to a collateral type of money market transaction in which cash is placed/lent in exchange for collateral, which may be in the form of money market securities or bonds, usually government issued. These are included in amount due from banks in the statement of financial position. The income under this structure is accrued over the life time of the agreements using the effective interest method.

3B. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of financial statements in accordance with IFRS accounting standards requires the directors and management to exercise judgement in the process of applying the accounting policies. It also requires the use of accounting estimates and assumptions that may affect the reported amounts and disclosures in the consolidated and separate financial statements. Judgements and estimates are continuously evaluated and re based on historical experience and other factors, including expectations and assumptions concerning future events that are believed to be reasonable under the circumstances. The actual results could, by definition therefore, often differ from related accounting estimates.

Where applicable, the notes to the financial statements set out areas where management has applied a higher degree of judgement that have a significant effect on the amounts recognised in the financial statements, or estimations and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Judgements

Going concern

Directors have made an assessment of the Group's and the Bank's ability to continue as a going concern and are satisfied that the Group and the Bank have the resources to continue in business for the foreseeable future. Furthermore, directors are not aware of any material uncertainties that may cast significant doubt upon the Group's and the Bank's ability to continue as a going concern. Hence, the financial statements continue to be prepared on the going concern basis.

Determination of functional currency

The determination of the functional currency of the Group and the Bank is critical since the way in which every transaction is recorded and whether exchange differences arise are dependent on the functional currency selected. The directors have considered those factors therein and have determined the functional currency of the Group and Bank as Mauritian Rupees (MUR).

Deferred tax assets

Recognition of deferred tax assets depends on management's intention of the Group and the Bank to generate future taxable profits which will be used against temporary differences and to obtain tax benefits thereon. The outcome of their actual utilisation may be different.

3B. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONTINUED)

Judgements (continued)

Business model assessment

Classification and measurement of financial assets depend on the results of the SPPI and the business model test. The Group and the Bank determine the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgement reflecting all relevant evidence including how the performance of the assets is evaluated and their performance is measured, the risks that affect the performance of the assets and how these are managed and how the manager of the assets are compensated.

For financial assets whereby, the cash flows under the contract vary depending on certain metric or measure, such as sustainability-linked loans which depending on certain ESG metric, these are assessed on a case-by-case basis to determine if they satisfy the SPPI and business model test. These are determined to have passed the SPPI test if the variation in the interest rate reflects a change in the instrument's credit risk, and whereby the change in the interest rate is commensurate with the change in the credit risk of that instrument. Based on the size of the portfolio of these products held by the Bank at 30 June 2025 and 30 June 2024, the impact of the ESG features was assessed to be immaterial.

Calculation of ECL allowance

- Significant increase of credit risk: ECL are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a SICR. In assessing whether the credit risk of an asset has significantly increased the Group and the Bank consider qualitative and quantitative reasonable and supportable forward-looking information.

- Establishing groups of assets with similar credit risk characteristics: When ECLs are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics. Refer to Note 3 for details of the characteristics considered in this judgement. The Group and the Bank monitor the appropriateness of the credit risk characteristics on an ongoing basis to assess whether they continue to be similar. This is required in order to ensure that should credit risk characteristics change there is appropriate re-segmentation of the assets. This may result in new portfolios being created or assets moving to an existing portfolio that better reflects the similar credit risk characteristics of that group of assets. Re-segmentation of portfolios and movement between portfolios is more common when there is a SICR (or when that significant increase reverses) and so assets move from 12-month to lifetime ECLs, or vice versa, but it can also occur within portfolios that continue to be measured on the same basis of 12-month or lifetime ECLs but the amount of ECL changes because the credit risk of the portfolios differs.

- Models and assumptions used: The Group and the Bank use various models and assumptions in measuring fair value of financial assets as well as in estimating ECL. The Bank makes use of a series of macroeconomic regression models to predict the default rates. The predicted default rates are then used to calculate a forward-looking macroeconomic regression scalar, which is then used to calculate the point-in-time PDs. Historical external and internal data is sourced and incorporated into the ECL models, which are refreshed periodically to ensure recalibration with the latest forward-looking information.

3B. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONTINUED)

Estimates and assumptions

Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the statements of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The input to these models is taken from observable market data where possible, but where observable data is not available, a degree of judgement is required in establishing fair values. The judgements include considerations of liquidity and model inputs such as correlation and volatility for longer dated derivatives.

Useful lives of property and equipment and intangible assets

The Group and the Bank review the estimated useful lives of property and equipment and intangible assets at the end of each reporting period. The cost of the property and equipment and intangible assets are depreciated and amortised over the estimated useful life of the asset. The estimated life is based on expected usage of the asset and expected physical wear and tear which depends on operational factors.

Provision for retirement benefit

Retirement benefit obligation has been valued by Actuary on accounting estimates and as per provision of the Workers' Rights Act 2019. Management considers that they have used their best estimates to value the retirement benefit obligation provisions. Actual results may be different from their estimates.

Provisions and other contingent liabilities

Provision is recognised in the financial statements when the Group and the Bank have met the recognition criterion. The directors measure the provision at the best estimate of the amount required to settle the obligation at the reporting date. Actual results may be different from their estimates. In specific circumstances, significant judgement is required from directors to identify the financial effects to be disclosed attributable to the uncertainties inherent in contingent liabilities.

Leases - Estimating the incremental borrowing rate

The Group and the Bank cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group and the Bank would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group and the Bank 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease.

The Group and the Bank estimates the IBR using observable inputs (such as market interest rates) when available.

Impairment losses on financial assets

The measurement of impairment losses under IFRS 9 across all categories of financial assets in scope requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a SICR. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

3B. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONTINUED)

Estimates and assumptions (continued)

Impairment losses on financial assets (continued)

The Group's and the Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered as a combination of using accounting judgements, quantitative methodologies based on historical and forward-looking data and estimates includes:

- The Group's and the Bank's credit grading model, which assigns PDs to the individual grades. Refer to Note 37(b).
- The Group's and the Bank's criteria for assessing if there has been a SICR and so allowances for financial assets should be measured on a lifetime basis and the qualitative assessment.
- Consideration of specific obligors' probability of failing to repay their obligations in response to changes in forward-looking information.
- Development of ECL models, including the various formulas and the choice of model parameters.
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels, GDP growth, inflation rates, CPI and collateral values, and their relative effect on PD, EAD and LGD.
- Choice of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.
- Sectorial adjustment incorporated in the PD estimates, reflecting Management's view of the health and prospects of the different economic sectors of the local economy.

The Bank incorporates forward looking information ("FLI") that is available without undue cost and effort in its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and in its measurement of ECL.

For both Corporate and Retail portfolios, the long-run average PDs are adjusted into forward-looking point-in-time PD via regression models to adequately reflect underlying market and macroeconomic conditions. These models were developed by considering both the Bank's historical experience on its portfolios, as well as external information.

It has been the Group's and the Bank's policy to regularly review its models in light of actual loss experience and make adjustments where necessary. For the year ended 30 June 2025, the ECL model review included updates to both external and internal historical data, as well as incorporating the latest available macroeconomic data in the regression models.

- Update in the Corporate PD FLI model

A macroeconomic regression model has been developed to calculate the forward-looking adjustment to convert the TTC PDs to PiT PDs, replacing the CDS methodology previously used by the Bank in order to enhance the robustness of the ECL estimates. The forward-looking adjustments are calculated for the respective country groups (i.e., Africa, Asia, Europe, Mauritius, United States and Global), based on the GDP forecasts for the respective country or region.

The Bank has considered three economic scenarios (baseline, upside, downside) and forward-looking adjustment are calculated by scenario and are probability weighted in the final ECL estimate.

The impact of the change in the ECL model resulted in an increase of MUR 94.0m in the impairment figures for the year ended 30 June 2024. There has been no changes in these estimates in the current year ended 30 June 2025.

4. NET INTEREST INCOME

4(a) INTEREST INCOME

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Interest income on financial instruments measured at amortised cost:						
- Due from banks (includes cash and balances with banks)	**2,555,019**	2,514,186	2,109,307	**2,555,019**	2,514,186	2,109,307
- Placements with the Central Bank	**98,747**	120,382	19,614	**98,747**	120,382	19,614
- Loans and advances to banks	**1,055,404**	923,446	672,617	**1,055,404**	923,446	672,617
- Loans and advances to customers	**3,528,699**	3,053,218	1,854,536	**3,528,699**	3,053,218	1,854,536
- Investment securities	**5,020,161**	4,791,186	2,636,852	**5,020,161**	4,791,186	2,636,852
Total interest income calculated using EIR	**12,258,030**	11,402,418	7,292,926	**12,258,030**	11,402,418	7,292,926

4(b) INTEREST EXPENSE

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Interest expense on financial instruments measured at amortised cost:						
- Due to banks	**2,648**	7,459	26,509	**2,648**	7,459	26,509
- Deposits from banks	**14,235**	21,891	23,067	**14,235**	21,891	23,067
- Deposits from customers	**5,022,050**	4,226,075	1,527,001	**5,022,050**	4,226,075	1,527,001
- Lease liabilities	**8,137**	2,600	4,167	**8,137**	2,600	4,167
Total interest expense	**5,047,070**	4,258,025	1,580,744	**5,047,070**	4,258,025	1,580,744
NET INTEREST INCOME	**7,210,960**	7,144,393	5,712,182	**7,210,960**	7,144,393	5,712,182

Interest expense is calculated using the Effective Interest Rate (EIR) with the exception for interest arising on lease liabilities.

5. NET FEE AND COMMISSION INCOME

5(a) FEE AND COMMISSION INCOME

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Commission income	**861,895**	772,193	710,964	**861,895**	772,193	710,964
Fee income	**81,340**	87,469	82,389	**81,340**	87,469	82,389
Card income	**243,741**	199,937	171,617	**243,741**	199,937	171,617
Custody fees income	**233,387**	217,837	179,516	**233,387**	217,837	179,516
Others	**150,689**	135,375	96,529	**150,689**	135,375	96,529
Total fee and commission income	**1,571,052**	1,412,811	1,241,015	**1,571,052**	1,412,811	1,241,015

5(b) FEE AND COMMISSION EXPENSE

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Commission paid to other banks	**218,034**	197,693	178,580	**218,034**	197,693	178,580
Card expense	**175,862**	151,264	136,652	**175,862**	151,264	136,652
Custody fees expense	**86,065**	74,213	56,061	**86,065**	74,212	56,060
Retrocession fees	**40,367**	44,009	26,307	**40,367**	44,009	26,307
Others	**1,480**	9,361	789	**1,480**	9,361	789
Total fee and commission expense	**521,808**	476,540	398,389	**521,808**	476,539	398,388
NET FEE AND COMMISSION INCOME	**1,049,244**	936,271	842,626	**1,049,244**	936,272	842,627

All fees are recognised at a point in time.

6. NET TRADING INCOME

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Net gain on debt instruments measured at fair value through profit or loss	**239,328**	687,567	295,200	**239,328**	687,567	295,200
(Loss)/gain on other derivatives held for trading	**(36,389)**	33,506	30,851	**(36,389)**	33,506	30,851
Gain on foreign exchange	**1,896,382**	1,108,918	1,163,454	**1,896,390**	1,108,913	1,163,451
	2,099,321	1,829,991	1,489,505	**2,099,329**	1,829,986	1,489,502

Net gain on debt instruments measured at fair value through profit or loss includes exchange losses of MUR 321.3m (Exchange gains for 2024: MUR 211.6m and 2023: MUR 50.4m) and interest income of MUR 466.5m (2024: MUR 405.9m and 2023: MUR 236.4m).

7(a) OTHER (LOSSES)/GAINS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Fair value (loss)/gain on equity investment measured at fair value through profit or loss	**(874)**	1,187	391
	(874)	1,187	391

7(b) OTHER OPERATING INCOME

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Transaction and other related fees	**658**	4,069	629
	658	4,069	629

8. NET IMPAIRMENT LOSS/(CREDIT) ON FINANCIAL ASSETS

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Net allowance for impairment loss/(credit) on:						
Cash and balances with banks (Note 13)	**265**	(119)	1,169	**265**	(119)	1,169
Due from banks (Note 14)	**784**	(13,385)	9,545	**784**	(13,385)	9,545
Loans and advances to banks (Note 16(a))	**(19,440)**	8,071	10,808	**(19,440)**	8,071	10,808
Loans and advances to customers (Note 16(b))	**388,787**	6,066	(215,738)	**388,787**	6,066	(215,738)
Debt instruments measured at amortised cost (Note 17(b))	**6,830**	6,043	16,968	**6,830**	6,043	16,968
Financial guarantee contracts and loan commitments (Note 37(b))	**27,610**	4,881	32,351	**27,610**	4,881	32,351
Other receivables (Note 22)	**-**	19,044	-	**-**	19,044	-
	404,836	30,601	(144,897)	**404,836**	30,601	(144,897)
Bad debts recovered	**(1,558)**	(79,916)	(98,748)	**(1,558)**	(79,916)	(98,748)
	403,278	(49,315)	(243,645)	**403,278**	(49,315)	(243,645)

9. PERSONNEL EXPENSES

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Salaries	**605,179**	501,789	427,839	**605,179**	501,789	427,839
Staff benefits	**510,341**	445,333	462,881	**510,341**	445,333	462,881
Employee benefit (Note 30)	**(18,353)**	(24,098)	35,410	**(18,353)**	(24,098)	35,410
Pension cost - defined contribution scheme	**255,724**	36,836	30,812	**255,724**	36,836	30,812
Training expenses	**8,917**	8,400	2,133	**8,917**	8,400	2,133
	1,361,808	968,260	959,075	**1,361,808**	968,260	959,075

10. OTHER OPERATING EXPENSES

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Advertising and marketing expenses	**119,231**	93,999	74,210	**119,231**	93,999	74,210
Administrative expenses	**591,307**	530,880	401,030	**591,300**	530,870	401,021
Equipment and intangibles written off	**-**	82,688	4,125	**-**	82,688	4,125
Professional and legal costs	**54,746**	(83,531)	76,149	**54,277**	(83,941)	75,756
	765,284	624,036	555,514	**764,808**	623,616	555,112

Administrative expenses for the year ended 30 June 2025 include short-term lease costs of MUR 38.5m (2024: MUR 16.7m and 2023: Nil) and MUR 20m incurred during the research phase of an internal project. In 2024, a provision of MUR 33.3m was recognised for the initial contribution to the Mauritius Deposit Insurance Scheme; no such provision was made in 2025 or 2023.

Included in Professional and legal costs are reversal of legal provision in the current year and last year. Refer to Note 27 for more details.

11. TAXATION

The Bank is subject to income tax at the rate of 5% for chargeable income up to MUR 1.5bn and chargeable income exceeding MUR 1.5bn is taxed at the rate of 15%.

Taxable income	Rate of income tax
Up to MUR 1.5bn	5%
Exceeding MUR 1.5bn	15%

Income tax of the subsidiaries is calculated at the rate of 15% (2024 and 2023: 15%)

Corporate Social Responsibility fund

The Corporate Social Responsibility ('CSR') was legislated by the Government of Mauritius in July 2009. In terms of the legislation, the Bank is required to allocate 2% on Resident (excluding companies holding a Global Business Licence) of the preceding financial year to Government-approved CSR projects. Where the amount paid out of the CSR fund is less than the amount provided under the fund, the difference shall be remitted to the Mauritius Revenue Authority at the time of submission of the income tax return for the year under review.

Special levy

Special levy on banks is governed under the Value Added Tax (VAT) Act. As per the VAT Act, leviable income relates to banking transactions of Resident (excluding companies holding a Global Business Licence) and is defined as the sum of net interest income and other income before deduction of expenses.

For the financial year ended 30 June 2023, the special levy was computed based on the lower of the following:
-1.5 times levy payable in the base year (year of assessment 2017/2018); or
-5.5% where leviable income did not exceed MUR 1.2bn and 4.5% if leviable income exceeded MUR 1.2bn.

For the financial years ended 30 June 2024 and 2025, the special levy is calculated as the lower of:
-5.5% of the leviable income; or
-1.5 times the special levy amount of the base year (year of assessment 2017/2018).

Deferred tax

The deferred tax asset is computed at the effective tax rate (inclusive of 2% for CSR and 2% for CCR Levy) representing the rate at which the asset will be utilised in future years.

Corporate Climate Responsibility ("CCR") Levy

The Finance (Miscellaneous Provisions) Act 2024 which was gazetted on 27 July 2024, introduced CCR Levy whereby the Bank is required to allocate 2% of its chargeable income of the current financial year. The CCR Levy is applicable as from the year of assessment 2024/2025 and applies to companies with an annual turnover exceeding MUR 50m. Given its retrospective application, the Bank recognised an under provision of MUR 163.7m for income tax and MUR 41.8m for deferred tax in the current financial year.

11(a) Statements of financial position

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
At 1 July	**522,721**	821,973	182,700	**522,721**	821,973	182,700
Current income tax	**1,034,343**	1,077,369	801,769	**1,034,343**	1,077,369	801,769
CSR expense	**43,320**	37,443	19,076	**43,320**	37,443	19,076
Special levy	**98,049**	98,049	98,049	**98,049**	98,049	98,049
Corporate Climate Responsibility Levy	**157,912**	-	-	**157,912**	-	-
Under/(over) provision in income tax in prior years	**39**	(267)	(7,225)	**39**	(267)	(7,225)
Under provision in CCR levy in prior years	**163,654**	-	-	**163,654**	-	-
Tax payments	**(1,588,625)**	(1,511,846)	(272,396)	**(1,588,625)**	(1,511,846)	(272,396)
Current tax liabilities	**431,413**	522,721	821,973	**431,413**	522,721	821,973

For the financial year ended 30 June 2024, tax payments reported in the Statement of Cash Flows are net of tax refunds amounting to MUR'000 12,791 and tax payments of MUR'000 1,897 made for assessments in financial year ended 30 June 2024, for which no tax asset or provision was previously accounted for.
For the financial year ended 30 June 2023, tax payments reported in the Statement of Cash Flows included Tax Deducted at Source (TDS) of MUR'000 42, which was claimed during that year.

11. TAXATION (CONTINUED)

11(b) Statements of profit or loss and other comprehensive income

The components of income tax expense for the years ended 30 June 2025, 2024 and 2023 are as follows:

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Current income tax	**1,034,343**	1,077,369	801,769	**1,034,343**	1,077,369	801,769
CSR expense	**43,320**	37,443	19,076	**43,320**	37,443	19,076
Special levy	**98,049**	98,049	98,049	**98,049**	98,049	98,049
Corporate Climate Responsibility levy	**157,912**	-	-	**157,912**	-	-
Under/(over) provision in income tax in prior years	**39**	(267)	(7,225)	**39**	(267)	(7,225)
Under provision in CCR levy in prior years	**163,654**	-	-	**163,654**	-	-
Under provision in deferred tax in prior years for CCR levy	**(41,806)**	-	-	**(41,806)**	-	-
Amount paid under tax assessment review	**-**	1,897	-	**-**	1,897	-
Withholding tax	**-**	-	1,135	**-**	-	1,135
Mauritius Revenue Authority refund	**-**	(12,791)	-	**-**	(12,791)	-
Deferred tax movement (Note 11(d))	**(36,993)**	(281)	(141,388)	**(36,993)**	(281)	(141,388)
Tax expense	**1,418,518**	1,201,419	771,416	**1,418,518**	1,201,419	771,416

11(c) Reconciliation of the total tax expense

A reconciliation between the tax expense and the accounting profit multiplied by the applicable tax rate for the years ended 30 June 2025, 2024 and 2023 is as follows:

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Accounting profit before tax	**7,732,069**	8,225,944	6,649,986	**7,732,553**	8,226,360	6,650,386
Tax on accounting profit at applicable tax rates	**1,343,645**	1,241,896	934,777	**1,343,645**	1,241,896	934,777
Under provision in deferred tax in prior years	**(41,806)**	-	-	**(41,806)**	-	-
Under/(over) provision in income tax in prior years	**39**	(267)	(7,225)	**39**	(267)	(7,225)
Under provision in CCR levy in prior years	**163,654**	-	-	**163,654**	-	-
Amount paid under tax assessment review	**-**	1,897	-	**-**	1,897	-
Non deductible expenses	**8,574**	19,675	7,535	**8,574**	19,675	7,535
Non taxable income	**(9,696)**	(4,627)	(16,890)	**(9,696)**	(4,627)	(16,890)
Withholding tax	**-**	-	1,135	**-**	-	1,135
Mauritius Revenue Authority refund	**-**	(12,791)	-	**-**	(12,791)	-
CSR adjustment	**10,863**	(5,876)	(18,366)	**10,863**	(5,876)	(18,366)
Tax rate differential	**(154,804)**	(136,537)	(227,599)	**(154,804)**	(136,537)	(227,599)
Special levy	**98,049**	98,049	98,049	**98,049**	98,049	98,049
Tax expense	**1,418,518**	1,201,419	771,416	**1,418,518**	1,201,419	771,416

11(d) Deferred tax

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
At 1 July	**(294,219)**	(280,787)	(140,092)	**(294,219)**	(280,787)	(140,092)
Charge to profit or loss:						
Under provision in deferred tax in prior years	**(41,806)**	-	-	**(41,806)**	-	-
Movement for the year	**(36,993)**	(281)	(141,388)	**(36,993)**	(281)	(141,388)
Charge to other comprehensive income:						
Under provision in deferred tax in prior years	**(1,797)**	-	-	**(1,797)**	-	-
Movement for the year	**(5,137)**	(13,151)	693	**(5,137)**	(13,151)	693
At 30 June	**(379,952)**	(294,219)	(280,787)	**(379,952)**	(294,219)	(280,787)

11. TAXATION (CONTINUED)

11(d) Deferred tax (continued)

THE GROUP	At 1 July 2022	Charge/(credit) to profit or loss	Charge to OCI	At 30 June 2023	(Credit)/charge to profit or loss	Charge to OCI	At 30 June 2024	**(Credit)/charge to profit or loss**	**Credit to OCI**	**At 30 June 2025**
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**
Deferred tax assets										
Impairment loss on loans and advances to banks and customers	(134,936)	(114,304)	-	(249,240)	(15,753)	-	(264,993)	**(104,131)**	**-**	**(369,124)**
Impairment loss on other financial assets	(410)	(10,923)	-	(11,333)	(411)	-	(11,744)	**(8,345)**	**-**	**(20,089)**
Employee benefits	(4,697)	(10,062)	693	(14,066)	1,804	(13,151)	(25,413)	**(350)**	**(6,934)**	**(32,697)**
Provision	(13,246)	(19,988)	-	(33,234)	18,453	-	(14,781)	**4,889**	**-**	**(9,892)**
	(153,289)	(155,277)	693	(307,873)	4,093	(13,151)	(316,931)	**(107,937)**	**(6,934)**	**(431,802)**
Deferred tax liability										
Accelerated capital allowances	13,197	13,889	-	27,086	(4,374)	-	22,712	**29,138**	**-**	**51,850**
Net deferred tax assets	(140,092)	(141,388)	693	(280,787)	(281)	(13,151)	(294,219)	**(78,799)**	**(6,934)**	**(379,952)**

THE BANK	At 1 July 2022	Charge/(credit) to profit or loss	Charge to OCI	At 30 June 2023	(Credit)/charge to profit or loss	Charge to OCI	At 30 June 2024	**(Credit)/charge to profit or loss**	**Credit to OCI**	**At 30 June 2025**
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**
Deferred tax assets										
Impairment loss on loans and advances to banks and customers	(134,936)	(114,304)	-	(249,240)	(15,753)	-	(264,993)	**(104,131)**	**-**	**(369,124)**
Impairment loss on other financial assets	(410)	(10,923)	-	(11,333)	(411)	-	(11,744)	**(8,345)**	**-**	**(20,089)**
Employee benefits	(4,697)	(10,062)	693	(14,066)	1,804	(13,151)	(25,413)	**(350)**	**(6,934)**	**(32,697)**
Provision	(13,246)	(19,988)	-	(33,234)	18,453	-	(14,781)	**4,889**	**-**	**(9,892)**
	(153,289)	(155,277)	693	(307,873)	4,093	(13,151)	(316,931)	**(107,937)**	**(6,934)**	**(431,802)**
Deferred tax liability										
Accelerated capital allowances	13,197	13,889	-	27,086	(4,374)	-	22,712	**29,138**	**-**	**51,850**
Net deferred tax assets	(140,092)	(141,388)	693	(280,787)	(281)	(13,151)	(294,219)	**(78,799)**	**(6,934)**	**(379,952)**

12. DIVIDENDS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Dividends on Ordinary shares:			
Dividend paid and payable	**2,418,844**	2,815,394	482,413
Dividends on Class A shares - Series 1 and Series 2:			
Dividend paid and payable	**206,262**	303,830	143,968
Total dividends	**2,625,106**	3,119,224	626,381

Ordinary Shares

During the financial year ended 30 June 2025, the directors proposed that a final dividend of MUR 14.60 (2024: MUR 17.78, 2023: MUR 4.27) per share to be paid to the holders of Ordinary shares with respect to the year ended 30 June 2024 and an interim dividend of MUR 6.81 (2024: MUR 7.14, MUR 2023: nil) per share to be paid to the holders of Ordinary shares with respect to the period ended 31 December 2024. The Board of Directors approved the final dividend on 13 November 2024 and it was paid in February 2025. The Board of Directors approved the interim dividend on 16 May 2025 and it was paid in June 2025. Total ordinary dividend paid is MUR 2.4bn comprising of MUR 1.6bn for the final dividend and MUR 769m for the interim dividend (2024: MUR 2.8bn comprising of MUR 2bn for the final dividend and MUR 807m for the interim dividend, 2023: MUR 482.4m).

Class A Shares

Dividend of MUR 99.4m for the 6 months ended 31 December 2024 was approved by the Board of Directors on 16 May 2025 and payment was effected on 19 June 2025. Dividend of MUR 106.9m for the 6 months ended 30 June 2024 was approved by the Board of Directors on 13 November 2024 and payment was effected on 03 January 2025 (2024: MUR 106.2m for the 6 months ended 31 December 2023, MUR 101.3m for the 6 months ended 30 June 2023 and MUR 96.3m for the 6 months ended 31 December 2022 and 2023: MUR 76.5m for the 6 months ended 30 June 2022 and MUR 67.5m for the 6 months ended 31 December 2021).

Movement in Dividend payable

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Opening balance	**592**	344	344
Ordinary dividend payable	**56**	-	-
Class A dividend payable	**3**	1	-
Revaluation	**(10)**	247	-
Closing balance	**641**	592	344

13. CASH AND BALANCES WITH BANKS

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Cash in hand	**47,527**	53,905	46,007	**47,527**	53,905	46,007
Unrestricted balances with the Central Bank (Note 1)	**1,549,547**	761,519	1,247,661	**1,549,547**	761,519	1,247,661
Current accounts with other banks	**12,544,858**	18,032,869	15,464,801	**12,544,858**	18,032,869	15,464,794
	14,141,932	18,848,293	16,758,469	**14,141,932**	18,848,293	16,758,462
Less: allowance for impairment losses	**(1,331)**	(1,066)	(1,185)	**(1,331)**	(1,066)	(1,185)
	14,140,601	18,847,227	16,757,284	**14,140,601**	18,847,227	16,757,277

Note 1: Unrestricted balances with the Central Bank represent amounts above the minimum cash reserve requirement.

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

The balances were classified in Stage 1 and 12-month ECL was calculated hereon at 30 June 2025, 2024 and 2023.

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
Credit rating grade	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Performing:						
Credit rating AAA	**47,527**	53,905	46,007	**47,527**	53,905	46,007
Credit rating AA+ to AA-	**7,135,973**	12,325,976	9,361,317	**7,135,973**	12,325,976	9,361,317
Credit rating A+ to A-	**5,223,879**	5,434,127	5,921,264	**5,223,879**	5,434,127	5,921,264
Credit rating BBB+ to BBB-	**1,706,924**	1,031,364	1,305,229	**1,706,924**	1,031,364	1,305,222
Credit rating BB+ to BB-	**25,186**	597	123,714	**25,186**	597	123,714
Credit rating B+ to B-	**266**	105	218	**266**	105	218
Credit rating CCC+ to C	**2,177**	2,219	720	**2,177**	2,219	720
Total gross carrying amount	**14,141,932**	18,848,293	16,758,469	**14,141,932**	18,848,293	16,758,462
Less: allowance for impairment losses	**(1,331)**	(1,066)	(1,185)	**(1,331)**	(1,066)	(1,185)
Carrying amount at 30 June	**14,140,601**	18,847,227	16,757,284	**14,140,601**	18,847,227	16,757,277

Higher ECL despite lower EAD is due to weaker GDP forecasts and the US rating downgrade, increasing FLI impact.

Please refer to note 37 (b) for the key inputs into the measurement of ECL.

13. CASH AND BALANCES WITH BANKS (CONTINUED)

Allowance for impairment losses

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At 1 July	**1,066**	1,185	16
Movement in ECL during the year	**265**	(119)	1,169
At 30 June	**1,331**	1,066	1,185

14. DUE FROM BANKS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At amortised cost:			
Short term placements with the Central Bank	**1,200,099**	800,197	2,000,192
Short term placements with other banks	**42,716,786**	24,546,919	31,793,540
Medium term collateralised placements	**4,575,508**	4,818,753	11,542,587
Medium term placements with other banks	**5,888,816**	8,351,152	2,364,636
	54,381,209	38,517,021	47,700,955
Less: allowance for impairment losses - Short term placements	**(2,893)**	(946)	(5,291)
Less: allowance for impairment losses - Others	**(3,345)**	(4,508)	(13,548)
	54,374,971	38,511,567	47,682,116

The collateralised placements relate to reverse repurchase agreement (Repo) with banks, with government securities held as collateral. The fair value of the collateral at 30 June 2025 was MUR 7.1bn (2024: MUR 7.1bn, 2023: MUR 16.7bn).

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

The financial assets were classified in Stage 1 and 12-month ECL was calculated hereon at 30 June 2025, 2024 and 2023.

	THE GROUP AND THE BANK		
	STAGE 1		
	2025	2024	2023
Credit rating grade	**MUR'000**	MUR'000	MUR'000
Performing:			
Credit rating AA+ to AA-	**21,409,870**	11,075,553	6,843,861
Credit rating A+ to A-	**18,750,364**	13,892,819	22,069,965
Credit rating BBB+ to BBB-	**11,960,618**	12,714,084	14,961,104
Credit rating BB+ to BB-	**2,260,357**	834,565	1,542,256
Credit rating B+ to B-	**-**	-	2,283,769
Total gross carrying amount	**54,381,209**	38,517,021	47,700,955
Less: allowance for impairment losses	**(6,238)**	(5,454)	(18,839)
Carrying amount at 30 June	**54,374,971**	38,511,567	47,682,116

An analysis of changes in the gross carrying amount and the corresponding ECLs is, as follows:

	THE GROUP AND THE BANK					
	STAGE 1					
	GROSS CARRYING AMOUNT			ALLOWANCE FOR IMPAIRMENT LOSSES		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
At 1 July	**38,517,021**	47,700,955	47,342,471	**5,454**	18,839	9,294
Net remeasurement of loss allowance	**-**	-	-	**226**	(6,084)	4,512
New assets originated or purchased	**2,728,467,300**	3,075,561,634	2,181,144,064	**54,009**	22,142	25,203
Payments and assets derecognised	**(2,712,603,112)**	(3,084,745,568)	(2,180,785,580)	**(53,451)**	(29,443)	(20,170)
At 30 June	**54,381,209**	38,517,021	47,700,955	**6,238**	5,454	18,839

15. DERIVATIVE FINANCIAL INSTRUMENTS

	THE GROUP AND THE BANK					
	ASSETS	**LIABILITIES**	ASSETS	LIABILITIES	ASSETS	LIABILITIES
	2025	**2025**	2024	2024	2023	2023
	MUR'000	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000
Foreign exchange option contracts	**4,107**	**(3,855)**	9,894	(9,346)	2,307	(2,487)
Foreign exchange contracts	**28,101**	**(22,533)**	4,893	(3,634)	8,768	(6,187)
Cross currency interest rate swap	**74,170**	**-**	155,969	-	183,625	-
Interest rate swaps	**4,043**	**(26,115)**	11,426	(27,309)	18,088	(23,523)
Structured deposits	**25,891**	**(25,891)**	184,482	(184,482)	172,762	(172,762)
	136,312	**(78,394)**	366,664	(224,771)	385,550	(204,959)

The Group and the Bank have positions in the following types of derivatives:

Foreign exchange option contracts

Option contracts give the buyer the right, but not the obligation, to buy (in the case of a call) or sell (in the case of a put) the underlying asset at a specific price on or before a certain date.

Foreign exchange contracts

Foreign exchange contracts include forward, spot and swaps contracts as described below:

Forward contracts

A forward exchange contract is an agreement to buy or sell a specified amount of foreign currency at an agreed exchange rate, with settlement on a date beyond the standard spot value date. Forwards are customized contracts transacted in the over-the-counter market.

Spot position

The current balance on spot position account reflect the bought/sold amounts (FX deals) in original currencies and equivalent amounts corresponding to the prevailing FX spot 'Accounting' rate as of the settlement date.

Swaps

Swaps are derivatives in which two counterparties exchange cash flows of one party's financial instrument for those of the other party's financial instrument. The benefits in question depend on the type of financial instruments involved.

Cross currency interest rate swap

A Cross-Currency Interest Rate Swap (CCIRS) is a bilateral derivative contract in which two counterparties agree to exchange interest payments and principal amounts denominated in two different currencies, over a specified tenor. Unlike a standard interest rate swap, a CCIRS involves both interest rate exposure management and foreign exchange risk management, since it combines elements of an interest rate swap and a currency swap.

At inception, notional principals in the two currencies are typically exchanged, and these same notionals are re-exchanged at maturity, often at the same pre-agreed exchange rate.

Interest rate swaps

An Interest Rate Swap is a bilateral financial derivative contract in which two counterparties agree to exchange (or "swap") streams of interest payments, based on a specified notional principal amount, for a predetermined period of time. The notional principal itself is not exchanged; it merely serves as the reference amount for calculating interest payments.

Structured deposits

A structured deposit combines a normal deposit with a derivative product. The return on those structured deposits depends on the performance of the derivative's underlying asset. These underlying assets may include market indices, shares, interest rates, bonds, foreign exchange rates, or a combination of these. The derivative portion of the investment may involve the purchase/sale of options from/to the Bank's clients immediately followed by the sale/purchase of the same options to/from the Bank's financial institutions counterparties. Since the derivative portion is fully back to back there are no open position in the Bank's books.

16(a) LOANS AND ADVANCES TO BANKS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Banks:			
In Mauritius	**1,623,501**	1,385,387	1,826,311
Outside Mauritius	**19,363,665**	13,313,451	11,406,629
Total gross carrying amount loans and advances to banks	**20,987,166**	14,698,838	13,232,940
Less: allowance for impairment losses	**(31,982)**	(51,422)	(43,351)
	20,955,184	14,647,416	13,189,589

All the loans and advances to banks as at 30 June 2025 are classified in stage 1 and 12-months ECL calculated thereon.

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

	THE GROUP AND THE BANK				
Credit rating grade	**2025**		2024		2023
	STAGE 1	STAGE 1	STAGE 2	TOTAL	STAGE 1
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Performing:					
Credit rating A+ to A-	**9,318,033**	6,151,557	-	6,151,557	5,234,025
Credit rating BBB+ to BBB-	**6,391,358**	4,662,236	-	4,662,236	3,649,094
Credit rating BB+ to BB-	**4,588,939**	1,850,960	-	1,850,960	2,960,967
Credit rating B+ to B-	**688,836**	2,034,082	-	2,034,082	1,388,854
Credit rating CCC+ to C	**-**	-	3	3	-
Total gross carrying amount	**20,987,166**	14,698,835	3	14,698,838	13,232,940
Less: allowance for impairment losses	**(31,982)**	(51,422)	-	(51,422)	(43,351)
Carrying amount at 30 June	**20,955,184**	14,647,413	3	14,647,416	13,189,589

ECL decreased in June 2025 despite higher EAD, driven by better credit ratings and shorter maturities.

An analysis of changes in the gross carrying amount and the corresponding ECLs is, as follows:

	THE GROUP AND THE BANK									
	GROSS CARRYING AMOUNT							ALLOWANCE FOR IMPAIRMENT LOSSES		
	2025			2024			2023	**2025**	2024	2023
	STAGE 1	**STAGE 2**	**TOTAL**	STAGE 1	STAGE 2	TOTAL	STAGE 1	**STAGE 1**	STAGE 1	STAGE 1
	MUR'000	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
At 1 July	**14,698,835**	**3**	**14,698,838**	13,232,940	-	13,232,940	12,023,019	**51,422**	43,351	32,543
Net remeasurement of loss allowance	-	-	-	-	-	-	-	**(17,468)**	(1,701)	7,703
Changes in the amount										
Transfer to stage 2	**-**	-	-	(3)	3	-	-	-	-	-
New assets originated or purchased	**11,538,157**	-	**11,538,157**	10,365,268	-	10,365,268	5,965,698	**24,428**	42,668	9,460
Payments and assets derecognised	**(5,249,826)**	**(3)**	**(5,249,829)**	(8,899,370)	-	(8,899,370)	(4,755,777)	**(26,400)**	(32,896)	(6,355)
At 30 June	**20,987,166**	-	**20,987,166**	14,698,835	3	14,698,838	13,232,940	**31,982**	51,422	43,351

16(b) LOANS AND ADVANCES TO CUSTOMERS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Retail and personal	**5,246,468**	4,508,477	3,602,114
Business	**21,417,847**	17,634,253	12,368,649
Government and parastatal bodies	**6,666,627**	5,272,908	8,222,096
Entities outside Mauritius	**23,549,667**	22,196,734	16,853,797
Credit cards	**140,046**	148,176	150,422
Total gross carrying amount loans and advances to customers	**57,020,655**	49,760,548	41,197,078
Less: allowance for impairment losses	**(2,286,690)**	(1,903,062)	(1,930,097)
	54,733,965	47,857,486	39,266,981

16(b) LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

An analysis of risk concentration in gross carrying amounts and corresponding ECL in the loans and advances to customers by type of lending is presented as per below:

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2025							
	STAGE 1	**STAGE 2**	**STAGE 3**	**TOTAL**	**STAGE 1**	**STAGE 2**	**STAGE 3**	**TOTAL**
					12-months ECL	**Lifetime ECL**	**Lifetime ECL**	
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Retail and personal	**4,648,447**	**532,852**	**65,169**	**5,246,468**	**4,570**	**5,442**	**4,488**	**14,500**
Business	**18,784,824**	**2,035,686**	**597,337**	**21,417,847**	**79,044**	**88,672**	**342,427**	**510,143**
Government and parastatal bodies	**6,666,627**	**-**	**-**	**6,666,627**	**28,659**	**-**	**-**	**28,659**
Entities outside Mauritius	**21,217,645**	**742,348**	**1,589,674**	**23,549,667**	**115,328**	**22,409**	**1,586,654**	**1,724,391**
Credit cards	**125,671**	**2,774**	**11,601**	**140,046**	**2,476**	**133**	**6,388**	**8,997**
	51,443,214	**3,313,660**	**2,263,781**	**57,020,655**	**230,077**	**116,656**	**1,939,957**	**2,286,690**

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2024							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Retail and personal	4,185,625	278,093	44,759	4,508,477	11,043	6,528	10,054	27,625
Business	15,786,863	1,589,854	257,536	17,634,253	64,544	67,470	187,037	319,051
Government and parastatal bodies	5,272,908	-	-	5,272,908	23,496	-	-	23,496
Entities outside Mauritius	17,954,652	2,869,126	1,372,956	22,196,734	121,788	78,103	1,324,063	1,523,954
Credit cards	135,652	5,137	7,387	148,176	2,271	109	6,556	8,936
	43,335,700	4,742,210	1,682,638	49,760,548	223,142	152,210	1,527,710	1,903,062

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2023							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Retail and personal	2,616,591	880,265	105,258	3,602,114	25,664	50,510	77,966	154,140
Business	9,678,204	2,486,724	203,721	12,368,649	52,288	79,345	177,021	308,654
Government and parastatal bodies	8,222,096	-	-	8,222,096	25,303	-	-	25,303
Entities outside Mauritius	13,826,557	1,661,648	1,365,592	16,853,797	75,811	39,486	1,315,899	1,431,196
Credit cards	129,525	11,877	9,020	150,422	3,356	495	6,953	10,804
	34,472,973	5,040,514	1,683,591	41,197,078	182,422	169,836	1,577,839	1,930,097

16(b) LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

	THE GROUP AND THE BANK			
	2025			
Credit rating grade	**STAGE 1**	**STAGE 2**	**STAGE 3**	**TOTAL**
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**
Performing:				
Credit rating AAA	**1,245,780**	**26,531**	**-**	**1,272,311**
Credit rating AA+ to AA-	**4,208,068**	**61,860**	**-**	**4,269,928**
Credit rating A+ to A-	**25,425,221**	**489,898**	**-**	**25,915,119**
Credit rating BBB+ to BBB-	**12,782,063**	**1,408,564**	**-**	**14,190,627**
Credit rating BB+ to BB-	**5,280,883**	**509,573**	**-**	**5,790,456**
Credit rating B+ to B-	**2,495,053**	**721,677**	**-**	**3,216,730**
Credit rating CCC+ to C	**6,146**	**95,557**	**-**	**101,703**
Non performing:				
Credit rating D	**-**	**-**	**2,263,781**	**2,263,781**
Total gross carrying amount	**51,443,214**	**3,313,660**	**2,263,781**	**57,020,655**
Less: allowance for impairment losses	**(230,077)**	**(116,656)**	**(1,939,957)**	**(2,286,690)**
Carrying amount at 30 June	**51,213,137**	**3,197,004**	**323,824**	**54,733,965**

	THE GROUP AND THE BANK			
	2024			
Credit rating grade	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR'000	MUR'000	MUR'000	MUR'000
Performing:				
Credit rating AAA	-	35	-	35
Credit rating AA+ to AA-	91,767	29,516	-	121,283
Credit rating A+ to A-	1,276,666	7,733	-	1,284,399
Credit rating BBB+ to BBB-	5,245,172	87	-	5,245,259
Credit rating BB+ to BB-	27,404,299	872,026	-	28,276,325
Credit rating B+ to B-	8,768,151	3,116,797	-	11,884,948
Credit rating CCC+ to C	549,645	716,016	-	1,265,661
Non performing:				
Credit rating D	-	-	1,682,638	1,682,638
Total gross carrying amount	43,335,700	4,742,210	1,682,638	49,760,548
Less: allowance for impairment losses	(223,142)	(152,210)	(1,527,710)	(1,903,062)
Carrying amount at 30 June	43,112,558	4,590,000	154,928	47,857,486

	THE GROUP AND THE BANK			
	2023			
Credit rating grade	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR'000	MUR'000	MUR'000	MUR'000
Performing:				
Credit rating AAA	477,873	87,559	-	565,432
Credit rating AA+ to AA-	1,627,297	185,580	-	1,812,877
Credit rating A+ to A-	16,498,970	159,910	-	16,658,880
Credit rating BBB+ to BBB-	11,917,340	2,892,359	-	14,809,699
Credit rating BB+ to BB-	2,696,055	714,070	-	3,410,125
Credit rating B+ to B-	1,255,438	987,575	-	2,243,013
Credit rating CCC+ to C	-	13,461	-	13,461
Non performing:				
Credit rating D	-	-	1,683,591	1,683,591
Total gross carrying amount	34,472,973	5,040,514	1,683,591	41,197,078
Less: allowance for impairment losses	(182,422)	(169,836)	(1,577,839)	(1,930,097)
Carrying amount at 30 June	34,290,551	4,870,678	105,752	39,266,981

16(b) LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

An analysis of changes in the gross carrying amount and the corresponding ECLs is, as follows:

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2025							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	**43,335,700**	**4,742,210**	**1,682,638**	**49,760,548**	**223,142**	**152,210**	**1,527,710**	**1,903,062**
Changes in the amount								
Transfer to stage 1	**1,187,853**	**(1,187,822)**	**(31)**	**-**	**19,905**	**(19,900)**	**(5)**	**-**
Transfer to stage 2	**(2,123,408)**	**2,174,552**	**(51,144)**	**-**	**(14,830)**	**15,213**	**(383)**	**-**
Transfer to stage 3	**(480,613)**	**(300,351)**	**780,964**	**-**	**(50,785)**	**(2,232)**	**53,017**	**-**
Net remeasurement of loss allowance	**-**	**-**	**-**	**-**	**(64,291)**	**29,327**	**419,349**	**384,385**
New assets originated or purchased	**61,457,679**	**-**	**-**	**61,457,679**	**177,382**	**-**	**-**	**177,382**
Payments and assets derecognised	**(51,933,994)**	**(2,114,931)**	**(148,647)**	**(54,197,572)**	**(60,446)**	**(57,962)**	**(59,731)**	**(178,139)**
At 30 June	**51,443,217**	**3,313,658**	**2,263,780**	**57,020,655**	**230,077**	**116,656**	**1,939,957**	**2,286,690**

Allowance for impairment losses include both capital and interest on non-performing loans. Interest provision amounts to MUR 264.6m at 30 June 2025 (2024: MUR 234.2m and 2023: MUR 249.1m) on non-performing loans which are in arrears for more than 90 days (included in stage 3).

The interest suspended for the year ended 30 June 2025 amounts to MUR 37.4m (2024: MUR 19.8m and 2023: MUR 16.2m).

Foreign exchange differences on ECL of MUR 42.6m at 30 June 2025 (2024: MUR 31.0m and 2023: MUR 15.2m) have been accounted under Note 6 ' Gain on foreign exchange'.

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2024							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	34,472,973	5,040,514	1,683,591	41,197,078	182,422	169,836	1,577,839	1,930,097
Changes in the amount								
Transfer to stage 1	1,160,908	(1,125,342)	(35,566)	-	64,019	(47,805)	(16,214)	-
Transfer to stage 2	(2,089,638)	2,094,091	(4,453)	-	(17,309)	17,443	(134)	-
Transfer to stage 3	(98,350)	(61,777)	160,127	-	(2,321)	(4,416)	6,737	-
Net remeasurement of loss allowance	-	-	-	-	(74,148)	34,265	62,345	22,462
New assets originated or purchased	67,594,157	-	-	67,594,157	139,510	-	-	139,510
Payments and assets derecognised	(57,704,350)	(1,205,276)	(37,163)	(58,946,789)	(69,031)	(17,113)	(18,965)	(105,109)
Write-offs	-	-	(83,898)	(83,898)	-	-	(83,898)	(83,898)
At 30 June	43,335,700	4,742,210	1,682,638	49,760,548	223,142	152,210	1,527,710	1,903,062

Out of MUR 83.9m write offs during the financial year ended 30 June 2024 (2023: MUR 174.1m), MUR 76.2m (2025: Nil, 2023: 159.3m) pertain to exposures which are subject to enforcement action by the Bank. There was no write off during the financial year 30 June 2025.

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2023							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	22,564,629	5,030,707	1,949,877	29,545,213	109,443	430,847	1,748,299	2,288,589
Changes in the amount								
Transfer to stage 1	2,798,229	(2,797,597)	(632)	-	301,144	(301,144)	-	-
Transfer to stage 2	(4,081,372)	4,081,372	-	-	(48,331)	48,331	-	-
Transfer to stage 3	(120,025)	(3,822)	123,847	-	(2,191)	(1,337)	3,528	-
Net remeasurement of loss allowance	-	-	-	-	(288,966)	7,348	142,551	(139,067)
New assets originated or purchased	60,318,632	-	-	60,318,632	178,140	-	-	178,140
Payments and assets derecognised	(47,007,120)	(1,270,146)	(215,441)	(48,492,707)	(66,817)	(14,209)	(142,479)	(223,505)
Write-offs	-	-	(174,060)	(174,060)	-	-	(174,060)	(174,060)
At 30 June	34,472,973	5,040,514	1,683,591	41,197,078	182,422	169,836	1,577,839	1,930,097

The net impairment credit on financial assets is mainly driven by an ECL reversal upon transfers of exposures in stage 2 attracting a higher ECL as at 30 June 2023 to stage 1 during the financial year ended 30 June 2024. Exposures transferred to stage 2 during the current year bear lower ECL percentage.

17. INVESTMENT SECURITIES

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Financial assets held for trading measured at fair value through profit or loss (Note 17(a))	**10,085,911**	9,086,277	4,993,012
Debt instruments measured at amortised cost (Note 17(b))	**120,490,242**	125,588,785	103,674,862
Equity investments designated at fair value through other comprehensive income (Note 17(c))	**24,130**	20,233	16,956
Equity investment measured at fair value through profit or loss (Note 17(d))	**1,218**	2,092	905
	130,601,501	134,697,387	108,685,735

(a) FINANCIAL ASSETS HELD FOR TRADING MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Trading assets:			
Government of Mauritius debt securities	**4,249,248**	3,724,871	1,338,846
Bank of Mauritius bonds and notes	**737,842**	997,923	1,608,617
Foreign securities: corporate bonds and notes	**1,965,778**	3,211,245	2,045,549
Foreign securities: sovereign bills, bonds and notes	**3,133,043**	1,152,238	-
	10,085,911	9,086,277	4,993,012

(b) DEBT INSTRUMENTS MEASURED AT AMORTISED COST

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Government of Mauritius treasury bills and bonds	**16,868,416**	12,893,779	12,032,395
Bank of Mauritius bonds and notes	**901,575**	4,752,881	5,491,485
Local securities: corporate bonds and notes	**6,477,823**	3,141,557	2,779,373
Foreign securities: corporate bonds and notes	**23,905,199**	24,035,846	15,881,805
Foreign securities: sovereign bills, bonds and notes	**72,386,157**	80,806,820	67,525,859
	120,539,170	125,630,883	103,710,917
Less: allowance for impairment losses	**(48,928)**	(42,098)	(36,055)
	120,490,242	125,588,785	103,674,862

An analysis of risk concentration in gross carrying amounts and corresponding ECL in the debt instruments measured at amortised cost by type of investment is presented as per below:

	THE GROUP AND THE BANK	
	GROSS CARRYING AMOUNT	**ALLOWANCE FOR IMPAIRMENT LOSSES**
	2025	
	STAGE 1	**STAGE 1**
		12-months ECL
	MUR'000	**MUR'000**
Government of Mauritius treasury bills and bonds	**16,868,416**	**22,553**
Bank of Mauritius bonds and notes	**901,575**	**304**
Local securities: corporate bonds and notes	**6,477,823**	**14,966**
Foreign securities: corporate bonds and notes	**23,905,199**	**8,630**
Foreign securities: sovereign bills, bonds and notes	**72,386,157**	**2,475**
	120,539,170	**48,928**

Higher ECL despite lower EAD is due to increasing FLI impact.

17. INVESTMENT SECURITIES (CONTINUED)

(b) DEBT INSTRUMENTS MEASURED AT AMORTISED COST (CONTINUED)

	THE GROUP AND THE BANK					
	GROSS CARRYING AMOUNT			ALLOWANCE FOR IMPAIRMENT LOSSES		
	2024					
	STAGE 1	STAGE 2	TOTAL	STAGE 1	STAGE 2	TOTAL
				12-months ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Government of Mauritius treasury bills and bonds	12,893,779	-	12,893,779	15,243	-	15,243
Bank of Mauritius bonds and notes	4,752,881	-	4,752,881	2,214	-	2,214
Local securities: corporate bonds and notes	3,141,557	-	3,141,557	12,075	-	12,075
Foreign securities: corporate bonds and notes	24,035,846	-	24,035,846	10,797	-	10,797
Foreign securities: sovereign bills, bonds and notes	80,806,820	-	80,806,820	1,769	-	1,769
	125,630,883	-	125,630,883	42,098	-	42,098

	THE GROUP AND THE BANK					
	GROSS CARRYING AMOUNT			ALLOWANCE FOR IMPAIRMENT LOSSES		
	2023					
	STAGE 1	STAGE 2	TOTAL	STAGE 1	STAGE 2	TOTAL
				12-months ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Government of Mauritius treasury bills and bonds	12,032,395	-	12,032,395	859	-	859
Bank of Mauritius bonds and notes	5,491,485	-	5,491,485	1,856	-	1,856
Local securities: corporate bonds and notes	2,779,373	-	2,779,373	19,044	-	19,044
Foreign securities: corporate bonds and notes	14,841,241	1,040,564	15,881,805	4,522	6,892	11,414
Foreign securities: sovereign bills, bonds and notes	67,525,859	-	67,525,859	2,882	-	2,882
	102,670,353	1,040,564	103,710,917	29,163	6,892	36,055

The table below shows the credit quality and the maximum exposure to credit risk based on the credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

	THE GROUP AND THE BANK				
	2025	2024		2023	
Credit rating grade	**STAGE 1**	STAGE 1	STAGE 1	STAGE 2	TOTAL
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Performing:					
Credit rating AAA	**898,979**	72,163,834	61,364,141	-	61,364,141
Credit rating AA+ to AA-	**86,684,627**	22,055,866	10,714,035	-	10,714,035
Credit rating A+ to A-	**4,652,657**	6,312,072	9,145,778	-	9,145,778
Credit rating BBB+ to BBB-	**21,164,478**	20,938,300	18,667,026	-	18,667,026
Credit rating BB+ to BB-	**6,481,551**	3,503,933	1,972,752	1,040,564	3,013,316
Credit rating B+ to B-	**656,878**	656,878	806,621	-	806,621
Total gross carrying amount	**120,539,170**	125,630,883	102,670,353	1,040,564	103,710,917
Less: allowance for impairment losses	**(48,928)**	(42,098)	(29,163)	(6,892)	(36,055)
Carrying amount at 30 June	**120,490,242**	125,588,785	102,641,190	1,033,672	103,674,862

17. INVESTMENT SECURITIES (CONTINUED)

(b) DEBT INSTRUMENTS MEASURED AT AMORTISED COST (CONTINUED)

An analysis of changes in the gross carrying amount and the corresponding ECLs is, as follows:

	THE GROUP AND THE BANK	
	GROSS CARRYING AMOUNT	ALLOWANCE FOR IMPAIRMENT LOSSES
	2025	
	STAGE 1	STAGE 1
		12-months ECL
	MUR'000	MUR'000
At 1 July	**125,630,883**	**42,098**
Net remeasurement of loss allowance	**-**	**(3,515)**
New assets originated or purchased	**700,335,307**	**26,018**
Payments and assets derecognised	**(705,427,020)**	**(15,673)**
At 30 June	**120,539,170**	**48,928**

	THE GROUP AND THE BANK					
	GROSS CARRYING AMOUNT			ALLOWANCE FOR IMPAIRMENT LOSSES		
	2024					
	STAGE 1	STAGE 2	TOTAL	STAGE 1	STAGE 2	TOTAL
				12-months ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	102,670,353	1,040,564	103,710,917	29,163	6,892	36,055
Changes in the gross carrying amount						
Transfer to stage 1	1,040,564	(1,040,564)	-	6,892	(6,892)	-
Net remeasurement of loss allowance	-	-	-	(3)	-	(3)
New assets originated or purchased	1,081,636,855	-	1,081,636,855	18,302	-	18,302
Payments and assets derecognised	(1,059,716,889)	-	(1,059,716,889)	(12,256)	-	(12,256)
At 30 June	125,630,883	-	125,630,883	42,098	-	42,098

	THE GROUP AND THE BANK					
	GROSS CARRYING AMOUNT			ALLOWANCE FOR IMPAIRMENT LOSSES		
	2023					
	STAGE 1	STAGE 2	TOTAL	STAGE 1	STAGE 2	TOTAL
				12-months ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	64,981,412	307,427	65,288,839	8,253	10,834	19,087
Changes in the gross carrying amount						
Transfer to stage 1	307,427	(307,427)	-	10,834	(10,834)	-
Transfer to stage 2	(1,040,564)	1,040,564	-	(2,074)	2,074	-
Net remeasurement of loss allowance	-	-	-	(4,815)	4,818	3
New assets originated or purchased	689,163,396	-	689,163,396	23,163	-	23,163
Payments and assets derecognised	(650,741,318)	-	(650,741,318)	(6,198)	-	(6,198)
At 30 June	102,670,353	1,040,564	103,710,917	29,163	6,892	36,055

The net impairment credit on financial assets is mainly driven by an ECL reversal upon transfers of exposures in stage 2 attracting a higher ECL as at 30 June 2022 to stage 1 during the year ended 30 June 2023. Exposures transferred to stage 2 during the current year bear lower ECL percentage.

17. INVESTMENT SECURITIES (CONTINUED)

(c) EQUITY INVESTMENTS DESIGNATED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Equity securities:			
At 1 July	**20,233**	16,956	15,283
Additions	**-**	2,316	-
Fair value movement	**3,090**	631	917
Exchange gain	**807**	330	756
At 30 June	**24,130**	20,233	16,956

The investments are expected to be held for the long term for strategic purposes and have been designated at FVTOCI. There was no disposal during the year. No dividend income was recognised on these investments during the year under review (2024 and 2023: Nil).

(d) EQUITY INVESTMENT MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At 1 July	**2,092**	905	514
Fair value movement	**(874)**	1,187	391
At 30 June	**1,218**	2,092	905

18. INVESTMENT IN SUBSIDIARY

The details of the direct subsidiary are as follows:

	Country of	**Class of**	**Effective % Holdings**		
	Incorporation	**Shares**	**2025**	2024	2023
			%	%	%
Direct subsidiary					
AfrAsia Investments Limited	Mauritius	Ordinary	**100**	100	100

The balance of the investment in subsidiary was written off during the year 2019.

19. PROPERTY AND EQUIPMENT

(a) THE GROUP	Improvement to buildings	Furniture and fittings	Office equipment	Motor vehicles	Computer equipment	Assets in progress	Total
COST	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
At 1 July 2022	58,692	83,419	21,867	124	159,044	15,569	338,715
Capitalisation of assets in progress	-	-	669	-	367	(1,036)	-
Additions for the year	-	863	1,260	-	10,526	56,452	69,101
Assets written off	(107)	(1,459)	(1,050)	-	(4,389)	-	(7,005)
At 30 June 2023	58,585	82,823	22,746	124	165,548	70,985	400,811
At 1 July 2023	58,585	82,823	22,746	124	165,548	70,985	400,811
Capitalisation of assets in progress	-	-	-	-	16,895	(16,895)	-
Additions for the year	-	1,525	1,450	148	17,085	455,492	475,700
Assets written off	-	(42)	(1,254)	-	(6,880)	-	(8,176)
At 30 June 2024	58,585	84,306	22,942	272	192,648	509,582	868,335
At 1 July 2024	**58,585**	**84,306**	**22,942**	**272**	**192,648**	**509,582**	**868,335**
Capitalisation of assets in progress	**150,440**	**275,154**	**22,777**	**-**	**13,186**	**(461,557)**	**-**
Additions for the year	**63,550**	**103,672**	**11,465**	**-**	**9,123**	**36,049**	**223,859**
Disposal of assets	**-**	**(12,537)**	**(487)**	**-**	**-**	**-**	**(13,024)**
Assets written off	**(48,850)**	**(46,637)**	**(4,321)**	**(63)**	**(7,572)**	**-**	**(107,443)**
At 30 June 2025	**223,725**	**403,958**	**52,376**	**209**	**207,385**	**84,074**	**971,727**
ACCUMULATED DEPRECIATION							
At 1 July 2022	44,467	55,938	16,815	112	102,177	-	219,509
Charge for the year	6,784	8,932	1,497	-	11,386	-	28,599
Assets written off	(106)	(1,316)	(940)	-	(4,096)	-	(6,458)
At 30 June 2023	51,145	63,554	17,372	112	109,467	-	241,650
At 1 July 2023	51,145	63,554	17,372	112	109,467	-	241,650
Charge for the year	5,922	7,709	1,687	1	15,100	-	30,419
Assets written off	-	(42)	(1,254)	-	(6,880)	-	(8,176)
At 30 June 2024	57,067	71,221	17,805	113	117,687	-	263,893
At 1 July 2024	**57,067**	**71,221**	**17,805**	**113**	**117,687**	**-**	**263,893**
Charge for the year	**2,466**	**8,150**	**2,800**	**25**	**16,970**	**-**	**30,411**
Disposal of assets	**-**	**(11,222)**	**(427)**	**-**	**-**	**-**	**(11,649)**
Assets written off	**(48,850)**	**(46,637)**	**(4,321)**	**(63)**	**(7,572)**	**-**	**(107,443)**
At 30 June 2025	**10,683**	**21,512**	**15,857**	**75**	**127,085**	**-**	**175,212**
CARRYING AMOUNT							
At 30 June 2025	**213,042**	**382,446**	**36,519**	**134**	**80,300**	**84,074**	**796,515**
At 30 June 2024	1,518	13,085	5,137	159	74,961	509,582	604,442
At 30 June 2023	7,440	19,269	5,374	12	56,081	70,985	159,161

The Directors have reviewed the carrying amount of the Bank's property and equipment and are of the opinion that no impairment is required at the reporting date (2024 and 2023: Nil).

During the year, the Bank relocated to its new building and all costs previously relating to building in the course of construction have been capitalised within Property and Equipment. In addition, several assets relating to the previous premises were disposed of and written off upon relocation.

For the financial year ended 30 June 2025, out of the total additions of MUR 223.9m, MUR 21.4m relates to amount payable and has therefore been excluded from the Statements of Cash Flows.

Capital Commitment

The Group and the Bank

Authorised by the Board of Directors for the next 12 months but contracted for:

Commitments for the acquisition of plant and equipment amounts to MUR 491.7m (2024: MUR 403.2m and 2023: MUR 442.1m).

19. PROPERTY AND EQUIPMENT (CONTINUED)

(b) THE BANK	Improvement to buildings	Furniture and fittings	Office equipment	Motor vehicles	Computer equipment	Assets in progress	Total
COST	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
At 1 July 2022	58,692	83,408	21,867	124	159,013	15,569	338,673
Capitalisation of assets in progress	-	-	669	-	367	(1,036)	-
Additions for the year	-	863	1,260	-	10,526	56,452	69,101
Assets written off	(107)	(1,459)	(1,050)	-	(4,389)	-	(7,005)
At 30 June 2023	58,585	82,812	22,746	124	165,517	70,985	400,769
At 1 July 2023	58,585	82,812	22,746	124	165,517	70,985	400,769
Capitalisation of assets in progress	-	-	-	-	16,895	(16,895)	-
Additions for the year	-	1,525	1,450	148	17,085	455,492	475,700
Assets written off	-	(42)	(1,254)	-	(6,880)	-	(8,176)
At 30 June 2024	58,585	84,295	22,942	272	192,617	509,582	868,293
At 1 July 2024	**58,585**	**84,295**	**22,942**	**272**	**192,617**	**509,582**	**868,293**
Capitalisation of assets in progress	**150,440**	**275,154**	**22,777**	**-**	**13,186**	**(461,557)**	**-**
Additions for the year	**63,550**	**103,672**	**11,465**	**-**	**9,123**	**36,049**	**223,859**
Disposal of assets	**-**	**(12,537)**	**(487)**	**-**	**-**		**(13,024)**
Assets written off	**(48,850)**	**(46,637)**	**(4,321)**	**(63)**	**(7,572)**	**-**	**(107,443)**
At 30 June 2025	**223,725**	**403,947**	**52,376**	**209**	**207,354**	**84,074**	**971,685**
ACCUMULATED DEPRECIATION							
At 1 July 2022	44,467	55,927	16,815	112	102,146	-	219,467
Charge for the year	6,784	8,932	1,497	-	11,386	-	28,599
Assets written off	(106)	(1,316)	(940)	-	(4,096)	-	(6,458)
At 30 June 2023	51,145	63,543	17,372	112	109,436	-	241,608
At 1 July 2023	51,145	63,543	17,372	112	109,436	-	241,608
Charge for the year	5,922	7,709	1,687	1	15,100	-	30,419
Assets written off	-	(42)	(1,254)	-	(6,880)	-	(8,176)
At 30 June 2024	57,067	71,210	17,805	113	117,656	-	263,851
At 1 July 2024	**57,067**	**71,210**	**17,805**	**113**	**117,656**	**-**	**263,851**
Charge for the year	**2,466**	**8,150**	**2,800**	**25**	**16,970**	**-**	**30,411**
Disposal of assets	**-**	**(11,222)**	**(427)**	**-**	**-**	**-**	**(11,649)**
Assets written off	**(48,850)**	**(46,637)**	**(4,321)**	**(63)**	**(7,572)**	**-**	**(107,443)**
At 30 June 2025	**10,683**	**21,501**	**15,857**	**75**	**127,054**	**-**	**175,170**
CARRYING AMOUNT							
At 30 June 2025	**213,042**	**382,446**	**36,519**	**134**	**80,300**	**84,074**	**796,515**
At 30 June 2024	1,518	13,085	5,137	159	74,961	509,582	604,442
At 30 June 2023	7,440	19,269	5,374	12	56,081	70,985	159,161

The Directors have reviewed the carrying amount of the Bank's property and equipment and are of the opinion that no impairment is required at the reporting date (2024 and 2023: Nil).

During the year, the Bank relocated to its new building and all costs previously relating to building in the course of construction have been capitalised within Property and Equipment. In addition, several assets relating to the previous premises were disposed of and written off upon relocation.

For the financial year ended 30 June 2025, out of the total additions of MUR 223.9m, MUR 21.4m relates to amount payable and has therefore been excluded from the Statements of Cash Flows.

Capital Commitment

The Group and the Bank

Authorised by the Board of Directors for the next 12 months but contracted for:

Commitments for the acquisition of plant and equipment amounts to MUR 491.7m (2024: MUR 403.2m and 2023: MUR 442.1m).

20. INTANGIBLE ASSETS

(a) THE GROUP

	Computer software	Other	Assets in progress	Total
COST	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
At 1 July 2022	531,345	22,318	61,698	615,361
Capitalisation of assets in progress	4,220	94	(4,314)	-
Additions for the year	16,534	99	47,782	64,415
Assets written off	(37,391)	(5,031)	-	(42,422)
At 30 June 2023	514,708	17,480	105,166	637,354
At 1 July 2023	514,708	17,480	105,166	637,354
Capitalisation of assets in progress	11,350	94	(11,444)	-
Additions for the year	14,496	96	63,844	78,436
Assets written off	-	(615)	(82,688)	(83,303)
At 30 June 2024	540,554	17,055	74,878	632,487
At 1 July 2024	**540,554**	**17,055**	**74,878**	**632,487**
Capitalisation of assets in progress	**14,253**	**1,401**	**(15,654)**	**-**
Additions for the year	**10,429**	**229**	**25,171**	**35,829**
At 30 June 2025	**565,236**	**18,685**	**84,395**	**668,316**
ACCUMULATED AMORTISATION				
At 1 July 2022	235,246	17,679	-	252,925
Charge for the year	59,471	1,024	-	60,495
Assets written off	(34,013)	(4,831)	-	(38,844)
At 30 June 2023	260,704	13,872	-	274,576
At 1 July 2023	260,704	13,872	-	274,576
Charge for the year	91,814	1,167	-	92,981
Assets written off	-	(615)	-	(615)
At 30 June 2024	352,518	14,424	-	366,942
At 1 July 2024	**352,518**	**14,424**	**-**	**366,942**
Charge for the year	**37,650**	**1,155**	**-**	**38,805**
At 30 June 2025	**390,168**	**15,579**	**-**	**405,747**
CARRYING AMOUNT				
NET BOOK VALUE AT 30 JUNE 2025	**175,068**	**3,106**	**84,395**	**262,569**
NET BOOK VALUE AT 30 JUNE 2024	188,036	2,631	74,878	265,545
NET BOOK VALUE AT 30 JUNE 2023	254,004	3,608	105,166	362,778

As at 30 June 2025, the Directors reviewed the carrying amount of the Bank's intangible assets and are of the opinion that no impairment is required at the reporting date.

As at 30 June 2024, the Bank applied accelerated amortisation to a specific project with a capitalised cost of MUR 51.4m to better reflect its economic use, resulting in an additional amortisation charge of MUR 38.5m and contributing to a total amortisation charge of MUR 91.8m for computer software for the year ended 30 June 2024. Additionally, the Directors decided to discontinue the same project in the prior year, leading to the write-off of intangible assets in progress amounting to MUR 82.7m. Included in intangible assets are costs relating to the development of software not yet available for use.

For the financial years ended 30 June 2024 and 2023, out of the total additions, MUR 1.0m and MUR 6.9m, respectively, relate to payables and have therefore been excluded from the Statements of Cash Flows.

Capital Commitment

The Group and the Bank

Authorised by the Board of Directors for the next 12 months but contracted for:

Commitments for the acquisition of intangible assets amounts to MUR 517.8m (2024: MUR 267.7m and 2023: MUR 203.4m).

20. INTANGIBLE ASSETS (CONTINUED)

(b) THE BANK

	Computer software	Other	Assets in progress	Total
COST	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
At 1 July 2022	531,348	22,315	61,698	615,361
Capitalisation of assets in progress	4,220	94	(4,314)	-
Additions for the year	16,534	99	47,782	64,415
Assets written off	(37,391)	(5,031)	-	(42,422)
At 30 June 2023	514,711	17,477	105,166	637,354
At 1 July 2023	514,711	17,477	105,166	637,354
Capitalisation of assets in progress	11,350	94	(11,444)	-
Additions for the year	14,496	96	63,844	78,436
Assets written off	-	(615)	(82,688)	(83,303)
At 30 June 2024	540,557	17,052	74,878	632,487
At 1 July 2024	**540,557**	**17,052**	**74,878**	**632,487**
Capitalisation of assets in progress	**14,253**	**1,401**	**(15,654)**	**-**
Additions for the year	**10,429**	**229**	**25,171**	**35,829**
At 30 June 2025	**565,239**	**18,682**	**84,395**	**668,316**
ACCUMULATED AMORTISATION				
At 1 July 2022	235,246	17,679	-	252,925
Charge for the year	59,471	1,024	-	60,495
Assets written off	(34,013)	(4,831)	-	(38,844)
At 30 June 2023	260,704	13,872	-	274,576
At 1 July 2023	260,704	13,872	-	274,576
Charge for the year	91,814	1,167	-	92,981
Assets written off	-	(615)	-	(615)
At 30 June 2024	352,518	14,424	-	366,942
At 1 July 2024	**352,518**	**14,424**	**-**	**366,942**
Charge for the year	**37,650**	**1,155**	**-**	**38,805**
At 30 June 2025	**390,168**	**15,579**	**-**	**405,747**
CARRYING AMOUNT				
At 30 June 2025	**175,071**	**3,103**	**84,395**	**262,569**
At 30 June 2024	188,039	2,628	74,878	265,545
At 30 June 2023	254,007	3,605	105,166	362,778

As at 30 June 2025, the Directors reviewed the carrying amount of the Bank's intangible assets and are of the opinion that no impairment is required at the reporting date.

As at 30 June 2024, the Bank applied accelerated amortisation to a specific project with a capitalised cost of MUR 51.4m to better reflect its economic use, resulting in an additional amortisation charge of MUR 38.5m and contributing to a total amortisation charge of MUR 91.8m for computer software for the year ended 30 June 2024. Additionally, the Directors decided to discontinue the same project in the prior year, leading to the write-off of intangible assets in progress amounting to MUR 82.7m. Included in intangible assets are costs relating to the development of software not yet available for use.

For the financial years ended 30 June 2024 and 2023, out of the total additions, MUR 1.0m and MUR 6.9m, respectively, relate to payables and have therefore been excluded from the Statements of Cash Flows.

Capital Commitment

The Group and the Bank

Authorised by the Board of Directors for the next 12 months but contracted for:

Commitments for the acquisition of intangible assets amounts to MUR 517.8m (2024: MUR 267.7m and 2023: MUR 203.4m).

21. LEASE

The Group and the Bank lease property and equipment. The remaining lease term is between 2 to 10 years. The Group and the Bank do not have the option to purchase the leased assets at the end of the lease term. The Group and the Bank's obligations are secured by the lessor's title to the leased assets for such leases.

RIGHT OF USE ASSETS	THE GROUP AND THE BANK		
	2025	2024	2023
COST	**MUR'000**	MUR'000	MUR'000
At 1 July	**81,758**	142,496	142,496
Additions	**422,673**	-	-
Remeasurement of right of use assets	**1,407**	3,228	-
Lease expired	**(9,050)**	(63,966)	-
At 30 June	**496,788**	81,758	142,496
ACCUMULATED DEPRECIATION			
At 1 July	**36,337**	76,717	41,408
Charge for the year	**27,654**	23,586	35,309
Lease expired	**(9,050)**	(63,966)	-
At 30 June	**54,941**	36,337	76,717
CARRYING AMOUNT			
At 30 June	**441,847**	45,421	65,779

During the financial year, the Bank relocated its operations to a new building to support its ongoing growth and to provide a modern and efficient working environment. As part of this relocation, the Bank entered into a 10-year lease agreement covering multiple floors within the new premises.

Additionally, during the year, one lease contract expired and was replaced with a new lease. Remeasurements of lease contracts during the year were due to Consumer Price Index (CPI) adjustments applied to rental payments.

There are no variable lease payments in the lease contracts of the Group and the Bank.

LEASE LIABILITIES	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Analysed as:			
Non-current	**396,708**	29,783	41,717
Current	**47,330**	14,799	22,946
	444,038	44,582	64,663
Disclosure required by IFRS 16			
Maturity analysis			
Year 1	**78,695**	16,582	25,463
Year 2	**72,868**	16,709	15,521
Year 3	**58,854**	14,368	15,642
Year 4	**62,772**	-	13,436
Year 5	**62,300**	-	-
Over Year 5	**282,387**	-	-
	617,876	47,659	70,062
Less: Unearned Interest	**(173,838)**	(3,077)	(5,399)
	444,038	44,582	64,663

The Group and the Bank do not face a significant liquidity risk with regard to its lease liabilities. The leases are denominated in MUR, USD and ZAR.

21. LEASE (CONTINUED)

LEASE LIABILITIES (CONTINUED)

RECONCILIATION OF FINANCIAL LIABILITIES ARISING FROM FINANCING ACTIVITIES

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At 1 July	**44,582**	64,663	100,378
Financing cash flows:			
Lease repayments	**(24,545)**	(23,589)	(34,999)
Non-Cash changes:			
Additions	**422,673**	-	-
Remeasurement of lease liabilities	**1,407**	3,228	-
Exchange (gain)/loss	**(79)**	280	(716)
At 30 June	**444,038**	44,582	64,663

AMOUNTS RECOGNISED IN PROFIT OR LOSS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Depreciation expense on right of use assets	**27,654**	23,586	35,309
Interest expense on lease liabilities (Note 4(b))	**8,137**	2,600	4,167
Short term leases (Note 10)	**38,508**	16,736	-
	74,299	42,922	39,476

22. OTHER ASSETS

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Mandatory balances with the Central Bank	**6,168,306**	5,288,053	4,441,107	**6,168,306**	5,288,053	4,441,107
Indirect and other taxes receivable	**262,470**	202,800	136,686	**262,470**	202,800	136,686
Prepaid expenses	**120,258**	89,132	94,360	**120,252**	89,126	94,353
Other receivables	**27,162**	28,843	79,816	**27,162**	28,843	79,816
	6,578,196	5,608,828	4,751,969	**6,578,190**	5,608,822	4,751,962

The Bank holds mandatory reserve balances with the central bank. Management has applied judgment and concluded that these balances do not meet the definition of 'cash' or 'cash equivalents' under IAS 7. Judgment was applied in interpreting the terms 'demand deposit' and 'short-term cash commitments', which are not explicitly defined in IAS 7. From an operational and regulatory context, the Bank's assessment was based on the following key factors, namely, minimum average balance requirements, access being subject to Central Bank approval and penalties for non-compliance.

These conditions indicate that the balances do not exhibit the characteristics of a typical demand deposit. Furthermore, the balances are maintained for regulatory compliance purposes and are not intended to meet short-term liquidity needs. Accordingly, these balances are classified as other assets in the statement of financial position and excluded from cash and cash equivalents in the statement of cash flows.

During the financial year ended 30 June 2024, the Bank has assessed ECL on other receivables and out of MUR 47.8m, an amount MUR 19.0m was provided. Following the assessment made in financial year ended 30 June 2025, the opening ECL was reversed following the write off of the receivables. The directors have assessed for ECL on the closing balance of other receivables as at 30 June 2025 and are of the opinion that the credit risk is minimal and hence the ECL is trivial.

23. DUE TO BANKS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At amortised cost:			
Bank overdrafts	**2**	868	-
	2	868	-

24. DEPOSITS FROM BANKS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At amortised cost:			
- Current accounts	**97,358**	16,202	16,268
- Savings accounts	**103,190**	318,849	342,455
	200,548	335,051	358,723

25. DEPOSITS FROM CUSTOMERS

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
At amortised cost:						
Retail Customers						
- Current accounts	**27,344,494**	23,754,595	22,891,061	**27,344,494**	23,754,595	22,891,061
- Savings accounts	**9,264,612**	7,544,809	4,942,196	**9,264,612**	7,544,809	4,942,196
- Term deposits	**30,717,513**	24,974,525	15,535,096	**30,717,513**	24,974,525	15,535,096
Corporate Customers						
- Current accounts	**110,754,835**	107,322,207	116,339,697	**110,756,868**	107,324,671	116,342,698
- Savings accounts	**1,148,336**	983,488	547,127	**1,148,336**	983,488	547,127
- Term deposits	**77,770,427**	74,185,037	51,762,012	**77,770,427**	74,185,037	51,762,012
Government						
- Current accounts	**122,811**	117,760	59,314	**122,811**	117,760	59,314
- Savings accounts	**19,896**	19,127	18,349	**19,896**	19,127	18,349
- Term deposits	**829,843**	1,009,401	1,134,615	**829,843**	1,009,401	1,134,615
	257,972,767	239,910,949	213,229,467	**257,974,800**	239,913,413	213,232,468

Included in 'Deposits from customers' are deposits of MUR 1.9bn (2024 and 2023: MUR 1.8bn) held as collateral against loans and advances to the respective customers.

26. BORROWINGS FROM FINANCIAL INSTITUTION

	THE GROUP AND THE BANK		
	2024	2023	2022
	MUR'000	MUR'000	MUR'000
At amortised cost:			
Borrowings from financial institution	**157,253**	167,183	150,918

Long term borrowings from financial institution as at 30 June 2025 was EUR 2.9m (2024: EUR 3.2m, 2023: EUR 3.0m) at floating interest rate of 6 months EURIBOR plus 0.55% margin per annum with tenor from 11 to 13 years. The repayment frequency for the interest payable and the capital portion is semi annually.

27. OTHER LIABILITIES

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Dividend payable	**641**	592	344	**641**	592	344
Accruals for expenses	**123,086**	130,184	100,299	**122,166**	129,317	99,303
Settlement clearing accounts	**335,350**	388,045	426,941	**335,350**	388,045	426,941
Personnel expenses related accruals	**374,596**	392,183	348,644	**374,596**	392,183	348,644
Provisions	**138,111**	156,703	317,750	**138,111**	156,703	317,750
Other payables	**7,358**	14,715	3,354	**7,358**	14,715	3,354
	979,142	1,082,422	1,197,332	**978,222**	1,081,555	1,196,336

Included in personnel expenses related accruals are staffs' bonus.

The movement in provisions is as follows:

	THE GROUP AND THE BANK		
	ECL on Financial guarantee contracts and loan commitments	**Other**	**Total**
	MUR'000	**MUR'000**	**MUR'000**
At 1 July 2022	10,619	269,977	280,596
Net remeasurement of loss allowance	1,762	-	1,762
Additions	35,124	-	35,124
Payments and assets derecognised	(4,535)	-	(4,535)
Exchange loss	-	4,803	4,803
At 30 June 2023	42,970	274,780	317,750
At 1 July 2023	42,970	274,780	317,750
Net remeasurement of loss allowance	(12,461)	-	(12,461)
Additions	30,415	82,537	112,952
Payments and assets derecognised	(13,073)	-	(13,073)
Reversal	-	(250,265)	(250,265)
Exchange loss	-	1,800	1,800
At 30 June 2024	47,851	108,852	156,703
At 1 July 2024	**47,851**	**108,852**	**156,703**
Net remeasurement of loss allowance	**(4,961)**	**-**	**(4,961)**
Additions	**49,846**	**-**	**49,846**
Payments and assets derecognised	**(17,275)**	**(13,250)**	**(30,525)**
Reversal	**-**	**(31,750)**	**(31,750)**
Exchange gain	**-**	**(1,202)**	**(1,202)**
At 30 June 2025	**75,461**	**62,650**	**138,111**

OTHER PROVISIONS

Other provisions arise out of current or potential claims or pursuits alleging non-compliance with contractual or other legal or regulatory responsibilities, which have resulted or may arise in claims from customers, counterparties or other parties. The Group and the Bank are of the opinion that if disclosing these events on a case-by-case basis would prejudice their outcome, then such detailed disclosures have not been included in these financial statements.

28. ORDINARY SHARES

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Ordinary shares of no par value			
	3,641,049	3,641,049	3,641,049

Analysed as follows:

	THE GROUP AND THE BANK					
	2025		2024		2023	
	Number of shares	**Amount**	Number of shares	Amount	Number of shares	Amount
		MUR'000		MUR'000		MUR'000
At 30 June	**112,977,210**	**3,641,049**	112,977,210	3,641,049	112,977,210	3,641,049

29. CLASS A SHARES

	THE GROUP AND THE BANK					
	2025		2024		2023	
	Number of shares	**Amount**	Number of shares	Amount	Number of shares	Amount
		MUR'000		MUR'000		MUR'000
USD 20,000,000 Class A Series 1 Shares	**2,000,000**	**604,580**	2,000,000	604,580	2,000,000	604,580
MUR 800,000,000 Class A Series 2 Shares	**8,000,000**	**800,000**	8,000,000	800,000	8,000,000	800,000
Transaction costs	**-**	**(18,812)**	-	(18,812)	-	(18,812)
	10,000,000	**1,385,768**	10,000,000	1,385,768	10,000,000	1,385,768

Analysed as follows:

	2025		2024		2023	
	Number of shares	**Amount**	Number of shares	Amount	Number of shares	Amount
		MUR'000		MUR'000		MUR'000
USD 20,000,000 Class A Series 1 Shares						
At 30 June	**2,000,000**	**604,580**	2,000,000	604,580	2,000,000	604,580

	2025		2024		2023	
	Number of shares	**Amount**	Number of shares	Amount	Number of shares	Amount
		MUR'000		MUR'000		MUR'000
MUR 800,000,000 Class A Series 2 Shares						
At 30 June	**8,000,000**	**800,000**	8,000,000	800,000	8,000,000	800,000

The Class A shares do not carry any general voting right at any shareholders meeting of the Bank other than an irrevocable right to vote on any proposal to amend the Class A shares Terms and Conditions.

The shares are callable, at the option of the issuer, six years after the issue date (30 June 2014), with the prior approval of the Bank of Mauritius. The Bank has not exercised the option to redeem the shares as at 30 June 2025.

Dividends are payable at the discretion of the Board of Directors of AfrAsia Bank Limited and subject to the prior approval of Bank of Mauritius.

30. EMPLOYEE BENEFITS

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Retirement Benefit Obligations (a)	**185,705**	183,293	110,936
Other Long Term Employee Incentive (b)	**2,469**	3,306	-
	188,174	186,599	110,936

(a) Retirement Benefit Obligations

The Group and the Bank have a defined contribution (DC) scheme which is a funded obligation administered by Swan Pension Ltd.

The liability relates to retirement gratuities payable under The Workers' Rights Act 2019 which is unfunded.

The actuarial valuation was carried out at 30 June 2025 by Swan Actuarial Services Ltd.

The plan expose the Group and the Bank to normal risks associated with defined benefit pension plans such as interest risk and salary risk.

Interest risk: If the bond/bill yields decrease, the liabilities would be calculated using a lower discount rate, and would therefore increase.

Salary risk: If salary increases are higher than assumed in our basis, the liabilities would increase giving rise to actuarial losses.

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Present value of obligations	**185,705**	183,293	110,936

Movement in liability recognised in statements of financial position:

	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Net liability at start of year	**183,293**	110,936	79,240
Amount recognised in profit or loss	**(17,473)**	(24,098)	35,410
Amount recognised in other comprehensive income	**20,450**	97,115	(3,371)
Payment of pension and gratuity	**(565)**	(660)	(343)
Net liability at end of the year	**185,705**	183,293	110,936

Amounts recognised in statements of profit or loss and other comprehensive income

	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Current service cost	**17,355**	12,334	8,683
Past service cost	**-**	(42,405)	22,853
Effect of curtailments	**(44,528)**	-	-
Net interest cost	**9,700**	5,973	3,874
Components of amount recognised in profit or loss	**(17,473)**	(24,098)	35,410
Remeasurement of defined benefit obligations:			
Liability experience loss	**37,766**	24,782	5,219
Loss on plan assets	**33**	33	13
Liability (gain)/loss due to change in financial assumptions	**(17,349)**	72,300	(8,603)
Components of amount recognised in other comprehensive income	**20,450**	97,115	(3,371)
	2,977	73,017	32,039

Changes in the present value of the defined benefit obligations:

	2025	2024	2023
	MUR'000	MUR'000	MUR'000
At 1 July	**183,293**	110,936	79,240
Interest cost	**9,700**	5,973	3,874
Current service cost	**17,355**	12,334	8,683
Past service cost	**-**	(42,405)	22,853
Effect of curtailments	**(44,528)**	-	-
Liability experience loss	**37,766**	24,782	5,219
Loss on plan assets	**33**	33	13
Liability (gain)/loss due to change in financial assumptions	**(17,349)**	72,300	(8,603)
Payment of pension and gratuity	**(565)**	(660)	(343)
At 30 June	**185,705**	183,293	110,936

30. EMPLOYEE BENEFITS (CONTINUED)

(a) Retirement Benefit Obligations (continued)

Future cash flows:
The funding policy is to pay benefits out of the Group's and the Bank's cash flow as and when due.
The weighted average duration of the defined benefit obligation is 12 years (2024: 13 years and 2023: 12 years).

Sensitivity analysis:	**2025** **MUR'000**	2024 MUR'000	2023 MUR'000
Increase in defined benefit obligation due to 1% decrease in discount rate	**36,464**	31,610	18,353
Decrease in defined benefit obligation due to 1% increase in discount rate	**30,166**	26,405	15,466
Increase in defined benefit obligation due to 1% increase in future long-term salary assumption	**36,013**	31,060	18,524
Decrease in defined benefit obligation due to 1% decrease in future long-term salary assumption	**30,374**	26,473	15,866

The sensitivity analyses above have been determined based on sensibly possible changes of the discount rate or salary increase rate occurring at the end of the reporting period if all other assumptions remained unchanged.

The principal actuarial assumptions used for accounting purposes are:	**2025**	2024	2023
Discount rate	**5.80%**	5.30%	5.40%
Salary increases	**6.00%**	6.00%	3.50%
Average retirement age	**60 years**	60 years	60 years
Mortality Rate	**A67/70**	A67/70	A67/70
Annuity rates at retirement		**Swan Annuity Rates**	

The rate per annum of withdrawal from service before retirement for the Bank is between 10% and 15% for age up to 30, reducing to 0% after 50 years.
The discount rate is determined by reference to the yield on available local government bonds of duration equivalent to the duration of liabilities.

(b) Other Long Term Employee Incentive

Included in other long term employee incentive is provision for vacation leaves. This provision relates to employees who are entitled to vacation leaves prescribed under part V of the Workers' Rights Act 2019. The latter provides vacation leaves of not more than 30 days.

The actuarial valuation was carried out at 30 June 2025 by Swan Actuarial Services Ltd.

The principal actuarial assumptions used for accounting purposes are:	**THE GROUP AND THE BANK** **2025**	2024
Discount rate	**4.70%**	3.50%
Salary increases	**6.00%**	6.00%
Present Value of Plan liability	**2,469**	3,306

	2025 **MUR'000**	2024 MUR'000
At 1 July	**3,306**	3,306
Total expense for the Year	**(837)**	-
At 30-Jun	**2,469**	3,306

Increase in Defined Benefit Obligation due to 1% decrease in Discount Rate	**Rs 36,103**	Rs 33,791
Decrease in Defined Benefit Obligation due to 1% increase in Discount Rate	**Rs 34,787**	Rs 32,620
Increase in Defined Benefit Obligation due to 1% increase in Future long-term Salary assumption	**Rs 35,313**	Rs 32,666
Decrease in Defined Benefit Obligation due to 1% decrease in Future long-term Salary assumption	**Rs 34,690**	Rs 32,162

The sensitivity analyses above have been determined based on sensibly possible changes of the discount rate or salary increase rate occurring at the end of the reporting period if all other assumptions remained unchanged.

31. RETAINED EARNINGS AND OTHER RESERVES

	THE GROUP							THE BANK						
	Retained Earnings	Net OCI movement on RBO	Fair value reserve	Statutory reserve	General banking reserve	Provision reserve	Total	Retained Earnings	Net OCI movement on RBO	Fair value reserve	Statutory reserve	General banking reserve	Provision reserve	Total
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July 2022	3,564,903	3,807	(13,059)	1,267,407	342,343	-	1,596,691	3,544,066	3,714	5,452	1,267,407	342,343	-	1,615,202
Profit for the year	5,878,570	-	-	-	-	-	-	5,878,970	-	-	-	-	-	-
Remeasurement of employee benefits	-	2,678	-	-	-	-	-	-	2,678	-	-	-	-	-
Appropriation of reserves	(897,820)	-	-	881,845	15,975	-	897,820	(897,820)	-	-	881,845	15,975	-	897,820
Additional provision in relation to Bank of Mauritius Guideline	(201,039)	-	-	-	-	201,039	201,039	(201,039)	-	-	-	-	201,039	201,039
Dividends	(626,381)	-	-	-	-	-	-	(626,381)	-	-	-	-	-	-
Fair value gain on equity instruments designated at fair value through other comprehensive income	-	-	1,673	-	-	-	1,673	-	-	1,673	-	-	-	1,673
At 30 June 2023	7,718,233	6,485	(11,386)	2,149,252	358,318	201,039	2,697,223	7,697,796	6,392	7,125	2,149,252	358,318	201,039	2,715,734
At 1 July 2023	7,718,233	6,485	(11,386)	2,149,252	358,318	201,039	2,697,223	7,697,796	6,392	7,125	2,149,252	358,318	201,039	2,715,734
Profit for the year	7,024,525	-	-	-	-	-	-	7,024,941	-	-	-	-	-	-
Remeasurement of employee benefits	-	(83,964)	-	-	-	-	-	-	(83,964)	-	-	-	-	-
Appropriation of reserves	(1,087,670)	-	-	1,053,742	33,928	-	1,087,670	(1,087,670)	-	-	1,053,742	33,928	-	1,087,670
Additional provision in relation to Bank of Mauritius Guideline	(79,209)	-	-	-	-	79,209	79,209	(79,209)	-	-	-	-	79,209	79,209
Dividends	(3,119,224)	-	-	-	-	-	-	(3,119,224)	-	-	-	-	-	-
Fair value gain on equity instruments designated at fair value through other comprehensive income	-	-	961	-	-	-	961	-	-	961	-	-	-	961
At 30 June 2024	10,456,655	(77,479)	(10,425)	3,202,994	392,246	280,248	3,865,063	10,436,634	(77,572)	8,086	3,202,994	392,246	280,248	3,883,574
At 1 July 2024	**10,456,655**	**(77,479)**	**(10,425)**	**3,202,994**	**392,246**	**280,248**	**3,865,063**	**10,436,634**	**(77,572)**	**8,086**	**3,202,994**	**392,246**	**280,248**	**3,883,574**
Profit for the year	**6,313,551**	**-**	**-**	**-**	**-**	**-**	**-**	**6,314,035**	**-**	**-**	**-**	**-**	**-**	**-**
Remeasurement of employee benefits	**-**	**(13,516)**	**-**	**-**	**-**	**-**	**-**	**-**	**(13,516)**	**-**	**-**	**-**	**-**	**-**
Appropriation of reserves	**(902,196)**	**-**	**-**	**947,105**	**(44,909)**	**-**	**902,196**	**(902,196)**	**-**	**-**	**947,105**	**(44,909)**	**-**	**902,196**
Additional provision in relation to Bank of Mauritius Guideline	**(681,860)**	**-**	**-**	**-**	**-**	**681,860**	**681,860**	**(681,860)**	**-**	**-**	**-**	**-**	**681,860**	**681,860**
Dividends	**(2,625,106)**	**-**	**-**	**-**	**-**	**-**	**-**	**(2,625,106)**	**-**	**-**	**-**	**-**	**-**	**-**
Fair value gain on equity instruments designated at fair value through other comprehensive income	**-**	**-**	**3,897**	**-**	**-**	**-**	**3,897**	**-**	**-**	**3,897**	**-**	**-**	**-**	**3,897**
At 30 June 2025	**12,561,044**	**(90,995)**	**(6,528)**	**4,150,099**	**347,337**	**962,108**	**5,453,016**	**12,541,507**	**(91,088)**	**11,983**	**4,150,099**	**347,337**	**962,108**	**5,471,527**

Total retained earnings reported under Statements of Changes in Equity include retained earnings and net OCI movement on RBO.

Refer to Note 3A(g) for the composition of other reserves.

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 30 June 2025

32. FAIR VALUE OF FINANCIAL INSTRUMENTS

(a) Financial instruments measured at fair value

Determination of fair value and fair value hierarchy

The Group and the Bank use the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:
Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities;
Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly; and
Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.
The following tables show an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

THE GROUP	2025				2024				2023			
	Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs		Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs		Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs	
	Level 1	Level 2	Level 3	Total fair value	Level 1	Level 2	Level 3	Total fair value	Level 1	Level 2	Level 3	Total fair value
Financial assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments												
Foreign exchange option contracts	-	4,107	-	4,107	-	9,894	-	9,894	-	2,307	-	2,307
Foreign exchange contracts	-	28,101	-	28,101	-	4,893	-	4,893	-	8,768	-	8,768
Cross currency interest rate swap	-	74,170	-	74,170	-	155,969	-	155,969	-	183,625	-	183,625
Interest rate swaps	-	4,043	-	4,043	-	11,426	-	11,426	-	18,088	-	18,088
Options contracts (structured deposits)	-	25,891	-	25,891	-	184,482	-	184,482	-	172,762	-	172,762
	-	136,312	-	136,312	-	366,664	-	366,664	-	385,550	-	385,550
Financial assets held for trading measured at fair value through profit or loss									-			
Government of Mauritius debts securities	-	4,249,248	-	4,249,248	-	3,724,871	-	3,724,871	-	1,338,846	-	1,338,846
Bank of Mauritius bonds and notes	-	737,842	-	737,842	-	997,923	-	997,923	-	1,608,617	-	1,608,617
Corporate bonds and notes	1,783,108	91,335	-	1,874,443	2,968,717	242,528	-	3,211,245	2,045,549	-	-	2,045,549
Sovereign bills, bonds and notes	3,133,043	-	-	3,133,043	1,152,238	-	-	1,152,238	-	-	-	-
	4,916,151	5,169,760	-	10,085,911	4,120,955	4,965,322	-	9,086,277	2,045,549	2,947,463	-	4,993,012
Equity investments designated at fair value through other comprehensive income												
Equity investments	-	-	24,130	24,130	-	-	20,233	20,233	-	-	16,956	16,956
	-	-	24,130	24,130	-	-	20,233	20,233	-	-	16,956	16,956
Equity investments measured at fair value through profit or loss												
Equity investments	1,218	-	-	1,218	2,092	-	-	2,092	905	-	-	905
	1,218	-	-	1,218	2,092	-	-	2,092	905	-	-	905
	4,917,369	5,306,072	24,130	10,247,571	4,123,047	5,331,986	20,233	9,475,266	2,046,454	3,333,013	16,956	5,396,423
Financial liabilities												
Derivative financial instruments												
Foreign exchange option contracts	-	3,855	-	3,855	-	9,346	-	9,346	-	2,487	-	2,487
Foreign exchange contracts	-	22,533	-	22,533	-	3,634	-	3,634	-	6,187	-	6,187
Interest rate swaps	-	26,115	-	26,115	-	27,309	-	27,309	-	23,523	-	23,523
Options contracts (structured deposits)	-	25,891	-	25,891	-	184,482	-	184,482	-	172,762	-	172,762
	-	78,394	-	78,394	-	224,771	-	224,771	-	204,959	-	204,959

32. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

(a) Financial instruments measured at fair value (continued)

THE BANK	2025				2024				2023			
	Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs		Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs		Quoted prices in active markets	Significant observable inputs	Significant unobservable inputs	
Financial assets	**Level 1**	**Level 2**	**Level 3**	**Total fair value**	Level 1	Level 2	Level 3	Total fair value	Level 1	Level 2	Level 3	Total fair value
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments												
Foreign exchange option contracts	-	**4,107**	-	**4,107**	-	9,894	-	9,894	-	2,307	-	2,307
Foreign exchange contracts	-	**28,101**	-	**28,101**	-	4,893	-	4,893	-	8,768	-	8,768
Cross currency interest rate swap	-	**74,170**	-	**74,170**	-	155,969	-	155,969	-	183,625	-	183,625
Interest rate swaps	-	**4,043**	-	**4,043**	-	11,426	-	11,426	-	18,088	-	18,088
Options contracts (structured deposits)	-	**25,891**	-	**25,891**	-	184,482	-	184,482	-	172,762	-	172,762
Accumulators/Decumulators	-	-	-	-	-	-	-	-	-	-	-	-
	-	**136,312**	-	**136,312**	-	366,664	-	366,664	-	385,550	-	385,550
Financial assets held for trading measured at fair value through profit or loss												
Government of Mauritius debts securities	-	**4,249,248**	-	**4,249,248**	-	3,724,871	-	3,724,871	-	1,338,846	-	1,338,846
Bank of Mauritius bonds and notes	-	**737,842**	-	**737,842**	-	997,923	-	997,923	-	1,608,617	-	1,608,617
Corporate bonds and notes	**1,874,443**	**91,335**	-	**1,965,778**	2,968,717	242,528	-	3,211,245	2,045,549	-	-	2,045,549
Sovereign bills, bonds and notes	**3,133,043**	-	-	**3,133,043**	1,152,238	-	-	1,152,238	-	-	-	-
	5,007,486	**5,078,425**	-	**10,085,911**	4,120,955	4,965,322	-	9,086,277	2,045,549	2,947,463	-	4,993,012
Equity investments designated at fair value through other comprehensive income												
Equity investments	-	-	**24,130**	**24,130**	-	-	20,233	20,233	-	-	16,956	16,956
	-	-	**24,130**	**24,130**	-	-	20,233	20,233	-	-	16,956	16,956
Equity investments measured at fair value through profit or loss												
Equity investments	**1,218**	-	-	**1,218**	2,092	-	-	2,092	905	-	-	905
	1,218	-	-	**1,218**	2,092	-	-	2,092	905	-	-	905
	5,008,704	**5,214,737**	**24,130**	**10,247,571**	4,123,047	5,331,986	20,233	9,475,266	2,046,454	3,333,013	16,956	5,396,423
Financial liabilities												
Derivative financial instruments												
Foreign exchange option contracts	-	**3,855**	-	**3,855**	-	9,346	-	9,346	-	2,487	-	2,487
Foreign exchange contracts	-	**22,533**	-	**22,533**	-	3,634	-	3,634	-	6,187	-	6,187
Interest rate swaps	-	**26,115**	-	**26,115**	-	27,309	-	27,309	-	23,523	-	23,523
Options contracts (structured deposits)	-	**25,891**	-	**25,891**	-	184,482	-	184,482	-	172,762	-	172,762
	-	**78,394**	-	**78,394**	-	224,771	-	224,771	-	204,959	-	204,959

The table below sets out information about valuation techniques and significant observable inputs used in measuring financial instruments categorised as Level 2 in the fair value hierarchy.

Description	Level	Valuation techniques	Significant observable inputs
Financial assets held for trading measured at fair value through profit or loss			
(i) Government of Mauritius debts securities and Bank of Mauritius bonds and notes	*2*	Those investments are valued based on the weighted bond yield curve of similar instruments as made publicly available by the local regulator.	Risk adjusted yield curves.
(ii) Corporate bonds and notes		Those investments are valued based on the weighted bond yield curve of similar instruments as made publicly available by the local regulator.	Risk adjusted yield curves.
(iii) Derivative Financial Instruments		Derivative products valued using a valuation technique with market observable inputs include forward foreign exchange contracts and option contracts across several asset classes, including but not limited to Funds, commodities, indices and equities. The most frequently applied valuation techniques include forward pricing and swap models, using present value calculations. The models incorporate various inputs including the foreign exchange spot and forward rates, interest rate curves, volatility curves and/or feeds from appointed valuation/calculation agents.	Interest rate curves, repurchase agreements, money market curves and/or volatility.

The Equity investments designated at FVOCI has been fair valued by using the share price as listed on the company's website but this is classified as Level 3 given that it is not publicly traded. We determine that in the ordinary course of business, the share price is considered to be the most appropriate to determine the fair value.

A 10% increase/decrease in share price will lead to an increase/decrease in fair value of investment of MUR 2.1m for 2025 (2024: MUR 1.8m and 2023: MUR 1.5m).

The reconciliation for level 3 has been disclosed in note 17(c).

Transfers between hierarchy

There was no transfer between fair value hierarchy during the year under review.

32. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial assets and liabilities not measured at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not measured at fair value in the financial statements:

Assets and liabilities for which fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity (less than one year), it is assumed that the carrying amount approximates their fair value. This assumption is also applied to demand deposits and savings accounts without a specific maturity.

Fixed and floating rate financial instruments

The fair value of fixed and floating rate financial assets and liabilities carried at amortised cost is estimated by comparing market interest rates when they are first recognised with current market rates for similar financial instruments. The estimated fair value of fixed and floating interest bearing deposits is based on discounted cash flows using prevailing money market interest rates for debts with similar credit risk and maturity. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining terms to maturity and credit spreads.

The fair value of the below financial assets and financial liabilities are classified in level 3 in the fair value hierarchy.

Set out below is a comparison, by class, of the carrying amounts and fair values of the Group's and the Bank's financial instruments that are not carried at fair value in the financial statements. The table does not include the fair values of non-financial assets and non-financial liabilities.

THE GROUP	**2025**		2024		2023	
	Carrying amount	**Fair value**	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000
Financial assets for which amortised cost approximates fair value						
Cash and balances with banks	**14,140,601**	**14,140,601**	18,847,227	18,847,227	16,757,284	16,757,284
Due from banks	**54,374,971**	**54,374,971**	38,511,567	38,511,567	47,682,116	47,682,116
Loans and advances to banks	**20,955,184**	**20,955,184**	14,647,416	14,647,416	13,189,589	13,189,589
Other assets (excluding prepayments, accrued income, inventory and taxes)	**6,191,713**	**6,191,713**	5,332,090	5,332,090	4,508,784	4,508,784
Fixed and floating rate financial assets						
Loans and advances to customers	**54,733,965**	**54,709,789**	47,857,486	47,810,584	39,266,981	39,201,998
Debt instruments measured at amortised cost	**120,490,242**	**120,168,297**	125,588,785	124,614,987	103,674,862	101,861,020
	270,886,676	**270,540,555**	250,784,571	249,763,871	225,079,616	223,200,791

	2025		2024		2023	
	Carrying amount	**Fair value**	Carrying amount	Fair value	Carrying amount	Fair value
Financial liabilities	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000
Financial liabilities for which amortised cost approximates fair value						
Due to banks	**2**	**2**	868	868	-	-
Deposits from banks	**200,548**	**200,548**	335,051	335,051	358,723	358,723
Borrowings from financial institution	**157,253**	**157,253**	167,183	167,183	150,918	150,918
Lease liabilities	**444,038**	**444,038**	44,582	44,582	64,663	64,663
Other liabilities (excluding advance commission and taxes)	**829,081**	**829,081**	906,946	906,946	869,416	869,416
Fixed and floating rate financial liabilities						
Deposits from customers	**257,972,767**	**257,806,309**	239,910,949	239,616,396	213,229,467	212,711,820
	259,603,689	**259,437,231**	241,365,579	241,071,026	214,673,187	214,155,540

32. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial assets and liabilities not measured at fair value (continued)

THE BANK	2025		2024		2023	
	Carrying amount	**Fair value**	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000
Financial assets for which amortised cost approximates fair value						
Cash and balances with banks	**14,140,601**	**14,140,601**	18,847,227	18,847,227	16,757,277	16,757,277
Due from banks	**54,374,971**	**54,374,971**	38,511,567	38,511,567	47,682,116	47,682,116
Loans and advances to banks	**20,955,184**	**20,955,184**	14,647,416	14,647,416	13,189,589	13,189,589
Other assets (excluding prepayments, accrued income, inventory and taxes)	**6,191,707**	**6,191,707**	5,332,084	5,332,084	4,508,777	4,508,777
Fixed and floating rate financial assets						
Loans and advances to customers	**54,733,965**	**54,709,789**	47,857,486	47,810,584	39,266,981	39,201,998
Debt instruments measured at amortised cost	**120,490,242**	**120,168,297**	125,588,785	124,614,987	103,674,862	101,861,020
	270,886,670	**270,540,549**	250,784,565	249,763,865	225,079,602	223,200,777

	2025		2024		2023	
	Carrying amount	**Fair value**	Carrying amount	Fair value	Carrying amount	Fair value
Financial liabilities	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000
Financial liabilities for which amortised cost approximates fair value						
Due to banks	**2**	**2**	868	868	-	-
Deposits from banks	**200,548**	**200,548**	335,051	335,051	358,723	358,723
Borrowings from financial institution	**157,253**	**157,253**	167,183	167,183	150,918	150,918
Lease liabilities	**444,038**	**444,038**	44,582	44,582	64,663	64,663
Other liabilities (excluding advance commission and taxes)	**828,161**	**828,161**	906,079	906,079	868,417	868,417
Fixed and floating rate financial liabilities						
Deposits from customers	**257,974,800**	**257,808,342**	239,913,413	239,618,860	213,232,468	212,714,821
	259,604,802	**259,438,344**	241,367,176	241,072,623	214,675,189	214,157,542

33. ADDITIONAL CASH FLOW INFORMATION

		THE GROUP			THE BANK		
		2025	2024	2023	**2025**	2024	2023
(a) Cash and cash equivalents	**Notes**	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Cash in hand	**13**	**47,527**	53,905	46,007	**47,527**	53,905	46,007
Unrestricted balances with the Central Bank	**13**	**1,549,547**	761,519	1,247,661	**1,549,547**	761,519	1,247,661
Current accounts with other banks	**13**	**12,544,858**	18,032,869	15,464,801	**12,544,858**	18,032,869	15,464,794
Short term placements with the Central Bank	**14**	**1,200,099**	800,197	2,000,192	**1,200,099**	800,197	2,000,192
Short term placements with other banks	**14**	**42,716,786**	24,546,919	31,793,540	**42,716,786**	24,546,919	31,793,540
Bank overdrafts	**23**	**(2)**	(868)	-	**(2)**	(868)	-
		58,058,815	44,194,541	50,552,201	**58,058,815**	44,194,541	50,552,194
(b) Operating activities							
Profit before tax		**7,732,069**	8,225,944	6,649,986	**7,732,553**	8,226,360	6,650,386
Adjustments for:							
Change in operating assets		**(8,454,502)**	(29,227,903)	(43,407,322)	**(8,454,502)**	(29,227,902)	(43,407,315)
Change in operating liabilities		**19,266,577**	18,067,942	11,593,237	**19,266,093**	18,067,532	11,592,832
Change in employee benefits	**30**	**(565)**	(660)	(343)	**(565)**	(660)	(343)
Non-cash items included in profit before tax		**586,809**	165,686	(86,868)	**586,809**	165,686	(86,868)
Cash flows used in operating activities		**19,130,388**	(2,768,991)	(25,251,310)	**19,130,388**	(2,768,984)	(25,251,308)
(c) Change in operating assets							
Net change in mandatory balances with the Central Bank		**(880,253)**	(846,946)	(1,251,868)	**(880,253)**	(846,946)	(1,251,868)
Net change in placement with the other banks		**3,980,025**	1,274,689	5,503,201	**3,980,025**	1,274,689	5,503,201
Net change in derivative financial instruments		**143,568**	(9,556)	(35,442)	**143,568**	(9,556)	(35,442)
Net change in loans and advances to banks		**(6,794,665)**	(854,216)	(1,209,921)	**(6,794,665)**	(854,216)	(1,209,921)
Net change in loans and advances to customers		**(7,236,574)**	(7,247,060)	(10,442,701)	**(7,236,574)**	(7,247,060)	(10,442,701)
Net change in investment securities		**2,421,581**	(21,517,120)	(35,893,271)	**2,421,581**	(21,517,120)	(35,893,271)
Net change in other assets		**(88,184)**	(27,694)	(77,320)	**(88,184)**	(27,693)	(77,313)
		(8,454,502)	(29,227,903)	(43,407,322)	**(8,454,502)**	(29,227,902)	(43,407,315)
(d) Change in operating liabilities							
Net change in deposits from banks		**(132,279)**	(31,294)	(10,864)	**(132,279)**	(31,294)	(10,864)
Net change in deposits from customers		**19,716,987**	18,198,758	11,102,436	**19,716,556**	18,198,222	11,102,053
Net change in borrowings from financial institutions		**(17,648)**	11,120	2,260	**(17,648)**	11,120	2,260
Net change in derivative financial instruments		**(146,873)**	19,839	38,109	**(146,873)**	19,839	38,109
Net change in other liabilities		**(153,610)**	(130,481)	461,296	**(153,663)**	(130,355)	461,274
		19,266,577	18,067,942	11,593,237	**19,266,093**	18,067,532	11,592,832
(e) Non-cash items included in profit before tax							
Depreciation of property and equipment	**19**	**30,411**	30,419	28,599	**30,411**	30,419	28,599
Depreciation of right of use assets	**21**	**27,654**	23,586	35,309	**27,654**	23,586	35,309
Amortisation of intangible assets	**20**	**38,805**	92,981	60,495	**38,805**	92,981	60,495
Tangible and intangible assets written off	**19,20**	**-**	82,688	4,125	**-**	82,688	4,125
Loss on disposal on equipment		**373**	-	-	**373**	-	-
Employee benefits	**30**	**(18,310)**	(20,792)	35,410	**(18,310)**	(20,792)	35,410
Net impairment loss/(credit) on financial assets	**8**	**403,278**	(49,315)	(243,645)	**403,278**	(49,315)	(243,645)
Fair value movement on derivative financial instruments		**85,959**	36,794	22,185	**85,959**	36,794	22,185
Fair value movement on investment securities (HFT)		**(2,422)**	(5,466)	(11,462)	**(2,422)**	(5,466)	(11,462)
Net foreign exchange difference		**21,061**	(25,209)	(17,884)	**21,061**	(25,209)	(17,884)
		586,809	165,686	(86,868)	**586,809**	165,686	(86,868)
(f) Operational cash flows from interest							
Interest paid		**(5,242,860)**	(3,714,948)	(1,070,560)	**(5,242,860)**	(3,714,948)	(1,070,560)
Interest received		**12,464,595**	11,411,415	7,797,881	**12,464,595**	11,411,415	7,797,881

34. MATURITY ANALYSIS OF ASSETS AND LIABILITIES

The Group and the Bank classify an asset or liability as current when:

- they expect to realise the asset/settle the liability within 12 months after the reporting period;
- they expect to settle the liability in its normal operating cycle;
- they hold the asset or liability primarily for the purpose of trading;
- they expect to realise the asset, or intend to sell or consume it, in its normal operating cycle;
- the asset is cash or a cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period; or
- they do not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Group and the Bank classify all other assets and liabilities as non-current.

(a) THE GROUP

	2025			2024			2023		
	Current	**Non-current**	**Total**	Current	Non-current	Total	Current	Non-current	Total
ASSETS	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	**14,140,601**	**-**	**14,140,601**	18,847,227	-	18,847,227	16,757,284	-	16,757,284
Due from banks	**54,374,971**	**-**	**54,374,971**	38,511,567	-	38,511,567	43,048,995	4,633,121	47,682,116
Derivative financial instruments	**44,600**	**91,712**	**136,312**	81,973	284,691	366,664	30,460	355,090	385,550
Loans and advances to banks	**8,498,661**	**12,456,523**	**20,955,184**	3,354,440	11,292,976	14,647,416	6,135,789	7,053,800	13,189,589
Loans and advances to customers	**16,915,708**	**37,818,257**	**54,733,965**	14,344,743	33,512,743	47,857,486	12,489,564	26,777,417	39,266,981
Investment securities	**94,582,578**	**36,018,923**	**130,601,501**	93,558,148	41,139,239	134,697,387	65,903,546	42,782,189	108,685,735
Other assets	**6,578,196**	**-**	**6,578,196**	5,608,828	-	5,608,828	4,751,969	-	4,751,969
Property and equipment	**-**	**796,515**	**796,515**	-	604,442	604,442	-	159,161	159,161
Right of use assets	-	**441,847**	**441,847**	-	45,421	45,421	-	65,779	65,779
Intangible assets	-	**262,569**	**262,569**	-	265,545	265,545	-	362,778	362,778
Deferred tax assets	-	**379,952**	**379,952**	-	294,219	294,219	-	280,787	280,787
TOTAL ASSETS	**195,135,315**	**88,266,298**	**283,401,613**	174,306,926	87,439,276	261,746,202	149,117,607	82,470,122	231,587,729
LIABILITIES									
Due to banks	**2**	**-**	**2**	868	-	868	-	-	-
Deposits from banks	**200,548**	**-**	**200,548**	335,051	-	335,051	358,723	-	358,723
Deposits from customers	**252,189,925**	**5,782,842**	**257,972,767**	235,991,688	3,919,261	239,910,949	205,621,699	7,607,768	213,229,467
Borrowings from financial institution	**-**	**157,253**	**157,253**	-	167,183	167,183	-	150,918	150,918
Derivative financial instruments	**38,780**	**39,614**	**78,394**	80,166	144,605	224,771	28,059	176,900	204,959
Current tax liabilities	**431,413**	**-**	**431,413**	522,721	-	522,721	821,973	-	821,973
Lease liabilities	**47,330**	**396,708**	**444,038**	14,799	29,783	44,582	22,946	41,717	64,663
Other liabilities	**979,142**	**-**	**979,142**	1,082,422	-	1,082,422	1,197,332	-	1,197,332
Employee benefits	**1,066**	**187,108**	**188,174**	2,480	184,119	186,599	-	110,936	110,936
TOTAL LIABILITIES	**253,888,206**	**6,563,525**	**260,451,731**	238,030,195	4,444,951	242,475,146	208,050,732	8,088,239	216,138,971

34. MATURITY ANALYSIS OF ASSETS AND LIABILITIES (CONTINUED)

(b) THE BANK

	2025			2024			2023		
	Current	**Non-current**	**Total**	Current	Non-current	Total	Current	Non-current	Total
ASSETS	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	**14,140,601**	**-**	**14,140,601**	18,847,227	-	18,847,227	16,757,277	-	16,757,277
Due from banks	**54,374,971**	**-**	**54,374,971**	38,511,567	-	38,511,567	43,048,995	4,633,121	47,682,116
Derivative financial instruments	**44,600**	**91,712**	**136,312**	81,973	284,691	366,664	30,460	355,090	385,550
Loans and advances to banks	**8,498,661**	**12,456,523**	**20,955,184**	3,354,440	11,292,976	14,647,416	6,135,789	7,053,800	13,189,589
Loans and advances to customers	**16,915,708**	**37,818,257**	**54,733,965**	14,344,743	33,512,743	47,857,486	12,489,564	26,777,417	39,266,981
Investment securities	**94,582,578**	**36,018,923**	**130,601,501**	93,558,148	41,139,239	134,697,387	65,903,546	42,782,189	108,685,735
Other assets	**6,578,190**	**-**	**6,578,190**	5,608,822	-	5,608,822	4,751,962	-	4,751,962
Property and equipment	**-**	**796,515**	**796,515**	-	604,442	604,442	-	159,161	159,161
Right of use assets	**-**	**441,847**	**441,847**	-	45,421	45,421	-	65,779	65,779
Intangible assets	**-**	**262,569**	**262,569**	-	265,545	265,545	-	362,778	362,778
Deferred tax assets	**-**	**379,952**	**379,952**	-	294,219	294,219	-	280,787	280,787
TOTAL ASSETS	**195,135,309**	**88,266,298**	**283,401,607**	174,306,920	87,439,276	261,746,196	149,117,593	82,470,122	231,587,715
LIABILITIES									
Due to banks	**2**	**-**	**2**	868	-	868	-	-	-
Deposits from banks	**200,548**	**-**	**200,548**	335,051	-	335,051	358,723	-	358,723
Deposits from customers	**252,191,958**	**5,782,842**	**257,974,800**	235,994,152	3,919,261	239,913,413	205,621,699	7,610,769	213,232,468
Borrowings from financial institution	**-**	**157,253**	**157,253**	-	167,183	167,183	-	150,918	150,918
Derivative financial instruments	**38,780**	**39,614**	**78,394**	80,166	144,605	224,771	28,059	176,900	204,959
Current tax liabilities	**431,413**	**-**	**431,413**	522,721	-	522,721	821,973	-	821,973
Lease liabilities	**47,330**	**396,708**	**444,038**	14,799	29,783	44,582	22,946	41,717	64,663
Other liabilities	**978,222**	**-**	**978,222**	1,081,555	-	1,081,555	1,196,336	-	1,196,336
Employee benefits	**1,066**	**187,108**	**188,174**	2,480	184,119	186,599	-	110,936	110,936
TOTAL LIABILITIES	**253,889,319**	**6,563,525**	**260,452,844**	238,031,792	4,444,951	242,476,743	208,049,736	8,091,240	216,140,976

35. COMMITMENTS AND GUARANTEES

To meet the financial needs of customers, the Group and the Bank enter into financial guarantees, letters of credit and other undrawn commitments to lend. Even though the obligations may not be recognised on the statements of financial position they do contain credit risk and are therefore part of the overall risk of the Group and the Bank.

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Financial guarantees	**3,738,867**	2,682,571	2,186,633
Letters of credit	**215,960**	91,995	259,900
Bills for collection	**2,475,545**	1,673,387	2,634,936
	6,430,372	4,447,953	5,081,469
Commitments			
Undrawn commitments to lend	**13,547,429**	12,879,837	10,747,656
Total gross carrying amount	**19,977,801**	17,327,790	15,829,125

Financial guarantees and letters of credit (including standby letters of credit) commit the Group and the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods.

Undrawn commitments to lend

Undrawn Commitment refers to credit facilities that the Bank has agreed to be made available to the Borrower, upon receiving signed Facility offer Letter under a committed Revolving Credit Facility or a Delayed Draw Term Facility that the Borrower has either not drawn, or has partly drawn and repaid. For such facilities, the date that the Bank becomes a party to the irrevocable commitment shall be considered to be the date of initial recognition for the purposes of applying impairment requirements.

36. RELATED PARTY DISCLOSURES

	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Compensation to key management personnel						
Salaries and short-term employee benefits	**130,163**	129,695	116,580	**130,163**	129,695	116,580

The liability in relation to post employment benefit obligations of the Group and the Bank pertaining to key management personnel amount to MUR 57.4m (2024: MUR 55.0m; 2023: MUR 48.1m)

The following tables provide the total amount of transactions, which have been entered into with key management personnel and all Identified related parties and the corresponding balances for the relevant financial year:

THE GROUP

Balances:	**Cash and cash equivalents**	**Due from banks**	**Derivative financial assets**	**Loans and advances**	**Investment securities**	**Other assets**	**Derivative financial liabilities**	**Deposits**	**Other liabilities**
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Subsidiary									
30 June 2025	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(2,033)**	**-**
30 June 2024	-	-	-	-	-	-	-	(2,306)	-
30 June 2023	-	-	-	-	-	-	-	(2,848)	-
Key management personnel									
30 June 2025	**-**	**-**	**649**	**101,426**	**-**	**-**	**(45)**	**(412,519)**	**(752)**
30 June 2024	-	-	-	58,709	740	-	(159)	(110,676)	(972)
30 June 2023	-	-	-	33,398	-	-	(420)	(102,090)	(1,288)
Entities with significant influence *									
30 June 2025	**170,343**	**12,595,434**	**4,043**	**492,852**	**-**	**5,170**	**-**	**(57,916)**	**-**
30 June 2024	62,700	5,489,450	11,426	429,456	100,025	4,217	-	(60,223)	-
30 June 2023	79,480	12,397,212	18,088	495,303	100,029	4,590	-	(59,233)	-
Entities within the same group *									
30 June 2025	**-**	**-**	**-**	**1,107,813**	**-**	**15**	**(4,043)**	**(1,341,642)**	**(42,685)**
30 June 2024	-	-	-	1,321,390	-	1,928	(11,426)	(1,158,325)	(44,110)
30 June 2023	-	2,283,768	-	741,957	-	284	(18,088)	(243,852)	(51,410)
Other related parties *									
30 June 2025	**-**	**-**	**-**	**46,098**	**-**	**-**	**-**	**(33,259)**	**-**
30 June 2024	-	-	-	27,132	-	-	-	(13,673)	(65)
30 June 2023	-	-	-	8,241	-	-	-	(48,468)	-

Transactions:	**Interest income**	**Interest Expense**	**Net fee and commission income**	**Other income**	**Other Expense**
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Subsidiary					
30 June 2025	**-**	**-**	**-**	**-**	**-**
30 June 2024	-	-	1	-	-
30 June 2023	-	-	-	-	-
Key management personnel					
30 June 2025	**3,514**	**(13,053)**	**368**	**-**	**(5,017)**
30 June 2024	2,176	(11,342)	336	75	(5,601)
30 June 2023	1,330	(3,069)	251	-	(3,577)
Entities with significant influence *					
30 June 2025	**639,668**	**-**	**580**	**1,965**	**(8,319)**
30 June 2024	276,390	-	45	787	(7,127)
30 June 2023	279,854	-	118	-	(1,952)
Entities within the same group *					
30 June 2025	**67,894**	**(27,194)**	**3,501**	**-**	**(82,641)**
30 June 2024	68,267	(17,863)	5,813	(787)	(34,859)
30 June 2023	28,801	(5,364)	2,543	808	(38,445)
Other related parties *					
30 June 2025	**2,693**	**(1,008)**	**28**	**1**	**(59)**
30 June 2024	993	(770)	390	-	(26)
30 June 2023	1,772	(460)	393	-	(198)

* Shareholders having more than 20% shareholding are considered to have significant influence over the Group and the Bank and are categorised as "Entities with significant influence". "Entities within the same group" consists of subsidiaries of those shareholders having significant influence over the Group and the Bank. "Other related parties" include close family members of KMP and entities controlled by KMP.

Directors' fees paid during the year amount to MUR 22.7m (2024: MUR 22.8m; 2023:MUR 24.2m).

The dividend paid to related parties on Ordinary Shares is MUR 1.3bn (2024: MUR 1.5bn, 2023: MUR 259.2m).

The dividend paid to related parties on Class A Shares is MUR 4.3m (2024: MUR 5.8m, 2023: MUR 2.4m).

36. RELATED PARTY DISCLOSURES (CONTINUED)

THE BANK

Balances:	Cash and cash equivalents	Due from banks	Derivative financial assets	Loans and advances	Investment securities	Other assets	Derivative financial liabilities	Deposits	Other liabilities
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Subsidiary									
30 June 2025	-	-	-	-	-	-	-	**(2,033)**	-
30 June 2024	-	-	-	-	-	-	-	(2,306)	-
30 June 2023	-	-	-	-	-	-	-	(2,848)	-
Key management personnel									
30 June 2025	-	-	-	**41,064**	-	-	**(45)**	**(110,858)**	**(752)**
30 June 2024	-	-	-	58,709	740	-	(159)	(110,676)	(972)
30 June 2023	-	-	-	24,920	-	-	(420)	(61,010)	(1,288)
Entities with significant influence *									
30 June 2025	**170,343**	**12,595,434**	**4,043**	**492,852**	-	**5,170**	-	**(297)**	-
30 June 2024	62,700	5,489,450	11,426	429,456	100,025	4,217	-	(60,223)	-
30 June 2023	79,480	12,397,212	18,088	495,303	100,029	4,590	-	(59,233)	-
Entities within the same group *									
30 June 2025	-	-	-	**1,107,813**	-	**15**	**(4,043)**	**(1,341,642)**	**(42,685)**
30 June 2024	-	-	-	1,321,390	-	1,928	(11,426)	(1,158,325)	(44,110)
30 June 2023	-	2,283,768	-	741,957	-	284	(18,088)	(243,852)	(51,410)
Other related parties *									
30 June 2025	-	-	-	**45,598**	-	-	-	**(10,384)**	-
30 June 2024	-	-	-	27,132	-	-	-	(13,673)	(65)
30 June 2023	-	-	-	8,241	-	-	-	(48,468)	-

Transactions:	Interest income	Interest Expense	Net fee and commission income	Other income	Other Expense
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Subsidiary					
30 June 2025	-	-	-	-	-
30 June 2024	-	-	1	-	-
30 June 2023	-	-	-	-	-
Key management personnel					
30 June 2025	**2,846**	**(5,224)**	**62**	-	**(4,555)**
30 June 2024	2,110	(4,535)	73	34	(6,026)
30 June 2023	1,102	(1,739)	39	-	(4,975)
Entities with significant influence *					
30 June 2025	**639,668**	-	**63**	**1,965**	**(8,319)**
30 June 2024	276,390	-	45	787	(7,127)
30 June 2023	279,854	-	118	-	(1,952)
Entities within the same group *					
30 June 2025	**67,894**	**(27,194)**	**3,501**	-	**(82,641)**
30 June 2024	68,267	(17,863)	5,813	(787)	(97,286)
30 June 2023	28,801	(5,364)	2,543	808	(91,980)
Other related parties *					
30 June 2025	**2,693**	**(395)**	**14**	-	**(59)**
30 June 2024	992	(750)	42	-	(23)
30 June 2023	317	(452)	110	-	(198)

* Shareholders having more than 20% shareholding are considered to have significant influence over the Group and the Bank and are categorised as "Entities with significant influence". "Entities within the same group" consists of subsidiaries of those shareholders having significant influence over the Group and the Bank. "Other related parties" include close family members of KMP and entities controlled by KMP.

Terms and conditions of transactions with related parties

The above mentioned outstanding balances arose in the normal course of business. For the year ended 30 June 2024, the Group and the Bank have raised expected credit losses for doubtful debts relating to amounts owed by relating parties as per ECL model currently being applied on financial assets. At 30 June 2025, none of the facilities to related parties were non-performing (2024 and 2023: MUR Nil). In addition, for the year ended 30 June 2025 the Bank has not written off any amount owed by related party (2024: MUR Nil and 2023: MUR Nil).

Amount due to/from related parties

The related party transactions were carried out under market terms and conditions with the exception of loans to Key Management Personnel who benefitted from preferential rates as applicable to staffs. The above balances were partly secured and unsecured.

37. FINANCIAL RISK MANAGEMENT

Introduction

Risk is inherent in the Group's and the Bank's activities but it is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Group's and the Bank's continuing profitability and each individual within the Group and the Bank is accountable for the risk exposures relating to his or her responsibilities. The Group and the Bank are exposed to credit risk, liquidity risk and market risk, the latter being subdivided into trading and non-trading risks. It is also subject to operational risks.

In general, risk involves uncertainty about the outcome of a particular situation or venture. It often arises when there are multiple possible outcomes, some of which may be unfavourable or undesirable. The severity of the risk is typically measured by considering the probability of occurrence and the potential impact it may have.

Managing risk involves identifying, assessing, and mitigating potential risks to minimize their negative effects. This process typically involves:

Risk Identification: Identifying and understanding the risks associated with a particular situation or decision. This can be done through careful analysis, historical data, expert opinions, and other relevant sources.

Risk Assessment: Evaluating the likelihood and potential impact of identified risks. This step involves analysing the probability of occurrence and estimating the potential consequences on objectives, resources, or individuals.

Risk Mitigation: Developing strategies and measures to reduce or eliminate risks. This can involve implementing preventive measures, creating contingency plans, transferring risk to others through insurance or contracts, or accepting certain risks if their impact is considered acceptable.

Risk Monitoring and Review: Continuously monitoring the situation to detect any new risks, assessing the effectiveness of risk mitigation measures, and adjusting strategies as needed. Regular reviews and updates are essential to adapt to changing circumstances.

It is important to note that risk cannot always be completely eliminated, and some level of risk may be necessary to achieve certain goals or outcomes. Effective risk management involves finding the right balance between risk and reward, considering both the potential benefits and the potential negative consequences of a decision or action.

It's worth mentioning that risk perception can vary from person to person. What may be perceived as risky by one individual may not be seen as significant by another. Factors such as personal experiences, cultural background, and individual tolerance for uncertainty can influence how individuals perceive and respond to risks.

Risk management structure

The Board of Directors is ultimately responsible for identifying and controlling risks. However, there are separate independent bodies responsible for managing and monitoring risks.

Board of Directors

The Board of Directors as well as the Group's and the Bank's senior management are responsible for understanding both the nature and level of risks taken by the institution and how the risks relate to adequate capital level. The Board is also responsible for the overall risk management approach and frameworks as well as for approving the risk strategies and principles.

Risk Committee

The Committee has the overall responsibility for the development of the risk strategy and implementing principles, policies and limits. The Committee is responsible for monitoring risk levels and make relevant recommendations to the Board.

Asset and Liability Management

The Bank's Asset and Liability Management is responsible for managing the Bank's assets and liabilities and the overall financial structure. It is also primarily responsible for managing the funding and liquidity risks of the Bank. Refer to the Liquidity and Funding Risk section of the Risk Management Report for Liquidity Coverage Ratio (LCR).

Internal Audit

Internal Audit has a risk based audit plan which takes into account risk management processes. Internal Audit provides assurance on the operational efficiency of the risk management processes, reliability of reporting and compliance with laws and/or regulations. Internal Audit discusses the results of all assessments with management and reports its main findings and recommendations to the Audit Committee.

(a) Risk measurement and reporting systems

Monitoring and controlling risks is primarily performed based on limits established by the Group and the Bank. These limits reflect the business strategy and market environment of the Group and the Bank as well as the level of risk that the Group and the Bank are willing to accept, with additional emphasis on selected industries. In addition, the Group's and the Bank's policy is to measure and monitor the overall risk bearing capacity in relation to the aggregate risk exposure across all risk types and activities.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the Risk Committee and the Head of each business division. The report includes aggregate credit exposure, hold limit exceptions, liquidity ratios and risk profile changes. Senior management assesses the appropriateness of the allowance for credit losses on a monthly basis.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(a) Risk measurement and reporting systems (continued)

Risk mitigation

As part of its overall risk management, the Group and the Bank uses derivatives and other instruments to manage exposures resulting from changes in foreign currencies.

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographical location. In order to avoid excessive concentrations of risk, the Bank's policies and procedures include specific guidelines to focus on maintaining a diversified portfolio.

During the financial year ended 30 June 2025, the Bank has taken active steps in prudently managing its exposures and ensuring that its loan book is adequately diversified in line with the policy of the Bank, while periodically conducting stress tests to assess the resilience of its portfolio in case of unfavourable events. The Bank's credit concentration ratio for both single and group obligors are well within regulatory limit. Furthermore, the credit concentration ratio for large exposures above 10% stood at 122.05% as at 30 June 2025, is also well within the regulatory limit of 800%. The maximum credit exposure to any single consumer was 9.53% of the Bank's Tier 1 Capital within a regulatory limit of 25%. The maximum credit exposure to any group of closely related customers were 27.77% of the Bank's Tier 1 within a regulatory limit of 40%. The key focus of the Bank's credit risk management approach is to avoid any undue concentration in its credit portfolio, whether in terms of counterparty, group, portfolio, and country. The Bank has always kept its large exposures within the regulatory limits. Refer to "Risk concentrations: Maximum exposure to credit risk without taking account of any collateral and other credit enhancements" below for the maximum exposure to credit risk for the components of the statements of financial position, including derivatives, by geography and by industry before the effect of mitigation through the use of master netting and collateral agreements.

From a market risk perspective, position limits are used at the Bank to limit concentration risk by restricting the maximum exposure to one particular market, sector or instrument. These limits are carefully set so as to ensure appropriate diversification among the different portfolios but at the same time are not overly restrictive to prevent the generation of absolute returns. Position limits complement the other types of risk management tools used at the Bank as they are easily understood, implemented and monitored. The Group and the Bank classify exposures to market risk into either trading or non-trading portfolios and manage these portfolios separately. Except for the concentrations within foreign currency, the Group and the Bank have no significant concentration of market risk. Refer to note 37 (d)(i) for interest rate risk concentration and sensitivity.

As per the principles outlined in the Bank's liquidity risk policy, depositor concentration is monitored against internal limits and ensuring sufficient marketable assets are held against the bank's deposit base. The Bank aims to maintain an adequate balance of its funding base through appropriate diversification of its funding sources. The Bank also diversifies its funding by currency, geography and maturity. Management's objective is to achieve an optimal balance between demand and term deposits in line with the Bank's asset deployment strategy. As of the end of the current financial year, the Bank does not foresee any event, commitment or demand that might have a significant impact on its funding and liquidity risk position. The Bank's short-term depositor concentration ratios were as follows:
- Single depositor/ Group of related counterparties - 1.4% (MUR deposits) 2.8% (FCY deposits); and
- Top 10 depositors/ Group of related counterparties - 10.0% (MUR deposits) 9.1% (FCY deposits).

For more information about concentration of risk, kindly refer to Risk Management report as depicted below:
- A description of how management determines concentrations - refer to section concentration of risk; and
- A description of the shared characteristic that identifies each concentration and the amount of the risk exposure associated with all financial instruments sharing that characteristic - refer to section concentration by geography and industry.

(b) Credit risk

Credit risk represents the potential for financial loss arising from a counterparty's failure to meet its contractual obligations to the Bank. As lending constitutes one of the core revenue-generating activities of AfrAsia Bank, credit risk is recognised as a principal risk requiring robust and proactive management.

The Bank is exposed to credit risk primarily through direct lending, working capital financing, participation in syndicated credit arrangements, trade finance activities, and investments in debt securities. Additionally, credit risk also arises from off-balance sheet exposures such as financial guarantees, letters of credit, derivatives, and other non-fund-based facilities.

In line with regulatory requirements and internal risk appetite, the Bank adopts a comprehensive and integrated approach to credit risk management. This includes rigorous assessment and monitoring of counterparty creditworthiness, as well as consideration of broader risk dimensions such as industry exposure, geographic concentration, political and economic factors, and systemic risks. This holistic framework supports the Bank's objective of maintaining a resilient credit portfolio while supporting sustainable growth.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Credit risk management

The Bank's credit risk management framework is structured around three core pillars: (i) Policies, (ii) Risk Methodologies, and (iii) Processes, Systems, and Reporting. This framework is designed to foster a culture of responsible lending, anchored by a clearly defined credit risk appetite and supported by comprehensive internal policies and robust control mechanisms.

Credit risk assessment and approval are conducted independently from business units to ensure expert evaluation and unbiased decision-making. The Bank employs a delegated lending authority framework, whereby credit approvals are granted at various levels according to the size and nature of the exposure. Ongoing monitoring is conducted to ensure exposures remain within established appetite and limit thresholds, and that asset quality and counterparty risk are effectively managed.

Independent oversight functions provide continuous reporting to the Bank's governance committees on any breaches of limits, policies, or procedures, ensuring strict adherence to the approved risk appetite and regulatory requirements.

Furthermore, the credit risk management framework is strengthened by the implementation of policies and procedures dedicated to the maintenance and validation of models used for estimating Expected Credit Losses (ECL), thereby supporting accurate risk measurement and provisioning.

The Bank employs a combination of internal and external credit rating systems alongside statistical regression analysis to estimate the Probability of Default (PD) for its counterparties. Internal credit ratings are mapped against Standard & Poor's (S&P) default rate tables, enabling the Bank to align its PD estimates with internationally recognized benchmarks.

Additionally, the Bank utilises statistical regression models based on historical data to quantify the relationship between macroeconomic indicators and observed default rates (ODR). This approach enhances the accuracy and forward-looking nature of the PD estimation.

For non-resident counterparties, country risk assessments are incorporated into the Expected Credit Loss (ECL) calculations to reflect sovereign risk and external economic conditions impacting creditworthiness.

Credit Risk Ratings

All customers and counterparties of the Bank are assigned a credit rating by CRISIL system based on quantitative and qualitative information received and fed into the model thereby providing a Through The Cycle (TTC) ratings based on historical data. Ratings are revised based on updated information on a frequent basis.

As the credit risk increases, the difference in risk of default between grades changes. Each exposure is allocated to a credit risk grade at initial recognition, based on the available information about the counterparty. All exposures are monitored and the credit risk grade updated to reflect current information. The monitoring procedures followed are both general and tailored to the type of exposures. The following data are typically used to monitor the Bank's exposures:

- Payment record and ageing analysis;
- Extent of utilisation of granted limit;
- Changes in business, financial and economic conditions;
- Credit rating information supplied by external rating agencies;
- For retail exposures internally, generated data of customer behaviour or other metrics; and
- Changes in credit worthiness/ratings: if the external/internal rating on the borrower drops to below A- and has dropped by two or more notches.

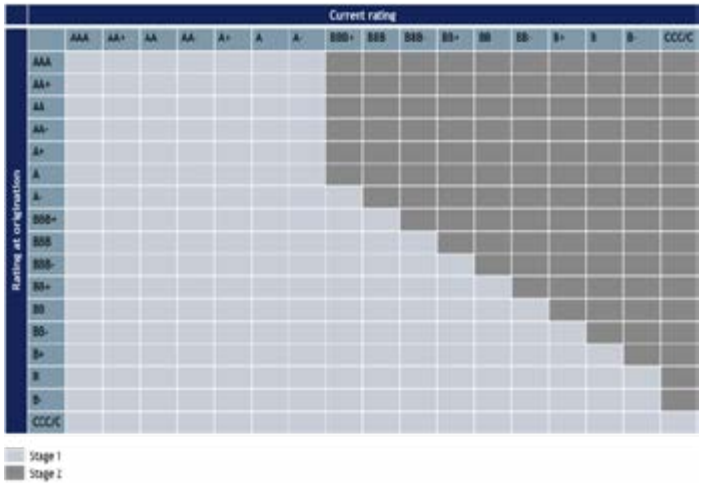
The Bank uses credit risk grades as a primary input into the determination of the term structure of the PD for exposures. The Bank collects performance and default information about its credit risk exposure analysed by business segment (Corporate and Retail) and residency, as well as by credit risk grading. The information used is both internal and external depending on the portfolio assessed.

The below tables demonstrate changes in credit worthiness/ratings and the mapping of the Bank's credit risk grades to external ratings.

For the purpose of the below table, PD refers to observable default rates.

FY 2025			
Internal Rating	External Rating Equivalent	Description	Mapped S&P 1 Yr PD
AAA	AA-	Prime	0.03%
AA+	A+	Upper Medium Grade	0.04%
AA	A-		0.07%
AA-	BBB	Lower Medium Grade	0.14%
A+	BBB-		0.21%
A	BB+	Non-Investment Grade Speculative	0.28%
A-	BB		0.45%
BBB+			
BBB	BB-		0.88%
BBB-	B+	Highly Speculative	1.86%
BB+	B		2.73%
BB			
BB-	B-		5.33%
B+	CCC+	Substantial Risk	7.86%
B			
B-	CCC	Extremely Speculative	13.32%
C	CCC-	Default imminent with little prospect for recovery	22.57%
CC			
D	D	In default	100.00%

FY 2024 and FY 2023			
Internal Rating	External Rating Equivalent	Description	Mapped S&P 1 Yr PD
AAA	AA-	Prime	0.03%
AA+	A+	Upper Medium Grade	0.04%
AA	A-		0.07%
AA-	BBB	Lower Medium Grade	0.14%
A+	BBB-		0.22%
A	BB+	Non-Investment Grade Speculative	0.29%
A-	BB		0.45%
BBB+			
BBB	BB-		0.91%
BBB-	B+	Highly Speculative	1.91%
BB+	B		2.85%
BB			
BB-	B-		5.53%
B+	CCC+	Substantial Risk	7.59%
B			
B-	CCC	Extremely Speculative	12.85%
C	CCC-	Default imminent with little prospect for recovery	21.73%
CC			
D	D	In default	100.00%



37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Significant Increase in Credit Risk (SICR)

In accordance with IFRS 9, the Group and the Bank actively monitor all financial assets at amortised cost, loan commitments, and financial guarantee contracts subject to impairment requirements to determine whether Significant Increase in Credit Risk (SICR) has occurred since initial approval. Upon identification of SICR, a lifetime Expected Credit Loss (ECL) is recognised, replacing 12-month ECL previously applied.

The Group and the Bank have elected not to apply the IFRS 9 practical expedient that permits the assumption that financial instruments with 'low credit risk' at the reporting date have not experienced a significant increase in credit risk. Instead, all exposures regardless of credit rating are assessed individually for SICR to ensure a robust and risk-sensitive approach.

SICR assessment is carried out on a quarterly basis, with due consideration to quantitative and qualitative indicators, with primary emphasis placed on Days Past Due (DPD) and internal credit risk grading. Where DPD exceeds 30 days, file is classified as Stage 2 asset.

In line with internal governance practices, any exposure with credit review overdue by more than six months is conservatively classified as Stage 2 asset.
This reflects Bank's prudent stance on credit risk where updated risk information is unavailable.

Quarterly SICR assessment also incorporates a wide range of qualitative indicators, including:

- Adverse legal or regulatory developments (e.g., court orders, confirmed fraud)
- Financial restructuring or modification of initial terms and conditions due to emerging financial distress
- Deterioration in Borrower's financial condition impairing debt-servicing capacity
- Adverse developments in Borrower's industry or macroeconomic environment
- Sovereign or country risk downgrades
- Significant reductions in profitability, revenue, or market capitalisation (for listed entities)

The SICR framework is subject to regular oversight by Risk Management function, management committees, sub-committees to the Board and the Board of Directors, to ensure continued alignment with evolving regulatory requirements, internal risk appetite, and macroeconomic conditions.

Incorporation of forward looking information

The Bank incorporates forward looking information ("FLI") that is available without undue cost or effort in its assessment of significant increases in credit risk (SICR) and in the measurement of ECLs.
The Bank makes use of a series of macroeconomic regression models to predict the default rates. The Forward-Looking impact is determined, for both Retail and Corporate, based on an econometric model using reasonable and supportable macroeconomic information that is available at the time of the ECL computation to adequately reflect underlying market and macroeconomic conditions. These models were developed by considering both the Bank's historical experience on its portfolios, as well as external information. External information used includes historical global default rates from S&P Global Ratings (S&P Global) and macroeconomic forecasts from the International Monetary fund (IMF) and Statistics Mauritius for domestic macroeconomic indicators. Macroeconomic variables that are included in the models are GDP growth rate (applied to Corporate and Retail Non-Resident Portfolios) and Consumer Price Index/Inflation Rate (for the Retail Resident Portfolio).

For the Corporate PD and FLI:
- A macroeconomic regression model is used to calculate the forward-looking adjustment to convert the TTC PDs to PiT PDs. The forward-looking adjustments are calculated for the following country groups, based on the GDP forecasts for the country or region:
- Africa
- Asia
- Europe
- Mauritius
- United States
- Global
- The April 2025 IMF data reflects continued global economic slowdown, regional risks (e.g., geopolitical tensions), and policy tightening in major economies. These regional GDP forecasts directly impact forward-looking adjustments in corporate and non-resident retail portfolios.

Retail PD and FLI:
- Updated internal data and forward-looking indicators (e.g. CPI), impacting retail PD.
- Recent CPI figures capture the effects of global supply chain pressures, domestic fuel price volatility, and inflation- targeting policies by the Bank of Mauritius.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

ECL Measurement

The key inputs into the measurement of ECL are the following:
(i) probability of default (PD);
(ii) loss given default (LGD); and
(iii) exposure at default (EAD).
These parameters are derived as detailed below and they are adjusted to reflect forward-looking information as described in the previous section.

The IFRS 9 ECL is calculated every quarter, or as frequently as required. Separate IFRS9 ECL calculations are performed for Stage 1, Stage 2 and Stage 3 accounts.

Probability of default ("PD")

PD is the estimated likelihood that an obligor will default over a given time horizon. Estimates consider contractual maturities, current conditions, and forward-looking factors that may affect default risk.

For Stage 1 exposures, PD is measured over 12 months; for Stage 2, it covers the remaining lifetime of the contract. For undrawn facilities, a behavioural lifetime is applied. PDs are derived from internal data for the Segment A Retail portfolio, and from external or benchmark data for the Segment A and B Corporate portfolios where internal data is limited. Calibration incorporates historical experience and future expectations.

Loss given default ("LGD")

LGD represents the estimated loss on the outstanding balance at default, after accounting for expected recoveries. It is calibrated using internal data, supplemented with benchmark data where internal information is insufficient.

For performing accounts, LGD depends on the type of collateral held, in line with Basel II guidelines. For non-performing accounts, it is calculated on the assumption that the Bank will take possession of and liquidate the collateral.

Setting LGD for future periods involves significant judgement, with external benchmarks used where internal data is limited.

Exposure at default ("EAD")

EAD represents the amount the Group and the Bank expect to be owed by an obligor at the time of default. For overdrafts, credit cards, and financial guarantees, EAD includes both the current outstanding balance and potential future drawings under the facility.

The Bank measures expected credit losses (ECL) over the contractual period during which it is exposed to credit risk, up to the date it can demand repayment or terminate a commitment. For products like credit cards, revolving credit facilities, and overdrafts, the Bank's exposure period may extend beyond the contractual notice period, as these facilities do not have fixed terms and are rarely cancelled unless credit risk increases. In such cases, ECL is measured over the period during which the Bank remains exposed to credit risk and potential losses are not mitigated by credit risk management actions.

Groupings based on shared risks characteristics

When ECL are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, such as Instrument type, Sector/sub-sector and Geographic location. The groupings are reviewed on a regular basis to ensure that each group is comprised of homogeneous exposures.

Individually assessed allowances

The Group and the Bank determine the allowances to be appropriate for each facility assessed on an individual basis. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance once a financial difficulty has arisen, projected receipts and the expected dividend payout should bankruptcy ensue, the availability of other financial support, the realisable value of collateral, the timing of the expected cash flows, likelihood of experiencing a loss event and current/future macro-economic conditions. The impairment losses are evaluated at each reporting date, unless unforeseen circumstances require more careful attention.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Regulatory provision

On 20 August 2024, the Bank of Mauritius (BOM) released an updated Guideline on Classification, Provisioning and Write-Off of Credit Exposures. This new guideline replaces the previous Guideline for the Write-Off of Non-Performing Assets and the Guideline on Credit Impairment Measurement and Income Recognition. It comes into effect on 30 September 2024.

The main changes brought in the revised BOM Guideline on Classification, Provisioning and Write Off of Credit Exposures include:
- New definition of "credit exposures" referring to loans and advances, leasing facilities, investment in government and central bank securities, balances held with the Bank and other Central Banks, other investments and placements (includes balances with banks), investment in debentures, bonds and fixed dated securities, investment in equity and quasi equity and off-balance sheet exposures that are not unilaterally cancellable. Credit exposures includes principal, interest (excluding suspended interest), commission, fees, penalties or any other financial obligations.
- Amended Prudential General Provisions (previously, a 1% provision was applied to Segment A and Segment B loans and advances, net of collateral) has been segregated as follows: exposures with bullet repayment with remaining maturity of more than 2 years (other than those to sovereigns, central banks, multilateral development banks and banks) at 1.50%, exposures to or guaranteed by counterparties whose rating is investment grade or better at 0.50% and all other performing exposures at 1.0%.
- No provision required for a counterparty eligible for a risk weight of 0 per cent in the Guideline on Standardised Approach to Credit Risk.
- Additional macroprudential for Segment A is also amended as follows, Household – Housing at 0.5%, Household - other than Housing at 0.75%, accommodation at 1.0% and construction at 1.0%(previously, additional portfolio provision for Personal was 1%).

If the IFRS 9 provisions for Stage 1 and Stage 2 exposures fall below the minimum prudential levels set by BOM, the shortfall amount is allocated to the provision reserve account under Tier 2 Capital. This ensures that the Bank maintains a minimum level of provisioning for prudential purposes, even if accounting estimates under IFRS 9 suggest lower expected losses.

As of 30 June 2025, the provision reserve reflects the prudential provisioning requirements as required by the Guideline on Classification, Provisioning and Write-Off of Credit Exposures. This reserve cannot be distributed.

Credit-related commitments risks

The Bank provides various contingent facilities to its customers, including guarantees and letters of credit, which may obligate the Bank to make payments on behalf of customers or extend credit to support their liquidity requirements.

Letters of credit, including standby letters of credit, represent commitments by the Bank to pay third parties upon the occurrence of specific events, typically related to the import or export of goods. Similarly, bank guarantees, including Garantie Financière d'Achèvement (GFA), bind the Bank to fulfil payment obligations if claims arise or under stipulated contractual conditions.

These off-balance sheet commitments expose the Bank to credit risk analogous to that of on-balance sheet loans. The associated risks are managed through the Bank's comprehensive credit risk policies, control processes, and approval frameworks, ensuring consistent risk mitigation and monitoring across all credit exposures.

Country risk

The Bank manages country risk—which includes sovereign, political, transfer, contagion, macroeconomic, legal, financial, and geopolitical risks—in line with the BOM Country Risk Management Guideline, Basel III capital standards, and its internal Risk Appetite Statement.

1. Regulatory & Governance Framework
The Bank complies with BOM requirements through prudent provisioning and country-specific exposure controls across all on- and off-balance sheet items. Country risk is recognised under credit risk for capital adequacy and ICAAP purposes. The Board sets overall risk appetite, while the Board Risk Committee (BRC) approves strategies, structures, and exposure limits.

2. Risk Classification & Monitoring
Risks include sovereign, transfer, currency, contagion, indirect, macroeconomic, geopolitical/legal, and socioeconomic factors. Assessment draws on external ratings, internal models, and expert judgement.

3. Risk Appetite & Limit Setting
Exposure limits are set by country in line with the Bank's risk appetite and linked to a percentage of Tier 1 capital based on risk ratings. This tiered approach supports diversification, capital protection, and proportional capital allocation. Limits cover all foreign exposures, both on- and off-balance sheet.

4. Governance & Review
The BRC approves new or revised country limits, with the Board retaining ultimate responsibility. Limits are reviewed annually or sooner if risk profiles or capital positions change.

5. Provisioning & Capital Treatment
Provisions follow BOM guidelines and IFRS 9 ECL principles. As at 30 June 2025, no additional provisioning was required beyond the MUR 51.5 million raised in 2017.

6. Monitoring, Stress Testing & Reporting
Early warning indicators track sovereign rating changes. Country risk is included in stress testing to inform ICAAP, liquidity planning, and risk appetite. The Risk committee receives quarterly updates on exposures, limit utilisation, rating changes, and emerging risks.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Risk concentrations: Maximum exposure to credit risk without taking account of any collateral and other credit enhancements

The following table shows the maximum exposure to credit risk for the components of the statements of financial position, including derivatives, by geography and by industry before the effect of mitigation through the use of master netting and collateral agreements. Where financial instruments are recorded at fair value, the amounts shown represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

	GROSS MAXIMUM EXPOSURE					
	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
Financial assets	**MUR'000**	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Cash and balances with banks	**14,141,932**	18,848,293	16,758,469	**14,141,932**	18,848,293	16,758,462
Due from banks	**54,381,209**	38,517,021	47,700,955	**54,381,209**	38,517,021	47,700,955
Loans and advances to banks	**20,987,166**	14,698,838	13,232,940	**20,987,166**	14,698,838	13,232,940
Loans and advances to customers	**57,020,655**	49,760,548	41,197,078	**57,020,655**	49,760,548	41,197,078
Debt instruments measured at amortised cost	**120,539,170**	125,630,883	103,710,917	**120,539,170**	125,630,883	103,710,917
Other assets (excluding prepayments, accrued income, inventory and taxes)	**6,191,713**	5,332,090	4,508,784	**6,191,707**	5,332,084	4,508,777
Financial assets at amortised cost	**273,261,845**	252,787,673	227,109,143	**273,261,839**	252,787,667	227,109,129
Derivative financial instruments	**136,312**	366,664	385,550	**136,312**	366,664	385,550
Financial assets held for trading measured at fair value through profit or loss	**10,085,911**	9,086,277	4,993,012	**10,085,911**	9,086,277	4,993,012
Equity Investments designated at fair value through other comprehensive income	**24,130**	20,233	16,956	**24,130**	20,233	16,956
Equity Investment measured at fair value through profit or loss	**1,218**	2,092	905	**1,218**	2,092	905
Financial assets at fair value	**10,247,571**	9,475,266	5,396,423	**10,247,571**	9,475,266	5,396,423
Total Financial assets	**283,509,416**	262,262,939	232,505,566	**283,509,410**	262,262,933	232,505,552
Financial guarantees	**3,738,867**	2,682,571	2,186,633	**3,738,867**	2,682,571	2,186,633
Letters of credit	**215,960**	91,995	259,900	**215,960**	91,995	259,900
Undrawn commitments to lend	**13,547,429**	12,879,837	10,747,656	**13,547,429**	12,879,837	10,747,656
	17,502,256	15,654,403	13,194,189	**17,502,256**	15,654,403	13,194,189

Refer to note 37(b) for more details on commitments and guarantees.

In the prior years, financial guarantees, letters of credit and undrawn commitments to lend were grouped under commitments and guarantees. In the current year, they have been disclosed separately; comparatives have been amended to conform to current year presentation.

The Group's and the Bank's financial assets before taking into account any collateral held or other credit enhancements, can be analysed as follows by the following geographical regions:

	GROSS MAXIMUM EXPOSURE					
	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Africa						
Mauritius	**76,681,606**	68,568,166	71,008,102	**76,681,600**	68,568,160	71,008,088
Other African countries	**22,644,336**	16,175,490	11,929,781	**22,644,336**	16,175,490	11,929,781
North America	**93,982,464**	94,035,411	85,956,628	**93,982,464**	94,035,411	85,956,628
Asia	**54,268,423**	44,540,782	39,530,574	**54,268,423**	44,540,782	39,530,574
Europe	**33,157,369**	37,464,522	22,682,471	**33,157,369**	37,464,522	22,682,471
Others	**2,775,218**	1,478,568	1,398,010	**2,775,218**	1,478,568	1,398,010
	283,509,416	262,262,939	232,505,566	**283,509,410**	262,262,933	232,505,552

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Risk concentrations: Maximum exposure to credit risk without taking account of any collateral and other credit enhancements (continued)

An industry analysis of the Group's and the Bank's financial assets, without taking account of any collateral held or other credit enhancements, is as follows:

	GROSS MAXIMUM EXPOSURE					
	THE GROUP			THE BANK		
	2025	2024	2023	**2025**	2024	2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Agriculture	**1,149,938**	866,048	1,505,616	**1,149,938**	866,048	1,505,616
Construction, infrastructure and real estate	**6,436,657**	7,110,366	4,676,206	**6,436,657**	7,110,366	4,676,206
Financial and business services	**120,396,261**	114,133,429	110,549,972	**120,396,255**	114,133,423	110,549,958
Government and parastatal bodies	**109,289,775**	101,591,260	82,918,042	**109,289,775**	101,591,260	82,918,042
Information, communication and technology	**1,691,317**	2,204,663	1,882,903	**1,691,317**	2,204,663	1,882,903
Manufacturing	**8,867,077**	9,149,793	7,273,551	**8,867,077**	9,149,793	7,273,551
Personal	**5,336,993**	4,659,236	3,752,881	**5,336,993**	4,659,236	3,752,881
Professional	**8,245,369**	1,291,470	1,390,450	**8,245,369**	1,291,470	1,390,450
Transport	**3,328,908**	1,320,486	1,444,318	**3,328,908**	1,320,486	1,444,318
Tourism	**3,723,202**	4,107,144	4,082,530	**3,723,202**	4,107,144	4,082,530
Traders	**9,474,158**	11,159,836	10,797,006	**9,474,158**	11,159,836	10,797,006
Others	**5,569,761**	4,669,208	2,232,091	**5,569,761**	4,669,208	2,232,091
	283,509,416	262,262,939	232,505,566	**283,509,410**	262,262,933	232,505,552

Collateral and other credit enhancements

The amount and type of collateral required by the Group and the Bank are determined based on a thorough assessment of the credit risk associated with each counterparty. Comprehensive internal policies and guidelines are in place to ensure the appropriateness and valuation of collateral accepted. The primary types of collateral obtained includes:

- Floating charges for commercial lending;
- Fixed charges for both retail and commercial lending;
- Cash deposits held under lien; and
- Pledge of quoted shares.

The value of collateralised and other credit enhancements received on loans and advances as at 30 June 2025 is MUR 47.0bn (2024: MUR 31.5bn and 2023: MUR 20.4bn). All other financial assets are unsecured except for collateralised placements.

Collateral repossessed

During the year, the Group and the Bank did not take possession of any collateral (2024 and 2023: Nil).

Analysis of loans and advances to customers by past due status:

	THE GROUP AND THE BANK					
	2025		2024		2023	
Loans and advances to customers	**Gross carrying amount**	**Allowance for impairment losses**	Gross carrying amount	Allowance for impairment losses	Gross carrying amount	Allowance for impairment losses
	MUR 000	**MUR 000**	MUR 000	MUR 000	MUR 000	MUR 000
0-29 days	**54,351,453**	**531,095**	47,632,227	365,287	39,153,899	363,400
30-59 days	**422,635**	**10,173**	123,419	11,897	402,205	2,734
60-89 days	**281,091**	**83,120**	57,411	9,843	19,652	3,975
90-180 days	**253,453**	**93,386**	405,831	24,695	21,650	12,139
More than 181 days	**1,712,023**	**1,568,916**	1,541,660	1,491,340	1,599,672	1,547,849
Total	**57,020,655**	**2,286,690**	49,760,548	1,903,062	41,197,078	1,930,097

See Note 16 (b) for more detailed information with respect to the allowance for impairment losses on loans and advances to customers.

The maximum exposure of loans for Stage 1 and Stage 2 having day(s) past due not exceeding 90 days amount to MUR 310.9m (2024: MUR 1.8bn and 2023: MUR 879.5m) and of which MUR 244.3m (2024: MUR 857.2m and (2023: MUR 463.7m) are collateralised by tangible security.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Commitments and guarantees

Financial guarantees and unutilised commitments are assessed and provision made in similar manner as for loans.

The table below shows the Group's and the Bank's maximum credit risk exposure for commitments and guarantees.

The maximum exposure to credit risk relating to a financial guarantee is the maximum amount the Group and the Bank could have to pay if the guarantee is called on. The maximum exposure to credit risk relating to a loan commitment is the full amount of the commitment. In both cases, the maximum risk exposure is significantly greater than the amount recognised as a liability in the statements of financial position.

	THE GROUP AND THE BANK		
	2025	2024	2023
	MUR'000	MUR'000	MUR'000
Financial guarantees	**3,738,867**	2,682,571	2,186,633
Letters of credit	**215,960**	91,995	259,900
Undrawn commitments to lend	**13,547,429**	12,879,837	10,747,656
	17,502,256	15,654,403	13,194,189

Financial guarantee contracts and loan commitments

The allowance for impairment losses on off balance sheet items has been calculated on financial guarantees, letters of credit and undrawn commitments. The allowance for impairment losses have been classified under other liabilities.

The table below shows the credit quality and the maximum exposure to credit risk based on the Bank's credit rating system and year-end stage classification. The amounts presented are gross of impairment allowances.

	THE GROUP AND THE BANK			
	2025			
Credit rating grade	**STAGE 1**	**STAGE 2**	**STAGE 3**	**TOTAL**
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**
Performing:				
Credit rating AAA	**103,538**	**44,247**	**-**	**147,785**
Credit rating AA+ to AA-	**679,765**	**582**	**-**	**680,347**
Credit rating A+ to A-	**8,169,745**	**-**	**-**	**8,169,745**
Credit rating BBB+ to BBB-	**6,904,874**	**116,540**	**-**	**7,021,414**
Credit rating BB+ to BB-	**900,363**	**160**	**-**	**900,523**
Credit rating B+ to B-	**469,361**	**29,618**	**-**	**498,979**
Credit rating CCC+ to C	**-**	**808**	**-**	**808**
Non performing:				
Credit rating D	**-**	**-**	**82,655**	**82,655**
Total gross carrying amount	**17,227,646**	**191,955**	**82,655**	**17,502,256**
Less: allowance for impairment losses	**(54,883)**	**(48)**	**(20,530)**	**(75,461)**
Carrying amount	**17,172,763**	**191,907**	**62,125**	**17,426,795**

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Financial guarantee contracts and loan commitments (continued)

	THE GROUP AND THE BANK 2024			
Credit rating grade	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR'000	MUR'000	MUR'000	MUR'000
Performing:				
Credit rating AA+ to AA-	96,310	719	-	97,029
Credit rating A+ to A-	278,837	-	-	278,837
Credit rating BBB+ to BBB-	1,187,336	742	-	1,188,078
Credit rating BB+ to BB-	10,912,038	374,260	-	11,286,298
Credit rating B+ to B-	1,690,874	135,052	-	1,825,926
Credit rating CCC+ to C	949,343	14,885	-	964,228
Non performing:				
Credit rating D	-	-	14,007	14,007
Total gross carrying amount	15,114,738	525,658	14,007	15,654,403
Less: allowance for impairment losses	(47,156)	(695)	-	(47,851)
Carrying amount	15,067,582	524,963	14,007	15,606,552

	THE GROUP AND THE BANK 2023			
Credit rating grade	STAGE 1	STAGE 2	STAGE 3	TOTAL
	MUR'000	MUR'000	MUR'000	MUR'000
Performing:				
Credit rating AAA	189,406	69,106	-	258,512
Credit rating AA+ to AA-	339,551	2,507	-	342,058
Credit rating A+ to A-	4,039,281	45,623	-	4,084,904
Credit rating BBB+ to BBB-	2,515,591	104,202	-	2,619,793
Credit rating BB+ to BB-	3,167,856	67,268	-	3,235,124
Credit rating B+ to B-	2,562,873	41,703	-	2,604,576
Credit rating CCC+ to C	12,124	17,896	-	30,020
Non performing:				
Credit rating D	-	-	19,202	19,202
Total gross carrying amount	12,826,682	348,305	19,202	13,194,189
Less: allowance for impairment losses	(30,824)	(8,622)	(3,524)	(42,970)
Carrying amount	12,795,858	339,683	15,678	13,151,219

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(b) Credit risk (continued)

Financial guarantee contracts and loan commitments (continued)

An analysis of changes in the gross carrying amount and the corresponding ECLs is, as follows:

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2025							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	**15,114,738**	**525,658**	**14,007**	**15,654,403**	**47,156**	**695**	**-**	**47,851**
Changes in the amount								
Transfer to stage 1	**83,201**	**(82,222)**	**(979)**	**-**	**-**	**-**	**-**	**-**
Transfer to stage 2	**(235,651)**	**235,683**	**(32)**	**-**	**(679)**	**679**	**-**	**-**
Transfer to stage 3	**(74,035)**	**(588)**	**74,623**	**-**	**(20,530)**	**-**	**20,530**	**-**
Net remeasurement of loss allowance	**-**	**-**	**-**	**-**	**(4,289)**	**(672)**	**-**	**(4,961)**
New assets originated or purchased	**8,205,406**	**-**	**-**	**8,205,406**	**49,846**	**-**	**-**	**49,846**
Payments and assets derecognised	**(5,866,013)**	**(486,576)**	**(4,964)**	**(6,357,553)**	**(16,621)**	**(654)**	**-**	**(17,275)**
At 30 June	**17,227,646**	**191,955**	**82,655**	**17,502,256**	**54,883**	**48**	**20,530**	**75,461**

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2024							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	12,826,682	348,305	19,202	13,194,189	30,824	8,622	3,524	42,970
Changes in the amount								
Transfer to stage 1	105,247	(105,131)	(116)	-	2,829	(2,829)	-	-
Transfer to stage 2	(905,409)	905,409	-	-	(747)	747	-	-
Transfer to stage 3	(5,598)	-	5,598	-	-	-	-	-
Net remeasurement of loss allowance	-	-	-	-	(3,368)	(5,569)	(3,524)	(12,461)
New assets originated or purchased	9,556,533	-	-	9,556,533	30,415	-	-	30,415
Payments and assets derecognised	(6,462,717)	(622,925)	(10,677)	(7,096,319)	(12,797)	(276)	-	(13,073)
At 30 June	15,114,738	525,658	14,007	15,654,403	47,156	695	-	47,851

	THE GROUP AND THE BANK							
	GROSS CARRYING AMOUNT				ALLOWANCE FOR IMPAIRMENT LOSSES			
	2023							
	STAGE 1	STAGE 2	STAGE 3	TOTAL	STAGE 1	STAGE 2	STAGE 3	TOTAL
					12-months ECL	Lifetime ECL	Lifetime ECL	
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
At 1 July	6,671,568	129,312	2,165	6,803,045	9,600	669	350	10,619
Changes in the amount								
Transfer to stage 1	22,972	(22,972)	-	-	178	(178)	-	-
Transfer to stage 2	(432,623)	432,623	-	-	(6,572)	6,572	-	-
Transfer to stage 3	(19,218)	(234)	19,452	-	(3,524)	-	3,524	-
Net remeasurement of loss allowance	-	-	-	-	(288)	2,050	-	1,762
New assets originated or purchased	9,064,138	-	-	9,064,138	35,124	-	-	35,124
Payments and assets derecognised	(2,480,155)	(190,424)	(2,415)	(2,672,994)	(3,694)	(491)	(350)	(4,535)
At 30 June	12,826,682	348,305	19,202	13,194,189	30,824	8,622	3,524	42,970

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management

Liquidity risk is the risk that the Group and the Bank will be unable to meet its payment obligations when they fall due under normal and stress circumstances. To limit this risk, management has arranged diversified funding sources in addition to its core deposit base, manages assets with liquidity in mind, and monitors future cash flows and liquidity on a daily basis. This incorporates an assessment of expected cash flows and the availability of high grade collateral which could be used to secure additional funding if required.

Sources of liquidity risk include unforeseen withdrawal of demand deposit, restricted access to new funding with appropriate maturity and interest rate characteristics, inability to liquidate a marketable asset in a timely manner with minimum risk of capital loss, unpredicted non payment of a loan obligation and a sudden increased demand for loans.

The Bank's Asset and Liability Committee (ALCO) is responsible for managing the Bank's liquidity risk via a combination of policy formation, review and governance, analysis, stress testing, limit setting and monitoring.

The Group and the Bank maintain a portfolio of highly marketable and diverse unencumbered assets that can be easily liquidated or used as collateral in repurchase transactions in the event of an unforeseen interruption of cash flow. The Group and the Bank also have committed lines of credit that they can access to meet liquidity needs. In addition, the Group and the Bank maintain a statutory deposit with the Bank of Mauritius. The liquidity position is assessed and managed under a variety of scenarios giving due consideration to stress factors relating to both the market in general and specifically to the Group and the Bank. Finally, the Group and the Bank also maintains a Liquidity Contingency Plan which can be invoked in the remote event of a liquidity crisis. The Plan is tested from times to times to ensure it is operationally robust and valid.

Analysis of financial assets and liabilities by remaining contractual maturities

The tables in the next pages summarise the maturity profiles of the Group and the Bank where financial assets have been disclosed based on discounted contractual terms while financial liabilities based on undiscounted contractual repayment obligations. Repayments which are subject to notice are treated as if notice were to be given immediately. However, the Group and the Bank expect that many customers will not request repayment on the earliest date the Group and the Bank could be required to pay and the table does not reflect the expected cash flows indicated by the Group's and the Bank's deposit retention history. In addition to the contractual terms, the bank also monitors its maturity profile on a behavioural basis. The behavioural pattern indicates a significant proportion of current accounts are regarded as sticky in nature and have a longer actuarial maturity than exhibited by the overnight term. All derivatives are shown by maturity, based on their contractual undiscounted payment obligations. Gross settled, non-trading derivatives are shown separately, by contractual maturity.

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 30 June 2025

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)

Analysis of financial assets and liabilities by remaining contractual maturities

THE GROUP	2025								
	On demand	Less than 3 months	3 to 6 months	6 to 12 months	Sub total less than 12 months	1 to 5 years	Over 5 years	Sub total over 12 months	Total
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	14,140,601	-	-	-	14,140,601	-	-	-	14,140,601
Due from banks	-	51,427,747	2,947,224	-	54,374,971	-	-	-	54,374,971
Net settled derivative financial instruments	-	27,772	10,810	6,018	44,600	12,292	1,207	13,499	58,099
Loans and advances to banks	-	2,531,553	3,490,314	2,476,794	8,498,661	12,456,523	-	12,456,523	20,955,184
Loans and advances to customers	3,124,264	8,133,839	4,152,289	1,505,316	16,915,708	23,508,636	14,309,621	37,818,257	54,733,965
Investment securities	-	61,673,091	9,348,367	23,561,120	94,582,578	29,043,799	6,975,124	36,018,923	130,601,501
Other assets (excluding prepayments, accrued income, inventory and taxes)	6,181,448	10,265	-	-	6,191,713	-	-	-	6,191,713
Total	23,446,313	123,804,267	19,949,004	27,549,248	194,748,832	65,021,250	21,285,952	86,307,202	281,056,034
Liabilities									
Due from banks	2	-	-	-	2	-	-	-	2
Deposits from banks:									
-Current accounts	97,358	-	-	-	97,358	-	-	-	97,358
-Savings accounts	103,190	-	-	-	103,190	-	-	-	103,190
	200,548	-	-	-	200,548	-	-	-	200,548
Deposits from customers:									
-Current accounts	138,222,140	-	-	-	138,222,140	-	-	-	138,222,140
-Savings accounts	10,432,844	-	-	-	10,432,844	-	-	-	10,432,844
-Term deposits	-	76,936,726	11,644,304	14,953,911	103,534,941	6,334,642	22,077	6,356,719	109,891,660
	148,654,984	76,936,726	11,644,304	14,953,911	252,189,925	6,334,642	22,077	6,356,719	258,546,644
Borrowings from financial institution	-	-	-	-	-	-	215,572	215,572	215,572
Net settled derivative financial instruments	-	16,788	16,498	5,494	38,780	12,292	1,207	13,499	52,279
Lease liabilities	-	10,525	10,713	26,092	47,330	160,846	235,862	396,708	444,038
Other liabilities	112,082	354,282	362,717	-	829,081	-	-	-	829,081
Total	148,967,616	77,318,321	12,034,232	14,985,497	253,305,666	6,507,780	474,718	6,982,498	260,288,164
Net liquidity gap	(125,521,303)	46,485,946	7,914,772	12,563,751	(58,556,834)	58,513,470	20,811,234	79,324,704	20,767,870
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	1,551	143,173	139,151	283,875	433,125	-	433,125	717,000
Contractual amounts payable	-	(3,300)	(109,280)	(108,912)	(221,492)	(347,063)	-	(347,063)	(568,555)
	-	(1,749)	33,893	30,239	62,383	86,062	-	86,062	148,445
Financial liabilities									
Contractual amounts receivable	-	9,149	14,461	19,110	42,720	58,509	-	58,509	101,229
Contractual amounts payable	-	(7,541)	(13,660)	(18,885)	(40,086)	(66,642)	-	(66,642)	(106,728)
	-	1,608	801	225	2,634	(8,133)	-	(8,133)	(5,499)
Total gross settled derivatives assets/(liabilities)	-	(141)	34,694	30,464	65,017	77,929	-	77,929	142,946
Total net financial assets/(liabilities)	(125,521,303)	46,485,805	7,949,466	12,594,215	(58,491,817)	58,591,399	20,811,234	79,402,633	20,910,816

Derivatives assets and liabilities have been categorised as net settled and gross settled disclosed at contractual undiscounted cash flows.

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)

Analysis of financial assets and liabilities by remaining contractual maturities (continued)

	2024								
THE GROUP	On demand	Less than 3 months	3 to 6 months	6 to 12 months	Sub total less than 12 months	1 to 5 years	Over 5 years	Sub total over 12 months	Total
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	18,847,227	-	-	-	18,847,227	-	-	-	18,847,227
Due from banks	-	34,094,866	4,416,701	-	38,511,567	-	-	-	38,511,567
Net settled derivative financial instruments	-	81,454	144	375	81,973	117,296	-	117,296	199,269
Loans and advances to banks	3	482,820	1,780,019	1,091,598	3,354,440	11,292,976	-	11,292,976	14,647,416
Loans and advances to customers	3,087,880	5,844,105	4,015,289	1,397,469	14,344,743	20,464,145	13,048,598	33,512,743	47,857,486
Investment securities	-	62,286,724	11,546,289	19,725,135	93,558,148	34,151,254	6,987,985	41,139,239	134,697,387
Other assets (excluding prepayments, accrued income, inventory and taxes)	5,288,059	32,000	12,031	-	5,332,090	-	-	-	5,332,090
Total	27,223,169	102,821,969	21,770,473	22,214,577	174,030,188	66,025,671	20,036,583	86,062,254	260,092,442
Liabilities									
Due to banks	868	-	-	-	868	-	-	-	868
Deposits from banks:									
-Current accounts	16,202	-	-	-	16,202	-	-	-	16,202
-Savings accounts	318,849	-	-	-	318,849	-	-	-	318,849
	335,051	-	-	-	335,051	-	-	-	335,051
Deposits from customers:									
-Current accounts	131,194,562	-	-	-	131,194,562	-	-	-	131,194,562
-Savings accounts	8,547,424	-	-	-	8,547,424	-	-	-	8,547,424
-Term deposits	-	56,300,962	17,984,638	21,964,102	96,249,702	5,844,734	14,220	5,858,954	102,108,656
	139,741,986	56,300,962	17,984,638	21,964,102	235,991,688	5,844,734	14,220	5,858,954	241,850,642
Borrowings from financial institution	-	-	-	-	-	-	239,827	239,827	239,827
Net settled derivative financial instruments	-	79,647	144	375	80,166	117,296	-	117,296	197,462
Lease liabilities	-	3,614	3,669	7,516	14,799	31,077	-	31,077	45,876
Other liabilities	133,158	261,728	382,488	100,167	877,541	29,405	-	29,405	906,946
Total	140,211,063	56,645,951	18,370,939	22,072,160	237,300,113	6,022,512	254,047	6,276,559	243,576,672
Net liquidity gap	(112,987,894)	46,176,018	3,399,534	142,417	(63,269,925)	60,003,159	19,782,536	79,785,695	16,515,770
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	1,551	143,173	139,151	283,875	433,125	-	433,125	717,000
Contractual amounts payable	-	(3,300)	(109,280)	(108,912)	(221,492)	(347,063)	-	(347,063)	(568,555)
	-	(1,749)	33,893	30,239	62,383	86,062	-	86,062	148,445
Financial liabilities									
Contractual amounts receivable	-	9,149	14,461	19,110	42,720	58,509	-	58,509	101,229
Contractual amounts payable	-	(7,541)	(13,660)	(18,885)	(40,086)	(66,642)	-	(66,642)	(106,728)
	-	1,608	801	225	2,634	(8,133)	-	(8,133)	(5,499)
Total gross settled derivatives assets/(liabilities)	-	(141)	34,694	30,464	65,017	77,929	-	77,929	142,946
Total net financial assets/(liabilities)	(112,987,894)	46,175,877	3,434,228	172,881	(63,204,908)	60,081,088	19,782,536	79,863,624	16,658,716

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37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)
Analysis of financial assets and liabilities by remaining contractual maturities (continued)

THE GROUP	2023								
	On demand	Less than 3 months	3 to 6 months	6 to 12 months	Sub total less than 12 months	1 to 5 years	Over 5 years	Sub total over 12 months	Total
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	16,757,284	-	-	-	16,757,284	-	-	-	16,757,284
Due from banks	-	38,482,494	4,566,501	-	43,048,995	4,633,121	-	4,633,121	47,682,116
Net settled derivative financial instruments	-	9,421	1,353	19,686	30,460	142,942	10,435	153,377	183,837
Loans and advances to banks	-	869,139	692,372	4,574,278	6,135,789	7,053,800	-	7,053,800	13,189,589
Loans and advances to customers	1,686,834	7,252,228	2,387,011	1,163,491	12,489,564	16,641,992	10,135,425	26,777,417	39,266,981
Investment securities	-	50,817,470	3,763,747	11,322,329	65,903,546	35,542,222	7,239,967	42,782,189	108,685,735
Other assets (excluding prepayments, accrued income, inventory and taxes)	4,508,784	-	-	-	4,508,784	-	-	-	4,508,784
Total	22,952,902	97,430,752	11,410,984	17,079,784	148,874,422	64,014,077	17,385,827	81,399,904	230,274,326
Liabilities									
Deposits from banks:									
-Current accounts	16,268	-	-	-	16,268	-	-	-	16,268
-Savings accounts	342,455	-	-	-	342,455	-	-	-	342,455
	358,723	-	-	-	358,723	-	-	-	358,723
Deposits from customers:									
-Current accounts	139,293,073	-	-	-	139,293,073	-	-	-	139,293,073
-Savings accounts	5,507,672	-	-	-	5,507,672	-	-	-	5,507,672
-Term deposits	-	32,598,948	13,292,586	14,929,420	60,820,954	7,805,709	454,464	8,260,173	69,081,127
	144,800,745	32,598,948	13,292,586	14,929,420	205,621,699	7,805,709	454,464	8,260,173	213,881,872
Borrowings from financial institution	-	-	-	-	-	-	153,275	153,275	153,275
Net settled derivative financial instruments	-	7,997	376	19,686	28,059	142,942	10,435	153,377	181,436
Lease liabilities	-	8,271	4,928	9,747	22,946	44,599	-	44,599	67,545
Other liabilities	429,796	928	25,308	413,384	869,416	-	-	-	869,416
Total	145,589,264	32,616,144	13,323,198	15,372,237	206,900,843	7,993,250	618,174	8,611,424	215,512,267
Net liquidity gap	(122,636,362)	64,814,608	(1,912,214)	1,707,547	(58,026,421)	56,020,827	16,767,653	72,788,480	14,762,059
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	3,836	136,490	153,720	294,046	712,318	-	712,318	1,006,364
Contractual amounts payable	-	(1,900)	(108,430)	(115,822)	(226,152)	(564,405)	-	(564,405)	(790,557)
	-	1,936	28,060	37,898	67,894	147,913	-	147,913	215,807
Financial liabilities									
Contractual amounts receivable	-	7,748	7,960	15,695	31,403	54,628	-	54,628	86,031
Contractual amounts payable	-	(10,107)	(9,993)	(19,432)	(39,532)	(72,255)	-	(72,255)	(111,787)
	-	(2,359)	(2,033)	(3,737)	(8,129)	(17,627)	-	(17,627)	(25,756)
Total gross settled derivatives assets/(liabilities)	-	(423)	26,027	34,161	59,765	130,286	-	130,286	190,051
Total net financial assets/(liabilities)	(122,636,362)	64,814,185	(1,886,187)	1,741,708	(57,966,656)	56,151,113	16,767,653	72,918,766	14,952,110

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)
Analysis of financial assets and liabilities by remaining contractual maturities (continued)

	2025								
THE BANK	**On demand**	**Less than 3 months**	**3 to 6 months**	**6 to 12 months**	**Sub total less than 12 months**	**1 to 5 years**	**Over 5 years**	**Sub total over 12 months**	**Total**
Assets	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Cash and balances with banks	**14,140,601**	-	-	-	**14,140,601**	-	-	-	**14,140,601**
Due from banks	-	**51,427,747**	**2,947,224**	-	**54,374,971**	-	-	-	**54,374,971**
Net settled derivative financial instruments	-	**27,772**	**10,810**	**6,018**	**44,600**	**12,292**	**1,207**	**13,499**	**58,099**
Loans and advances to banks	-	**2,531,553**	**3,490,314**	**2,476,794**	**8,498,661**	**12,456,523**	-	**12,456,523**	**20,955,184**
Loans and advances to customers	**3,124,264**	**8,133,839**	**4,152,289**	**1,505,316**	**16,915,708**	**23,508,636**	**14,309,621**	**37,818,257**	**54,733,965**
Investment securities	-	**61,673,091**	**9,348,367**	**23,561,120**	**94,582,578**	**29,043,799**	**6,975,124**	**36,018,923**	**130,601,501**
Other assets (excluding prepayments, accrued income, inventory and taxes)	**6,181,442**	**10,265**	-	-	**6,191,707**	-	-	-	**6,191,707**
Total	**23,446,307**	**123,804,267**	**19,949,004**	**27,549,248**	**194,748,826**	**65,021,250**	**21,285,952**	**86,307,202**	**281,056,028**
Liabilities									
Due from banks	**2**	-	-	-	**2**	-	-	-	**2**
Deposits from banks:									
-Current accounts	**97,358**	-	-	-	**97,358**	-	-	-	**97,358**
-Savings accounts	**103,190**	-	-	-	**103,190**	-	-	-	**103,190**
	200,548	-	-	-	**200,548**	-	-	-	**200,548**
Deposits from customers:									
-Current accounts	**138,224,173**	-	-	-	**138,224,173**	-	-	-	**138,224,173**
-Savings accounts	**10,432,844**	-	-	-	**10,432,844**	-	-	-	**10,432,844**
-Term deposits	-	**76,936,726**	**11,644,304**	**14,953,911**	**103,534,941**	**6,334,642**	**22,077**	**6,356,719**	**109,891,660**
	148,657,017	**76,936,726**	**11,644,304**	**14,953,911**	**252,191,958**	**6,334,642**	**22,077**	**6,356,719**	**258,548,677**
Borrowings from financial institution	-	-	-	-	-	-	**215,572**	**215,572**	**215,572**
Net settled derivative financial instruments	-	**16,788**	**16,498**	**5,494**	**38,780**	**12,292**	**1,207**	**13,499**	**52,279**
Lease liabilities	-	**10,525**	**10,713**	**26,092**	**47,330**	**160,846**	**235,862**	**396,708**	**444,038**
Other liabilities	**111,162**	**354,282**	**362,717**	-	**828,161**	-	-	-	**828,161**
Total	**148,968,729**	**77,318,321**	**12,034,232**	**14,985,497**	**253,306,779**	**6,507,780**	**474,718**	**6,982,498**	**260,289,277**
Net liquidity gap	**(125,522,422)**	**46,485,946**	**7,914,772**	**12,563,751**	**(58,557,953)**	**58,513,470**	**20,811,234**	**79,324,704**	**20,766,751**
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	**1,551**	**143,173**	**139,151**	**283,875**	**433,125**	-	**433,125**	**717,000**
Contractual amounts payable	-	**(3,300)**	**(109,280)**	**(108,912)**	**(221,492)**	**(347,063)**	-	**(347,063)**	**(568,555)**
	-	**(1,749)**	**33,893**	**30,239**	**62,383**	**86,062**	-	**86,062**	**148,445**
Financial liabilities									
Contractual amounts receivable	-	**9,149**	**14,461**	**19,110**	**42,720**	**58,509**	-	**58,509**	**101,229**
Contractual amounts payable	-	**(7,541)**	**(13,660)**	**(18,885)**	**(40,086)**	**(66,642)**	-	**(66,642)**	**(106,728)**
	-	**1,608**	**801**	**225**	**2,634**	**(8,133)**	-	**(8,133)**	**(5,499)**
Total gross settled derivatives assets/(liabilities)	-	**(141)**	**34,694**	**30,464**	**65,017**	**77,929**	-	**77,929**	**142,946**
Total net financial assets/(liabilities)	**(125,522,422)**	**46,485,805**	**7,949,466**	**12,594,215**	**(58,492,936)**	**58,591,399**	**20,811,234**	**79,402,633**	**20,909,697**

Derivatives assets and liabilities have been categorised as net settled and gross settled disclosed at contractual undiscounted cash flows.

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 30 June 2025

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)
Analysis of financial assets and liabilities by remaining contractual maturities (continued)

	2024								
THE BANK	On demand	Less than 3 months	3 to 6 months	6 to 12 months	Sub total less than 12 months	1 to 5 years	Over 5 years	Sub total over 12 months	Total
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	18,847,227	-	-	-	18,847,227	-	-	-	18,847,227
Due from banks	-	34,094,866	4,416,701	-	38,511,567	-	-	-	38,511,567
Net settled derivative financial instruments	-	81,454	144	375	81,973	117,296	-	117,296	199,269
Loans and advances to banks	3	482,820	1,780,019	1,091,598	3,354,440	11,292,976	-	11,292,976	14,647,416
Loans and advances to customers	3,087,880	5,844,105	4,015,289	1,397,469	14,344,743	20,464,145	13,048,598	33,512,743	47,857,486
Investment securities	-	62,286,724	11,546,289	19,725,135	93,558,148	34,151,254	6,987,985	41,139,239	134,697,387
Other assets (excluding prepayments, accrued income, inventory and taxes)	5,288,053	32,000	12,031	-	5,332,084	-	-	-	5,332,084
Total	27,223,163	102,821,969	21,770,473	22,214,577	174,030,182	66,025,671	20,036,583	86,062,254	260,092,436
Liabilities									
Due to banks	868	-	-	-	868	-	-	-	868
Deposits from banks:									
-Current accounts	16,202	-	-	-	16,202	-	-	-	16,202
-Savings accounts	318,849	-	-	-	318,849	-	-	-	318,849
	335,051	-	-	-	335,051	-	-	-	335,051
Deposits from customers:									
-Current accounts	131,197,026	-	-	-	131,197,026	-	-	-	131,197,026
-Savings accounts	8,547,424	-	-	-	8,547,424	-	-	-	8,547,424
-Term deposits	-	56,300,962	17,984,638	21,964,102	96,249,702	5,844,734	14,220	5,858,954	102,108,656
	139,744,450	56,300,962	17,984,638	21,964,102	235,994,152	5,844,734	14,220	5,858,954	241,853,106
Borrowings from financial institution	-	-	-	-	-	-	239,827	239,827	239,827
Net settled derivative financial instruments	-	79,647	144	375	80,166	117,296	-	117,296	197,462
Lease liabilities	-	3,614	3,669	7,516	14,799	31,077	-	31,077	45,876
Other liabilities	132,291	261,728	382,488	100,167	876,674	29,405	-	29,405	906,079
Total	140,212,660	56,645,951	18,370,939	22,072,160	237,301,710	6,022,512	254,047	6,276,559	243,578,269
Net liquidity gap	(112,989,497)	46,176,018	3,399,534	142,417	(63,271,528)	60,003,159	19,782,536	79,785,695	16,514,167
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	1,551	143,173	139,151	283,875	433,125	-	433,125	717,000
Contractual amounts payable	-	(3,300)	(109,280)	(108,912)	(221,492)	(347,063)	-	(347,063)	(568,555)
	-	(1,749)	33,893	30,239	62,383	86,062	-	86,062	148,445
Financial liabilities									
Contractual amounts receivable	-	9,149	14,461	19,110	42,720	58,509	-	58,509	101,229
Contractual amounts payable	-	(7,541)	(13,660)	(18,885)	(40,086)	(66,642)	-	(66,642)	(106,728)
	-	1,608	801	225	2,634	(8,133)	-	(8,133)	(5,499)
Total gross settled derivatives assets/(liabilities)	-	(141)	34,694	30,464	65,017	77,929	-	77,929	142,946
Total net financial assets/(liabilities)	(112,989,497)	46,175,877	3,434,228	172,881	(63,206,511)	60,081,088	19,782,536	79,863,624	16,657,113

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)
Analysis of financial assets and liabilities by remaining contractual maturities (continued)

	2023								
THE BANK	On demand	Less than 3 months	3 to 6 months	6 to 12 months	Sub total less than 12 months	1 to 5 years	Over 5 years	Sub total over 12 months	Total
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	16,757,277	-	-	-	16,757,277	-	-	-	16,757,277
Due from banks	-	38,482,494	4,566,501	-	43,048,995	4,633,121	-	4,633,121	47,682,116
Net settled derivative financial instruments	-	9,421	1,353	19,686	30,460	142,942	10,435	153,377	183,837
Loans and advances to banks	-	869,139	692,372	4,574,278	6,135,789	7,053,800	-	7,053,800	13,189,589
Loans and advances to customers	1,686,834	7,252,228	2,387,011	1,163,491	12,489,564	16,641,992	10,135,425	26,777,417	39,266,981
Investment securities	-	50,817,470	3,763,747	11,322,329	65,903,546	35,542,222	7,239,967	42,782,189	108,685,735
Other assets (excluding prepayments, accrued income, inventory and taxes)	4,508,777	-	-	-	4,508,777	-	-	-	4,508,777
Total	22,952,888	97,430,752	11,410,984	17,079,784	148,874,408	64,014,077	17,385,827	81,399,904	230,274,312
Liabilities									
Deposits from banks:									
-Current accounts	16,268	-	-	-	16,268	-	-	-	16,268
-Savings accounts	342,455	-	-	-	342,455	-	-	-	342,455
	358,723	-	-	-	358,723	-	-	-	358,723
Deposits from customers:									
-Current accounts	139,293,073	-	-	-	139,293,073	-	-	-	139,293,073
-Savings accounts	5,507,672	-	-	-	5,507,672	-	-	-	5,507,672
-Term deposits	-	32,598,948	13,292,586	14,929,420	60,820,954	7,805,709	454,464	8,260,173	69,081,127
	144,800,745	32,598,948	13,292,586	14,929,420	205,621,699	7,805,709	454,464	8,260,173	213,881,872
Net settled derivative financial instruments	-	7,997	376	19,686	28,059	142,942	10,435	153,377	181,436
Borrowings from financial institution	-	-	-	-	-	-	153,275	153,275	153,275
Lease liabilities	-	8,271	4,928	9,747	22,946	44,599	-	44,599	67,545
Other liabilities	428,797	928	25,308	413,384	868,417	-	-	-	868,417
Total	145,588,265	32,616,144	13,323,198	15,372,237	206,899,844	7,993,250	618,174	8,611,424	215,511,268
Net liquidity gap	(122,635,377)	64,814,608	(1,912,214)	1,707,547	(58,025,436)	56,020,827	16,767,653	72,788,480	14,763,044
Gross settled derivatives									
Financial assets									
Contractual amounts receivable	-	3,836	136,490	153,720	294,046	712,318	-	712,318	1,006,364
Contractual amounts payable	-	(1,900)	(108,430)	(115,822)	(226,152)	(564,405)	-	(564,405)	(790,557)
	-	1,936	28,060	37,898	67,894	147,913	-	147,913	215,807
Financial liabilities									
Contractual amounts receivable	-	7,748	7,960	15,695	31,403	54,628	-	54,628	86,031
Contractual amounts payable	-	(10,107)	(9,993)	(19,432)	(39,532)	(72,255)	-	(72,255)	(111,787)
	-	(2,359)	(2,033)	(3,737)	(8,129)	(17,627)	-	(17,627)	(25,756)
Total gross settled derivatives assets/(liabilities)	-	(423)	26,027	34,161	59,765	130,286	-	130,286	190,051
Total net financial assets/(liabilities)	(122,635,377)	64,814,185	(1,886,187)	1,741,708	(57,965,671)	56,151,113	16,767,653	72,918,766	14,953,095

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(c) Liquidity risk and funding management (continued)

The table below shows the contractual expiry by maturity of the Group's and the Bank's commitments.

THE GROUP AND THE BANK

	Less than 3 months	3 to 12 months	1 to 5 years	More than 5 Years	Total
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
30 June 2025					
Financial guarantees	**792,084**	**1,278,550**	**1,610,109**	**58,124**	**3,738,867**
Letters of credit	**179,129**	**36,831**	**-**	**-**	**215,960**
Bills for collection	**2,453,164**	**22,381**	**-**	**-**	**2,475,545**
Commitments	**4,240,812**	**4,161,451**	**2,337,437**	**2,807,729**	**13,547,429**
Total	**7,665,189**	**5,499,213**	**3,947,546**	**2,865,853**	**19,977,801**
30 June 2024					
Financial guarantees	610,352	1,060,978	955,212	56,029	2,682,571
Letters of credit	48,764	43,231	-	-	91,995
Bills for collection	1,673,387	-	-	-	1,673,387
Commitments	4,892,563	4,634,854	2,001,963	1,350,457	12,879,837
Total	7,225,066	5,739,063	2,957,175	1,406,486	17,327,790
30 June 2023					
Financial guarantees	261,135	1,136,090	745,032	44,376	2,186,633
Letters of credit	81,528	178,372	-	-	259,900
Bills for collection	2,591,892	43,044	-	-	2,634,936
Commitments	4,034,587	4,587,574	2,125,495	-	10,747,656
Total	6,969,142	5,945,080	2,870,527	44,376	15,829,125

Refer to Note 35 for more details.

In the prior years, financial guarantees, letters of credit and bills for collection were grouped under contingent liabilities. In the current year, they have been disclosed separately; comparatives have been amended to conform to current year presentation.

The Group and the Bank do not expect all the contingent liabilities or commitments to be drawn before expiry of commitments.

(d) Market risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates and foreign exchange rates. The Group and the Bank classify exposures to market risk into either trading or non trading portfolios and manage these portfolios separately. Except for the concentrations within foreign currency, the Group and the Bank have no significant concentration of market risk.

(i) Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. Management has established limits on the maximum adverse volatility on its future net interest income.

The Group's and the Bank's main exposure to interest rate risk stems from a variety of sources: Yield curve risk, which refers to changes in the level, slope and shape of the yield curve; Repricing risk, which arises from timing differences in the maturity and repricing of balance-sheet items; Basis risk that is caused by imperfect correlation between different yield curves.

The following tables demonstrate the sensitivity to a Day 1 100 basis points shock (2024 and 2023: 100 basis points) on the Group's and the Bank's net interest income. The net interest income sensitivity is the effect of the assumed changes in interest rates, based on the financial assets and financial liabilities held at 30 June.

THE GROUP	**2025**	2024	2023	**2025**	2024	2023
Currency	**Change in Basis points**	Change in Basis points	Change in Basis points	**Sensitivity of profit or loss**	Sensitivity of profit or loss	Sensitivity of profit or loss
				MUR'000	MUR'000	MUR'000
AUD	**+100**	+100	+100	**1,404**	6,332	5,842
	- 100	- 100	- 100	**(1,404)**	(6,332)	(5,842)
EUR	**+100**	+100	+100	**249,603**	203,367	268,833
	- 100	- 100	- 100	**(246,770)**	(203,367)	(268,833)
GBP	**+100**	+100	+100	**37,009**	46,377	51,125
	- 100	- 100	- 100	**(37,009)**	(46,377)	(51,125)
MUR	**+100**	+100	+100	**122,581**	78,834	74,760
	- 100	- 100	- 100	**(124,227)**	(80,261)	(77,526)
USD	**+100**	+100	+100	**538,016**	515,359	469,904
	- 100	- 100	- 100	**(538,016)**	(515,359)	(469,904)

THE BANK	**2025**	2024	2023	**2025**	2024	2023
Currency	**Change in Basis points**	Change in Basis points	Change in Basis points	**Sensitivity of profit or loss**	Sensitivity of profit or loss	Sensitivity of profit or loss
				MUR'000	MUR'000	MUR'000
AUD	**+100**	+100	+100	**1,404**	6,332	5,842
	- 100	- 100	- 100	**(1,404)**	(6,332)	(5,842)
EUR	**+100**	+100	+100	**249,603**	203,367	268,833
	- 100	- 100	- 100	**(246,770)**	(203,367)	(268,833)
GBP	**+100**	+100	+100	**37,009**	46,377	51,125
	- 100	- 100	- 100	**(37,009)**	(46,377)	(51,125)
MUR	**+100**	+100	+100	**122,581**	78,834	74,760
	- 100	- 100	- 100	**(124,227)**	(80,261)	(77,526)
USD	**+100**	+100	+100	**538,016**	515,359	469,904
	- 100	- 100	- 100	**(538,016)**	(515,359)	(469,904)

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)

(i) Interest rate risk (continued)

The table below analyses the Group's and the Bank's interest rate risk exposure on non–trading financial assets and liabilities. The Group's and the Bank's assets and liabilities are included at carrying amount and categorised by the earlier of contractual repricing or maturity dates.

	2025							
THE GROUP	**Carrying amount**	**On demand**	**Less than 3 months**	**3 to 6 months**	**6 to 12 months**	**1 to 5 years**	**Over 5 years**	**Non-interest bearing**
	MUR'000	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Assets								
Cash and balances with banks	**14,140,601**	**12,543,527**	**-**	**-**	**-**	**-**	**-**	**1,597,074**
Due from banks	**54,374,971**	**-**	**51,427,747**	**2,947,224**	**-**	**-**	**-**	**-**
Derivative financial instruments	**136,312**	**-**	**-**	**-**	**-**	**78,213**	**-**	**58,099**
Loans and advances to banks	**20,955,184**	**-**	**2,531,553**	**3,490,314**	**2,476,794**	**12,456,523**	**-**	**-**
Loans and advances to customers	**54,733,965**	**3,124,264**	**8,133,839**	**4,152,289**	**1,505,316**	**23,508,636**	**14,309,621**	**-**
Debt instruments measured at amortised cost	**120,490,242**	**-**	**54,965,834**	**8,284,208**	**21,700,451**	**28,589,579**	**6,950,170**	**-**
Other assets (excluding prepayments, accrued income and inventory)	**6,191,713**	**-**	**10,271**	**-**	**-**	**-**	**-**	**6,181,442**
Total assets	**271,022,988**	**15,667,791**	**117,069,244**	**18,874,035**	**25,682,561**	**64,632,951**	**21,259,791**	**7,836,615**
Liabilities								
Due to banks	**2**	**2**	**-**	**-**	**-**	**-**	**-**	**-**
Deposits from banks	**200,548**	**103,190**	**-**	**-**	**-**	**-**	**-**	**97,358**
Deposits from customers	**257,972,767**	**12,677,904**	**76,936,725**	**11,644,304**	**14,953,911**	**5,766,247**	**16,596**	**135,977,080**
Derivative financial instruments	**78,394**	**-**	**-**	**-**	**-**	**26,115**	**-**	**52,279**
Borrowings from financial institution	**157,253**	**-**	**-**	**-**	**-**	**-**	**157,253**	**-**
Lease liabilities	**444,038**	**-**	**10,525**	**10,713**	**26,092**	**160,846**	**235,862**	**-**
Other liabilities	**829,081**	**920**	**-**	**-**	**-**	**-**	**-**	**828,161**
Total liabilities	**259,682,083**	**12,782,016**	**76,947,250**	**11,655,017**	**14,980,003**	**5,953,208**	**409,711**	**136,954,878**
Total interest sensitivity gap	**11,340,905**	**2,885,775**	**40,121,994**	**7,219,018**	**10,702,558**	**58,679,743**	**20,850,080**	**(129,118,263)**

	2024							
	Carrying amount	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Non-interest bearing
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	18,847,227	18,031,803	-	-	-	-	-	815,424
Due from banks	38,511,567	-	34,094,866	4,416,701	-	-	-	-
Derivative financial instruments	366,664	-	-	-	-	167,395	-	199,269
Loans and advances to banks	14,647,416	3	482,820	1,780,019	1,091,598	11,292,976	-	-
Loans and advances to customers	47,857,486	3,087,880	5,844,105	4,015,289	1,397,469	20,464,145	13,048,598	-
Debt instruments measured at amortised cost	125,588,785	-	60,302,916	9,694,694	18,341,876	30,282,395	6,966,904	-
Equity Investment designated at fair value through other comprehensive income	-	-	-	-	-	-		-
Other assets (excluding prepayments, accrued income and inventory)	5,332,090	-	32,006	12,031	-	-	-	5,288,053
Total assets	251,151,235	21,119,686	100,756,713	19,918,734	20,830,943	62,206,911	20,015,502	6,302,746
Liabilities								
Due to banks	868	868	-	-	-	-	-	-
Deposits from banks	335,051	318,849	-	-	-	-	-	16,202
Deposits from customers	239,910,949	10,766,737	56,104,513	17,642,649	21,074,287	5,337,394	10,120	128,975,249
Borrowings from financial institution	167,183	-	-	-	-	-	167,183	-
Derivative financial instruments	224,771	-	-	-	-	27,309	-	197,462
Lease liabilities	44,582	-	3,614	3,669	7,516	29,783	-	-
Other liabilities	906,946	867	-	-	-	-	-	906,079
Total liabilities	241,590,350	11,087,321	56,108,127	17,646,318	21,081,803	5,394,486	177,303	130,094,992
Total interest sensitivity gap	9,560,885	10,032,365	44,648,586	2,272,416	(250,860)	56,812,425	19,838,199	(123,792,246)

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)
(i) Interest rate risk (continued)

	2023							
THE GROUP	Carrying amount	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Non-interest bearing
Assets	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Cash and balances with banks	16,757,284	15,463,616	-	-	-	-	-	1,293,668
Due from banks	47,682,116	-	38,482,494	4,566,501	-	4,633,121	-	-
Derivative financial instruments	385,550	-	-	-	-	201,713	-	183,837
Loans and advances to banks	13,189,589	-	869,139	692,372	4,574,278	7,053,800	-	-
Loans and advances to customers	39,266,981	1,686,834	7,252,228	2,387,011	1,163,491	16,641,992	10,135,425	-
Debt instruments measured at amortised cost	103,674,862	-	48,533,327	3,342,186	10,270,952	34,305,386	7,223,011	-
Other assets (excluding prepayments, accrued income and inventory)	4,508,784	7	-	-	-	-	-	4,508,777
Total assets	225,465,166	17,150,457	95,137,188	10,988,070	16,008,721	62,836,012	17,358,436	5,986,282
Liabilities								
Deposits from banks	358,723	343,457	-	-	-	-	-	15,266
Deposits from customers	213,229,467	11,888,883	32,491,759	13,202,173	14,753,366	6,853,063	360,803	133,679,420
Derivative financial instruments	204,959	-	-	-	-	23,523	-	181,436
Borrowings from financial institution	150,918	-	-	-	-	-	150,918	-
Lease liabilities	64,663	-	8,271	4,928	9,747	41,717	-	-
Other liabilities	869,416	-	-	-	-	-	-	869,416
Total liabilities	214,878,146	12,232,340	32,500,030	13,207,101	14,763,113	6,918,303	511,721	134,745,538
Total interest sensitivity gap	10,587,020	4,918,117	62,637,158	(2,219,031)	1,245,608	55,917,709	16,846,715	(128,759,256)

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)

(i) Interest rate risk (continued)

THE BANK	2025 Carrying amount	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Non-interest bearing
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Assets								
Cash and balances with banks	**14,140,601**	**12,543,527**	-	-	-	-	-	**1,597,074**
Due from banks	**54,374,971**	-	**51,427,747**	**2,947,224**	-	-	-	-
Derivative financial instruments	**136,312**	-	-	-	-	**78,213**	-	**58,099**
Loans and advances to banks	**20,955,184**	-	**2,531,553**	**3,490,314**	**2,476,794**	**12,456,523**	-	-
Loans and advances to customers	**54,733,965**	**3,124,264**	**8,133,839**	**4,152,289**	**1,505,316**	**23,508,636**	**14,309,621**	-
Debt instruments measured at amortised cost	**120,490,242**	-	**54,965,834**	**8,284,208**	**21,700,451**	**28,589,579**	**6,950,170**	-
Other assets (excluding prepayments, accrued income and inventory)	**6,191,707**	-	**10,265**	-	-	-	-	**6,181,442**
Total assets	**271,022,982**	**15,667,791**	**117,069,238**	**18,874,035**	**25,682,561**	**64,632,951**	**21,259,791**	**7,836,615**
Liabilities								
Due to banks	**2**	**2**	-	-	-	-	-	-
Deposits from banks	**200,548**	**103,190**	-	-	-	-	-	**97,358**
Deposits from customers	**257,974,800**	**12,679,937**	**76,936,725**	**11,644,304**	**14,953,911**	**5,766,247**	**16,596**	**135,977,080**
Derivative financial instruments	**78,394**	-	-	-	-	**26,115**	-	**52,279**
Borrowings from financial institution	**157,253**	-	-	-	-	-	**157,253**	-
Lease liabilities	**444,038**	-	**10,525**	**10,713**	**26,092**	**160,846**	**235,862**	-
Other liabilities	**828,161**	-	-	-	-	-	-	**828,161**
Total liabilities	**259,683,196**	**12,783,129**	**76,947,250**	**11,655,017**	**14,980,003**	**5,953,208**	**409,711**	**136,954,878**
Total interest sensitivity gap	**11,339,786**	**2,884,662**	**40,121,988**	**7,219,018**	**10,702,558**	**58,679,743**	**20,850,080**	**(129,118,263)**

	2024 Carrying amount	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Non-interest bearing
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Assets								
Cash and balances with banks	18,847,227	18,031,803	-	-	-	-	-	815,424
Due from banks	38,511,567	-	34,094,866	4,416,701	-	-	-	-
Derivative financial instruments	366,664	-	-	-	-	167,395	-	199,269
Loans and advances to banks	14,647,416	3	482,820	1,780,019	1,091,598	11,292,976	-	-
Loans and advances to customers	47,857,486	3,087,880	5,844,105	4,015,289	1,397,469	20,464,145	13,048,598	-
Debt instruments measured at amortised cost	125,588,785	-	60,302,916	9,694,694	18,341,876	30,282,395	6,966,904	-
Other assets (excluding prepayments, accrued income and inventory)	5,332,084	-	32,000	12,031	-	-	-	5,288,053
Total assets	251,151,229	21,119,686	100,756,707	19,918,734	20,830,943	62,206,911	20,015,502	6,302,746
Liabilities								
Due to banks	868	868	-	-	-	-	-	-
Deposits from banks	335,051	318,849	-	-	-	-	-	16,202
Deposits from customers	239,913,413	10,769,201	56,104,513	17,642,649	21,074,287	5,337,394	10,120	128,975,249
Derivative financial instruments	224,771	-	-	-	-	27,309	-	197,462
Borrowings from financial institution	167,183	-	-	-	-	-	167,183	-
Lease liabilities	44,582	-	3,614	3,669	7,516	29,783	-	-
Other liabilities	906,079	-	-	-	-	-	-	906,079
Total liabilities	241,591,947	11,088,918	56,108,127	17,646,318	21,081,803	5,394,486	177,303	130,094,992
Total interest sensitivity gap	9,559,282	10,030,768	44,648,580	2,272,416	(250,860)	56,812,425	19,838,199	(123,792,246)

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)
(i) Interest rate risk (continued)

	2023							
THE BANK	Carrying amount	On demand	Less than 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Non-interest bearing
	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Assets								
Cash and balances with banks	16,757,277	15,463,609	-	-	-	-	-	1,293,668
Due from banks	47,682,116	-	38,482,494	4,566,501	-	4,633,121	-	-
Derivative financial instruments	385,550	-	-	-	-	201,713	-	183,837
Loans and advances to banks	13,189,589	-	869,139	692,372	4,574,278	7,053,800	-	-
Loans and advances to customers	39,266,981	1,686,834	7,252,228	2,387,011	1,163,491	16,641,992	10,135,425	-
Debt instruments measured at amortised cost	103,674,862		48,533,327	3,342,186	10,270,952	34,305,386	7,223,011	-
Other assets (excluding prepayments, accrued income and inventory)	4,508,777	-	-	-	-	-	-	4,508,777
Total assets	225,465,152	17,150,443	95,137,188	10,988,070	16,008,721	62,836,012	17,358,436	5,986,282
Liabilities								
Deposits from banks	358,723	343,457	-	-	-	-	-	15,266
Deposits from customers	213,232,468	11,891,884	32,491,759	13,202,173	14,753,366	6,853,063	360,803	133,679,420
Derivative financial instruments	204,959	-	-	-	-	23,523	-	181,436
Borrowings from financial institution	150,918	-	-	-	-	-	150,918	-
Lease liabilities	64,663	-	8,271	4,928	9,747	41,717	-	-
Other liabilities	868,417	-	-	-	-	-	-	868,417
Total liabilities	214,880,148	12,235,341	32,500,030	13,207,101	14,763,113	6,918,303	511,721	134,744,539
Total interest sensitivity gap	10,585,004	4,915,102	62,637,158	(2,219,031)	1,245,608	55,917,709	16,846,715	(128,758,257)

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)

(ii) Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. Management has set limits on positions by currency. Positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

The table below indicates the currencies to which the Group and the Bank had significant exposure at 30 June on all its monetary assets and liabilities and its forecast cash flows. The analysis calculates the effect of a reasonably possible movement of the currency rate against the MUR, with all other variables held constant on the statements of profit or loss (due to the fair value of currency sensitive non trading monetary assets and liabilities). A negative amount in the table reflects a potential net reduction in the statements of profit or loss, while a positive amount reflects a net potential increase.

THE GROUP

		2025		
		Effect of change in currency on		
Currency	**% Change in Currency rate**	**Assets**	**Liabilities**	**Sensitivity of profit or loss**
		MUR'000	**MUR'000**	**MUR'000**
AUD	**+5%**	**44,145**	**(44,098)**	**47**
	-5%	**(44,145)**	**44,098**	**(47)**
EUR	**+5%**	**2,192,363**	**(2,201,164)**	**(8,801)**
	-5%	**(2,192,363)**	**2,201,164**	**8,801**
GBP	**+5%**	**650,703**	**(649,778)**	**925**
	-5%	**(650,703)**	**649,778**	**(925)**
USD	**+5%**	**8,583,016**	**(8,595,666)**	**(12,650)**
	-5%	**(8,583,016)**	**8,595,666**	**12,650**

		2024		
		Effect of change in currency on		
Currency	% Change in Currency rate	Assets	Liabilities	Sensitivity of profit or loss
		MUR'000	MUR'000	MUR'000
AUD	+5%	46,534	(46,457)	77
	-5%	(46,534)	46,457	(77)
EUR	+5%	1,805,359	(1,811,828)	(6,469)
	-5%	(1,805,359)	1,811,828	6,469
GBP	+5%	562,964	(562,768)	196
	-5%	(562,964)	562,768	(196)
USD	+5%	8,200,306	(8,204,061)	(3,755)
	-5%	(8,200,306)	8,204,061	3,755

		2023		
		Effect of change in currency on		
Currency	% Change in Currency rate	Assets	Liabilities	Sensitivity of profit or loss
		MUR'000	MUR'000	MUR'000
AUD	+5%	68,350	(68,374)	(24)
	-5%	(68,350)	68,374	24
EUR	+5%	1,874,796	(1,873,855)	941
	-5%	(1,874,796)	1,873,855	(941)
GBP	+5%	431,955	(432,108)	(153)
	-5%	(431,955)	432,108	153
USD	+5%	7,221,075	(7,224,396)	(3,321)
	-5%	(7,221,075)	7,224,396	3,321

37. FINANCIAL RISK MANAGEMENT (CONTINUED)

(d) Market risk (continued)

(ii) Currency risk (continued)

THE BANK

Currency	% Change in Currency rate	2025 Effect of change in currency on Assets	2025 Effect of change in currency on Liabilities	2025 Sensitivity of profit or loss
		MUR'000	**MUR'000**	**MUR'000**
AUD	**+5%**	**44,145**	**(44,098)**	**47**
	-5%	**(44,145)**	**44,098**	**(47)**
EUR	**+5%**	**2,192,363**	**(2,201,164)**	**(8,801)**
	-5%	**(2,192,363)**	**2,201,164**	**8,801**
GBP	**+5%**	**650,703**	**(649,778)**	**925**
	-5%	**(650,703)**	**649,778**	**(925)**
USD	**+5%**	**8,583,016**	**(8,595,666)**	**(12,650)**
	-5%	**(8,583,016)**	**8,595,666**	**12,650**

Currency	% Change in Currency rate	2024 Effect of change in currency on Assets	2024 Effect of change in currency on Liabilities	2024 Sensitivity of profit or loss
		MUR'000	MUR'000	MUR'000
AUD	+5%	46,534	(46,457)	77
	-5%	(46,534)	46,457	(77)
EUR	+5%	1,805,359	(1,811,828)	(6,469)
	-5%	(1,805,359)	1,811,828	6,469
GBP	+5%	562,964	(562,768)	196
	-5%	(562,964)	562,768	(196)
USD	+5%	8,200,306	(8,204,061)	(3,755)
	-5%	(8,200,306)	8,204,061	3,755

Currency	% Change in Currency rate	2023 Effect of change in currency on Assets	2023 Effect of change in currency on Liabilities	2023 Sensitivity of profit or loss
		MUR'000	MUR'000	MUR'000
AUD	+5%	68,350	(68,374)	(24)
	-5%	(68,350)	68,374	24
EUR	+5%	1,874,796	(1,873,855)	941
	-5%	(1,874,796)	1,873,855	(941)
GBP	+5%	431,955	(432,108)	(153)
	-5%	(431,955)	432,108	153
USD	+5%	7,221,075	(7,224,396)	(3,321)
	-5%	(7,221,075)	7,224,396	3,321

(e) Other price risk

Other price risk is the risk that the fair value of equities decreases as a result of changes in the level of equity indices. The non-trading equity price risk exposure arises from debt instrument measured at fair value through other comprehensive income.

38. CAPITAL

The Bank actively manages its capital structure in accordance with its Capital Management Policy, adapting to changing economic conditions, regulatory requirements, and business priorities. The main objectives of capital management are to:

- Ensure continuous compliance with externally imposed capital requirements;
- Maintain a strong financial position to support business growth; and
- Generate sustainable returns for shareholders.

Capital is managed to strengthen the Bank's resilience, preserve access to diverse funding sources, and sustain long-term business development. In line with the Basel III framework, as implemented by the Bank of Mauritius, the Bank maintains prudent capital buffers above the minimum regulatory thresholds.

The Bank's capital adequacy ratio is regularly monitored against both internal limits and applicable regulatory limits. This process is underpinned by comprehensive capital planning, forward-looking stress testing, and scenario analysis under normal and adverse conditions.

The capital management framework is fully integrated into the Bank's governance and decision-making processes, ensuring that capital considerations are embedded in capital planning, dividend policy, and risk-taking activities.

ELIGIBLE RISK-WEIGHTED CAPITAL

	THE GROUP			THE BANK		
	Basel III 2025	Basel III 2024	Basel III 2023	**Basel III 2025**	Basel III 2024	Basel III 2023
	MUR'000	MUR'000	MUR'000	**MUR'000**	MUR'000	MUR'000
Tier 1 capital	**21,269,217**	18,363,168	14,536,651	**21,268,101**	18,361,569	14,534,636
Tier 2 capital	**1,200,854**	854,999	743,680	**1,200,854**	854,999	743,680
Total capital	**22,470,071**	19,218,167	15,280,331	**22,468,955**	19,216,568	15,278,316
Risk-weighted assets	**110,657,632**	93,510,768	78,744,254	**110,657,627**	93,509,073	78,741,696
	%	%	%	**%**	%	%
Capital adequacy ratio	**20.31**	20.55	19.40	**20.30**	20.55	19.40

Regulatory capital is the sum of Tier 1 capital and Tier 2 capital. Tier 1 Capital is further divided between Common Equity Tier 1 Capital which comprises of share capital, retained earnings, other reserves net of regulatory adjustments and Additional Tier 1 Capital comprised of Class A shares. The other component of regulatory capital is Tier 2 capital which includes stage 1 and stage 2 provisions, country risk reserves and additional provision above IFRS 9 provisions.

39. EVENTS AFTER REPORTING DATE

Change in Shareholding

On 22 July 2025, subsequent to the reporting year ended 30 June 2025, The Access Bank UK Limited acquired 76% of the Bank's issued share capital through its wholly owned subsidiary, Access Holdings (Mauritius) Ltd from the major shareholders IBL Ltd and National Bank of Canada along with certain minority shareholders. This transaction resulted in a change in the ownership structure of the Bank. Accordingly, The Access Bank UK Limited became the Bank's parent and Access Holdings PLC the ultimate parent.

In accordance with IAS 10 – Events after the Reporting Period, this event is classified as a non-adjusting subsequent event as it does not provide evidence of conditions that existed at the end of the reporting period. Therefore, there is no financial impact on the financial statements for the year ended 30 June 2025.

Legislative Changes Affecting Future Taxation

As part of the Finance Act 2025 ("FA 2025"), enacted on 9 August 2025, several key tax measures impacting the banking sector were introduced. These include amendments to the Special Levy, and the introduction of the Fair Share Contribution ("FSC") and the Additional Fair Share Contribution ("AFSC"), all of which take effect as from 1 July 2025.

1. Special Levy

Effective as from 1 July 2025, the previous cap that limited the amount of Special Levy payable to 1.5 times the levy paid for the year of assessment 2017/2018 has been removed. The Special Levy will now be computed at the flat rate of 5.5% of leviable income.

2. Fair Share Contribution and Additional Fair Share Contribution

FSC and AFSC for banks were introduced under the Value Added Tax Act, as legislated through Section 61(n) of FA 2025. These measures will apply for a period of three years, from 1 July 2025 to 30 June 2028.

- FSC will be computed at 5% of the bank's chargeable income.
- AFSC will be computed at 2.5% of chargeable income arising from transactions with residents, excluding income derived from global business entities.

However, the amount of FSC or AFSC will be reduced so that the total amount of taxes for FSC, AFSC, Income Tax, Corporate Social Responsibility, Corporate Climate Responsibility Levy and Special Levy do not exceed 35% of the chargeable income arising from transactions with residents, other than from a global business entity.

In accordance with IAS 10 – Events After the Reporting Period, the above legislative changes are considered non-adjusting events. Consequently, no adjustments have been made in the financial statements for the year ended 30 June 2025. Management is yet to estimate its financial impact.

Dividend declaration

On 19 September 2025, the Board of Directors declared and approved a dividend of MUR 98.0m on Class A shares series 1 and 2 for the period ended 30 June 2025 and a final dividend of MUR 1.5bn on ordinary shares for the year ended 30 June 2025, subject to approval from the regulators.

40. OFFSETTING FINANCIAL INSTRUMENTS

The Group's and the Bank's offsetting financial arrangement is summarised below.

Derivatives and loans and advances to customers

The Group and the Bank uses master netting agreements and holds cash collateral and marketable securities to mitigate the credit risk of derivatives, repurchase agreements and securities lending. The below refers to netting potential not recognised in the statement of financial position.

The Group and the Bank enter into derivatives with central counterparty clearing houses (CCPs) or bilaterally under International Swaps and Derivatives Association (ISDA) master netting agreements. ISDA Master Netting agreements give either party the legal right of offset on termination of the contract or on default of the other party. The Group and the Bank execute a credit support annex in conjunction with each ISDA agreement, which requires the Group and the Bank and each counterparty to post collateral to mitigate credit risk. Collateral is also posted daily in respect of derivatives transacted on exchanges and with CCPs. The collateral posted with regards to open derivatives is cash or marketable securities.

The Group's and the Bank's repurchase, and reverse repurchase, transactions and securities borrowing and lending are covered by master agreements with netting terms similar to those of ISDA master netting agreements.

THE GROUP

2025

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	**Amount offset**	**Net amount reported**	**Cash collateral**	**Net amount**
ASSETS	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Derivative financial instruments	**136,312**	**-**	**136,312**	**(103,190)**	**33,122**
Loans and advances to customers	**54,733,965**	**-**	**54,733,965**	**(1,943,003)**	**52,790,962**
	54,870,277	**-**	**54,870,277**	**(2,046,193)**	**52,824,084**
LIABILITIES					
Deposits from banks	**200,548**	**-**	**200,548**	**(103,190)**	**97,358**
Deposits from customers	**257,972,767**	**-**	**257,972,767**	**(1,943,003)**	**256,029,764**
	258,173,315	**-**	**258,173,315**	**(2,046,193)**	**256,127,122**

2024

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	Amount offset	Net amount reported	Cash collateral	Net amount
ASSETS	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments	366,664	-	366,664	(318,849)	47,815
Loans and advances to customers	47,857,486	-	47,857,486	(1,772,810)	46,084,676
	48,224,150	-	48,224,150	(2,091,659)	46,132,491
LIABILITIES					
Deposits from banks	335,051	-	335,051	(318,849)	16,202
Deposits from customers	239,910,949	-	239,910,949	(1,772,810)	238,138,139
	240,246,000	-	240,246,000	(2,091,659)	238,154,341

2023

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	Amount offset	Net amount reported	Cash collateral	Net amount
ASSETS	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments	385,550	-	385,550	(191,368)	194,182
Loans and advances to customers	39,266,981	-	39,266,981	(1,823,569)	37,443,412
	39,652,531	-	39,652,531	(2,014,937)	37,637,594
LIABILITIES					
Deposits from banks	358,723	-	358,723	(191,368)	167,355
Deposits from customers	213,229,467	-	213,229,467	(1,823,569)	211,405,898
	213,588,190	-	213,588,190	(2,014,937)	211,573,253

40. OFFSETTING FINANCIAL INSTRUMENTS (CONITNUED)

Derivatives and loans and advances to customers (continued)

THE BANK

2025

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	**Amount offset**	**Net amount reported**	**Cash collateral**	**Net amount**
ASSETS	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**	**MUR'000**
Derivative financial instruments	**136,312**	**-**	**136,312**	**(103,190)**	**33,122**
Loans and advances to customers	**54,733,965**	**-**	**54,733,965**	**(1,943,003)**	**52,790,962**
	54,870,277	**-**	**54,870,277**	**(2,046,193)**	**52,824,084**
LIABILITIES					
Deposits from banks	**200,548**	**-**	**200,548**	**(103,190)**	**97,358**
Deposits from customers	**257,974,800**	**-**	**257,974,800**	**(1,943,003)**	**256,031,797**
	258,175,348	**-**	**258,175,348**	**(2,046,193)**	**256,129,155**

2024

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	Amount offset	Net amount reported	Cash collateral	Net amount
ASSETS	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments	366,664	-	366,664	(318,849)	47,815
Loans and advances to customers	47,857,486	-	47,857,486	(1,772,810)	46,084,676
	48,224,150	-	48,224,150	(2,091,659)	46,132,491
LIABILITIES					
Deposits from banks	335,051	-	335,051	(318,849)	16,202
Deposits from customers	239,913,413	-	239,913,413	(1,772,810)	238,140,603
	240,248,464	-	240,248,464	(2,091,659)	238,156,805

2023

	Effect of offsetting on statement of financial position			Related amounts not offset	
	Gross amount	Amount offset	Net amount reported	Cash collateral	Net amount
ASSETS	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Derivative financial instruments	385,550	-	385,550	(191,368)	194,182
Loans and advances to customers	39,266,981	-	39,266,981	(1,823,569)	37,443,412
	39,652,531	-	39,652,531	(2,014,937)	37,637,594
LIABILITIES					
Deposits from banks	358,723	-	358,723	(191,368)	167,355
Deposits from customers	213,232,468	-	213,232,468	(1,823,569)	211,408,899
	213,591,191	-	213,591,191	(2,014,937)	211,576,254

The Group and the Bank receive cash collaterals as security on various loan arrangements. The Group and the Bank have a right to offset these cash collaterals against the loan amounts on default of the Group's and the Bank's clients.

41. ADDITIONAL DISCLOSURE REQUIREMENTS AS REQUIRED BY BANK OF MAURITIUS

In previous years, the Bank disclosed information analysed between segment A and segment B in line with the requirement of section 58 of the Bank of Mauritius Guideline on Public Disclosure of Information (revised November 2009). For prior year disclosures, refer to the prior years annual report available on the Bank's website. In the current year, section 58 of the said guideline has been amended to now disclose residents and non-residents activities in line with Addendum 2 - Disclosure Requirements for Banks with respect to Residents and Non-Residents Activities (March 2025).

The Bank of Mauritius requires the Bank to disclose its assets and liabilities, income and expenditure classified into Residents and Non-Residents. Non-Resident activity is essentially directed to the provision of international financial services that give rise to 'foreign source income', excluding global business licence services. Resident activity relates to all banking business other than Non-Resident activity. Expenditure incurred by the Bank but which is not directly attributable to its income derived from Mauritius or its foreign source income is apportioned in a fair and reasonable manner.

The following table presents components of operating income segregated between Resident and Non-Resident.

	2025			2024			2023		
	Resident	**Non-Resident**	**Total**	Resident	Non-Resident	Total	Resident	Non-Resident	Total
(a) Operating Income	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
Interest income	**3,574,438**	**8,683,592**	**12,258,030**	3,272,401	8,130,017	11,402,418	2,553,732	4,739,194	7,292,926
Interest expense	**(3,123,486)**	**(1,923,584)**	**(5,047,070)**	(2,716,588)	(1,541,437)	(4,258,025)	(1,094,178)	(486,566)	(1,580,744)
Net interest income, calculated using EIR method	**450,952**	**6,760,008**	**7,210,960**	555,813	6,588,580	7,144,393	1,459,554	4,252,628	5,712,182
Fee and commission income	**1,139,906**	**431,146**	**1,571,052**	820,299	592,512	1,412,811	731,035	509,980	1,241,015
Fee and commission expense	**(94,525)**	**(427,283)**	**(521,808)**	(76,634)	(399,905)	(476,539)	(125,511)	(272,877)	(398,388)
Net fee and commission income	**1,045,381**	**3,863**	**1,049,244**	743,665	192,607	936,272	605,524	237,103	842,627
Net trading income	**733,024**	**1,366,305**	**2,099,329**	691,327	1,138,659	1,829,986	621,973	867,529	1,489,502
Other (losses)/gains	**-**	**(874)**	**(874)**	-	1,187	1,187	-	391	391
Other operating income	**658**	**-**	**658**	4,069	-	4,069	629	-	629
Total operating income	**2,230,015**	**8,129,302**	**10,359,317**	1,994,874	7,921,033	9,915,907	2,687,680	5,357,651	8,045,331

41. ADDITIONAL DISCLOSURE REQUIREMENTS AS REQUIRED BY BANK OF MAURITIUS (CONTINUED)

The following table presents asset and liability information segregated between Resident and Non-Resident

		2025			2024			2023		
		Resident	**Non-Resident**	**Total**	Resident	Non-Resident	Total	Resident	Non-Resident	Total
(b)	**Statements of Financial Position**	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
	ASSETS									
	Cash and balances with banks	**1,609,385**	**12,531,216**	**14,140,601**	829,882	18,017,345	18,847,227	1,306,952	15,450,325	16,757,277
	Due from banks	**5,773,484**	**48,601,487**	**54,374,971**	6,451,103	32,060,464	38,511,567	14,948,388	32,733,728	47,682,116
	Derivative financial instruments	**102,150**	**34,162**	**136,312**	167,451	199,213	366,664	193,794	191,756	385,550
	Loans and advances to banks	**1,620,248**	**19,334,936**	**20,955,184**	1,383,019	13,264,397	14,647,416	1,823,178	11,366,411	13,189,589
	Loans and advances to customers	**33,236,186**	**21,497,779**	**54,733,965**	29,389,394	18,468,092	47,857,486	24,271,770	14,995,211	39,266,981
	Investment securities	**30,316,465**	**100,285,036**	**130,601,501**	26,564,158	108,133,229	134,697,387	24,271,858	84,413,877	108,685,735
	Other assets	**6,485,064**	**93,126**	**6,578,190**	5,543,926	64,896	5,608,822	4,628,481	123,481	4,751,962
	Property and equipment	**795,385**	**1,130**	**796,515**	603,729	713	604,442	158,609	552	159,161
	Right of use assets	**439,618**	**2,229**	**441,847**	41,648	3,773	45,421	60,442	5,337	65,779
	Intangible assets	**262,569**	**-**	**262,569**	265,545	-	265,545	362,778	-	362,778
	Deferred tax assets	**129,086**	**250,866**	**379,952**	66,136	228,083	294,219	71,535	209,252	280,787
	TOTAL ASSETS	**80,769,640**	**202,631,967**	**283,401,607**	71,305,991	190,440,205	261,746,196	72,097,785	159,489,930	231,587,715
	EQUITY AND LIABILITIES									
	LIABILITIES									
	Due to banks	**-**	**2**	**2**	-	868	868	-	-	-
	Deposits from banks	**80,673**	**119,875**	**200,548**	152,088	182,963	335,051	191,380	167,343	358,723
	Deposits from customers	**152,452,857**	**105,521,943**	**257,974,800**	145,849,610	94,063,803	239,913,413	134,224,918	79,007,550	213,232,468
	Borrowings from financial institution	**-**	**157,253**	**157,253**	-	167,183	167,183	-	150,918	150,918
	Derivative financial instruments	**27,559**	**50,835**	**78,394**	185,458	39,313	224,771	166,551	38,408	204,959
	Current tax liabilities	**175,540**	**255,873**	**431,413**	252,449	270,272	522,721	325,874	496,099	821,973
	Lease liabilities	**441,428**	**2,610**	**444,038**	40,417	4,165	44,582	59,461	5,202	64,663
	Other liabilities	**430,016**	**548,206**	**978,222**	393,123	688,432	1,081,555	286,981	909,355	1,196,336
	Employee benefits	**188,174**	**-**	**188,174**	186,599	-	186,599	110,936	-	110,936
	TOTAL LIABILITIES	**153,796,247**	**106,656,597**	**260,452,844**	147,059,744	95,416,999	242,476,743	135,366,101	80,774,875	216,140,976
	EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT									
	Ordinary shares			**3,641,049**			3,641,049			3,641,049
	Class A shares			**1,385,768**			1,385,768			1,385,768
	Retained earnings			**12,450,419**			10,359,062			7,704,188
	Other reserves			**5,471,527**			3,883,574			2,715,734
	TOTAL EQUITY			**22,948,763**			19,269,453			15,446,739
	TOTAL EQUITY AND LIABILITIES			**283,401,607**			261,746,196			231,587,715

NOTES TO THE FINANCIAL STATEMENTS
for the year ended 30 June 2025

41. ADDITIONAL DISCLOSURE REQUIREMENTS AS REQUIRED BY BANK OF MAURITIUS (CONTINUED)

		2025			2024			2023		
		Resident	**Non-Resident**	**Total**	Resident	Non-Resident	Total	Resident	Non-Resident	Total
(c)	**Sectorwise Distribution of Loans and Advances**	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
	Other Non-Financial Corporations									
A	Agriculture , forestry and fishing	**96,367**	**546,455**	**642,822**	51,755	573,747	625,502	59,605	819,167	878,772
B	Mining and quarrying	**-**	**1,690,631**	**1,690,631**	-	1,850,112	1,850,112	-	1,402,050	1,402,050
C	Manufacturing	**688,277**	**4,115,705**	**4,803,982**	682,391	3,458,770	4,141,161	835,140	1,694,698	2,529,838
D	Electricity, gas, steam and air conditioning supply	**-**	**1,355,521**	**1,355,521**	-	1,776,314	1,776,314	-	1,292,081	1,292,081
E	Water supply; sewage, waste management and remediation activities	**8,400**	**-**	**8,400**	18,090	-	18,090	10,969	-	10,969
F	Construction	**795,294**	**20**	**795,314**	859,487	71	859,558	250,085	12	250,097
G	Wholesale and retail trade; and repair of motor vehicles and motorcycles	**4,112,320**	**2,799,651**	**6,911,971**	2,423,427	2,095,433	4,518,860	1,602,058	2,092,319	3,694,377
H	Transportation and storage	**179,679**	**1,753,344**	**1,933,023**	124,274	1,223,347	1,347,621	147,813	930,684	1,078,497
I	Accommodation and food service activities	**2,822,814**	**146,501**	**2,969,315**	3,228,521	540,859	3,769,380	3,203,816	560,465	3,764,281
J	Information and communication	**291,559**	**924,514**	**1,216,073**	788,270	470,784	1,259,054	320,849	452,465	773,314
L	Real estate activities	**3,726,376**	**1,189,716**	**4,916,092**	2,897,139	1,306,895	4,204,034	1,737,903	915,515	2,653,418
M	Professional, scientific and technical activities	**3,177,942**	**568,316**	**3,746,258**	1,612,383	1,340,091	2,952,474	1,364,782	2,131,764	3,496,546
N	Administrative and support service activities	**375,372**	**199,156**	**574,528**	258,512	479,940	738,452	53,155	199,946	253,101
P	Education	**5,102**	**12**	**5,114**	5,030	6	5,036	2,288	8	2,296
Q	Human health and social work activities	**360,086**	**-**	**360,086**	524,542	-	524,542	607,434	-	607,434
R	Arts, entertainment and recreation	**309,408**	**-**	**309,408**	281,978	20	281,998	231,105	60	231,165
S	Other service entities	**-**	**-**	**-**	-	4	4	4	1,267	1,271
	Other Financial Corporations	**2,273,354**	**2,650,843**	**4,924,197**	3,217,644	1,606,486	4,824,130	1,271,971	1,315,243	2,587,214
	Households	**4,382,130**	**951,125**	**5,333,255**	3,907,615	691,753	4,599,368	3,076,195	617,318	3,693,513
	Banks	**1,623,501**	**19,363,665**	**20,987,166**	1,385,387	13,313,451	14,698,838	1,826,311	11,406,629	13,232,940
	Non-Bank Deposit Taking Institutions	**2,131,130**	**897,891**	**3,029,021**	1,619,980	-	1,619,980	1,846,861	-	1,846,861
	Central Government	**-**	**3,335,451**	**3,335,451**	-	2,577,842	2,577,842	-	2,020,941	2,020,941
	Public Non-Financial Corporations	**2,176,614**	**-**	**2,176,614**	1,125,133	-	1,125,133	4,113,300	-	4,113,300
	Global Business Corporations (GBCs)	**5,983,579**	**-**	**5,983,579**	6,141,903	-	6,141,903	4,015,742	-	4,015,742
		35,519,304	**42,488,517**	**78,007,821**	31,153,461	33,305,925	64,459,386	26,577,386	27,852,632	54,430,018

41. ADDITIONAL DISCLOSURE REQUIREMENTS AS REQUIRED BY BANK OF MAURITIUS (CONTINUED)

		2025			2024			2023		
		Resident	**Non-Resident**	**Total**	Resident	Non-Resident	Total	Resident	Non-Resident	Total
(d)	**Breakdown of Deposits from Customers**	**MUR'000**	**MUR'000**	**MUR'000**	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000	MUR'000
	Retail Customers									
	- Current accounts	**6,988,986**	**20,355,508**	**27,344,494**	5,561,223	18,193,372	23,754,595	4,691,934	18,199,127	22,891,061
	- Savings accounts	**7,917,050**	**1,347,562**	**9,264,612**	6,627,108	917,701	7,544,809	4,216,526	725,670	4,942,196
	- Term deposits	**13,058,888**	**17,658,625**	**30,717,513**	10,807,271	14,167,254	24,974,525	8,067,378	7,467,718	15,535,096
	Corporate Customers									
	- Current accounts	**74,621,375**	**36,135,493**	**110,756,868**	71,919,743	35,404,928	107,324,671	78,877,801	37,464,897	116,342,698
	- Savings accounts	**1,134,942**	**13,394**	**1,148,336**	971,019	12,469	983,488	536,618	10,509	547,127
	- Term deposits	**47,759,066**	**30,011,361**	**77,770,427**	48,816,958	25,368,079	74,185,037	36,622,383	15,139,629	51,762,012
	Government									
	- Current accounts	**122,811**	**-**	**122,811**	117,760	-	117,760	59,314	-	59,314
	- Savings accounts	**19,896**	**-**	**19,896**	19,127	-	19,127	18,349	-	18,349
	- Term deposits	**829,843**	**-**	**829,843**	1,009,401	-	1,009,401	1,134,615	-	1,134,615
		152,452,857	**105,521,943**	**257,974,800**	145,849,610	94,063,803	239,913,413	134,224,918	79,007,550	213,232,468



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